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IMPACT ASSESSMENT REPORT

Accompanying the documents

Proposal for a Regulation of the European Parliament and of the Council establishing the 'AgoraEU' programme for the period 2028-2034, and repealing Regulations (EU) 2021/692 and (EU) 2021/818

and

Proposal for a Regulation of the European Parliament and of the Council establishing the Erasmus+ programme for the period 2028-2034, and repealing Regulations (EU) 2021/817 and (EU) 2021/888

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Glossary

Term or acronym	Meaning or definition
AI	Artificial Intelligence
AVMS Directive	Audiovisual Media Services Directive
CCS	Cultural and Creative Sectors
CERV	Citizens, Equality, Rights and Values programme
CREA	Creative Europe programme
CSO	Civil Society Organisation
(DG) CNECT	(Directorate-General) for Communication Networks, Content and Technology
(DG) EAC	(Directorate-General) for Education, Youth, Sport and Culture
(DG) JUST	(Directorate-General) for Justice and Consumers
EACEA	European Education and Culture Executive Agency
EMFA	European Media Freedom Act
ESC	European Solidarity Corps
IA	Impact Assessment
IP	Intellectual Property
MFF	Multiannual Financial Framework
OPC	Open public consultation
SMCE	Social-multi-criteria evaluation
SMEs	Small and medium-sized enterprises
SWD	Staff Working Document

TEU	Treaty on European Union
TFEU	Treaty on the Functioning of the European Union
VET	Vocational education and training

1. INTRODUCTION: POLITICAL AND LEGAL CONTEXT

The implementation of the current and previous EU programmes has shown that the complexity of the funding architecture can hinder the impact of the EU budget. This has been underlined through programme evaluations. Currently, many programmes may finance similar activities, but with varying rules and conditions, also impeding the flexibility to respond to unforeseen needs. This may lead to inefficiencies and administrative burden for beneficiaries, Member States and the Commission. The difficult budgetary situation (with the start of NextGenerationEU repayments, the increasing number of EU priorities and the tight fiscal situation of Member States) reinforces the need to reduce such inefficiencies and administrative burden.

The Political Guidelines[1] acknowledge that '*our spending is spread over too many overlapping programmes – many of which fund the same things but with different requirements and difficulties to combine funding effectively'.* The Guidelines set out that the new long-term budget needs to be more focused, simpler, with fewer programmes and more impactful. In line with the Political Guidelines, the College adopted on 11 February 2025 the Communication '*The road to the next multiannual financial framework'*[2]. This states that *'the next long-term budget will have to address the complexities, weaknesses and rigidities that are currently present and maximise the impact of every euro it spends'.* The Communication also underlines that flexibility is key in guaranteeing the budget's ability to respond to a changing reality.

In this political context, impact assessments for programmes under the next multiannual financial framework (MFF) focus on streamlining the EU budget architecture, thereby assessing the most important policy choices underpinning the future legislative proposals. Policy aspects are considered in the analysis of the context, the problem definition and the objectives, informing the choices on architecture. Given that the structure of the new MFF will significantly differ from the current one, budget assumptions for each programme are unreliable at this stage. Therefore, the impact assessment (IA) excludes funding scenarios, allowing only qualitative cost benefit analysis. This reflects the specificities of this exercise, as acknowledged in the Commission's better regulation rules - which this IA follows – that state that *the special case of preparing a new multiannual financial framework is a unique process requiring a specific approach as regards scope and depth of analysis'* (Tool #9). This IA has been adjusted following the comments made by the Regulatory Scrutiny Board.

1.1. Scope and legal context

This impact assessment focuses on **EU funding for cross-border education and training, solidarity, youth, media, culture and creative sectors, values, and civil society**[3]**.**

The EU is a community of values ingrained in Europe's history and identity and anchored in the EU Treaty. These encompass democracy, fundamental rights, non-discrimination, equality, inclusion, tolerance, the rule of law, solidarity, cultural diversity, freedom of expression, including media and artistic freedom and pluralism. These shared values define the European project. They offer a guiding direction to Europe's younger generations in their aspirations for a better future. Justice, civil society, media, culture, sport, as well as formal, non-formal and informal education are all crucial vehicles to realise these principles, delivery mechanisms for a fair, free, inclusive and united society. They help

citizens connect around shared values and equip them with the skills and key competences to thrive and contribute to a strong, cohesive, resilient and competitive Europe.

Democracies in the EU face internal and external threats. Fundamental rights, equality and non-discrimination, EU values[4], the rule of law, justice and democratic structures themselves need to be nurtured as the foundation of an inclusive and prosperous society. There remain major structural issues relating to fundamental rights, including inequalities, discrimination and violence in our societies, with particular consequences for women, children, LGBTIQ persons or persons with disabilities, and minorities[5]. In today's rapidly changing environment, people need skills that enable them to navigate, accelerate, and embrace opportunities. To remain competitive, Europe must tackle barriers to human capital, including the need for new job profiles, swift skills adaptation and lifelong learning through an inclusive, agile, forward-looking and lifelong learning-based education and training landscape, both formal and informal. A vibrant civic space and opportunities to demonstrate real solidarity are central to a democratic society. On top of its economic value, the media is a cornerstone of democratic resilience as well as cultural vitality. Media, including audiovisual, and cultural expressions have an important role to play in a values-based Union, recognising and appreciating the tapestry of national and regional diversity, and also as a source of sustainable and inclusive growth. In all these areas, proactive action is needed to develop the full potential of people, their skills, talent, critical thinking, creativity and safeguard their rights[6].

The importance for the EU's future to continue investing in the policy areas covered by this IA has been reflected in the recent EU political agendas and strategic reports of the EU (*cfr. Annex 7 for more information*).

"Protecting our democracies and upholding our values" is one of the Political Guidelines' priorities for 2024-2029. President von der Leyen underlined her commitment as well to support free media and reunite our societies "through education, supporting young people and building on the things that we have in common as Europeans", as well as the "uniting power of Europe's rich and varied cultural tapestry". This combined with the need for "a radical step change in ambition and action – for all skill levels and for all types of training and education". These themes feature strongly in the Mission letters of Vice-Presidents and Commissioners. They are also well aligned with the European Council's Strategic Agenda for Europe 2024 – 2029.

To meet these objectives, EU funding is indispensable. The next MFF should be built around three main pillars, with a limited number of targeted self-standing programmes. This cluster belongs to the latter category. The scope of the IA has been intentionally limited to programmes under direct and indirect management that share a strong cross-border and people-focused logic, including **Erasmus+; the European Solidarity Corps (ESC); Creative Europe; Citizens, Equality, Rights, and Values (CERV); the Justice programme**; as well as other budgetary prerogative lines (e.g. **multimedia actions**).

Other EU funding programmes also contribute to these policy goals to varying degrees while supporting other policies under the current MFF, as shown in *Annex 7 Section 3*, including: **Digital Europe programme**; **Horizon Europe, InvestEU,** as well as Union **cohesion policy funds**, **the Recovery and Resilience Facility** and the **Technical Support Instrument**[7]. In parallel, another key tool to promote EU values and the rule of law, and to ensure that shortcomings do not undermine EU budget delivery, has been the development of **conditionality tools** such as the Conditionality Regulation and the Horizontal Enabling Conditions.

1.2. Lessons learnt from evaluations

The results of the mid-term evaluations for the period 2021-2027 indicate that the existing programmes have largely delivered on their policy objectives and provided EU added value, while highlighting areas for improvement in terms of design. For example, the midterm evaluation of the **CERV programme** confirmed that the programme occupies an otherwise largely empty space in the values and fundamental rights funding landscape[8], as the dedicated EU instrument to support organisations working on safeguarding and promoting fundamental rights, equality and non-discrimination, democracy and the rule of law in Europe, organisations often lacking other funding sources. **Creative Europe** has contributed to the general objective of supporting cultural and linguistic diversity by increasing people's access to content and to the objective of competitiveness by helping audiovisual, and other creative and cultural operators to scale up at European level. It has a unique place as the only source of funding for transnational cooperation, circulation and mobility in these sectors. Finally, the **Erasmus+** and **ESC** evaluations show that both programmes deliver strong European added value for individuals, organisations and policy, a result which cannot be matched at national level alone.

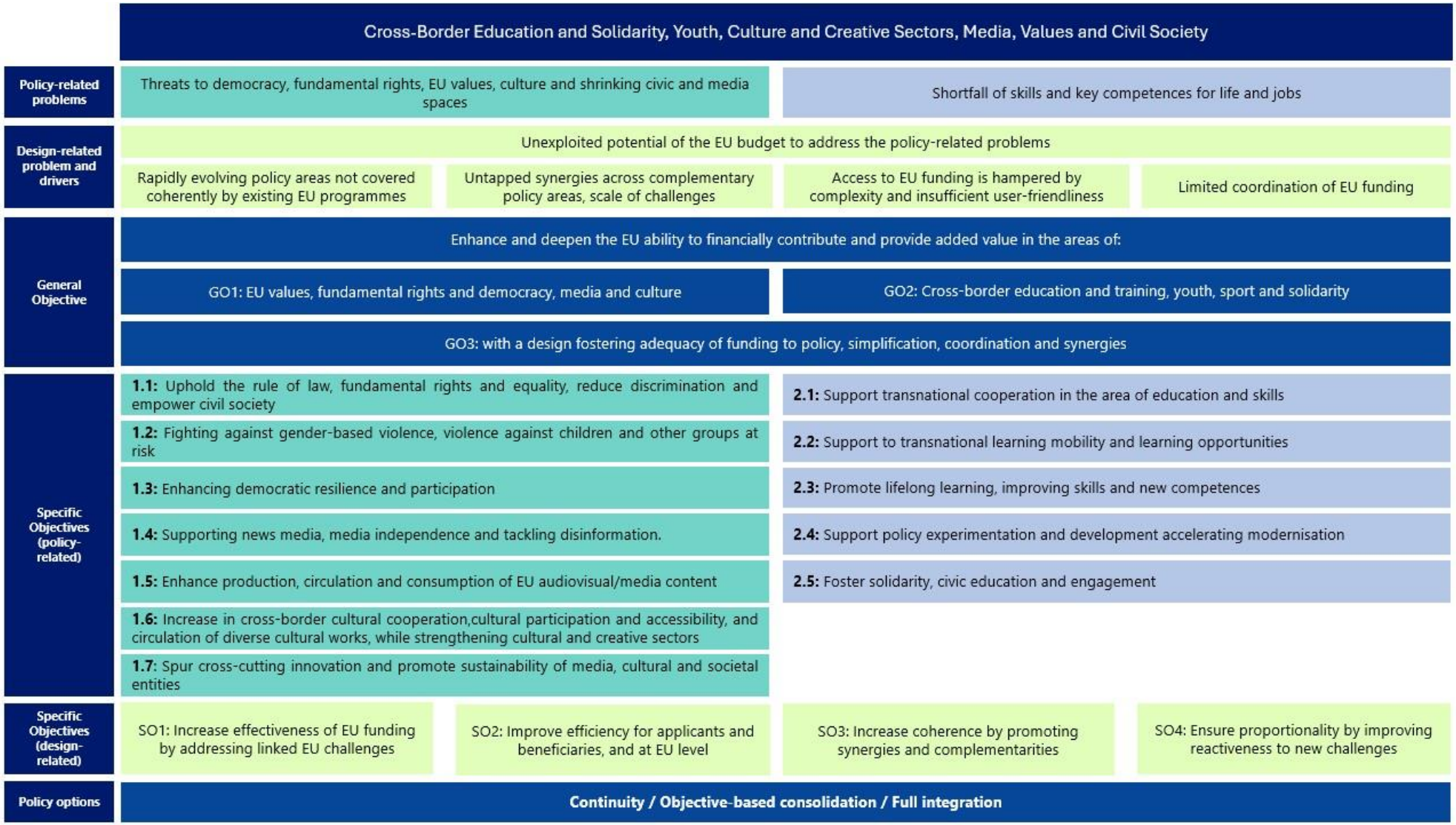
At the same time, the evaluations point to significant **areas of improvement** in terms of **design**. These include expanding the reach of the programmes, easing access, simplifying management, enhancing monitoring, strengthening synergies and avoiding overlaps with other programmes, and increasing flexibility to address new challenges. For instance, the evaluation of Erasmus+ found some **overlap between Erasmus+ Youth Participation activities and Solidarity projects funded under ESC**, both supporting youth-led initiatives run by informal groups of young people.[9] The evaluations therefore offer an important basis to explore the issue of the scope of financing, the justification for EU-level financial intervention and the complementarities with Member States financing, which are the largest source of financing in some policy areas. More information on the results of the evaluations can be found in *Annex 8*.

1.3. Approach taken for the impact assessment

This IA examines current challenges and problem drivers in the policy areas referred above**.** The problem drivers were split **into (a) those relating to policy content and (b) those relating to design of the funding instruments**. The response that future funding EU instruments may offer to address these problems is then articulated in general and specific objectives. In line with the political context for the MFF exercise, policy aspects are considered in the analysis of the problem definition and the objectives, in turn informing the choices on the architecture of future funding programmes for this cluster. An intervention logic is presented below, then analysed through a social-multi-criteria evaluation (SMCE) presented in Chapter 7 and *Annex 4*. SMCE criteria have been set to analyse the priorities of both policy and design of the funding instruments of the cluster.

The IA draws extensively on the results of the **mid-term evaluations of the current programmes and final evaluations of preceding programmes**, the spending review exercises, as well as various existing monitoring reports, studies and research offering sectoral evidence, and latest strategic reports[10]. Finally, the assessment integrates the outcomes of an **Open Public Consultation** (OPC) launched to inform this IA, and as well as of other stakeholder consultations held by the Commission in the context of the different policies. Information complementing this IA is available as endnotes.

Figure 1: Simplified intervention logic



2. PROBLEM DEFINITION

2.1. What are the problems?

As illustrated in the intervention logic above, the EU budget has an unachieved potential to help address the challenges affecting the policy areas in this cluster. The analysis identified three sets of problems affecting the EU financial intervention: two relating to **policy content**, the other to **design and implementation**. A table illustrating the nature and typology of policy-related problems is available in *Annex 9*.

2.1.1. Problem 1: Threats to democracy, fundamental rights and EU values, culture and cultural diversity, and shrinking civic and media spaces

The EU faces challenges to democratic participation[11], cultural diversity, and in the civic[12] and media spheres. The common values of the EU increasingly face challenges – such as from hostility towards the rule of law and democratic institutions, corruption and violations of fundamental rights, impacting on the EU level as well as the national, regional and local levels. These increase obstacles to building a fully integrated area of justice and the uniform application of EU law, essential to ensure fair and efficient legal proceedings and uphold EU values[13]. The traditional role of civil society organisations in counterbalancing these trends is challenged by a weakening of financial and political support. Economic losses due to inequality, discrimination and violence amount to billions annually, highlighting the extent to which values are also a driver of prosperity[14].

The media sector comprises of two main pillars: audiovisual and news media. These sub-sectors display some commonalities but face also different challenges. For example, news media is experiencing decreasing pluralism, as well as declining advertising revenues and sales, as audiences have shifted online, where they are increasingly exposed to disinformation; while European audiovisual content does not travel enough across the Single Market[15] and faces fierce competition from the US. Disruptions to the European media sphere and obstacles to participation in European culture undermine the economic potential of the media and creative industries, as well as weakening connections between Europeans. Technological dependence on non-EU actors hampers innovation in the civic spaces, media, and other cultural and creative sectors.

2.1.2. Problem 2: Shortfall of skills and key competences for life and jobs

Equipping all citizens with the skills and key competences required for a demanding and rapidly evolving labour market and an increasingly diverse, knowledge-based society, is a constant challenge.

Education and training systems in the EU overall fail to provide people with a minimum proficiency in basic and digital skills, and to foster the advanced competencies and soft skills needed, across all stages of life [16]. Based on the 2022 results of the OECD's PISA[17], the EU is lagging behind other OECD countries in basic skills, with a downward trend in mathematics (-18 points), reading (-12) and science (-3.4). The EU also falls short in generating skilled graduates from higher education and vocational education with the highly specialised skills needed in the rapidly evolving technological landscape[18]. There are growing labour and skills shortages across Member States, with nearly four out of five employers reporting difficulties in finding workers with the right skills[19]. Recognition of qualifications, skills and learning periods abroad is far from automatic and often requires

cumbersome procedures both between Member States, and with third countries. This prevents the best possible use of all skills needed in the labour market and of learning opportunities across Europe and beyond[20]. So too do gender gaps, with almost twice as many men than women studying STEM, and major socioeconomic and territorial disparities in the level and the access to quality formal and non-formal education across the EU.

The skills challenge is not only about competitiveness. It is about a healthy, resilient, engaged, inclusive, united and prepared society. Today, close to 18 million young people in the EU are at risk of social exclusion[21] [22]; in 2024, almost half of them reported recent emotional or psychosocial problems[23]. It is crucial to equip individuals with skills and competences for life, enabling them to navigate the complex and rapidly changing world we live in, and take a more active role in society.

2.1.3. Problem 3: Challenges to the design and architecture of the EU financing instruments to address the policy-related problems.

The EU funding architecture is complex. One of the results can be gaps. The 2021-2027 MFF supports many policy areas covered by this IA, but it does not comprehensively address all key emerging priorities set out in the Political Guidelines. For instance, the current funding programmes have struggled to respond to emerging challenges faced by news media, quality journalism and the fight against disinformation, challenges on a dramatically different scale than when the current budget was conceived[24]. In addition, there is high demand for financing at EU level, as shown by the high rate of oversubscription of the current EU programmes in these areas[25].

A second challenge relates to overlaps, untapped synergies and complementarities. Policy areas under this cluster are often addressed from different angles by multiple instruments, with limited coordination. The lack of flexibility, the multiplication of programmes, and the differences in the legal provisions which apply, have effectively prevented synergies among EU programmes.[26] In specific cases, a more coordinated funding approach is needed between European and national funds. In some policy areas (e.g. education and skills), ensuring coordination between direct, indirect, and shared management EU instruments has been a long-lasting issue. While some measures to mitigate these problems were introduced already for the 2021-2027 programming period, the next MFF provides for an opportunity to structurally improve synergies. For example, EU investments in education and skills are delivered through different programmes which lack a coherent strategic framework and operational alignment, hindering the ability of the budget to address cross-cutting and structural skills challenges. Finally, access to EU funding is hampered by a complexity of rules and a limited user-friendliness in funding processes. Applicants to EU funding must navigate different requirements under different programmes. Implementation of EU-funded projects can be burdensome, especially for small organisations with limited resources and capacity.[27]

2.2. What are the problem drivers?

Drivers linked to problem 1 – *Threats to democracy, fundamental rights and EU values, culture, and shrinking civic and media spaces*

2.2.1. Threats to EU values

Deep-seated internal and external pressures lie behind threats to the respect of EU values. These include structural inequalities,[28] the persistence of violence[29] and discrimination[30] on the grounds of sex, racial or ethnic origin, religion or belief, disability, age or sexual

orientation, often shown in racism, anti-gypsyism, antisemitism, or anti-Muslim hatred[31]. Hate speech and hate crime have been steadily on the rise over the past decade[32], exacerbated by the spread of digital tools and social media.

While many actors have a key role to play in protecting EU values, shrinking civic spaces are a key factor in putting EU values at risk. Civil society organisations and human rights defenders find it increasingly difficult to fully participate in decision-making and act independently[33]. Shortcomings identified in the consultation process included a lack of support and compliance mechanisms across the EU, as well as a lack of public awareness of the role of civil society,[34] including in the promotion of equality and inclusion[35].

2.2.2. Challenges to the rule of law and judicial systems

Recent years have seen direct challenges to the rule of law and judicial independence at national level. Corruption has been recognised as a deep-seated problem. There is a growing recognition that such trends at national level also have a direct impact at EU level, making them key drivers of the problem. The impact at EU level is not only an obstacle to building a fully integrated area of justice and the effective delivery of EU policies. It also hinders a strong business environment encouraging investment, innovation and growth[36].

The erosion of judicial independence and challenges to the right to a fair trial are undermining mutual trust among Member States and weaking the effectiveness of our justice systems. Structural weaknesses, such as still predominant paper-based judicial processes, uneven digitalisation, complex and time-consuming procedures, as well as slow communication between authorities, limit cross-border judicial cooperation, and obstruct effective access to justice and the ability to handle threats like cybersecurity. The opportunity to address these issues through cross-border cooperation is constrained by the fact that justice professionals often lack a solid knowledge of EU law and cross-border judicial cooperation procedures and are not sufficiently equipped to embrace the increasing digitalisation of justice[37]. This impedes mutual recognition of judicial decisions and the consistent implementation of cross-border EU instruments and policies.

2.2.3. Obstacles to democratic participation and societal resilience

Citizens' participation and engagement (including turnout), and transparency and accountability in decision-making contribute to the vitality of European democracy. Of particular importance is to promote full and meaningful participation in political and social life and inclusive democratic participation, including of young people, children, women, persons with disabilities, and mobile EU citizens, including at regional and local level.

Public trust in democracy and democratic institutions, the fairness and integrity of elections, and the legitimate concerns and expectations of citizens about their well-being are key challenges for democracy in Europe.[38] Confidence in democracy is under pressure, proactive steps needed to address issues such as a lack of transparency and accountability in political funding and the distortion of the democratic level playing field online. A 2024 Eurobarometer[39] showed that EU citizens saw the largest single threats to democracy as growing distrust and scepticism towards democratic institutions (36%). The integrity of the information space available to citizens is being undermined through foreign information manipulation and interference (FIMI), disinformation, and abusive use of technology. This is reflected in a lack of access to fact-checked information, hate speech, and polarisation, which threaten freedom of expression, artistic freedom, democratic accountability, diversity of views, and free democratic debate.[40]

2.2.4. Pressures on European media and the information landscape

European media companies today compete with giant online platforms for the attention of citizens and consumers. Revenues are increasingly shifting to platforms, which dominate online distribution methods[41].In the audiovisual sector, the circulation of EU content beyond national borders is weak[42]. Europeans continue to watch more content from the US than from other EU countries, as US films capture 70% of the box office, whilst US streamers capture 80% of all subscriptions. Similarly, cross-media intellectual property continues to be an asset which is underexploited by European media[43]. At the same time, unequal access to high-quality and diverse European content, such as films, persists. This limits media's full potential to be socially and culturally relevant for all citizens, particularly for young Europeans.

The effects of disruptions of the media extend beyond issues of viability; they also impact public debate.[44] Media pluralism is threatened across the Union[45]. The growth of online platforms has opened the door to disinformation – which impacts the democratic and social fabric of the EU and erodes public trust in media institutions.[46] It has also intensified the need for digital and media literacy, as well as for tools for accessible digital information.

2.2.5. Obstacles to cultural cooperation and preservation of cultural heritage

The resilience, creativity potential and competitiveness of the cultural and creative sectors (CCS), as well as access to a variety of cultural expressions are key tenets of the Union's cultural and linguistic diversity. Yet fragmentation along national and linguistic lines continues to drive cultural expressions, limiting transnational artistic collaboration, audience reach, and the development of innovative practices. CCS professionals struggle working across borders and accessing new markets[47], which exacerbates geographical imbalances and reduces the circulation of European cultural works. The lack of cross-border mobility and cooperation hinders networking, economies of scale, pooling expertise, and co-creation, all that is crucial for sustaining careers and strong CCS.

Europe's rich cultural heritage, including in digital format, is a shared legacy, but it faces a growing threat from a combination of budgetary constraints, nationalist misappropriation, and deliberate destruction, as seen in Russia's war against Ukraine. Meanwhile, heritage sites face increasing vulnerability to pollution, climate change, and natural disasters, requiring urgent resilience-building and point to a need to accelerate digital preservation as a factor in safeguarding the EU's cultural heritage.

2.2.6. Obstacles to innovation and technological dependencies affecting democratic, societal, cultural and media players

Recent technological innovations, largely driven by non-EU actors, have transformed the democratic, societal, cultural, and media landscapes.[48] Conversely, the financial weakness of European players limits investment in innovative business models, tools, and new content formats. Private investment in culture and media remains relatively low, with venture capital investment significantly trailing behind the US.[49] Similarly, societal impact investments, such as philanthropic funds for long-term societal and democratic returns, are lacking. Innovation uptake is stifled by significant sectoral skills gaps, requiring a mix of creative, business, technical and digital skills.[50]

These structural obstacles are compounded by Europe's technological dependence. Non-EU tech giants increasingly influence the democratic debate, civic space and media landscapes, shaping content consumption through algorithmic recommendations, automated distribution models, and AI-generated content. The growth of online

advertising, which is expected to triple by 2029, indicates the need to leverage (audience) data across all media sectors to adapt to new business models.[51]

Drivers linked to problem 2 – *Shortfall of skills and key competences for life and jobs*

2.2.7. Low and unequal capacity to deliver high quality, innovation, inclusiveness and insufficient cooperation and knowledge sharing

The education and skills gaps are closely tied to the structural weaknesses of the Union's 27 distinct education and training systems, many of which remain insufficiently agile, inclusive or resilient in responding to the digital, green, and demographic transformations. Diverging levels of performance across countries and regions exacerbate social and economic inequalities and limit the EU's ability to retain and develop lifelong talent — a key factor for global competitiveness. European education and training institutions also face deepening challenges in securing and retaining talent. As education remains a national competence, the EU cannot directly reform or finance national systems. But transnational cooperation in education and skills plays a major key role in mitigating these problems – allowing education and training providers to accelerate convergence, share innovation, and improve quality in ways no national system can achieve alone. The potential for EU-level cooperation to drive change is widely recognised[52].

However, barriers to cross-border cooperation, including insufficient funding and lack of organisational capacity, hold back this potential, in particular for smaller organisations, heavily dependent on EU funding as the main funding source for international learning mobility and cooperation for education and training, youth and sport.[53] In addition, many of the key strategic initiatives supported by EU funding – such as the European Universities alliances, Teacher Academies, and Centres of Vocational Excellence – are relatively recent innovations, and have not yet been scaled to a level that delivers systemic impact. As a result, EU-level investment remains below the critical mass needed to support high-quality, future-proof inclusive education systems and achieve shared policy goals.

2.2.8. Obstacles to cross-border learning mobility, including insufficient opportunities for all

Learning mobility is a key component of cross-border education and has proven to be a highly valuable experience for both learners and staff, such as teachers, in gaining knowledge and skills needed for personal, educational, and professional development and employability. It also strengthens the European dimension of education, training, youth, and sport and helps to enhance the quality and inclusiveness of learning offered. Demand for mobility was illustrated through the OPC, with over 88%[54] supporting mobility for Higher Education students and staff, schools and learners, language learning opportunities, and for vocational education and training (VET), as well as for university alliances[55].

The potential for learning mobility is held back in different ways. Opportunities are not equally distributed across Member States, fields and sectors of education, and the scale of national and international schemes supporting learning mobility of learners and staff remains limited.[56] This is not reflective of demand, with heavy oversubscription in Erasmus+ and the ESC (only 1 out of 10 volunteering opportunities requested can be supported). Financial and social constraints prevent higher mobility uptake, disproportionately affecting individuals from less affluent backgrounds, students with disabilities and marginalised groups including Roma, exacerbating inequalities. High living costs, access to affordable and adequate housing, tuition fees, and insufficient scholarships[57] deter many from studying, volunteering, or working abroad.

2.2.9. Barriers to transparency and recognition of qualifications across borders

The barriers driving the inability to make best use of the skills available include diverse national legislations and administrative practices. These make it difficult to work in another country, set up joint programmes and to award joint degrees, especially those with embedded learning mobility components. This limits opportunities for the free movement of workers and for more innovative educational offerings, factors that also attract talent from third countries and support Europe's competitiveness.

Obstacles exist also to non-formal and informal learning. The very nature of "soft skills", which are less tangible and harder to measure than "hard skills", makes it more difficult to gauge and quantify non-formal learning outcomes. This also discourages learning mobility, resulting in wasted talent and resources, as individuals may not be able to provide evidence of their competences, may have to repeat courses to meet local requirements or navigate cumbersome recognition procedures.[58]

2.2.10. Unexploited potential of lifelong learning, including non-formal and informal

Once people complete their formal education, most will spend up to four decades in the labour market. There is huge potential to meet the EU's skills needs through up- and reskilling throughout adults' working lives, yet too few adults still take part in training each year, far below the EU headline target for 2030[59]. The reasons for this shortfall include limited access to upskilling programmes, a lack of awareness of lifelong learning, of time or of financial resources, low level of basic skills and insufficient support for effective reskilling initiatives – including appropriate incentives for companies.

Non-formal and informal learning, volunteering and sport are complementary to formal education and crucial for the development of skills and attitudes for jobs and life. However, the offer and quality of youth work differ considerably across countries.[60] In addition, transnational cooperation in these fields is held back by a lack of networking and peer learning opportunities. Sport is also currently insufficiently exploited in formal education.

2.2.11. Obstacles to societal engagement, civic education and solidarity

Young people participate less in institutional politics than other age groups and less than many young people in the past[61]. Young people, as with other citizens, can be confronted with obstacles in their participation in democracy, such as insufficient knowledge of their democratic rights, difficult access to information and limited involvement in decision-making processes. Citizenship education on the EU and its values remains uneven[62]. This can be seen as driven by limited opportunities for civic engagement, solidarity, and cultural and sports participation. This limits social capital development, particularly among young people, preventing them from becoming empowered, active citizens, and fosters a culture of preparedness and resilience.[63]

Drivers linked to problem 3 – *Challenges to the design and architecture of the EU financing instruments to address the policy-related problems*

2.2.12. Rapidly evolving policy areas not covered coherently by existing EU programmes

Rapidly evolving policy areas and the emerging priorities outlined in the 2024-2029 Political Guidelines are increasingly outpacing the possibilities offered by existing EU programmes. In some cases, actions are constrained by incompatible provision in the legal basis and by pre-allocated funding which falls short of changing needs, needs which cannot be efficiently managed by transferring funding between different programmes[64]. One consequence of this has been a multiplication of actions often implemented through annual

EU Pilot Projects and Preparatory Actions (PPPA), lacking stable financing and systemic planning. The implications of the structure of current instruments are confirmed by the results of the OPC: approximately two thirds of respondents signalled that the "*lack of flexibility of the EU budget to adapt to new and unforeseen developments*" is an obstacle preventing the budget to fully delivering on its objectives.

2.2.13. Untapped synergies in EU funding across complementary policy areas.

Priorities under this cluster are currently addressed from different perspectives by several EU instruments – sometimes also through instruments beyond this cluster[65]. While some progress was made during the current MFF, synergies and complementarities have not been fully exploited. The current interplay between instruments does not help to offer an effective response to key evolving issues (such as the fight against disinformation). This is also reflected in the limited coordination among the national contact points for some of the instruments covered by this cluster and the implementation mechanisms of other clusters. There is also insufficient coordination with bodies managing programmes at national level. Lack of upstream coordination in the implementation, and differing management provisions all play a part. The result is a difficulty to implement joint actions which might bring about increased impacts, or cross-cutting, innovative actions that do not fit into the scope of a single programme.

Similar issues have also increased the risk of potential duplications, as funding is spread over several programmes, budget lines and actions. Areas risking overlap as a result include media literacy or youth non-formal activities[66], currently covered by several programmes. Insufficient coordination between EU and national funding has also hampered the ability to optimally address policy areas implemented through multi-layered financing. This was also highlighted in the OPC where aspects such as "*lack of consistency and effectiveness to deliver on EU policy priorities*" (52%) and "*too many programmes with overlapping policy areas*" (53%) were singled out by respondents as obstacles preventing the EU budget from delivering on its objectives[67].

2.2.14. Limited coordination of EU funding and complementarities with other EU interventions.

Coordination within and across programmes is hampered by a lack of common operational frameworks - with aligned criteria, funding rules, and implementing tools (e.g. work programmes[68], consistent third country participation, monitoring and reporting indicators). Different programme committee structures, each governed by their own rules and procedures, adds to the complications of coordination[69]. For cross-border education and skills, fragmented EU support limits impact, coordination, and scalability. This hinders the ability to address cross-cutting and structural skills challenges, to scale up effective action across instruments, or to align EU funding with national reforms and private investment.

While the EACEA and National Agencies efficiently implement several programmes or large chunks of programmes covered by this cluster[70], obstacles are created by a lack of integrated monitoring, as well as robust approaches to data collection and analysis[71] between direct and indirect management. This is particularly important considering that programmes under this cluster often involve the disbursement of small grants to many different beneficiaries. In addition, though blended instruments, which coordinate and combine funding from different EU instruments[72] within an EU policy framework with agreed objectives, have proved their value in mobilising private and public investment, their potential has been very rarely exploited in many of the policy areas in this cluster.

2.2.15. Access to EU funding hampered by complexity and insufficient user-friendliness

Policy areas and funding covered in this cluster target multiple small scale and grassroot actors (e.g. local schools, youth organisations, small and medium-sized enterprises, small municipalities, and civil society organisations). These actors often have limited capacity to apply for, implement and manage EU funds and this has been an obstacle to best use of the funds. For example, they have more difficulties to effectively use corporate tools, which do not consider their specificities and lower size of grants. Efforts to improve user-friendliness and accessibility and to reduced administrative burden for beneficiaries through novelties under existing funding instruments[73] need to be increased.

Both the evaluations and the OPC[74] confirm significant obstacles. Application processes and reporting procedures are not always proportionate to the level of grant and capacity of smaller beneficiaries. In some cases, insufficient information (e.g. learning mobility opportunities) hinders participation and uptake[75]. Under some of the programmes covered by this IA, many calls are still launched annually, increasing the administrative burden. Real costs are still used in the implementation of programmes, as opposed to more user-friendly methods of financing not linked to cost. This is confirmed by the OPC[76].

2.3. How likely are the problems to persist?

The policy-related problem drivers described above have been compared to the megatrends identified by the Commission's Competence Centre on Foresight[77]. These trends are long-term global driving forces that are most likely to continue to have a significant influence in coming decades. The identified problem drivers were found especially congruent with seven megatrends: (a) accelerating technological change and hyperconnectivity; (b) changing nature of work, requiring constant reskilling and upskilling; (c) changing security paradigm, with hybrid threats, such as foreign information manipulation and interference (FIMI); (d) diversification of education, training and learning, outside formal systems; (e) widening inequalities; (f) growing consumption, influenced by algorithms; (g) increasing influence of new governing system (Annex *9* includes a table linking the problem drivers and megatrends).

Consequently, there is a strong likelihood that the problem drivers outlined in section 2.2 will persist and even intensify without EU support[78]. The evolving nature of these challenges will also increase pressure on the design and impact of EU funding, as some of them, such as the disruption of the information space, are insufficiently covered by the current generation of instruments. This pressure will manifest also in new needs and priorities, shifting synergies and complementarities, growing complexities, and increased need for higher flexibility.

3. WHY SHOULD THE EU ACT?

The policy areas covered by this IA are firmly anchored in the EU Treaties, which provide the legal bases for EU action through financial interventions and reflect the Union's core values, long-term objectives, and political and legal commitment in these areas.

3.1. Subsidiarity: Necessity of EU action

The EU budget in these areas is crucial to the foundations of the EU. The EU cannot rely solely on national funding to protect EU values, including fundamental rights, the rule of law, equality and non-discrimination, democratic participation, media, culture, education and skills. Many European citizens, especially young people, believe that safeguarding

these policy areas cannot be left to Member States alone[79]. EU level action helps to drive progress across all Member States. It is particularly necessary to: (1) address transnational and common challenges; (2) achieve systemic impact by filling gaps and ensuring a European approach; and (3) enhance coherence between internal and external policies.

3.1.1. To address transnational and common challenges

Several of the problem drivers mentioned in Chapter 2 are common to all Member States and/or have a clear transnational dimension. National-level action alone would be less efficient and impactful than EU level efforts, which enable cooperation, capacity building, mutual learning and the pooling of resources, sharing of expertise and best practices. Whilst financial intervention is not the only way in which the EU can act in these areas, it often plays a decisive role in the policy response mix.

First, the problem of skills[80] has a Union-wide dimension. Member States face similar challenges and struggle individually to make their education and training systems fit to meet contemporary and future educational and skills needs. PISA 2022 results are worrying for all EU countries[81]. Major digital gaps persist in education systems across the EU[82] while rapid technological advancement, such as generative AI, tests their ability to keep up with the necessary digital skills and literacy. While the bulk of funding will come from national budgets, EU-supported transnational cooperation mechanisms and capacity building are crucial to provide joint impactful approaches and leverage/scale up innovative solutions to help education, training, youth and sport sectors address skills gaps and improve performance and inclusiveness. Funding can strengthen the cross-border dimension to build networks and trust among the education and training systems, increase the transparency and recognition of skills and qualifications across borders, as well as the circulation of staff, learners and workers in Europe.

Second, Member States have differing capacities to counter global phenomena such as online hate speech, cyberviolence, data protection issues, threats against the information space and risks associated with the use of generative AI – all of which affect EU values, citizens' fundamental rights and economic development of media and culture. The growing complexity of digital environments, disparities in digital skills, and inconsistent application of data protection rules across the EU[83] underscore the need for unified EU action to ensure rights are effectively protected and to reinforce the EU's global standard-setting role. Financial support can galvanise the raising of skills and capabilities to levels which are both higher and more consistent[84].

Third, EU agencies and bodies such as Eurojust and the European Public Prosecutor's Office, and EU judicial cooperation tools, play a pivotal role in supporting cooperation among national authorities, enabling information exchange of critical information, joint operations, and consistent application of justice standards. EU financial interventions for training and capacity-building can have a decisive impact on raising standards[85].

Fourth, EU action in the field of culture is also key to supporting transnational cooperation, cross-country circulation of cultural works, (co)creation, networking, capacity-building and cultural diversity, as well as the social, economic and international dimension of the CCS. Financial interventions are indispensable to addressing common challenges, such as digital innovation, sustainability, artistic freedom and equal access to a diversity of cultural content, with EU action bringing results often beyond the reach of national schemes.

Finally, in the audiovisual sector, EU action to facilitate collaboration and pooling of resources and know-how can more effectively address common challenges, stemming from fierce international competition and disruptions by global players. EU funding for

news media sector is crucial as individual Member States cannot - or in some cases will not - address the risks on their own. EU funding can more effectively provide a common response and promote a trustworthy debate, including by tackling disinformation. Recent shocks to the financial and political support for civil society and news media across Europe further highlight the value of EU-level financial support.

3.1.2. To achieve systemic impact by filling gaps

Actions at EU level can address challenges that are not prioritised by Member States. EU action on values, fundamental rights and equality can offset political pressure on the civic space, protecting EU values and democracy at EU as well as national level, and slower progress towards equality. The mid-term evaluation of the CERV programme showed that for many CSOs, the programme is the only substantial source of funding. Without EU direct support, CSOs' activities would end precisely where they are most needed, where EU values are under threat[86]. Specific needs such as those of victims of domestic violence do not find sufficient national funding. EU funding can also offer services at EU level which would simply not be viable on a national scale in all Member States, such as children's helplines or victim support hotlines[87].

As private and philanthropic investment in media, including audiovisual, in the EU is limited, such support contributes to fill the funding gap.

Most beneficiaries under the Justice programme believe they could not secure alternative funding in the absence of such a programme[88]. The EU is best placed to foster cross-border opportunities for justice professionals to connect, develop and contribute to a shared European legal culture. This is particularly true for EU-wide legal networks, where the absence of EU funding would end collaboration between these networks[89].

EU funding also creates EU added value by supporting transnational cooperation in testing and transfer of innovative practices in education, training, youth, and sport. EU funding offers the economies of scale needed to provide a laboratory for deeper sectoral transformation, as seen with the European Universities Alliances and Centres of Vocational Excellence or the European degree.

Finally, learning mobility is far more complex to organise on a bilateral basis and Member States alone cannot make it accessible to all. EU action is necessary to compensate for the lack of transnational learning mobility opportunities, remove obstacles and break silos. This creates the foundation for a deeper and more regular cooperation than would be possible without the intervention of the EU level, whether for pupils, students (including VET students), young people and volunteers, also delivering a positive impact on local communities in the country of destination (e.g. for volunteers). The EU has also an added value through European transparency tools (Europass) and the organisation of cooperation to facilitate the free movement of people for learning and working in another Member State. EU action also fosters excellence and innovation and enhances the capacity of education and training systems to attract and retain talents based on equal opportunities[90].

3.1.3. To enhance coherence between internal and external policies

EU action is critical to promote EU values at international level, implementing international standards coherently with internal policies. For instance, the Commission serves as the focal point for implementing the United Nations Convention on the Rights of Persons with Disabilities[91]. In this role, it must report to the UN Committee on the Rights of Persons with Disabilities while EU funding can be used as a leverage to promote shared strategic interests and maintain the EU's role as a global standard setter, particularly in areas like data protection and rights.

The participation of candidate and potential candidate countries in EU funded programmes alongside Member States, including funding for capacity building, has accelerated regulatory reforms (e.g. justice and education reforms) and a faster alignment with the EU acquis (e.g. audiovisual[92]). EU action in the field of culture contributes to building trust and forging long-term partnerships with the EU's neighbours and partners. EU funding can play an important part in opening the door to a strong EU role in promoting European interests in education, youth, and sport, at international level.

3.2. Subsidiarity: Added value of EU action

The added value of EU action, in line with the principle of subsidiarity, is reflected in different areas. Notwithstanding the significance of the problems, the relevance of policy areas addressed under this cluster, and the positive results of the evaluations, the added value and impact needs to be taken forward in the context of available budgetary resources.

3.2.1. Nurturing a sense of EU citizenship, solidarity and belonging

EU actions nurture a sense of EU citizenship and mutual understanding, through the promotion of EU values, supporting democratic and societal resilience, and a trustworthy information space, objectives that national interventions alone cannot fully achieve. This includes cross-border EU support for transnational civil society networks, for learning and volunteering mobility activities[93], including those starting from a younger age, as well as for awareness raising initiatives that engage citizens in democratic life and broaden access to diverse media and cultural expressions while highlighting our shared heritage. These actions also bring Europe closer to its people. Different EU actions help build a shared European identity and enhance citizens' sense of belonging to the EU.[94]

3.2.2. Ensuring high standards across the EU

EU action ensures uniformly high standards across the EU and consistent interpretation and application of EU law across Member States. This is essential for the proper functioning of the internal market and for effectively protecting EU citizens' rights. EU steering is essential to ensure the implementation of EU policies by Member States, promote good practices, address issues and gaps in national approaches and frameworks and engage all relevant stakeholders.

The interplay between financial interventions and policy tools is critical to ensuring this impact. In the field of justice, the EU is best placed to ensure that justice systems operate in a harmonised manner across the EU. For instance, supporting EU judicial training has a clear added value as it fosters a coherent understanding and application of EU law and the delivery of key tools like the European Arrest Warrant. In the media sector, the EU has promoted and funded the development of journalistic standards to complement the regulatory obligations of EMFA, which also establishes an EU-funded European Board for Media Services. In the field of education and training, youth and solidarity, financial support complements EU-wide instruments to ensure quality and recognition through the development of common standards, tools and procedures, such as the accreditation of volunteering structures and the development of tools for recognising qualifications. Similarly, the EU plays a fundamental role in supporting the development of standards and their technical implementation for accessibility.

3.2.3. Supporting and reinforcing the Single Market and improving fair access across the EU

With sector-specific Single Market legislation in place[95], EU action ensures that audiovisual and media companies and creators can fully benefit from the Single Market and contribute to cultural diversity and inclusion. Fragmentation in the media sector is exacerbated by a lack of coordination between Member States and the EU[96]. EU funding helps overcome this by encouraging cooperation and pooling of EU and national resources for larger scale audiovisual and media projects, thus improving access for more EU citizens and enhancing the competitiveness of the European industry.

EU-level action plays a key role in promoting the recognition of skills and qualifications across the EU by financial support to a common toolbox supporting transparency, the simplification of recognition procedures for qualifications, the validation of skills acquired through non-formal learning, and quality assurance. It supports the development of European education, through trans-national cooperation, and through the development of European degrees. It also promotes mobility and cross-border exchanges from an early age. These efforts collectively contribute to greater circulation of people, including for employment, ultimately benefiting the Single Market. Additionally, EU-level action is also essential to the functioning of the internal market for accessible products and services.

Finally, as explained earlier, the Justice programme brings significant added value by supporting a harmonised justice framework which enables enabling smoother cross-border business operations and investments.

3.2.4. Added value through better delivery

EU initiatives can also offer added value through the very nature of larger, cross-border financial interventions. This is the basis justifying much of the EU budget, and it applies particularly strongly in financial interventions where cross-border action is the core objective of the action. Cooperation between universities or judicial training institutions can naturally be provided more efficiently and consistently within a single cross-border frame than through multiple bilateral or plurilateral arrangements. Audiovisual organisations and cultural bodies in different Member States can pool resources and reach economies of scale if they can work within a common frame. This added value can be felt in terms of developing wider projects addressing a policy goal (instead of separate smaller projects under different programmes), reducing the burden on applicants and number of staff and the resources required to manage programmes, as well as the reduced administrative burden of dealing with a single way of working.

4. OBJECTIVES: WHAT IS TO BE ACHIEVED?

4.1. General objectives

The objectives below aim to address the main problems and drivers identified in Chapter 2. Tables outlining these logical links are shown in *Annex 10*.

General objective 1: Enhance and deepen the EU ability to financially contribute, provide added value and promote fundamental rights and EU values, democracy, media and culture

The EU financial intervention must contribute to address the threats against EU values, fundamental rights and democracy, media and culture, thus enhancing a free, democratic, cohesive, inclusive and competitive Europe based on the rule of law. The Union will therefore protect, promote and fulfil fundamental rights and EU values, and a thriving civic

space; support a free, viable, competitive, and pluralistic media and audiovisual space; safeguard and protect cultural and linguistic diversity and heritage.

General objective 2: Enhance and deepen the EU ability to financially contribute, support and provide added value to cross-border education and training, youth, sport and solidarity, contributing to skills for life and jobs

The EU financial intervention must also contribute to address the shortfalls of skills and key competences for life and jobs, thus contributing to a resilient, competitive, cohesive and united Europe and a European identity. The Union will foster high quality lifelong learning, enhance skills and key competences for all, in line with a swiftly changing society and labour market needs, while promoting societal engagement and civic education, solidarity and social inclusion.

General Objective 3: Enhance and deepen the EU ability to financially contribute and provide added value in these policies with a design fostering adequacy of funding to policy, simplification, coordination and synergies

The EU intervention must better reflect and protect policy objectives. It must be designed and implemented to effectively support policy delivery, including through a feedback loop from results to policy making, and greater cooperation among all relevant stakeholders. It should be flexible enough to cater for new emerging needs and evolving priorities. EU instruments should build up mechanisms to foster synergies within and across policy areas, to make the EU intervention more impactful, achieve economies of scale and streamline the management of the different programmes. Finally, it must be user friendly and offer visible, simplified and easily accessible opportunities.

4.2. Specific objectives

4.2.1. Specific objectives linked to general objective 1

Specific objective 1.1: Contribute to upholding the rule of law, fundamental rights and equality, reduce discrimination and empower civil society

EU financial intervention will (1) raise awareness and build capacity of relevant actors[97] for the effective application of the EU Charter of Fundamental Rights; (2) promote the rule of law and combat corruption; (3) promote equality, and support prevent and fight against discrimination[98], including through training, education, awareness raising, mutual learning, and exchanges of good practices and capacity building; (4) support actions to promote and protect women's rights and gender equality (e.g. improving work-life balance, reducing gender gaps, combating stereotypes, and gender mainstreaming); (5) support actions to promote accessibility and the rights of persons with disabilities to an independent life, to participation in the community, including fighting stigma and violence; (6) support actions to combat all forms of intolerance[99]; (7) raise awareness on the benefits of diversity and inclusion; (8) promote and protect the rights of the child, including their right to meaningfully participate ; (9) in synergy with objective 1.4, support actions to combat hate speech and hate crime and promote freedom of expression, including by increasing knowledge of EU and national legislation, improving reporting and recording mechanisms, empowering victims and witnesses and enhancing resilience of civil society organisations; (10) support actions to protect and promote rights and values in the digital space, including data protection; (11) nurture a vibrant civic space by building the capacity, empower and fund the activities of civil society organisations at all levels, and human rights defenders ; and (12) reinforce the protection of whistleblowers, including through better implementation of EU legislation.

Specific objective 1.2: Contribute to fighting against gender-based violence, violence against children and other groups at risk

The EU financial intervention will contribute to (1) support good practice exchanges among stakeholders, build the capacity of stakeholders and relevant professionals to address issues related to gender-based violence, and strengthen integrated child protection systems and the deinstitutionalisation of child care and care systems for persons with disabilities; (2) support actions for the protection of and support for victims and survivors of violence, including by increasing knowledge about victims' rights, improving data collection and protection and support standards for victims; (3) strengthen a multidisciplinary and multi-actor approach to prevent and combat violence; and (4) support the EU implementation of the Council of Europe Convention on preventing and combating violence against women and domestic violence and the UN Convention on the rights of persons with disabilities.

Specific objective 1.3: Contribute to enhancing democratic resilience and participation.

The EU financial intervention will contribute to (1) promote all citizens' participation and engagement in democracy, through elections (including electoral turnout), democratic debates and engagement in public policy making; (2) promote and protect Union citizenship rights, including by raising awareness of the value and benefits deriving from those rights; (3) support to free, fair, resilient, accessible and inclusive electoral processes and democratic check and balances, processes and frameworks (including by supporting independent elections observers) as well as by addressing foreign information manipulation and interference; (4) raise awareness, facilitate exchanges and engagement in democratic processes, and build citizens' knowledge in view to better understand the Union, its history, cultural diversity, and European remembrance; and (5) strengthening of situational awareness and preparedness across societies, in synergy with the objective below (on the protection of the integrity of the media and information space).

Specific objective 1.4: Contribute to supporting news media, media independence and tackling disinformation.

The EU financial intervention will strive to enhance a viable and diverse information ecosystem in the EU. It will promote, on the one side, free, independent and viable media; and on the other, contribute to fighting disinformation. It will enhance the availability and consumption of professionally produced news media content, including on EU affairs and in peripheral areas, addressing the fact that 25% of citizens currently believe that news are divisive, harmful or spread lies[100]. It will protect media and journalists, address risks to market plurality, financial viability and increasing political interference, and contribute to the implementation of the media freedom regulatory rulebook.[101] As regards disinformation, it will enhance an independent monitoring of the information ecosystem and role of entities detecting and analysing disinformation, including fact-checking. It will promote digital and media literacy, to empower EU citizens to make well-informed choices. Promoting media independence and media pluralism and fighting disinformation were signalled as an important policy objective by 83.1% of OPC respondents.

Specific objective 1.5: Enhance production,[102] circulation, and consumption of EU audiovisual/media content.

The current EU support to the audiovisual industry has successfully contributed to the sectors' competitiveness and cultural diversity. Building on this, a renewed financing intervention will enhance the societal, economic and cultural relevance of media and

audiovisual content. Citizens' access to high quality European media and audiovisual content (films, TV series, documentaries) will be fostered to promote a sense of mutual understanding whilst strengthening the competitiveness of the industry. The potential of such content to appeal to wider audiences across borders will be enhanced by fostering European collaborations, notably cross-border productions, distribution and promotion. Efforts will be renewed to increase cross-border circulation of EU audiovisual, and media works as well as to reach isolated communities in media and cinema "deserts". Actions will be updated to respond to market trends, notably the increasing shift of audiences online. The participation of all Member States will be broadened through increased collaborations between countries with different audiovisual capabilities. Support will promote crossovers among media content sectors, transmedia IP development and exploitation to foster audience engagement in Europe and beyond.[103] It will also support the development, marketing and promotion of videogames and interactive content, which are particularly popular among young audiences.[104]

Specific objective 1.6: Increase in cross-border cultural cooperation, cultural participation and accessibility, and circulation of diverse cultural works, while strengthening cultural and creative sectors.

A renewed financing intervention will keep a strong focus on cooperation to promote cultural diversity, circulation and mobility, to test innovative solutions, scale up good practices and accelerate the development curve in the CCS, while giving local/national initiatives a European dimension/perspective. Through cooperation, the financing intervention would help address pressing common needs, in particular the needs to continue supporting cultural and artistic creation in full respect of artistic freedom, to promote inclusiveness and intergenerational fairness through culture, to help the CCS be more resilient and competitive and benefit from the dual transition, and to promote the use of new (for example digital) tools, including protecting cultural heritage. The financing intervention would also contribute to building trust and forging long-term partnerships with the EU's neighbours and partners. Finally, there would be a focus on participation and access of all, especially the younger generation, to a diversity of cultural and creative contents, in particular those coming from beyond national or linguistic borders as well as to all forms of cultural heritage, be it tangible, intangible or, more and more often, also in digital format.[105]

Specific objective 1.7: Spur cross-cutting innovation and promote sustainability of media, cultural and societal entities.

Media and CCS are well positioned to spearhead innovation in Europe's economy and society, as they blend creativity and design with digital tools, accessible solutions and new business models. However, innovation in media and CCS is underfinanced and mainly relies on non-European technologies and foreign private investments[106]. Innovation can help tackle the problem of media viability, with media organizations turning to alternative income sources (e.g. event organisation, e-commerce)[107]: for example, the '*promotion of trustworthy AI that respects EU values*' was mentioned as an '*important*' policy objective by 73% of OPC respondents[108]. Furthermore, the current intervention has shown the value of blended instruments combining funds from different programmes in attracting private funding in nascent markets and should be expanded in the future. Finally, there is a need to enhance professionals' skillset to adapt to the emerging media, cultural and societal needs.

4.2.2. Specific objectives linked to general objective 2

Specific Objective 2.1: Support transnational cooperation around education and skills

The EU action will support cross-border cooperation, allowing for pooling of expertise, exchange of good practices, networking, peer learning and capacity-building of education and training, youth, sport and volunteering organisations. EU investments will also cover systematic, large-scale institutional cooperation (through support for example to European University Alliances or Centres of Vocational Excellence), to promote innovation in curriculum design, joint degrees, partnerships with businesses, recognition of qualifications and validation of skills, as well as and research across borders. This will build on a more integrated Education Area and contribute to the creation of the Union of Skills.

Actions to foster the development of high quality and state-of-the-art teaching and training practices as well as youth work methods will be supported. They will aim to enhance inclusion, digitalisation, innovation and excellence in education and training, youth and sport and lead to improvements of performance and modernisation of the overall functioning of the institutions and organisations thus increasing their capacity to develop the skills and competences needed for jobs and life. It will also aim to attract and retain top talent and securing and keeping high-quality educators and staff crucial to enhance academic reputation and drive institutional success.

Specific Objective 2.2: Support to transnational learning mobility and learning opportunities.

The goal is to make learning mobility a reality for all, as early as possible, ensuring that opportunities are accessible across all sectors of education and training, youth, and sport.[109] EU action will help address the current obstacles and support cross border learning mobility for all learners and staff, providing as well sufficient funding and support measures to promote diversity and ensure equal access for individuals regardless of their gender, cultural, social, economic, or geographical background, or any special needs they may have.

By supporting learning mobility for all, and exposing learners from an earlier age, allowing them to develop key competences, language skills, and adaptability, those EU actions contribute to build skilled, engaged, united and prepared individuals. Through active involvement in cross-border learning mobility opportunities, organisations increase their capacity as well to operate at international level, improve ways of operating and integrate good practices enhancing their overall performance. In addition, transnational mobility for workers will be facilitated by supporting the transparency and recognition of skills and qualifications across borders.

Specific Objective 2.3: Promote lifelong learning, improving skills and new competences.

EU action will promote lifelong learning enabling individuals to gain invaluable skills and competences across their life span, through formal education but also upskilling and reskilling opportunities, non-formal and informal learning experiences, sport or engagement in volunteering.

EU action will aim to contribute to build a skilled and competitive workforce through supporting the acquisition of the whole spectrum of skills (including digital and STEM skills) from basic to highly specialised skills for all - from learners to staff, at all levels of formal, non-formal and informal education and training. It will also aim to support the

development of the transversal skills (such as critical thinking, civic skills, socio-emotional skills) enabling full and meaningful participation in society and making citizens more resilient, thus enhancing social cohesion and contributing to the Union's preparedness efforts. Strengthening and orchestrating funding to cover all the skills acquisition spectrum in a lifelong learning perspective would increase reach and achieve critical mass, enabling more systemic impact.

Specific Objective 2.4: Support policy experimentation and development accelerating modernisation.

EU action will aim to facilitate and accelerate reforms of education systems (early childhood education and care, primary, secondary, higher education, VET) as well as support the development of national policy initiatives in the field of youth and sport, in line with the EU policy agenda. Such EU action would take the form of testing innovative solutions, scaling-up of successful initiatives and practices, evidence and knowledge gathering about education, training, youth and sport systems and policies and policy dialogues.

Specific Objective 2.5: Foster solidarity, civic education and engagement

EU action will aim to empower and support all young people to acquire relevant knowledge and skills to become active and engaged citizens and Europeans. It will also promote solidarity, intergenerational fairness and common values, and contribute to reduce social divergences, advancing social inclusion and cohesion. EU action will also address physical and mental health challenges, particularly of young people, and contribute to building citizens' resilience, in line with the preparedness strategy. To this end, EU support will also enhance opportunities for exposure to transnational solidarity from an earlier age.

EU action will support opportunities to engage in non-formal and informal learning opportunities, volunteering activities, youth participation, and promote healthy lifestyles through sport. Additionally, EU action will build capacity of those who work with young people and organisations that represent their interest, contributing, and include all young people's voices in EU policymaking. Civic and education will be supported, including for media literacy in schools Capacity for meaningful participation and civic engagement in EU and cross-border affairs among young people and among all organisations that represent their interest should contribute to young people's voices becoming more central in EU policymaking.

4.2.3. Specific objectives linked to general objective 3

Specific Objective 3.1: Increase effectiveness of EU funding by addressing linked EU challenges, improving cooperation, and fostering coordination of the main policy areas

There is a need for a policy-based EU intervention aligning political priorities and funding support, taking as a basis the political guidelines of the new Commission. This will mean, for instance, setting objectives aligned with EU priorities, which may change over time. Prioritising projects with high added value that contribute to the EU strategic priorities was mentioned by 73% of OPC respondents[110] as something that could help the EU budget become more effective and efficient.

The design of the programmes and the approach to funding should steer cooperation between EC services and agencies, as well as between institutions and organisation within EU member states, where relevant. Performance indicators should help track outcomes beyond actual expenditure or participation levels and monitor horizontal policy goals.

"Feedback to policy" mechanisms, addressing monitoring challenges identified in the mid-term evaluations, should be strengthened to make sure that the result of the EU intervention inform policy making. Given the increased focus on policy monitoring, resources may need to be reallocated through efficiency savings on project selection and execution.[111] Similarly, blending financial instruments which have proved their value in one policy area, will also be expanded to other relevant policy fields, ensuring economies of scale and reducing overheads.

Specific Objective 3.2: Improve efficiency for applicants and beneficiaries, and at EU level

The future programmes should streamline EU management, governance and implementation of EU programmes to improve efficiency for applicants, beneficiaries and EU institutions. Application and reporting procedures should be simplified and further harmonised, through the introduction of common or aligned rules, making it easier for applicants to apply to calls addressing complementary policy objectives. The application, management and reporting should be less complex and entail fewer administrative burdens.

To simplify implementation and reduce administrative burden for beneficiaries, the use of simplified forms of funding (including financing not linked to costs and lump sums) should become the standard form of contribution for reimbursing grants. The use of financial support to third parties, which has proven efficient in making EU funding more accessible to small organisations, should also continue and could be extended where appropriate. Moreover, increasing the use of multi-annual grants would also have a positive impact.

Obstacles encountered by grassroots organisations and first-time applicants should be addressed through targeted simplification measures addressing their circumstances, enhanced communication, and promotion of funding opportunities. Pooling of resources, including in areas such as monitoring, internal and external communication could bring economies of scale and enhance the predictability of EU funding more widely among beneficiaries, stakeholders and EU citizens.

Specific Objective 3.3: Increase coherence by promoting synergies and complementarities

Maximising policy impact requires moving from fragmented implementation to coherent, complementary, and coordinated funding. Fewer programmes would facilitate coordination and consistency, thereby helping to reduce existing overlaps and gaps and increasing synergies and complementarities within this cluster and with other clusters. This would also maximise synergies with national,regional and local levels, by providing overall direction and strategy across various policy areas. It should also help better coordinate with and leverage national, regional, local, private and institutional financing – thereby strengthening complementarities in relevant policy areas.

Programming should ensure synergies through cross-cutting actions and integrated calls that span multiple policy domains, currently covered by different programmes in this cluster. The design of the programmes should allow to re-channel funds between areas within a programme and reduce overlaps between funding actions. For instance, actions could be launched to combine news media funding with supporting the role of civic society organisations (CSOs) active in the civic and media spheres.

Building bridges between the different funding instruments at EU, national,regional and local levels will be important. This will be particularly beneficial for enhancing inclusion, scaling up projects, ensuring sustainability and a sense of ownership of results, supporting

different dimensions of activities and removing silos between specific fields, e.g. such as education, research and innovation. Similarly, strengthened provisions to ensure easy transfer of funds between the different EU instruments and timely and appropriate coordination will enable to increase effectiveness of EU interventions and better address policy priorities.

Specific Objective 3.4: Ensure proportionality by improving reactiveness to new challenges and minimising risks

Greater flexibility should be built-in to be able to respond quickly to new emerging challenges and priorities, through easily adaptable funding instruments or rapid response mechanisms[112]. Achieving operational excellence in programme management will require harmonising programme arrangements, based on annual and multiannual work programmes, streamlining evaluation procedures, and leveraging IT tools. Increasing the flexibility of funding instruments to re-allocate funding can also help to improve their reactiveness to new challenges. At the same time, it is crucial to ensure that policy goals are not diluted.

5. WHAT ARE THE AVAILABLE POLICY OPTIONS?

5.1. What is the baseline from which options are assessed?

In a baseline "continuity" scenario, the current programmes would continue to exist. They would continue providing added value on their respective areas of intervention, as evidenced by the respective evaluations. However, the same evaluations highlight the needs for the Union to further enhance and improve its action. For instance, the existing programmes have a limited scope in addressing emerging challenges such as those linked to threats to media freedom, pluralism, and to addressing disinformation; face funding gaps in areas such as gender equality[113]; or need to further address accessibility challenges, continuing to expand their reach to participants with fewer opportunities[114]. The megatrends referred to in *Annex 9* would likely reinforce these issues in a baseline scenario.

5.2. Description of the policy options

Commission services have explored several strategic options to address the challenges described in the previous sections, considering that the current matrix of challenges is likely to persist in the future and that there is scope for valuable EU intervention. The three options described hereafter illustrate **architectural designs to meet the specific objectives presented under Chapter 4.** Additional options, which were considered yet discarded at an early stage, are also presented.

The options were developed using various criteria[115], based on an initial mapping and analysis of components and implementation aspects of each relevant, existing programmes and policy areas. Options were subsequently organised in three distinct and mutually exclusive packages.

The first option represents the baseline, continuing existing programmes and instruments as stand-alone programmes. The second option proposes to align policies and instruments in two programmes, based on the two policy-driven general objectives outlined under Chapter 4. The third option considers a full integration of all policies in this cluster under a single programme. The extent to which each option addresses the objectives presented under Chapter 4 is shown in *Annex 4*. For legal reasons, as explained in this chapter, the Justice programme remains standalone in all scenarios.

Option 1: Continuity

This option would maintain the current programmes untouched: CERV, Creative Europe, European Solidarity Corps, Erasmus+, and relevant prerogative lines (i.e. Multimedia Actions, activities on fundamental rights), in addition to the Justice programme. Each programme would continue to be established by its own legal act and would follow its specific rules and objectives. Under a dynamic baseline, some incremental improvements could be introduced, for instance building on the simplification measures already introduced in the 2021-2027 period. However, aligning the programmes (in their current architecture), with the Political Guidelines for 2024-2029 would be partial, at best [116].

Option 2: Objective-based consolidation

This option proposes to align instruments based on the two main policy-driven general objectives. It would result in targeted mergers of existing programmes: on one hand, it would bring together programmes primarily aimed at protecting fundamental rights, EU values, democracy, media and culture, thus upholding mutual understanding. It would thus address all objectives under General Objective 1, combining policy areas currently covered by CERV, Creative Europe and related budgetary prerogative lines, as well as addressing emerging challenges (e.g. disruptions of the democratic and media space), and increase action on cross-cutting priorities and synergies affecting the societal, media and cultural sectors (e.g. sectoral skills, access to finance, innovation uptake, etc.).

On the other hand, it would merge Erasmus+ and the European Solidarity Corps, two instruments predominantly supporting cross-border education and training, youth, sport and solidarity, contributing to the acquisition of skills for jobs and life (cf. General Objective 2), and thus to competitiveness and social cohesion.

In conclusion, this option would result in two EU funding programmes, aligning the architecture of the EU budget with existing actions and two basic priorities outlined in the Political Guidelines: (i) Protecting democracy, upholding values and increased societal resilience (primarily addressed by the first merger) and (ii) the Union of Skills (primarily addressed by the second merger). The two instruments would be designed with a view to fostering adequacy of funding to policy, simplification, coordination and synergies, thus in line with General Objective 3.

Option 3: Full integration

The third option proposes a full integration of all policies under this cluster under a single instrument. This would result in a new single fund integrating all policies covered today by CERV, Creative Europe, Erasmus+ and European Solidarity Corps[117]. This would thus consolidate all policy-oriented general and specific objectives, supporting current policy priorities while addressing all emerging challenges and new policy areas through a single instrument.

5.3. Options discarded at an early stage

A discontinuation of the EU funding

The option of discontinuing the EU intervention in these policy areas was discarded at an early stage, given the importance of the problems affecting the sectors, the prominence given to these policies in the Political Guidelines and the added value of the EU interventions (see Chapter 3), underpinned by the respective mid-term evaluations (see

Annex 8). A discontinuation of the EU funding in these areas would also contradict the responses to the OPC (see *Annex 2*).

Merging the Justice programme with other programmes in this cluster

The interim evaluation of the 2021-2027 Justice programme confirms that the programme provides unique added value that would be difficult to replicate at national level (see *Annex 8*). However, **for legal reasons, this programme cannot be merged with others, as not all 27 EU Member States participate in the Justice programme** (contrary to the other existing programmes in this cluster). The legal bases of the Regulation establishing the 2021-2027 Justice programme are article 81(1) and (2) and article 82 TFEU. These articles are part of Title V TFEU, which covers the Area of Freedom, Security and Justice. By virtue of Protocols annexed to the Treaty, Denmark does not take part in decisions made under Title V in line with Protocol No 22 – known as 'opt-out' – and Ireland can choose to take part in certain measures if it decides to 'opt-in', in line with Protocol No 21. The other programmes in the scope of this impact assessment are open to all Member States, and they are thus incompatible with the legal bases of Title V[118].

Other potential merging configurations

The analysis considered different, partial merging combinations across policies and existing programmes. None of those offer a similar level of consistency compared to the three proposed options. Alternative configurations for merging programmes (for instance, merging only the Media strand of Creative Europe with the CERV programme) would not effectively align with political priorities, and/or would not adequately cater for the challenges as presented in chapters 1 and 2, notably the need to reduce the fragmentation of funding, as they would offer less potential for synergies[119].

6. WHAT ARE THE IMPACTS OF THE POLICY OPTIONS?

This section outlines the main potential impacts of the chosen options across the social, economic and environmental dimensions. It also analyses, where relevant, costs and benefits, impacts on competitiveness and SMEs and on digitalisation, as well as their contribution to the United Nations Sustainable Development Goals (SDG).

Policies under this cluster target a wider variety of groups and a stronger impact on people's lives, as shown by the Public Consultation, which registered 5,845 responses, the largest across the consultations on the MFF[120]. More information on the results of the consultation is provided in *Annex 2* while on target groups and benefits in *Annex 3*.

Impact dimension	Option 1: Continuity	Option 2: Objective-based consolidation	Option 3: Full integration
Social impact[121]			
Citizens' personal, social, civic and professional development	A continued positive direct impact on the academic, social, personal, and in terms of the employability development of individuals and particularly young people[122]. For example, under the current instrument, annually, Erasmus+ engages over 1 million participants, and the European Solidarity Corps involves 20 000 volunteers, with for instance, over 90% self-reporting benefiting from their participation including through increased skills. Creative Europe has increased EU citizens' access to European audiovisual content, thus contributing to cultural exchange and societal resilience.[123] Similar benefits would be expected in the future.	Objective-based merger would enhance the already positive direct impact on citizens' personal, social, civic and professional development. Merging Erasmus+ and the ESC, brings all opportunities for young people under a single framework and favours a pathway for individuals to take part in different type of learning experiences thereby likely increasing the number of participants benefiting from them (currently Erasmus+ for students is known by 49% of the young people surveyed in the recent Eurobarometer 545 on youth and democracy, but only 8% were aware of the European Solidarity Corps). A single programme would also help promote the development of lifelong learning more efficiently. This option would also have a positive impact through the consolidation of Creative Europe and CERV. It would further enhance the development of a vibrant civil society, increase the capacity of organisations to support cultural exchanges and cross-border collaborations, and provide higher access to cultural, audiovisual and media content for citizens.	The impact of option 3 on the personal, social, civic and professional development of individuals might be weakened due to the broad set of priorities that a full integration would create. Merging all funding instruments could make accessibility to the learning opportunities, and to media and cultural participation, more challenging.
Citizens' participation	The separate programmes would continue their positive contribution to citizens' participation (e.g. raising awareness on rights as EU citizen through CERV[124], support to youth participation activities or solidarity activities in Erasmus+ and the ESC) but with limitations imposed by a fragmented framework.	Objective-based merger would have positive effects on citizens' participation. A merger of programmes under GO1 would enhance synergies between democratic participation, access to media and culture content, and the integrity of the information space having a positive impact on the citizens' participation. Similarly, by providing a comprehensive approach to citizen's engagement and especially children and young people, a merge of the Corps and Erasmus+ would bridge the gap between citizenship education e.g. schools and hands-on participation through non formal learning activities or volunteering. By combining education, training, youth,	This option would have a limited positive impact, due to a risk of policy dilution, heterogenous stakeholders, and a more complex governance. This might lead to less tailored and effective EU intervention.

		sport, and volunteering opportunities under one framework, the programme would offer a cohesive and accessible pathway for young people to learn about citizenship, civic rights, EU and then a wide range of opportunities to engage, likely increasing their skills and competences in this regard.[125]	
Democracy and societal resilience	There will be continued positive support to democracy and societal resilience, via separate programmes. However, this option has limited capacity to react to emerging challenges linked to preparedness or media viability, for instance. Under status quo, contribution to democracy comes from separate interventions, lacking a coordinated and agile approach.	This option would provide an integrated funding framework for the actors contributing to supporting fundamental rights and values and strengthening democratic resilience in the EU. This would come from a fund focused on democracy, rights, media, audiovisual and culture, allowing for a more holistic and targeted approach to building democratic resilience. For instance, by enhancing the contribution of culture to democratic participation, this option would generate systemic social benefits. This option would also provide the tools to effectively support activities promoting societal resilience and crisis preparedness, particularly those implemented by and involving civil society[126]. Improved coordination between civic, cultural, and media actors would help address disinformation, polarisation, and democratic backsliding with greater coherence and effectiveness. The second merger would leverage the impact of all opportunities for young people in formal, non-formal and informal education and volunteering, by combining complementary activities, positively affecting its contribution to democratic and societal participation and resilience e.g. this option would allow to support population preparedness[127] through an effective combination of awareness raising volunteering activities and preparedness activities in schools and thus better support the European Preparedness Union Strategy.	The effective contribution of this option to democracy and societal resilience might have a limited impact due to a broad and not focused framework. If all these funding instruments, and related EU policies, are merged in the future programming period, there is a risk of policy dilution, weakened stakeholder engagement, and delayed response.
Social inclusion	On the one hand, the Erasmus+ and European Solidarity corps have a positive impact on social inclusion and cohesion that would	This option would likely have a strong contribution to social inclusion and cohesion. For instance, with 38% of participants with fewer opportunities, the Corps is highly	Full integration would not bring significant additional impact for social inclusion and cohesion,

and cohesion	remain stable in the case of continuity. The programmes' actions directly positively affect individuals' attitudes – and in particular young people's – with e.g. 89% of Erasmus+ participants declaring increased tolerance awareness and 90% increased European sense of belonging. In addition, both instruments have a strong focus on inclusion, with specific measures to support the participation of individuals with fewer opportunities. On the other hand, the CERV programme supports the work towards a union of equality where all people can live free from discrimination, thus building a truly inclusive society (up to 88% of participants to CERV-funded activities know about the EU legislation to promote and protect values).	inclusive and has lower barriers to participation, making it more accessible to young individuals outside formal institutional frameworks. By bringing this additional inclusive dimension into Erasmus+, option 2 would enable to widen the access to the future merged instrument to people from different background further boost its inclusion dimension and raise positive direct impact on individuals' attitudes and indirect societal impact. Similarly, with an enhanced effectiveness and efficiency, the EU intervention under this option will increase citizens' access to cultural, audiovisual and media content, which are essential elements of social inclusion and cohesion.	e.g.., in learning mobility and volunteering, CCIs, audiovisual and media industries This is due to a risk of policy dilution, heterogenous beneficiaries, and complex governance.
Value of public debate through a trustworthy media sphere	The impact is deemed to be moderately positive, but fragmented. Creative Europe,[128] CERV, and prerogative lines such as Multimedia Actions already include certain measures to support media pluralism and viability, and public debate.[129] Fragmentation, lack of coordination and untapped synergies between programmes limits integrated and comprehensive responses to complex challenges, such as media capture, threats against the information space, and erosion of trust in public discourse (as developed in Chapter 2). Opportunities to strengthen the link between media policy and civic engagement are missed due to programme silos.	The impact is expected to be strongly positive. Merger 1 results in a dedicated cluster focused on democracy, media, culture, rights and civic resilience. It enables coherent and strategic support for trustworthy media, including media independence and pluralism,[130] disinformation countermeasures, and democratic participation, which are not covered under Option 1.[131] This option enhances thematic synergies and streamlining access for applicants. In addition, it will foster a more comprehensive public debate ecosystem, where civic engagement and quality journalism are reinforced together in transversal actions.	The impact has a broad potential, because it offers flexibility to reallocate resources and support cross-sectorial initiatives. However, it brings in risks of policy dilution. Media-specific objectives may become lost within a large single fund as this would weaken targeted support for journalism, civic engagement and access to audiovisual content. Heterogeneous stakeholders (e.g. universities, cultural institutions, media companies, civil society etc.) would be served under one umbrella, making it harder to tailor

			funding calls to the specific needs of the relevant sectors.
Economic impact[132]			
Impacts on competitiveness[133]	The continuity option would have positive impacts, although with limited capacity to respond to current and emerging challenges to competitiveness. There are ongoing positive impacts on costs and international competitiveness of media organisations through co-productions and cross-border circulation of audiovisual content, and blended equity instruments.[134] Ongoing positive impact on other cultural and creative sectors includes networking, capacity-building and sharing of good practices. Opportunities for cross-sector innovation and digital transformation (e.g., immersive technologies, AI) are underexplored due to limited synergies between programmes. Continued contribution of EU funding for basic skills will have a positive impact on multifactor productivity growth: OECD simulations assuming a gradual improvement over 15 years show that increasing basic skills by 25 PISA points could lead to a 0.5 pp higher average annual growth rate in EU GDP in the long term.[135] While it is difficult to quantify the exact contribution of the intervention, it is worth mentioning that 90% of participants in Erasmus+ and the European Solidarity Corps report increased skills and	The existing contribution to competitiveness will be increased under Option 2 (See Annex 5). It will directly enhance the international competitiveness of media and audiovisual companies by continuing to promote cross-border circulation of films and series and international co-productions[137] but also other types of content such as video games and immersive content. It will also boost international audiences and competitiveness by optimising intellectual property exploitation across different media.[138] It will boost innovation capacity by better integrating support to innovation and skills development. The existing blended equity instrument will be strengthened and expanded to other copyright-intensive sectors. International competitiveness is also strengthened by reinforcing Europe's attractiveness as a talent hub and expanding global presence. Action towards news media sectors would contribute to their financial viability, and thus, their competitiveness. The expected administrative benefits will allow beneficiaries for a higher access to funding. Transversal intervention would bring in horizontal benefits, such as applied innovation and new sectoral skills needs. Option 2 has a greater potential to have a positive indirect impact on competitiveness, as it would facilitate the access to learning opportunities through a single entry point, in particular for young people, and foster the development of the skills needed for jobs.	This option has potential for cross-sector collaborations, greater flexibility in funds allocation, but this comes with certain limitations. First, some specific sectors (e.g., audiovisual and cultural sectors) may lose policy focus amid the much broader range of objectives and diverse beneficiaries. This option risks weakening specialised support mechanisms, such as to distribution networks, sector-specific international collaborations. Overly heterogeneous stakeholder base could lead to challenges related to prioritising different needs.

	employability. As also stressed by the Draghi report[136], in an evolving socio-economic context, lifelong learning increases the competitiveness of the economy by putting stronger emphasis on continuous skills development.		
Impacts on SMEs[139]	This option will have a moderately positive impact on SMEs. Most Creative Europe beneficiaries are SMEs, and the calls are SMEs-targeted,[140] hence to their benefit. However, some limitations remain. This includes administrative burden deriving from fragmented support, application and reporting costs. Continuous support to learning mobility and cooperation actions under Erasmus+ is expected, including in the VET and adult learning sectors that reach out to the highest rate of SMEs in the programme and in flagship actions such as Centres of vocational excellence or Alliances for innovation.[141] As far as VET is concerned, continuous work on the attractiveness, quality, inclusiveness of this sector has the potential to increase SME's competitiveness in the economy, notably in view of the digital and green transitions. [142]	This option will have a strong and positive impact on SMEs (based on the analysis in Annex 6). This comes from a list of direct benefits, which are deemed to be enhanced by synergies and complementarities, higher efficiency and effectiveness, and harmonised and streamlined procedures, which will enhance accessibility for SMEs. Positive impacts are both for sectors currently covered by the programmes as well as cross-media collaborations and synergies and a wider range of SMEs covered by the intervention (e.g. video games, news media). Strengthened blended equity instruments will help increase financial liquidity and reduce IP risks of SMEs.[143] Simplified processes (e.g., lump sums, national desks) and targeted support for micro-enterprises and under-networked regions will help mitigate previous access barriers.	This option would have a moderately positive impact. Some of the existing benefits would continue to be pursued, but they could be limited by some challenges. This stems from a complex governance, which in turn will increase administrative burden for both the administration and SMEs. In addition, the highly heterogeneous nature of beneficiaries might hinder the accessibility of SMEs, due to a potential overlook of their needs.
Individuals' employability	Support to education and skills as per this option will continue to have a positive direct impact on individual's employability as they will keep supporting learning periods abroad that develop skills (e.g. flexibility, resilience) increasingly valued by companies[144]. 83% of Erasmus+ participants confirm improved	This option is likely to enhance benefits on individuals' employability, indirectly also impacting EU's competitiveness and economy growth. In the evolving socio-economic context, a merged programme bringing together Erasmus+ and the Corps, would allow for more flexible mobility pathways, enabling participants to combine	Option 3 is likely to continue generating benefits on individuals' skills and employability while possibly enhancing them.

	competences useful for their studies or work and 81% believe they have better career opportunities. In addition, students with experience in studying, working and volunteering abroad have better academic and career outcomes including higher salaries[145]. A large scale meta-analysis showed that, on a global level, the private rate of return on one extra year of schooling is on average about 7% in Europe [146], which is significantly higher for people with medium-level vocational education (84.9%) and those with tertiary education (89.7%) as compared for the low-educated (64.1%).[147] PIAAC data also demonstrate that basic skills cater to economic outcomes. In the EU17, an increase of skills by around 40 points (slightly less than one skills level) is linked with an increase in wages ranging from approximately 5% in Denmark, Finland and Italy to more than 10% in the UK.[148] While the contribution of the current instruments to these projections is difficult to assess, research papers also show that students with experience in studying, working and volunteering abroad have better academic and career outcomes including higher graduate salaries.[149] The Erasmus+ Higher Education impact study underlines as well that Erasmus+ graduates report higher values on the Job Quality Index, which measures aspects of the current job such as job security, career prospects.	educational, training, and volunteer experiences, leading to more dynamic career prospects, increased employability of participants, including by developing their language and transversal skills or acting as a steppingstone towards a work experience in another country.[150] In addition, as also stressed by the Draghi report, certification of skills should become less reliant on formal education attainment, and more flexible and granular. Under option 2, by fostering cross sectoral cooperation under a unified umbrella, the programme would support greater recognition of skills across fields of formal, non-formal, informal education as well as further support the certification of formal and non-formal learning. In terms of sectoral skills for the media and audiovisual sectors, Merger 1 will provide for transversal actions, creating connectors across skills.	

Impacts on costs and benefits	Each programme operates under its own framework, fewer opportunities for inter-programme synergy or joint actions. Some areas (e.g. countering disinformation) are object of scattered and/or unstructured funding, limiting effectiveness and impact. Fragmented systems and duplicated structures lead to higher implementation and transaction costs.	Direct benefits stem from reduced overlaps and administrative burden through consolidation of structures, shared platforms, fewer committees, savings at Commission, national and beneficiary level. Option 2 brings streamlined processes, single point of entry and harmonised rules for the two proposed programmes, reduced application effort, better support for low-capacity applicants. For instance, the merger of Erasmus+ and the European Solidarity Corps, will require some initial adaptation for national authorities and implementing bodies, but there would be a positive impact on administrative costs and economies of scale in the long-term perspective. It would facilitate removing the current duplications at level of Commission's and National Agencies' programming, monitoring, reporting and supervision processes, required by the financial rules, and enable full standardisation of documents and procedures, streamlined back office, improved co-ordination, more efficient use of administrative resources[151].	Limited additional efficiency beyond Option 2, given the limited number of stakeholders who would benefit from a unified approach in the two programmes. In addition, benefits could be offset by increased complexity and reduced tailored accessibility. High transition costs may arise due to reorganisation of all systems, brands and frameworks; risk of disruptions and delays during implementation. Single access points may be too broad.
Environmental impact			
Environmental impact[152]	Overall limited environmental impact. Each programme pursues some green initiatives (e.g. green learning mobility, more sustainable cultural and creative sectors; MEDIA carbon calculator), contributing marginally to climate goals.	Positive, though modest, improvement compared to option 1. Positive impacts can stem from easier to share best practices on greening across sectors,potential for more projects combining environmental themes (through joint calls) and strengthening of the MEDIA carbon calculator.	Similar benefits to Option 2.
Other impacts			
Impacts on digitalisation	Under Option 1, there would be fragmented digital sectorial transformation efforts across programmes. Digital skills development will be addressed separately with partial coverage	Option 2 offers more coherent digital strategy across education, skills, solidarity, youth aligned with sectoral needs. Coherent investments in digital methods and platforms and digital tools widen participation, including for marginalised	The broad scope of Option 3 could support transformation, risks losing strategic focus and sectoral depth. Digital skills potential

	and lower scalability. There will be untapped potential for education technologies and digital innovation. Digital outreach improves access but remains uneven, particularly for those with fewer opportunities. Untapped potential of digital uptake and innovation shortcomings across the media sectors, as well as in the other cultural and creative sectors.[153]	groups, better accessibility features and outreach capacity. Option 2 enables scaling pilots across Member States, also addressing problem 3. In the area of media and audiovisual cross-platform synergies in IP use and digital distribution (e.g. books/games/films) supports transmedia storytelling and market reach. Option 2 would build on the success of the current programme, allowing for cross-cutting support to digital transformation of societal, cultural and media stakeholders.[154] Option 2 also simplifies processes and increases flexibility, allowing for a horizontal intervention while keeping a sector-specific approach.	maintained, but fragmented sectorial implementation could limit systemic coverage. Digital tools: single interface possible but risks becoming too complex or generic, reducing ease of use. Centralisation of digital platforms could improve coverage but confuse users due to lack of thematic clarity. Dilution of cross-cutting synergies among societal, cultural and media organisations within a larger pot of priorities and beneficiaries.
Impacts on fundamental rights and on equality[155]	Promotion of fundamental rights, equality and non-discrimination through the set of objectives of the CERV programme[156]. Some limitations[157] with insufficient scale or coordination on the side of Creative Europe and Erasmus+, or a funding gap for equality, rights and gender equality, and for combating violence against women, children and other groups at risk on the side of the CERV programme.	Promotion of fundamental rights, equality and non-discrimination continues through targeted actions, with enhanced synergies and alignment with the political guidelines. Stronger policy coherence (e.g., by comprehensively addressing aspects related to equality and AI bias).	Risk that the focus on promotion of fundamental rights, equality and non-discrimination is diluted, with larger programme diffusing visibility and political signalling. Stakeholder feedback confirms that clear mandates and thematic continuity are key to maintaining legitimacy and operational strength in the support to fundamental rights and equality (see Annex 2).
Contribution to the relevant Sustainable Developm	Contributions to the relevant SDGs through the existing programmes. The analysis has identified SDGs 3, 4, 5, 8, 10, 11, 12, 16 and 17 as relevant for policies under this IA. (See Annex 3, Table 3)	On top of the baseline, this option provides more efficient support to public access to information, thereby contributing to indicators 16.10.1 (protection of journalists) and 16.10.2 (policy guarantees for public access to information).	Similar as option 2.

ent Goals (SDGs)[158]			

7. HOW DO THE OPTIONS COMPARE?

7.1. Description of the analysis' methods

On top of the impacts presented in the table above, the policy options were compared by applying the **Social Multi-Criteria Evaluation (SMCE)**. The SMCE was deemed useful due to the diversity of policies and interventions in the cluster. This analysis compares the three options along four dimensions, namely **effectiveness, efficiency, coherence and proportionality**. For each of these dimensions, a set of objectives were agreed upon, reflecting the priorities outlined under General Objectives 1, 2 and 3 (see Figure below). For each objective, a set of indicators was selected (39 indicators overall).

Figure 2: relationship between SMCE objectives and IA intervention logic



For each indicator, a score was given, evaluating the impact of the three policy options. This was based on an expert assessment from the relevant Commission services, relying on current sets of data presented in *Annex I* (Evidence, Sources and quality), and on results of current evaluations, Spending Reviews, political guidelines and policy reports, studies, OPC, and independent sectoral reports and surveys. The criterion scores were measured in the following range: --- (the most negative), --, -, =, +, ++, +++ (the most positive). The neutral score (=) was understood as the option not having impact on the assessed indicator, or where the positive and negatives were seen as to balance out. A ranking was obtained, under the assumption that all indicators have the same weight, by applying the SOCRATES model.[159]

The robustness of results was checked by means of **local and global sensitivity analyses**. It should however be acknowledged that data available was used for the triangulation of the results to the extent possible, as there remain gaps at EU27 level. *Annex 4* provides

further explanation of the methodology, the expert assessment, including argumentation behind each criteria score, the sensitivity analysis, and the ranking of the policy options.

7.2. Results of the Social Multi-Criteria Evaluation (SMCE)

7.2.1 Effectiveness

Objective 1.1: continue to promote fundamental rights, EU values, democracy, media and culture: Option 2 achieves strong score (++ across all) in reducing discrimination, strengthening media independence and pluralism and tackling disinformation, enhancing audiovisual content circulation and boosting civic engagement and participation, and creating opportunities for cross-cutting innovation and sustainability of media, culture and societal entities. It brings together key programmes in a way which will allow both policy coherence and cooperation between beneficiaries working on areas like democracy, media, and anti-discrimination efforts, while preserving sufficient thematic clarity to avoid undermining dedicated objectives. The narrative coherence of Option 3 is less clear. Although Option 3 has positive impact on each indicator, it risks diluting cultural, democracy, and rights-focused programmes by absorbing them into a broad, less focused framework with less clarity of goal. In contrast, the status quo (Option 1) offers strengths in preserving specific objectives for areas like culture and prevention of violence, but it fails to address fragmentation and underfunding in areas like media independence, countering disinformation, and democratic participation.

Objective 1.2: continue to improve cross-border education and training, youth, sport, and solidarity, contributing to skills for life and jobs: Concerning learning mobility, transnational cooperation, lifelong learning, policy experimentation, and social engagement, Option 2 stands out as the preferred alternative. Option 2 delivers clear added value by fostering greater synergy between Erasmus + and European Solidarity Corps, by supporting learning mobility (+) and lifelong learning (+) and enabling stronger transnational cooperation (++). It also encourages policy experimentation (+) and significantly enhances social engagement via education and solidarity (++). In contrast, while Option 3 shows some potential advantages in terms of support to mobility (++) and lifelong learning (+), it risks dilution and loss of coherence in key areas such as transnational cooperation and policy experimentation. At the same time, Option 1 largely maintains the status quo with limited progress (=), and with a negative impact on policy experimentation and development (-).

Objective 1.3: Addressing linked EU challenges: Considering the contribution to democracy and competitiveness, Option 2 emerges as the strongest and most balanced choice. While all options score positively in enhancing democracy and competitiveness, Option 2 offers a notable improvement in policy coherence and alignment with EU priorities on democracy. Specifically, Option 2 (++) enhances democracy via two areas – one focused on rights, values, media, and democracy, and another on skills, education, and solidarity – ensuring tailored approaches for both. This option provides a closer alignment with two priorities outlined in the political guidelines for the new mandate (i.e., Protecting democracy, upholding values and increased societal resilience; and the Union of Skills). In contrast, Option 3, also scoring highly (++), contributes to democracy through many different angles than the baseline, but risk diluting priorities and losing focus due to the complexity and broad scope of a full integration model. For competitiveness, Option 2 (++) scores the highest, as it enables economies of scale without undermining the specific objectives of key programmes, whereas Option 3 risks weakening the focus on

competitiveness due to fragmented priorities (+). Status quo has a positive but still limited contribution to democracy (+) and competitiveness (+).

Objective 1.4: Improve cooperation: Both Option 2 (Objective-based consolidation) and Option 3 (Full integration) outperform the status quo (which is limited by legal basis and fragmented funding) in terms of cooperation between EC services and agencies (+), cooperation between institutions/organisations in EU Member States (+), transnational cooperation within EU, and potentiality to integrate inter-related projects (++). However, Option 2 is deemed more efficient than Option 3 in terms of cooperation between EU and Third Countries (+), due to avoiding additional governance requirements and coordination costs associated with full integration (Option 3).

Objective 1.5: Foster coordination of main policy areas: Option 2 stands out as the most balanced and effective approach in fostering coordination of main policy areas. While Option 1 would have a positive impact in continuity (+), it has a low flexibility between programmes (-) and does not prevent the dilution of policy goals (=). Option 3 offers the highest flexibility (++), but this comes at the cost of significant risks to continuity (--) and potential dilution of policy objectives (-). In contrast, Option 2 strikes an effective balance; it introduces valuable flexibility (+) to respond to emerging policy needs, although maintains a low risk to continuity (-), and strengthens the alignment of planning with policy goals (+).

7.2.2 Efficiency

Objective 2.1: Improve efficiency for applicants and beneficiaries: In terms of accessibility, time required and administrative burdens for beneficiaries, Option 2 emerges as the most favourable approach. It scored the highest for ease of access (++) given the expected simplifying procedures without introducing excessive complexity, unlike Option 3 (+), where the full integration risks making requirements heterogeneous for certain calls. Both Option 2 and 3 reduces the time required for applications (+) thanks to streamlined calls, but Option 2 has a more positive impact in reducing the administrative burdens for beneficiaries (+). Although both Option 2 and 3 might imply administrative complexities, in the case of Option 2, these are offset by introduced administrative simplifications, whereas Option 3 does not sufficiently counterbalance its added complexity (=).

Objective 2.2: Improve efficiency at EU level: From a governance and implementation standpoint, Option 2 delivers meaningful simplifications without the excessive complexity introduced by a full integration under Option 3. It is expected that Option 2 reduces the number of FTEs (+), although Option 3 offers a higher reduction in FTEs in long run (++). Option 2 scores the highest (++) among the alternatives in streamlining types of management (direct and indirect) as it would lead clusters to broadly align with existing management structures, whereas Option 3 risks of mixing different types of management modes (-). In terms of impact on comitology, Option 2 would lead to a slight improvement compared to status quo/Option 1 (+) due to fewer programme committees. Conversely, in Option (3), there would be too much heterogeneity for committee members, leading to a negative impact (-). The status quo, by comparison, offers no improvements (=) and maintains fragmented, less efficient governance.

7.2.3 Coherence

Objective 3.1: Promote synergies and complementarities: Option 2 has the best prospects in promoting synergies and complementarities. Both Option 2 and Option 3 would improve synergies and complementarities between clusters, compared to the status

quo (+). Within the cluster, synergies and complementarities would be achieved more under Option 2 (++), by enabling organic synergies with logical groupings. Option 3 risks creating links that dilute coherence (+). In terms of synergies with national and regional policies, both Option 2 and 3 offer improvements (+) over the status quo (=). Moreover, Option 3 would have the highest flexibility in rechannelling funds (++), while Option 2 provides a meaningful but more moderate increase (+) compared to the rigid status quo (-). In reduction of overlaps, Option 2 is the strongest (++), having a structured way to reduce overlaps while maintaining policy focus; Option 3 risks introducing dilution despite some overlap reduction (+).

7.2.4 Proportionality

Objective 4.1: Improve reactiveness to new challenges: In terms of reactiveness to new challenges, Option 2 consistently emerges as the most suitable alternative across all criteria. Option 2 is the most effective in addressing each of the specific problem drivers (++), as new areas are covered (which are currently not addressed by existing programmes), and overlaps are avoided. Option 2 also stands out by addressing some of the unaddressed policy objectives (++) and allows to sufficiently priorities each of the main policy areas (++), such as those addressed by the Political guidelines ('Promoting our democracies and upholding our values', the Union of Skills, etc.). In contrast, Option 3 introduces risks of fragmentation and complexity, weakening its capacity to address problem drivers (+), effectively addressing specific objectives (=), and maintaining clear policy priorities (=). Meanwhile, the status quo under Option 1 is the weakest (- across all criteria), being limited by existing legal bases and an inability to cover emerging policy areas such as media and countering disinformation.

Objective 4.2: Minimise risk: Option 1 and Option 2 register the same score in terms of minimising risks. In terms of risk of loss of customised approaches to (policy) specific needs and target groups, Option 2 offers a clear advantage (++) by enabling better delineation of policy boundaries and improved alignment between EU policy priorities and funding. In contrast, Option 3 risks excessive heterogeneity by merging highly diverse target groups and beneficiaries (-), leading to challenges in addressing the distinct needs of groups as varied as Erasmus+ students and business in the media sector. The status quo already functions reasonably well in targeting (+), however, without the added clarity and coordination provided by Option 2. Regarding the risk of losing established programme branding and visibility among target audiences, the status quo maintains the strongest position (+). Option 2 entails some loss of visibility for programmes well known to the public (-); Option 3 introduces the highest risks in this criterion (--), with larger programmes possibly eroding the identity of smaller programmes.

7.3. How do the options compare?

The ranking of the social and economic impacts (SMCE) is thus:

First	Second	Third
Objective-based merger (Option 2)	Full integration of all programmes (Option 3)	Status Quo (Option 1)

Third ranked option. The **"continuity" option** would build on the achievements of the current programmes under this cluster and incrementally improve their implementation,

while maintaining the current architecture. While the programmes benefit from well-established brands, which would continue ensuring visibility and recognition among target groups, this option would not be fully aligned with the Political Guidelines for 2024-2029, nor with the ambition set for the next Multiannual Financial Framework to build a more focused, simpler and more flexible EU budget. This option would not build synergies between programmes and would lack the flexibility to address new challenges. It would continue to rely on a multiplicity of implementation modes, work programmes, and stakeholder relations, including those with non-EU countries (e.g. on mobility of students and young volunteers).

Second ranked option. The **"full integration" option** would generate efficiency gains by streamlining relevant implementation processes and enhancing coordination. It would also offer flexibility. However, despite these potential benefits, several downsides must be considered. The new and growing focus on supporting democratic and societal resilience might be overshadowed by the skills and education component and differing budget shares within the cluster. It might result in lesser focus being put on enhancing democracy and respect of rights, the rule of law, and EU values. The option might more generally result in less tailored approaches to specific needs and target groups and make it more challenging to combine EU spending with the right policy tools, as the combination of all the policies significantly widens the spread of EU activities involved. This option is unlikely to provide significant extra synergies compared to option 2, due to different management modes, varying degree of EU competences, and different constituencies. Existing stakeholders might find it challenging to adapt to such an all-encompassing merger, which in addition might negatively impact brand recognition and the visibility of EU interventions.

First ranked option. The **objectives-based merger** achieved the best scoring on all four dimensions of the SMCE (effectiveness, efficiency, coherence and proportionality), being the highest ranked option in nine out of the ten SMCE objectives[160] and in 21 out of the 39 criteria[161]. Conversely, this objectives-based merger registered negative scores for just 2 out of the 39 criteria considered.

- From the standpoint of **effectiveness,** Option 2 offers an optimal balance between greater integration and the preservation of policy-specific objectives. First, it strengthens cooperation, consolidating relationships between EU, Member States and third countries, and enhancing cooperation among Commission services. Secondly, by allowing greater adaptability within its defined policy areas, it overcomes the current rigidity of the status quo while maintaining clear thematic boundaries and preventing policy dilution that may occur under option 3. Finally, this option enhances the contribution to the political priorities.
- In terms of **efficiency**, option 2 strikes a balance between simplifying processes and keeping operational complexity manageable. It would ease access and reduce administrative burdens for stakeholders through harmonisation of documentation, calls and processes. Option 2 would also better consolidate existing programmes under common management modes. This would allow implementing bodies to work within familiar operational models, while preserving clarity of roles and responsibilities. Likewise, the same agencies would be working on the same clusters (or parts of them), following the same implementation logic.
- From the perspective of **coherence**, option 2 would create meaningful and targeted synergies and complementarities, bridging gaps while reducing overlaps between funding and policy objectives. In terms of synergies with other EU programmes, the

more focused structure of option 2 would make it less prone to inefficiencies or conflicting priorities and create new opportunities for alignment, for instance with programmes in shared management. Option 2 brings important benefits in rechanneling funds for evolving policy needs.

- Lastly, in terms of **proportionality**, option 2 strikes a balance between 1) flexibility to react to new challenges by enabling reallocation of resources and 2) addressing specific problem drivers and policy objectives. Clearer lines of accountability and strategy due to the grouping by objectives and management modes would increase the performance and impact of these policy priorities. At the same time, this option presents only minor risks of loss of customised approaches to policy-specific needs and target groups. To address the concerns related to brand recognition, a way forward could allow for strands of actions within programmes, to preserve brands and identity of the policies.

8. PREFERRED OPTION

The evidence gathered shows that **option 2 ("objective-based consolidation") offers better potential** compared to the two alternatives and the discarded options. This option allows for reinforced coordination, targeted flexibility, and a more impactful use of the EU budget – without sacrificing policy focus or accessibility. It offers the optimal balance between simplification and policy relevance. It is congruent with stakeholders' calls, who ask for the simplification of access to funding, flexibility of resource allocation and the application of common rules (see *Annex 2*).

The option follows a 'funding-follows-policy' principle, clustering the programmes around the most salient and core policy-related challenges. It will build on the success of current programmes, best practices of the current MFF, as evidenced by evaluations, better addressing transnational and common challenges, filling funding gaps at Member States level, and enhancing coherence between internal and external policies, while enhancing synergies, efficiency and effectiveness, and reducing overlaps. It will simplify operations and enable a rationalisation of resources by streamlining work programmes and developing harmonised rules as well as reporting and monitoring mechanisms. It will pay due visibility to each of the policy areas under this IA.

Further information on this option is presented in *Annex 3* (Table 1, expected benefits) and *Annex 11* (with examples of how proposed actions would contribute to the new policy priorities).

9. HOW WILL ACTUAL IMPACTS BE MONITORED AND EVALUATED?

This initiative will be monitored through the performance framework for the post-2027 budget, which is examined in a separate impact assessment. The performance framework provides for an implementation report during the implementation phase of the programme, as well as a retrospective evaluation to be carried out in accordance with Article 34(3) of Regulation (EU, Euratom) 2024/2509. The evaluation shall be conducted in accordance with the Commission's Better Regulation Guidelines and will be based on indicators relevant to the objectives of the programmes.

Logical links between specific objectives and areas of intervention and examples of how success will be measured, are illustrated in Annex 10.

ANNEX 1: PROCEDURAL INFORMATION

Lead DG, Decide Planning/CWP references

The lead DGs are (alphabetical order) CNECT, EAC and JUST.

There is no DECIDE Planning reference number.

The proposals for the post-2027 Multiannual Financial Framework are listed as Item 44 in Annex I of the Commission Work Programme 2025, under the headline "Delivering together and preparing our Union for the future".

Organisation and timing

This impact assessment was coordinated by an Inter-Service Steering Group (ISSG), involving the following Commission services: Secretariat-General (SG); Legal Service (SJ); Directorate-General for Budget (BUDG); Directorate-General for Communications Networks, Content and Technology (CNECT); Directorate-General for Education, Youth, Sport and Culture (EAC); Directorate-General for Employment, Social Affairs and Inclusion (EMPL); Eurostat (ESTAT); Directorate-General for Internal Market, Industry, Entrepreneurship and SMEs (GROW); Joint Research Centre (JRC); Directorate-General for Justice and Consumers (JUST); Directorate-General for Regional and Urban Policy (REGIO); Reform and Investment Task Force (SG REFORM).

The Inter-Service Steering Group met four times in 2025: 28 January, 21 February, 17 March, and 15 May. It was consulted throughout the different steps of the impact assessment process, notably on the questionnaire for the open public consultation and the draft staff working document.

The IA is based on an extensive desk review, including the results of the midterm-evaluations for 2021-2027 and ex post evaluations for 2014-2020 for the programmes within the scope of this initiatives. The report is underpinned by a broad public consultation (no call for evidence). The analysis of the policy options is based in particular on a Social Multi-Criteria Evaluation (SOCRATES) model developed and carried out by the Joint Research Centre (JRC) of the European Commission.

Consultation of the RSB

The draft report was submitted to the RSB on 21 May 2025 and was discussed by the Board on 11 June 2025. The RSB gave an opinion to the impact assessment on 13 June 2025. RSB made a series of comments and recommendations on scope, problem definition and the use of evaluations, intervention logic and objectives, comparison of options and cost-benefit analysis, governance, coherence and future monitoring and evaluation. The text of the IA has been adjusted taking into account the comments made by the RSB.

Table: Overview of the RSB board's recommendations addressed

The text of this Impact Assessment (IA) has been adjusted taking into account the comments made by the Regulatory Scrutiny Board and its recommendations. The IA was revised further to these comments. The following table provides information on how the RSB comments, when possible, were integrated in the text.

RSB recommendation	Justification
"On **scope**: The report does not explain why other EU funding instruments	The reviewed IA includes further explanations in Chapter 1 on why other EU funding instruments do not fall within the scope of this initiative. Coherence with other instruments and MFF clusters

addressing the same policy priorities and objectives as this MFF cluster, do not fall within the scope of this initiative."	will be further pursued, notably with national envelopes, future programmes on competitiveness, research and innovation. Annex 11 of the report has been expanded with an additional table showing that the architecture is conducive to an effective delivery of the policy objectives. Annex 8, on evaluations, shows that the current EU intervention in these policy areas is broadly successful. At the same time, the new table prepared under Annex 9 (cfr. Below) shows how some of the problems are new, requiring new and enhanced responses.
"On **the problem definition and on the use of evaluations**: The report should clearly state the degrees of uncertainty in the conclusions from prior evaluations of individual programmes and how strongly the conclusions are supported by a reliable evidence base, taking also into account opinions from the RSB."	A new table was included in Annex 9 to respond to the recommendations related to the problem definition, providing greater clarity. The table addresses the Board's recommendation regarding the types of problem drivers (new or recurrent; social, market vs. regulatory), as well as the magnitude of gaps. The second column of the table classifies the policy-related problem drivers, as either new or recurrent. The third column describes the type of problem driver (societal, market, vs. regulatory), and also indicates which drivers are perceived as shortcomings of already existing public interventions. The fourth column provides examples of gaps, drawing on evaluations or other data sources. Chapter 1, Annex 8 (on the results of the evaluations) and the newly added table in Annex 9, which contextualises the problem definition in Chapter 2, draw on data and results from evaluations, and show how and to what extent, existing challenges have been addressed through the current programmes. We acknowledge that discussion on how to ensure synergies between different MFF clusters to address common challenges is still ongoing. At the time of finalising this document, consultations are still in progress.
"On **the intervention logic and objectives**: The report does not explain the magnitude of the gaps and market failures to be addressed. The proposed objectives are not S.M.A.R.T."	The reviewed IA presents the magnitude of gaps and market failures in a newly created table under Annex 9. However, the broad and diverse scope of problem drivers and challenges across a variety of policy areas makes prioritisation particularly complex, taking also into account that the size of the financial envelopes allocated to this cluster has still to be determined. The reviewed IA addressed the recommendation: "*describe the objectives in S.M.A.R.T. terms to define the success and to facilitate monitoring and evaluation*". Two new tables were added under Annex 10, which provide a detailed list of examples of output and/or result indicators to measure how success would look like. The tables were prepared to show causal links of areas of intervention, per policy-related specific objective. As regards the point on "*how the proposed options address general objectives 1 and 2"*, the justification under the Social

	Multi-Criteria Evaluation (SMCE) addresses this aspect. More specifically, objectives 1 and 2 under the effectiveness dimension of the evaluation model are directly aligned to general objectives 1 and 2 of the IA, showcasing that Option 2 best contributes to the objectives. At the same time, the justification under indicator 4.1.2. '*Ability to address each of the specific programme objectives'* under the proportionality dimension of the SMCE further explains how the proposed options address general objectives 1 and 2. Annex 11 of the Impact Assessment provides examples of synergies across objectives (e.g., in the area of disinformation and media literacy).
"On **comparison of options and cost-benefit analysis**: The report does not adequately assess the costs and benefits of the options."	The amended IA has strengthened Chapter 6 on comparison of options by including additional endnotes, building on a broader range of data points from the existing evaluations, public and stakeholders' consultations, and other data sources. It also provides a clearer distinction between direct and indirect impacts. The new table included in Annex 10 on monitoring and evaluation outlines key areas of intervention, highlighting which aspects would be central for each key policy area. Success of policies across different areas remains closely linked to the size of the financial envelope allocated to this cluster, which has yet to be determined. The IA did not provide additional analysis of administrative costs and quantitative benefits given that the size of the financial envelope allocated to this cluster, has yet to be determined.
"On **governance**: The report does not sufficiently describe the governance mechanisms."	Governance issues, which were partly addressed in the Social Multi-Criteria Evaluation (e.g. comitology), have been further strengthened in Annex 4 of the Impact Assessment, and provides more detailed explanations on the overall methodology. Annex 11 was reviewed and includes a visual presentation of the architecture and objectives of the future programme bringing together Creative Europe and CERV. The decisions on the future internal governance are a prerogative of the European Commission, and as such beyond the scope of the impact assessments accompanying the MFF.
"On **coherence**: The report does not sufficiently specify how the proposed initiative links with other parts of the post-2027 MFF, such as National	Chapter 1 of the reviewed IA provides further explanations on the rationale behind the cluster. As explained in Point 1, coherence with other instruments and MFF clusters will be further pursued, notably with national envelopes, future programmes on competitiveness, research and innovation.

Envelopes and Competitiveness Fund."	
"On **future monitoring and evaluation:** The report is not clear what monitoring and evaluation arrangements will be put in place to measure the achievement of the initiative's objectives and how the Performance and Monitoring framework would be implemented in this case."	Monitoring and evaluation arrangements are addressed horizontally for all MFF proposals under a dedicated impact assessment. The amended AI includes two new tables in Annex 10 clarifying the links between specific objectives, and areas of intervention and providing examples of indicators on how success will be measured.

The Impact Assessment has been further adapted to take into account the latest comments received from other Commission services during consultations leading to the adoption of the new MFF programme proposals.

Evidence, sources and quality

The impact assessment is based on several sources, including those listed hereafter (non-exhaustive list):

- Report on the ex-post evaluation of the Rights, Equality and Citizenship (REC) programme (second part), the ex-post evaluation of the Europe for Citizens (EfC) programme, and the interim evaluation of the Citizens, Equality, Rights and Values (CERV) programme.
- Report on the ex-post evaluation of the 2014-2020 Justice programme and interim evaluation of the 2021-2027 Justice programme.
- The final evaluation of the 2014-2020 Creative Europe programme and interim evaluation of the 2021-2027 Creative Europe programme.
- The final evaluation of the 2014-2020 Erasmus+ programme and the interim evaluation of the 2021-2027 Erasmus+ programme.
- The final evaluation of the 2018-2020 European Solidarity Corps programme and interim evaluation of the 2021-2027 programme.
- Spending review for the 2021-207 multiannual financial framework.
- Mario Draghi's report on the future of EU competitiveness.
- Enrico Letta's report on the future of the Single Market.
- Niinistö Report on Strengthening Europe's Civilian and Military Preparedness and Readiness.
- Results of Standard Eurobarometers; results of Special Eurobarometers as referenced in the footnotes
- The Open Public Consultation, carried out between 12 February 2025 and 7 May 2025.
- The Media Industry Outlook SWD European Commission (to be published early July).

- The analysis of the impacts was carried out with the Social Multi-criteria Evaluation (SOCRATES) model developed by the Joint Research Centre. SOCRATES (**SO**cial multi **CR**iteria **A**ssessmenT of **E**uropean policie**S**) is a multiple criteria assessment software tool, explicitly designed for *ex-ante* Impact Assessment (IA) problems[162]. Details of the analysis are presented in Chapter 7 and Annex 4.

ANNEX 2: STAKEHOLDER CONSULTATION

Introduction

This report provides a detailed overview of stakeholder participation in the Open Public Consultation (OPC), which informed the impact assessment for EU programmes in the domains of cross-border education, youth, culture, media, values and civil society under the post-2027 Multiannual Financial Framework (MFF). Conducted between 12 February and 7 May 2025, the OPC was designed in line with the European Commission's standards for consultation and aimed to ensure inclusiveness, transparency, and evidence-based policymaking.

In total, the consultation gathered 5,845 valid replies. The consultation was structured around 133 closed questions and four open-ended questions, and participants were also invited to submit supporting materials such as position papers, analyses, and practical testimonies. A total of 383 attachments were submitted. These inputs helped assess public perception of programme relevance, EU added value, barriers to impact, and potential improvements to programme architecture. The wide scope and accessibility of the questionnaire allowed for a nuanced data set that reflects a diversity of lived experiences, professional assessments, and institutional capacities across sectors and countries.

Methodology

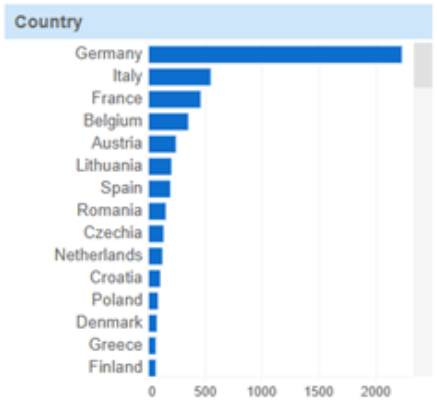
The analysis and synthesis presented in this annex was developed through a structured and iterative process combining both quantitative and qualitative dimensions of the OPC. The extraction of key thematic clusters was informed by three primary data streams: (1) aggregate response trends to closed questions, (2) disaggregated data by respondent type, age, and geography, and (3) content analysis of 383 attached documents and open-text answers.

Quantitative data from the OPC questionnaire were processed using dashboards provided by the Joint Research Centre (JRC), dashboards developed by DG EAC (Qlik) which enabled segmentation by respondent category and geographic origin, as well as other categories. Response rates for each question and dimension were evaluated based on Likert-scale responses. Items scoring consistently above 60% across both citizens and organisations were flagged for inclusion as broadly endorsed priorities. Cross-tabulations were used to identify divergence or reinforcement patterns by age (especially under-30s), stakeholder type (NGOs, academic institutions, public authorities, SMEs), and regional clusters (Eastern vs. Western Europe).

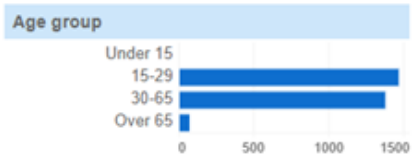
Qualitative analysis was carried out using a combination of AI-assisted text mining and manual coding. Open-text submissions and attachments were run through a dual-model NLP pipeline (informed by values, emotion, sentiment, and keyword clustering) to identify recurring themes and positions. Manual validation ensured thematic accuracy and representative phrasing of cited quotes. Contributions advocating structural reforms (e.g. simplification, funding scale-up, integrated campuses) were tracked and tagged with frequency indicators, then cross-checked against closed-question alignment. This triangulated methodology ensured that the analysis distils stakeholder sentiment in a transparent, proportionate, and evidence-grounded manner—aligned with Better Regulation Tool #54.

Demographics

Overall participation

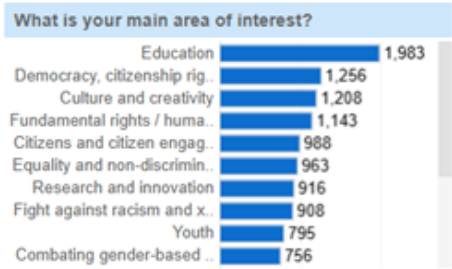


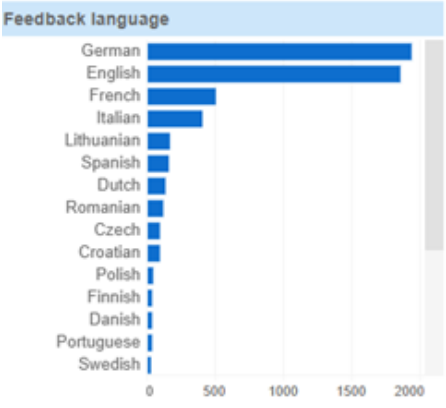


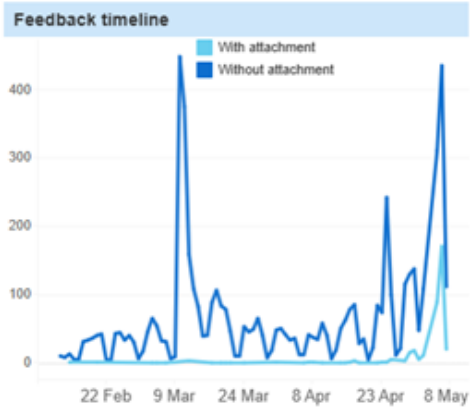


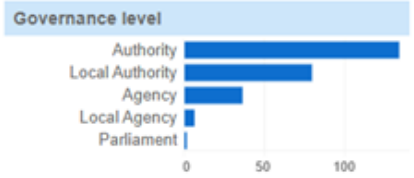


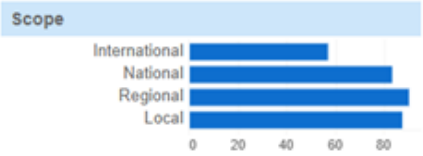














The public consultation received 5,845 responses.

Responses were relatively evenly split between individuals and organisations. Just under half (2,780) were submitted by EU citizens. Within this group, around 1,372 respondents were under the age of 30, meaning that nearly half of citizen participants came from a younger demographic. This demographic had a particularly high level of engagement with questions concerning solidarity, mobility, digital transition, and democratic values, and their views will be revisited in later analytical sections through the lens of the Commission's Youth Check priorities. Additionally, 169 respondents (3%) declared themselves as non-EU citizens.

The remaining 2,896 responses (50%) were submitted by organisations and institutions. These included 952 submissions from academic and research bodies, making up 16% of all responses. The majority of these institutions were large in size, with 69% employing more than 250 people. Another 835 submissions came from non-governmental organisations (NGOs), representing 14% of the total number of respondents to the consultation but with several of them representing either large quantities of individuals or representing themselves several other organisations (e.g. umbrella networks of civil society organisations or representing the interests of various cultural and creative sectors). Roughly half of the NGO respondents reported that they were micro-organisations with fewer than ten employees.

Public authorities accounted for 317 submissions, including a mix of international, national, regional, and local entities. A further 259 responses came from companies and businesses, especially those active in the culture, media, and audiovisual sectors. A small number of responses (123) were received from trade unions, business associations, consumer groups, and environmental organisations. These groups often contributed through both survey replies and technical attachments outlining sector-specific needs.

Geographically, participation spanned 110 countries, with EU Member States a accounting for 94% of all contributions. Germany submitted the largest number of responses, contributing 2,228 in total (38% of all replies). Among these, 1,302 were from citizens (including 862 from citizens under 30), and 926 from organisations. A notable concentration of responses occurred between 10 and 13 March 2025, potentially indicating a coordinated mobilisation campaign. Italy and France were the next most represented Member States, each accounting for around 552 and 467 responses (or 9% and 8% of the total respectively). The remaining EU Member States together submitted approximately 2,253 responses. Participation from outside the EU totalled 345 responses, or 6% of the total. Ukraine was the most represented third country, contributing 41 responses (0.7%). This international component is of interest not only for its scale, but for the qualitative focus of the submissions, which often related to EU values, enlargement, and external action.

Youth engagement stood out as a strong feature of this consultation. About 50% of citizen respondents were under the age of 30, and this age group consistently expressed strong support for funding initiatives that promote democratic engagement, equality, mobility, and civic cooperation. Their feedback aligned well with the Commission’s strategic focus areas for youth, including those highlighted under the Youth Check initiative. Their engagement also demonstrated a high level of awareness and investment in the values-based and cross-border elements of EU programming. In addition to this, responses from youth organisations and informal youth groups (especially within the NGO category) emphasised the importance of accessibility, digital inclusion, and opportunities for direct co-creation in programme design.

Several called for greater recognition of non-formal learning outcomes and closer integration of volunteering, civic service, and mobility schemes.

Among the 383 attachments submitted, 189 came from NGOs, 38 from academic or research institutions, and about 26 from public authorities. The remaining 130 came from umbrella organisations or networks representing youth groups, media stakeholders, and cultural or civil society sectors. These documents took various forms—formal position papers, project assessments, or thematic policy proposals. A number of them came from established EU-level platforms and civil society coalitions, while others were submitted by local or regional organisations. In several cases, contributions included detailed examples of successful or problematic project experiences under Erasmus+, Creative Europe, CERV, and related programmes. Collectively, these contributions enriched the consultation's quantitative findings by providing deeper, context-specific insight into stakeholder challenges and ideas for programme reform. They also revealed areas of emerging policy interest, such as the intersection between cultural participation and democratic resilience, or the role of mobility and volunteering in inclusion and labour market integration.

Justification for the validity of results

A key methodological consideration was the substantial share of responses originating from Germany, which represented 38% of the total submissions (2,228 out of 5,845 responses). This figure is notably higher than Germany's share of the EU population (approximately 18%) and far exceeds the expected range of 15–20% based on previous consultations. Given the demographic weight of German respondents, a detailed analysis was conducted to assess whether this disproportionality might have introduced bias into the overall consultation findings.

To examine this issue, responses from Germany were statistically compared with the responses submitted from all other countries combined. The analysis focused on the proportion of answers selecting the most positive categories—"very important" or "to a large extent"—across all closed questions (133 in total), and more specifically for the seven main policy clusters assessed in the questionnaire.

The data were analysed using dashboards created by the JRC in Tableau, enabling segmentation by country and cross-comparison by question. The key indicator used was the similarity in ranking and distribution of positive responses between German respondents and the aggregate of other EU countries. If significant discrepancies were found in how Germany answered compared to the rest of the EU, it would raise the possibility that the overall results were being skewed. However, the analysis revealed a high level of alignment.

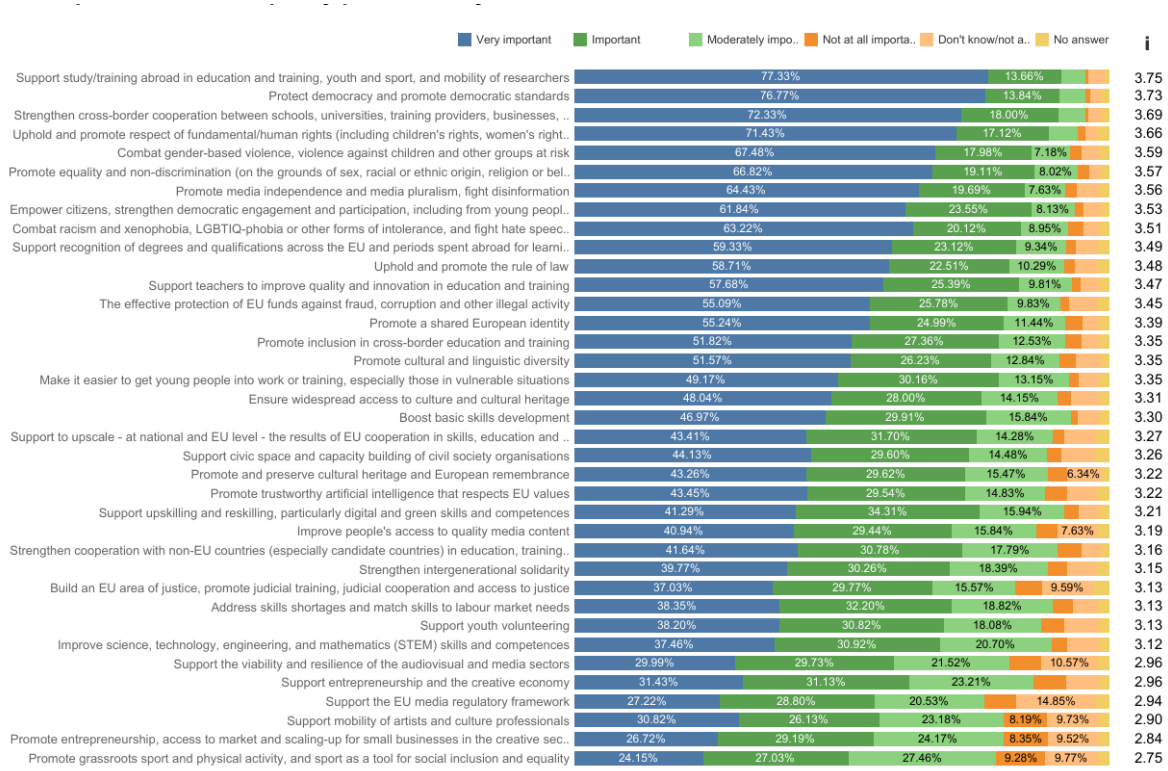
The distribution of answers from German respondents did not diverge meaningfully from pan-European trends in either absolute values or relative importance. The overrepresentation was found to be largely quantitative rather than qualitative in nature. Additionally, there was no evidence of coordinated campaigning or form responses, and no single narrative or agenda dominated the free-text submissions or attachments from Germany. The peak in responses between 10 and 13 March 2025 – when 851 entries were received – prompted a further quality check. However, closer examination revealed this spike did not correspond to identical answers or suspicious response patterns. Instead, it is likely the result of increased awareness and mobilisation by youth and academic networks, which remain consistent with open democratic participation. A similar pattern occurred in the previous MFF OPC in 2018, suggesting that

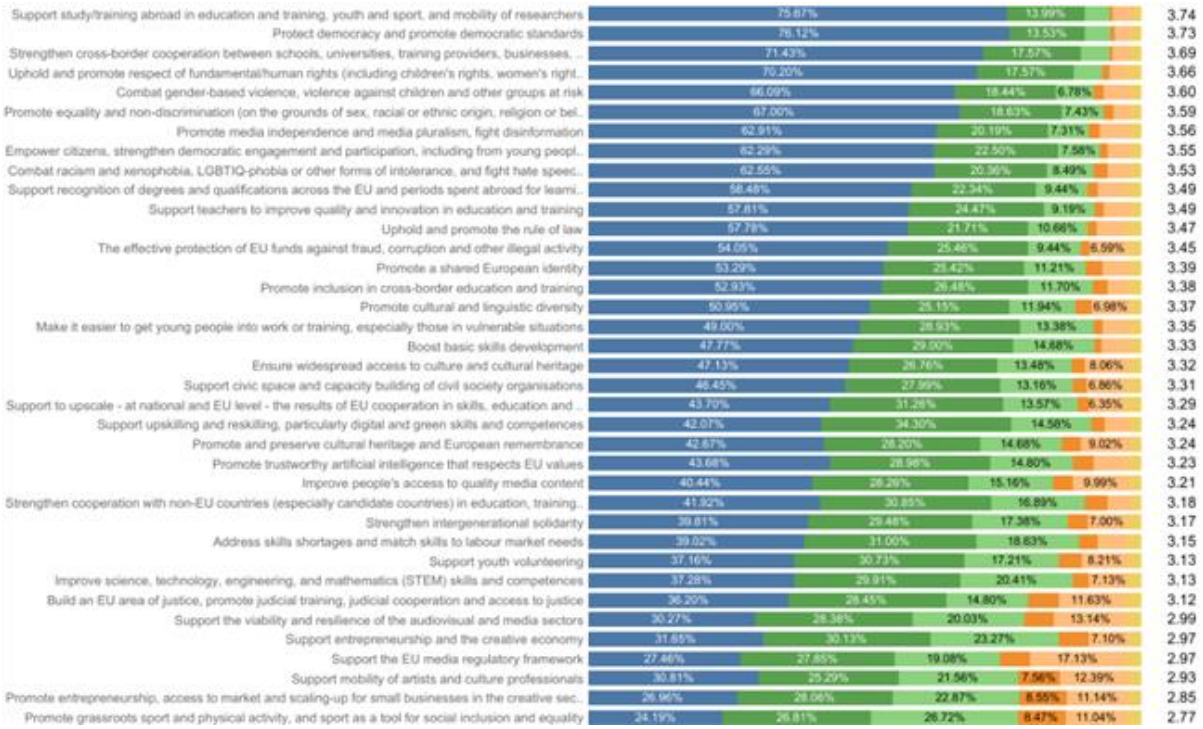
mid-campaign outreach or advocacy events can sometimes generate temporary surges in responses.

In conclusion, while the high share of responses from Germany initially raised a methodological flag, robust internal controls and comparative analysis confirmed that this did not compromise the representativeness or interpretability of the OPC data. The consultation findings can therefore be considered valid and reflective of broader stakeholder perspectives across the EU. Germany's higher turnout should be interpreted as a reflection of greater awareness and mobilisation within the country rather than a source of analytical distortion. These findings reinforce the overall credibility of the evidence base supporting this impact assessment.

Respondent's views on policy priorities

Question 1/7 – How important are these policy priorities to you?





The responses to Question 1 reveal a clear affirmation of the EU's continued role in fostering cross-border cooperation and supporting democratic and social objectives. Among answers, "support for study/training abroad" was ranked as "very important" by 81% of citizens and 70% of organisations. This priority was frequently tied to the broader theme of long-term investment in skills, employability, and European identity. Respondents linked learning mobility not only with educational benefit but with social integration, civic engagement, and labour market readiness. Many referenced the role of EU funding in supporting student exchanges, vocational training, language learning, and cross-border partnerships as levers for developing a more inclusive and competitive society. Similarly, "protect democracy, promote democratic standards" received 80% support among citizens and 72% among organisations, showing high convergence between individual and institutional stakeholders. Respondents saw democratic protection as a foundation for participation, rule of law, and social trust – frequently noting the link between educational investment and democratic resilience. Several contributions argued that inclusive access to learning, critical thinking, and civic education are essential pillars in safeguarding European democratic systems.

Geographic variations

Some differences in emphasis emerged based on respondent geography:

- Respondents from Eastern and Southern Europe more frequently rated EU action in education, youth mobility, and inclusion as "very important," reflecting structural inequalities and a higher dependency on EU funding.

- Western and Northern countries placed relatively more emphasis on excellence, innovation, and internationalisation.

- Respondents from non-EU countries (notably Ukraine, Western Balkans) emphasised the EU's role in solidarity, external cooperation, and value promotion. This was particularly evident in open responses highlighting expectations of the EU as a democratic partner.

Natural patterns in priority attribution

Statistical correlation analysis revealed consistent and statistically significant groupings among priority responses, highlighting interlinked policy preferences cutting across stakeholder categories. Looking at response matrices for closed-question data, several clusters emerged, indicating how respondents evaluated related priorities.

- Respondents who rated study/training abroad as highly important (78%) also tended to prioritise policies promoting cross-border cooperation (88%), language learning opportunities (77%) mutual recognition of qualifications (75%), and cooperation with non-EU countries (65%), but also stressed the importance of protecting democracy and promoting democratic standards (79%) and fundamental/human rights (73%). This cluster reflects a mobility-driven integration logic.

- Those who prioritised democracy and civic participation (62%) also prioritised support for fundamental rights (84%), grassroots civil society organisations (77%), as well as media pluralism and independence (76%), suggesting a coherent rights-based governance cluster. These preferences were especially pronounced among NGOs, youth organisations, and respondents from countries experiencing civic space contraction.

- Respondents who assigned high scores to youth participation also showed strong affinity (at least 60%) for non-formal education, access to cultural life, and media literacy training. This reflects a participatory empowerment cluster linking civic and cultural engagement.

These patterns suggest a coherent internal logic in how stakeholders understand and connect EU policy priorities, reinforcing the notion that programme effectiveness in one area (e.g. mobility) depends on complementary support in others (e.g. recognition frameworks, inclusive access, civic rights). This correlation-based clustering substantiates the case for maintaining synergies across programmes that contribute from complementary perspectives to overall policy objectives.

Qualitative reflections from open text contributions

Narrative responses and attachments frequently expanded on the policy priorities identified in Question 1. For example:

- Many NGOs stressed that inclusion and participation are not only desirable goals but preconditions for democratic legitimacy and societal cohesion.

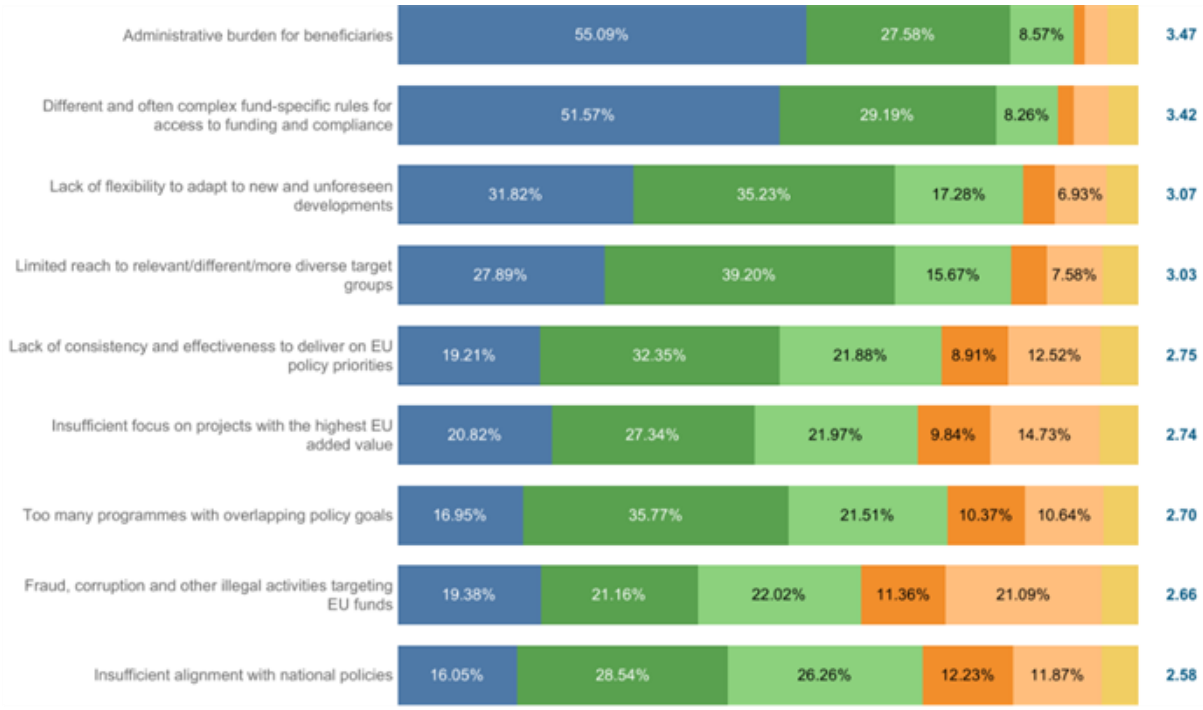
- Academic networks spoke of the transformative potential of transnational cooperation and student/staff mobility to foster European identity and institutional innovation.

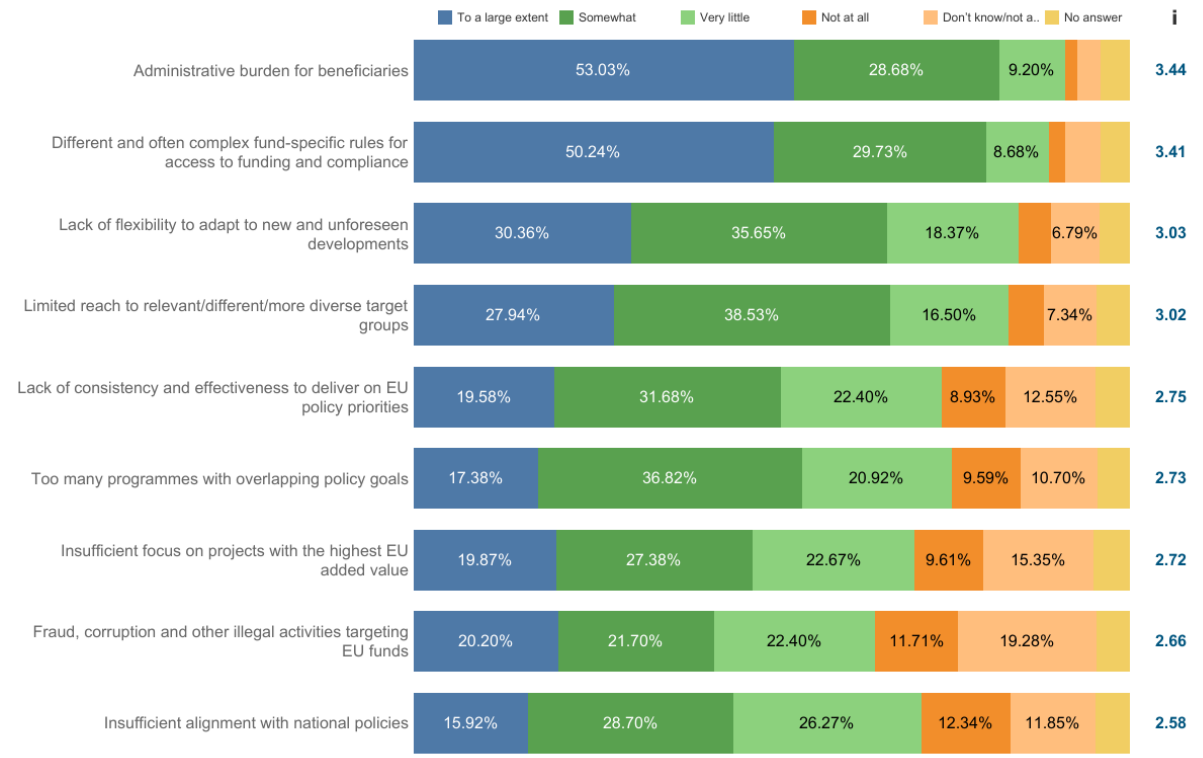
- Media contributors warned that without greater protection for journalism and media pluralism, democratic erosion could become irreversible.

- Several youth-led submissions demanded that the EU go beyond tokenistic youth engagement and instead mainstream youth participation into all areas of policymaking, monitoring, and implementation.

Analysis of obstacles preventing the EU budget from delivering on its objectives (Q6)

Question 6/7 – To what extent do you see the following as obstacles that prevent the EU budget from fully delivering on its objectives in these policy areas?





Respondents were asked to evaluate to what extent specific obstacles hinder performance, including administrative burden, complex funding rules, fragmentation, lack of flexibility, and delays. Respondents generally welcomed the Commission's focus on greater efficiency in

funding, and advocated to keep “identity” and “trust”, preserving thematic clarity and stakeholder ownership of the interventions. This section provides an in-depth analysis of Q6, based on 5,845 total responses, distinguishing between different respondent groups (citizens vs. organisations), stakeholder types, regional origin, and age group. It also integrates insights from qualitative responses and statistical correlations to unpack how obstacles interact and what implications they hold for policy design.

Quantitative results show that the most frequently cited obstacles across all groups were **administrative burden** (identified by 52% of citizens and 58% of organisations) and **complex, fund-specific compliance rules** (50% of citizens and 53% of organisations). These issues reflect concerns not only with regulatory complexity but also with fragmentation between instruments and inefficiencies in delivery.

Additional barriers included lack of **flexibility** to reallocate resources in response to emerging needs (32% of citizens and 32% of organisations), **delays** in programme implementation and funding disbursement, and insufficient **communication** or clarity about funding opportunities. Public authorities and NGOs in particular emphasised delays as a source of reduced impact and local credibility.

Variation by stakeholder type

Disaggregated analysis reveals significant differences in the perception of obstacles based on stakeholder identity, with each type of respondent highlighting distinct structural and procedural challenges that hinder their participation and impact.

- **NGOs and micro-organisations** were consistently the most vocal about the administrative burden and procedural complexity. 66% of small NGOs rated these issues as "to a large extent" problematic. These organisations often operate with limited staffing, rely heavily on volunteers, and lack dedicated financial management expertise. The reporting requirements and co-financing rules were seen as disproportionate to their operational capacity, particularly for smaller grants. Many NGOs also expressed concern about unstable funding timelines and shifting eligibility rules that added unpredictability to project planning.

- **Academic institutions**, particularly large universities and university alliances were more concerned with systemic inefficiencies across funding programmes. While acknowledging bureaucratic complexity, they pointed to overlapping rules between Erasmus+, Horizon Europe, Digital Europe, and regional development funds (e.g., European Regional Development Fund (ERDF)). These respondents highlighted duplicated registration processes, inconsistent cost categories, and mismatched timelines. The lack of interoperability between platforms and evaluation frameworks was flagged as a missed opportunity for integration and strategic alignment.

- **Public authorities**, especially those at regional and local levels, emphasised the rigidity of programme design and the limited discretion available to adapt funding to emerging local needs. Respondents referred to crises such as the Ukrainian refugee influx, the COVID-19 pandemic, and climate-related emergencies as situations where EU programmes lacked the necessary responsiveness. Several contributions argued for the creation of emergency reallocation mechanisms within mainstream programmes to allow rapid funding shifts under predefined governance rules.

- **Youth organisations**, both formal and informal, described complex rules and administrative procedures as a primary deterrent to participation. This was especially true for informal groups of young people, often active in remote or rural areas, who do not have legal personality or administrative infrastructure. These groups are typically ineligible under current application models, even when their objectives align with programme goals. The absence of flexible formats such as microgrants or simplified sub-granting schemes was cited as a structural barrier, especially for first-time applicants lacking national-level intermediary support.

Policy Implications and Recommendations

The findings from Q6 suggest that perceived obstacles are not isolated or episodic but systemic and interlinked. Administrative burden, complexity, rigidity, and delays reinforce each other and create barriers to access, especially for smaller actors, first-time applicants, and those in less developed regions.

To address these challenges, stakeholders proposed a mix of short- and long-term solutions:

- **Simplification and proportionality**: Respondents called for the creation of tiered compliance systems that distinguish between small and large grants. For instance, organisations proposed that microgrants below €60,000 should use simplified cost options, lighter reporting, and reduced audit risk. One NGO suggested a "compliance light" track for first-time applicants with capped administrative requirements and pre-filled templates.

- **Better digital tools**: Several stakeholders highlighted the need to unify fragmented digital platforms such as, e.g., *EU Login*, the *Participant Portal*, and the *Beneficiary Module*. Respondents called for a one-stop-shop interface with integrated guidance, live chat support, and multilingual features. One proposal recommended adapting national public grant platforms that already offer predictive text, auto-save functions, and flexible management of ongoing applications.

- **Flexible envelopes**: Public authorities and cultural operators in particular advocated for setting aside flexible budget components within larger programme envelopes, allowing dynamic reallocation in response to crises. Examples included a “local priorities window” within Erasmus+ or ESC that regions could activate for targeted challenges such as post-disaster recovery or refugee inclusion.

- **Technical assistance**: Many stakeholders proposed regional hubs or rosters of "EU funding coaches" to support onboarding for new applicants, especially in remote and underrepresented areas. Some suggested replicating the European Social Fund’s Technical Assistance Units model, including template kits, peer learning sessions, and pre-submission clinics.

- **Transparency and predictability**: Respondents requested a publicly accessible, regularly updated calendar of calls and deadlines with 12-month visibility. Proposals included harmonised guides for cost eligibility and evaluation standards, as well as a requirement to publish reviewer feedback summaries, enabling unsuccessful applicants to learn and reapply more effectively.

In-depth stakeholder analysis revealed differentiated preferences and priorities for improving budgetary effectiveness:

NGOs and youth organisations strongly endorsed simplification, especially as it relates to first-time and grassroots applicants. Many underscored the disproportionate burden posed by complex financial reporting, cost justification, and delays in fund disbursement. Their emphasis on procedural equity reflected broader concerns about structural exclusion from funding opportunities. Several youth organisations recommended pre-defined lump sum schemes and the expansion of localised sub-granting via trusted intermediaries to support smaller, less formal groups.

Academic and cultural institutions prioritised predictability, continuity, and programme alignment. They called for unified grant management systems across Erasmus+, Horizon Europe, and Creative Europe. Recurring recommendations included a harmonised cost model and standardised eligibility rules to reduce duplication and misalignment between parallel programmes. Institutions managing multiple grants reported cumulative inefficiencies, citing the lack of interoperability between EU portals as a drain on human resources.

Public authorities—particularly at regional and municipal levels—emphasised the need for vertical and horizontal coordination. They supported interoperability between EU and national funding frameworks and proposed integrated calendars, joint application formats, and aligned eligibility criteria. Some also called for multi-programme investment platforms to allow bundling of cultural, youth, and education funding under territorial development plans. This approach, they argued, would strengthen regional policy coherence and improve impact traceability.

Small and micro-organisations, especially in the media, culture, and social innovation sectors, advocated for proportionate rules, simplified cost accounting, and faster disbursement processes. Their contributions frequently cited the value of microgrant schemes with low entry barriers and minimal administrative obligations. Many urged that future programmes expand the use of fixed-cost and flat-rate options under simplified cost models (SCOs). A number of independent cultural professionals and creative SMEs also noted that infrequent calls and short application windows limited their ability to plan, apply, and scale up impact.

Analysis of attached papers and free-text responses

A detailed review of the 383 submitted documents - including position papers from NGOs, educational institutions, local authorities, and sectoral organisations – revealed complex, differentiated, and in many cases deeply relevant inputs across all thematic areas.

Education: Across nearly 40% of the position papers, education emerged as a pillar of European integration and competitiveness. Stakeholders underscored the foundational role of Erasmus+ in fostering transnational mobility, employability, and institutional innovation. They called for a significant expansion of the Erasmus+ programme (Erasmus for all), with many advocating for a significant increase, aligned with inflation and the cost of living in high-cost countries. Numerous papers cited the disproportionate administrative burden as a deterrent to smaller institutions and first-time applicants. Stakeholders proposed a simplification roadmap, which included flat-rate financing, enhanced lump sums, and modular budget architectures. The lack of parity in access across Member States – especially between Western/Northern and Eastern European regions – was cited repeatedly. Respondents also stressed the importance of maintaining Erasmus+ as a standalone brand, warning against dilution through broader programme integration. Several university alliances advocated for reinforced synergies with

Horizon Europe, Digital Europe, and ESF+ without compromising the autonomy or identity of the programme.

Youth and Solidarity: Documents from youth organisations, national youth councils, and solidarity networks highlighted the European Solidarity Corps (ESC) as a critical tool for civic engagement and soft skills acquisition. Stakeholders demanded structural and multiannual funding for youth-led projects, arguing that current project-based financing often excluded less experienced applicants or those from underserved areas. Respondents proposed participatory budgeting mechanisms and a minimum percentage of the programme reserved for grassroots youth initiatives. A dominant theme was the geographical imbalance in volunteer distribution, with rural, peripheral, and Eastern areas systematically disadvantaged. Recommendations included financial incentives for placements in less popular regions, standardised recognition tools for ESC learning outcomes, and digital platforms for matchmaking. Many respondents tied ESC objectives to broader EU values, urging that any future architecture reinforce the rights-based and inclusive nature of youth engagement.

Culture and Creativity: Cultural operators and creative professionals stressed that the Creative Europe programme must remain autonomous and sufficiently funded. A widely shared concern was that merging CREA with broader values or youth programmes would lead to "mission drift". Stakeholders argued for a recalibration of funding rules to accommodate the operational realities of artists and micro-enterprises. Recurrent themes included cultural sovereignty, support for at-risk professionals (e.g. in exile or post-pandemic recovery), and the need to codify fair remuneration as an eligibility criterion. With over a dozen submissions referencing generative AI, the growing unease around intellectual property protection in the digital era was prominent. Respondents advocated for a dual-track approach: preserving support for traditional forms of cultural expression while also investing in capacity-building around digital distribution, audience analytics, and platform regulation. Minority and regional languages, often underrepresented in mainstream funding calls, were another critical concern, with proposals for linguistic equity earmarks.

Media: Media and audiovisual stakeholders – from independent newsrooms to European film distributors – emphasised the geopolitical and democratic stakes of a robust, pluralistic media landscape. A majority supported retaining the MEDIA strand within Creative Europe but called in addition for dedicated budget lines for investigative journalism, digital transition of audiovisual SMEs, and copyright frameworks supporting EU rules and values. Many flagged growing asymmetries between large streaming platforms and local producers, urging regulatory counterbalances and safeguards. Views on cross-border collaborations were nuanced: while some stressed their importance for market access and resilience, others argued that rigid co-production rules or linguistic quotas limited flexibility. Several stakeholders from smaller Member States asked for upward budget adjustments to reflect higher relative costs in small markets. Ethical journalism, media literacy, and training for next-generation journalists were also highlighted as emerging priorities.

Civil Society and Values: Almost all civil society actors reiterated concerns about the shrinking space for civic action, particularly in Member States facing democratic backsliding. Respondents advocated for a massive expansion of the CERV programme – many suggested tripling its budget – to match the rising scope of its mission. Emphasis was placed on ensuring regional balance, predictable multiannual funding, and a stronger role for CSOs in monitoring, evaluation, and agenda-setting processes. Several organisations proposed the creation of a European Civil Society Forum, co-financed under CERV, to serve as a consultative body for

EU democracy and values policies. Key barriers identified included lack of core funding, legal uncertainty, and administrative burden. Proposals ranged from specific policy instruments (e.g. civic action observatories, solidarity grants) to structural reforms, such as recognising CSOs as strategic implementation partners within the MFF logic.

Across all thematic clusters, stakeholders converged around a demand for systemic equity, stable and predictable financing, proportionality in compliance, and clearer eligibility guidance. Framing patterns in the documents leaned heavily on EU identity, intergenerational justice, and the imperative of democratic renewal amidst global turbulence. Many stakeholders explicitly linked programme success to broader geopolitical resilience, competitiveness, and social cohesion within the Union

Youth respondents

Youth respondents made up nearly half of all EU citizen contributions, equating to approximately 1,367 participants out of 2,780 EU citizen submissions. The high level of engagement highlights the relevance of EU programmes to young people and offers an important opportunity to understand the emerging expectations, policy preferences, and engagement patterns of younger Europeans.

The analysis draws on both quantitative indicators and qualitative content, enabling a layered understanding of how youth perspectives align with or differ from the general respondent pool. By comparing under-30 responses with those from individuals aged 30 and above, the report identifies key points of convergence and divergence in support levels, values, priorities, and ideas for programme reform. This approach ensures that youth views are not only heard but analytically integrated into the broader findings of the consultation.

Quantitative overview of youth response patterns

Youth respondents consistently indicated higher support for most proposed EU actions compared to their older counterparts. These differences were particularly notable in areas linked to democratic values, inclusion, mobility, non-formal education, and international solidarity. For example:

In Question 1, which assessed the importance of various policy priorities, young respondents were more likely to rate support for study and training abroad, civic participation, and equity-focused measures as "very important."

Question 5, which evaluated potential future actions in the area of values and civil society, showed that 74% of under-30s prioritised mutual learning, exchange of good practices, and coalition-building, compared to 69% of those aged 30 and over. Similarly, 65% supported actions strengthening grassroots civil society organisations, aligning with their emphasis on bottom-up engagement.

In Question 6, youth respondents ranked administrative complexity, lack of clarity in procedures, and burdensome compliance mechanisms as more significant barriers than other age groups.

Qualitative overview of youth-specific themes and priorities

A more detailed review of open-text answers and attached position papers revealed several recurrent themes among youth respondents:

- **Inclusion and accessibility**: Young people strongly advocated for making EU programmes more inclusive by simplifying application processes, reducing bureaucratic hurdles, and providing better support for newcomers and marginalised groups. Many emphasised the need for multilingual outreach, local partnerships, and targeted funding for rural youth.

- **Recognition of non-formal and informal learning**: Many young participants stressed the importance of acknowledging the educational value of volunteering, youth work, activism, and digital learning. They proposed including microcredentials, experience-based assessments, and digital portfolios as part of recognition frameworks.

- **Democracy, rights, and civic space**: Young respondents consistently identified EU funding as a tool to counter disinformation, hate speech, and shrinking civic space. They called for greater investment in civic education, participatory democracy projects, and support for youth-led initiatives that promote tolerance, equality, and critical thinking.

- **Digital and green skills and transitions**: Many highlighted the need for EU programmes to support climate education, youth-driven green innovation, and environmental volunteering. In digital fields, youth expressed interest in digital literacy training, support for ethical AI education, and safe online participation platforms.

- **Mobility and international solidarity**: Respondents endorsed continued and expanded investment in Erasmus+, European Solidarity Corps, and partnerships with candidate and neighbouring countries. This was framed not only in terms of individual development but as a collective European project rooted in solidarity and intercultural understanding.

Youth-driven proposals and innovations

Beyond endorsing existing initiatives, many youth respondents offered forward-looking ideas to enhance the effectiveness and inclusivity of EU programmes. Some of the most recurrent proposals included (examples):

- Establishing a "European Youth Civic Campus" combining education, solidarity, and civic action across Erasmus+, ESC, and CERV frameworks.

- Setting aside a dedicated percentage of funding within each major programme for youth-led, grassroots initiatives, including microgrants and project incubators.

- Developing tools for participatory monitoring, enabling young people to co-create indicators, assess programme impacts, and shape annual priorities.

- Creating digital hubs or local support centres to connect rural and underrepresented youth with EU-level opportunities.

Youth check

These trends underscore a forward-looking, collaborative, and values-based approach among youth respondents. Their consistently higher response positivity also suggests a strong belief in the potential of EU programmes to address current and future challenges. Findings from the OPC align strongly with the Commission’s Youth Check framework, confirming that the

perspectives of young people not only match the broader results but reinforce the most forward-leaning policy directions. While there are no fundamental divergences in terms of programme objectives or values, youth inputs offer important added value in their emphasis on intersectionality, long-term social impact, and innovation.

Their responses offer – in particular in this cluster of interconnected policies – strong justification for embedding youth considerations into every stage of programme design – from conception and budgeting to delivery and evaluation. It also supports the case for stronger youth representation in governance structures, including advisory groups and midterm review panels.

ANNEX 3: PRACTICAL IMPLICATIONS OF THE INITIATIVE

Who is affected and how?

The following groups can be distinguished as the most affected groups by the future instruments under this cluster.

1) **Individuals**

Citizens and communities at large – Citizens are impacted insofar the respect of their fundamental rights is ensured, and by the rights and opportunities they have to live freely, participate in the democratic process and engage in society, access quality education and culture, regardless of their gender, racial or ethnic origin, religion or belief, disability, age or sexual orientation. Between 2021-2024, more than 60 million people were expected to be reached by the activities supported by the CERV programme. Through the focus on access to cultural content and heritage in the Culture strand of Creative Europe, the general public is also impacted: according to a conservative estimate, under the first iteration of the Creative Europe programme, cultural activity funded by this strand was accessed 91.5 million times in the period 2014-2020.

Children and young people: this group is particularly affected by the environment in which they are growing up and by all forms of violence, both offline and online, including in the domestic sphere and at school. They are increasingly facing mental health issues, heightened by unhealthy use of digital media and the repercussions from Covid-19 pandemic. They are also the most impacted by the quality and methods of teaching and training, as well as access to formal education and other learning opportunities (for example non-formal and informal learning, volunteering or sport), which equip them with the necessary skills and competences needed for their future life and jobs. Their capacity to participate to the democratic life at all levels of society needs to be increased.

Education and training, youth and sport staff: Teachers, trainers, educators, coaches, youth workers need continuous opportunities to expand their professional and personal skills. This ensures that they can deliver high-quality content and methods, which not only benefits learners but also enhances their own job satisfaction and motivation. Under the current Erasmus+, 200.000 staff in the field of education and training, youth and sport are directly involved yearly.

Human rights defenders, whose work is essential to protect and promote EU values on the ground.

Artists, media and cultural and creative professionals: This group relies on opportunities to explore cultural and creative endeavours, directly impacting their capacity to innovate and create. As an example, around 7,200 artists and creative professionals have benefited from the individual mobility scheme of the Creative Europe's Culture strand from 2021 to 2024.

2) **Public authorities**

EU and national public authorities, who are often the ones implementing EU policies and legislations on the ground, thus contributing to the achievement of overall EU objectives. Local authorities and public institutions, notably in town twinning, civic education, and rule of law promotion, improve enhanced democratic culture, memory and cohesion through citizen-centred projects.

Education and training institutions and providers, including schools, VET providers, higher education institutions (HEIs), adult education providers, as well as Erasmus+ National Agencies and Jean Monnet centres, which promote EU studies, in their ability to deliver improved teaching quality, institutional capacity and European cooperation in education, enhanced institutional modernisation, internationalisation and innovation capacity. Under the current Erasmus+ and European Solidarity Corps, close to 20.000 unique education and training institutions and providers are directly involved yearly.

Other public authorities at local, regional and national levels in charge of education, youth, sport, and training systems, non-governmental and public entities hosting and coordinating solidarity activities, including municipalities, social enterprises and non-profits, and local communities, through enhanced civic participation, intergenerational solidarity and support to vulnerable populations. They will strengthen their ability to steer reforms, address challenges, and coordinate EU-wide actions in the policy areas of the cluster but also deliver increased social capital and community development from e.g. volunteer involvement.

3) **Civil society at large**

Civil society organisations play a vital role in European society and democracy, contributing to the enrichment of the sectors in this cluster through community involvement and advocacy, promoting EU values, citizens' rights, cultural diversity, representing young people's voices etc. Their work benefits from opportunities to build capacity, network and (co)operate transnationally. Between 2021-2024, more than 5000 civil society organisations were directly supported by the CERV programme.

Civil society organisations and rights defenders, including those working on inclusion, gender equality, anti-discrimination, child protection, and LGBTIQ rights, who will see improved ability to sustain advocacy, inclusion and watchdog roles contributing to EU fundamental values. Victims of violence or discrimination, as well as organisations offering legal, psychological and social support, offering better protection, support and visibility of victims' rights and services. Academic and legal networks, supporting evidence-based rights policy and democratic resilience, who will see better informed rights-based policymaking and enhanced rule of law awareness.

Youth and grassroots sport organisations, including NGOs and clubs promoting participation, inclusion and healthy lifestyles, who will increase capacity and make use of quality and innovative practices, leading to broader reach and impact in fostering inclusion, active citizenship and social cohesion. Under the current Erasmus+ and European Solidarity Corps, close to 6.000 unique youth and sport organisations are directly involved yearly.

Cultural and creative entities of various types[163] that benefit from the cooperation, networking, peer learning and exchange of ideas and experiences. 80% of beneficiaries of the Culture strand of the current Creative Europe programme are entities employing less than 49 employees, 9% are medium-sized entities (between 50 and 249 employees) and 11% are large entities (250 or more employees), reflecting the general structure of the CCS in the EU. Between 2021 and 2023, the Culture strand of Creative Europe benefitted 2,176 organisations.

4) **Companies**

Companies across sectors that are facing skill shortages, underscoring the need for effective education and training systems that equip individuals with the skills required by the labour market.
According to the Erasmus+ evaluation, the connection with businesses has increased, especially in the Vocational education and training (VET) sector, while the adult education sector was the second – after VET – registering the highest level of participation of SMEs in indirectly managed actions supporting cooperation projects [164].

Audiovisual and media companies: According to 2023 European Media Industry Outlook, SMEs account for 99.8% of all companies active in the audiovisual, news media and video games, mainly independent companies. In the current MEDIA Strand under Creative Europe**, 99% of the direct beneficiaries were SMEs** (reflecting the 99% of SMEs amongst European AV enterprises), of which 25% were small and nearly 70% micro. Micro and Small organisations account for 50% and 40% of total value of grants respectively under Creative Europe 2014-2020.

5) Countries

Partner, candidate and third countries and organisations and institutions in these countries which benefit from increased cooperation and people-to-people contacts with the EU. This is particularly relevant for candidate and potential candidate countries, as enhanced cooperation can aid their integration efforts and prepare them for future EU membership. In addition, learning mobility will support the cooperation efforts with third countries in the framework of e.g. talent partnerships. Under the current Erasmus+ and European Solidarity Corps, some **2.5000 unique organisations and institutions from non-EU countries** are **directly involved yearly.**

Overview of benefits

Table 1: Overview of Benefits (total for all provisions) – Preferred Option

Measures	*Who will benefit?*	*Direct and indirect benefits*
SO 1.1 Contribute to upholding the rule of law, fundamental rights and equality, reduce discrimination and empower civil society		
Support to fundamental rights	Citizens; civil society organisations; society at large	Increased visibility and awareness of fundamental rights and relevant EU policies and tools supported by the programmes. Most participants to CERV-funded activities self-report higher level of awareness of rights as an EU citizen (84%), knowledge of EU legislation to promote and protect values (88%) as well as relevant EU tools and initiatives (68%), and awareness of common European history (91%), than the general public[165].
Promote equality and fight against discrimination	Citizens, civil society organisations, society at large	Citizens will feel less discriminated against and experience less harassment[166]. A more gender equal EU would have strong, positive GDP impacts growing over time, higher level of employment and productivity and could better respond to challenges related to the ageing population in the EU[167].

Nurture a vibrant civic space and protect human rights defenders and whistleblowers	Citizens, civil society organisations and human rights defenders, society at large	Citizens and organisations will be enabled to participate meaningfully in the political, economic, social and cultural life in their societies. Civil society will be able to play their key role in bringing to life the values shared between the EU and its Member States as specified in Article 2 of the Treaty on European Union (TEU). Civil society will also be able to make a substantial contribution to the implementation of EU policies in the area of human rights. A significant majority (88%) of respondents to the public consultation carried out for the mid-term evaluation of the CERV programme agreed that, if CERV funding were to cease, the impact on civic space would be negative[168].
SO 1.2 Contribute to fighting against gender-based violence, violence against children and other groups at risk		
Address gender-based violence, violence against children and other groups at risk	Girls, women, children and other groups at risks, citizens, society at large	Girls, women, children, LGBTIQ and other groups at risk in the EU will be protected and supported, their rights will be safeguarded. Citizens will be safe and empowered in all their diversity.
SO 1.3 Contribute to enhancing democratic resilience and participation		
Diversity and viability of the civic and media sphere	Society at large	In a healthy and thriving democracy, citizens can freely express their views, choose their political leaders, and have a say about their future. Free media and civil society will be able to play their role in stimulating open debate, free from interference, either foreign or domestic.
SO 1.4 Contribute to supporting news media, media independence and tackling disinformation		
Structural support to news media	Media organisations; Citizens	Media organisations, in particular SMEs, will benefit from better business models, potential avenues to scaling up and improve their uptake of digital technologies; Enhanced digital transition, innovation and automation; Increased financial viability; Support to local and investigative journalism; Improving audience engagement; Citizens will benefit from enhanced access to quality news on EU affairs and diverse offerings of professionally produced news content.
Preserve the integrity of the information space	Citizens; Civil Society Organisations including Factcheckers; Media organisations	Strengthened capacity and speed to monitor the integrity of the online information space; Strengthened situational awareness on hybrid threats; better protection of information spaces from manipulation; Acceleration in detection through new technology and tools; better collaboration between multidisciplinary communities; enhanced detection and exposure of disinformation narratives & campaign as well as information manipulation attempts
Addressing media literacy	Citizens; Factcheckers; Media organisations	Strengthened societal resilience against disinformation and information manipulation, including among vulnerable groups; increased democratic participation of all segments of the population; improvements of online safety: contributions to boost basic skills, including critical thinking and understanding of online media;
SO 1.5 Enhance production, circulation, and consumption of EU audiovisual/media content.		

Support the production of EU audiovisual and media content	Audiovisual and media organisations/ companies	Strengthened European cultural diversity, societal resilience, 'soft power' and competitiveness; enhancement cross-border collaboration between audiovisual and media companies; increase in content development and (international) co-productions including among countries with different audiovisual capabilities; more internationalisation and market promotion of EU audiovisual companies; enhanced. Support the production of video games; support the production of transmedia content
Support the circulation of EU audiovisual and media content	Audiovisual and media organisations/ companies	Increased transnational circulation, promotion, visibility impact of audiovisual and media content (e.g., films, video games), across Europe and worldwide; Increasing the level-playing field across participating countries. Deepen the Single Market in the audiovisual media sector; Facilitate the adoption of innovative business models responding to global market developments, especially digital media and AI
Enhance access to audiovisual content	Citizens; Audiovisual and media organisations/ companies	Better facilitate access to European AV works to people across the EU, including in areas currently not well served; Attract international audiences to European AV works.
Enhanced export possibilities and increased access to export markets for audiovisual SMEs	Audiovisual companies	Increase the presence of European content and strong European intellectual property outside Europe, expanded market shares of European companies in overseas markets (international competitiveness)
SO 1.6 Increase in cross-border cultural cooperation, cultural participation and accessibility, and circulation of diverse cultural works, while strengthening cultural and creative sectors		
Promote cooperation, creation, networking and pooling of experience in CCS Support circulation of diverse cultural content and access to cultural diversity and heritage Support mobility of artists and CCS professionals	Cultural and creative entities of all types (SMEs, institutions, associations, networks etc.); Artists and CCS professionals; Citizens and society at large (in particular youth)	Stronger CCS better equipped to address key challenges, such as market fragmentation, the dual transition and surge of AI etc. A significant majority (87%) of respondents to the Beneficiary Survey caried out for the final evaluation of Creative Europe 2014-2020 and the mid-term evaluation of Creative Europe 2021-2027 said that capacity-building support had an impact in terms of helping them develop skills to work transnationally, with around 70% saying it had either a major or significant impact.169 40 European networks are currently supported by Creative Europe (representing 4,000 members) offering capacity-building activities to cultural and creative sectors' professionals. Reinforced CCS creative potential in respect of artistic freedom; a more diverse cultural content circulating across national and linguistic borders Data from projects supported shows that cultural activity supported by Creative Europe's Culture strand was accessed either virtually or in person 91.5 million times over the course of 2014-2020.[170] More artists and CCS professionals expanding their careers beyond national and linguistic borders and developing innovative practises

beyond national borders Strengthen all dimensions of CCS (social, economic and international)		From 2014 to 2020, the Creative Europe's Culture strand supported 22,763 professionals internationalise their careers and gain experience in other countries, corresponding to a total of 296,083 mobility days.171 The individual mobility scheme of the Creative Europe's strand launched in October 2022 supported the cross-border mobility of of 3,800 artists between end 2022 and 2023[172.] Increased and more inclusive access of all, in particular the younger generations, to more diverse cultural content and heritage Monitoring data from Creative Europe's Culture strand show that over the period 2014-2020, one in four projects had a specific focus on reaching an underrepresented group, including minority ethnic groups, younger people and migrants, with 76% of projects being effective in reaching audiences that do not tend to visit, watch or consume culture.[173] Increased number of international cultural partnerships and exchanges 20% of the projects funded under the Culture strand involve third-country organisations, supporting in this way the Union's global strategy for international relations174.
Increase digitisation, access, preservation and reuse of digital heritage	Cultural and creative entities of all types (SMEs, institutions, associations, networks etc.); Artists and CCS professionals; Citizens and society at large (in particular youth)	Increase in the number of digitised cultural assets for preservation purposes. Increased access, in particular digital access to high quality cultural content; Increase in opportunities to reuse digital heritage for a variety of purposes such as for education, tourism or creative purposes; More efficient and performing digitisation and preservation processes. Gain deeper knowledge of the origin and evolution of heritage assets through the wider use of cutting-edge technologies such as AI and 3D; Allow more cultural heritage institutions to benefit from technology advancement, especially smaller institutions and those in remote regions/locations.
SO 1.7 Spur cross-cutting innovation and promote sustainability of media, cultural and societal entities		
Support innovation in technology and business models	Audiovisual and media organisations/ companies Organisations/companies from other cultural and creative sectors. Citizens accessing cultural heritage, cultural heritage institutions such as galleries, libraries, archives, museums,	Experimentation and testing of technology and business models; Faster uptake digital tools and successful business models; Cost and operational efficiency (cost and price competitiveness); Expanding market reach (international competitiveness). Increase in the number of digitised cultural assets for preservation purposes; (*indirect benefit*) Increased opportunities for cultural tourism, especially in less visited regions.
Expansion of equity instruments to more IP-intensive sectors. Improve access to finance of the media,	Audiovisual and media organisations/ companies Organisations/companies from other cultural and creative sectors	Stimulating more private investment; Enhancing co-investment; Improvements in Supporting IP exploitation and ownership by European players; Financial strength (e.g., liquidity); Lowering the risk of IP.

cultural and societal sectors. Improve access to finance of the media, cultural and societal sectors.		
SO 2.1 Support transnational cooperation around education and skills		
Transnational cooperation in the areas of education and skills, youth and sport to elevate quality across all fields	Individual level: learners (pupils, students, VET learners, Higher Education students, adult learners, youth workers, young people, people active in sport) – Staff: teachers, trainers, educators, youth workers, sport coaches Organisational level: Education and training institutions and providers, including schools, VET providers, higher education institutions, adult education providers, private companies and SMEs, Youth, volunteering and sport organisations. Indirectly: Individuals at all stages of learning and training, including school pupils, VET learners, students in higher education, adult learners, young people overall	Increased quality of teaching and training practices and youth work methods Increased networking and internationalisation of the staff and the organisations Improved capacity and performance of the education and training, youth and sport institutions and organisations Modernisation of the education and training, youth and sport systems institutions and organisations Increased excellence and innovation through strategic, long-term and enhanced cooperation eg the European Universities Alliances Increased development, retention and attraction of talent Further ~20,000 organisations/institutions benefit annually from Erasmus+ and the ESC. They report improved teaching quality, institutional capacity, and stronger international cooperation. 65 European University Alliances are currently supported, involving more than 560 universities in Europe and beyond cooperating on strategic domains like green and digital sectors.
***SO 2.2** Support to transnational learning mobility and learning opportunities*		
Support to transnational mobility	Individuals at all stages of learning and training, including school pupils, VET learners, students in higher education, adult learners, young people overall Education and training, youth and sport staff: Teachers, trainers, educators, youth workers, sport coaches Education and training institutions and providers, including schools, VET providers, higher education institutions, adult education providers	Improved skills development, certification and portability Improvement and development of new and improvement of existing skills, Increased employability Increased transparency, certification and recognition of skills and competences cross-border Increased inclusivity and accessibility for individuals with fewer opportunities Improved mental and physical health, increased self-confidence. Increased employability. Transnational mobility will boost key transversal skills, employability, and personal development.

	Youth and sport organisations	
SO 2.3 Promote lifelong learning, improving skills and new competences		
Promote lifelong learning, improving skills and new competences	Citizens Institutions active in the fields of education, training, youth and sport Or Individuals at all stages of learning and training, including school pupils, VET learners, students in higher education, adult learners, young people overall Education and training, youth and sport staff: Teachers, trainers, educators, coaches, youth workers Education and training institutions and providers, including schools, VET providers, higher education institutions (HEIs), adult education providers Youth, volunteering and sport organisations	Improvement and development of new and improvement of existing skills, across lifelong learning including increase of upskilling and reskilling Increased employability Increased transparency, certification and recognition of skills and competences cross-border Improved skills development (over 88% of Erasmus+ participants self-report improved competences), certification and portability Increased inclusiveness
SO. 2.4 Support policy experimentation and development accelerating modernisation		
Policy experimentation and development, accelerating modernisation across education and training	Education and training systems, policies/policy makers at national and subnational level Youth and sport policies/policy-makers at national or subnational level Education and training institutions and providers, including schools, VET providers, higher education institutions (HEIs), adult education providers Youth and sport organisations.	Increased evidence based policy making in the fields of education and training, youth and sport Increased transparency, certification and recognition of skills and competences cross-border Increased recognition of the role of non formal learning and youth work profession Facilitate national reforms through the development, testing of solutions and innovative practices which are then scaled-up and transferred at national level. Increased policy dialogues in the fields of education and training, youth and sport and cooperation with relevant stakeholders. As example, Erasmus+ triggered the Bologna Process which led to a reform of the higher education area in 48 countries by introducing the three-cycle

		higher education system and ensuring the mutual recognition of qualifications and learning periods abroad completed at other universities. Indirect long-term impact on the overall quality of the education and training systems, acquisition of skills for life and jobs, and competitiveness
SO. 2.5 Foster solidarity, civic education and engagement		
Foster solidarity, civic education and engagement	Local communities, Education, training, youth and sport institutions, local and regional authorities Youth and sport organisations Individuals at all stages of learning and training, including school pupils, VET learners, students in higher education, adult learners, young people overall	Increased sense of belonging and community spirit - Civic and European Identity: 88% of Erasmus+ and 71% of Solidarity Corps participants reported a stronger sense of European belonging. Increased knowledge about the EU, democracy, citizens rights, EU values Increased civic engagement Increase of a culture of solidarity Improved mental and physical health, increased self-confidence. Increased inclusivity and accessibility for individuals with fewer opportunities Increased tolerance and intercultural understanding - 94% of Erasmus+ participants declared that they have increased their tolerance awareness and 53% stated that they have reached a better understanding of inclusion and diversity. Civic and European Identity: 88% of Erasmus+ and 71% of Solidarity Corps participants reported a stronger sense of European belonging. Over 6,000 organisations engage in Erasmus+ and ESC. They support inclusion through sport, youth engagement, and social cohesion projects. Lower access barriers: Students from rural or disadvantaged backgrounds face compounded barriers, especially when information, digital skills, housing, or guidance are lacking. For example, only 8% of youth were aware of the Solidarity Corps versus 49% for Erasmus+.
SO 3.1 Increase effectiveness of EU funding by addressing linked EU challenges, improving cooperation, and fostering coordination of the main policy areas		
	Administrations (i.e., European Commission, relevant agencies, national authorities where relevant)	More impactful results through more effective use of impact indicators and feedback to policy mechanisms.
SO 3.2 Improve efficiency for applicants and beneficiaries, and at EU level		
	Administrations (i.e., European Commission, relevant agencies, national authorities where relevant)	Productivity gains for the Commission. There would be significant gains for several Commission services, including central services, as a number of procedures that are currently duplicated will be reduced (e.g. two work programmes to be adopted and prepared; two programme committees to be held instead of four - with a reduction of the hours of interpretation needed,

		the number of translations, the reduction by 50% of validation steps; common evaluations, communication campaigns, etc.). Productivity gains for Implementation bodies. There would be significant productivity gains, in the case of a single programme for Erasmus+ and the European Solidarity Corps, as a number of horizontal activities carried out by National Agencies such as information sessions, maintenance of different websites, large scale communication campaigns) will be common and thus reduced compared to today. Productivity gains for beneficiaries. Beneficiaries (especially small actors) benefit from one-stop-shop, fewer portals, harmonised rules, and simplified reporting rules. Reductions in the overall burden of participating in the EU programmes (grant management reporting and checks reduced through simplification). For Creative Europe, 66% of beneficiaries report that the administrative burden is high or very high, and the length of the application and grant process is among the main difficulties in preparing an application (56% believe that the process to make applications is hard or very hard). Paperless systems are seen as a source of simplification. The current programme has reduced the number of beneficiary organisations that have to submit financial capacity checks by 51%. Under Creative Europe, lumpsums account for 62% of funded projects (vs 24% in the previous programme). Multiannual financing entails as well reductions of the number of days spent by beneficiary organisations on making repeat grant applications. The usage of cascading grants equally reduces the number of beneficiary organisations that contract with the Commission. Qualitative – reduced time and effort – In the case of the merge of the Corps and Erasmus+, this benefit will be significant for 30% of the current Corps beneficiaries, also applying and managing projects through separate process while option 2 would bring opportunities under common call and application process.
SO 3.3 Increase coherence by promoting synergies and complementarities		
	Administrations (i.e., European Commission, relevant agencies, national authorities where relevant)	Productivity gains for funding bodies. Maximisation of impact stemming from reduction of overlaps and study of complementarities. Productivity gains from better coordination at local, national, EU levels, allowing for scaling up projects and ensuring sustainability of results.
SO 3.4 Ensure proportionality by improving reactiveness to new challenges and minimising risks		
	Administrations (i.e., European Commission, relevant agencies, national authorities where relevant)	Gains resulting from the adaptability of the funding to new policy areas and support better structured along tested policy problems over long periods, ensuring predictability. Beneficiaries obtain gains from better flexibility of the funding. Increased visibility of all EU opportunities and policies for stakeholders young people and youth organisations. Youth participation in formal democracy is declining, with few pathways into civic decision-making. OPC feedback confirms strong support for structured civic and EU education starting from early ages. Option 2 provides for clear-cut interventions per policy areas, which will guarantee and prevent any dilution of the policy goals and visibility and recognition across the relevant sets of different stakeholders.

Overview of costs

Table 2: Overview of costs – Preferred option							
		Citizens/Consumers		**Businesses**		**Administrations**	
		One-off	**Recurrent**	**One-off**	**Recurrent**	**One-off**	**Recurrent**
Objective-based merger	Direct adjustment costs	n/a	n/a	Learning and getting used to streamlined application systems	Low	IT system changes, staff training, migration costs	Minor
	Direct administrative costs	n/a	n/a	Integration of processes and support systems	Lower under simplified procedures	Alignment of back-office functions, calls and oversight	Net decrease due to e.g. merged comitology, joint calls, and simplification for national agencies
	Direct regulatory fees and charges	n/a	n/a	n/a	n/a	n/a	n/a
	Direct enforcement costs	n/a	n/a	n/a	n/a	a) Audit costs harmonised across merged programmes (e.g. decentralised model) b) Funding support to media-related regulatory framework (European Board for Media Services)	a) Small increase in short term, decrease long term of audit costs
	Indirect costs	n/a	n/a	Minor	Minor	Coordination with national institutional and sector-specific actors	Offset by reduced fragmentation

(1) *Estimates (gross values) to be provided with respect to the baseline; (2) costs are provided for each identifiable action/obligation of the preferred option otherwise for all retained options when no preferred option is specified; (3) If relevant and available, please present information on costs according to the standard typology of costs (adjustment costs, administrative costs, regulatory charges, enforcement costs, indirect costs;).*

Relevant sustainable development goals

Table 3: Overview of relevant Sustainable Development Goals – Preferred Option(s)there are		
Relevant SDG[175]	**Expected progress towards the Goal**	**Comments**
SDG no. 3 – Ensure healthy lives and promote well-being for all at all ages	The proposed option will contribute to improved health, including mental health/well-being, for instance by supporting organisations working with victims of violence, through a focus on cultural participation and access and through the promotion of sport and healthy life habits e.g. in schools but also local communities through volunteering activities. Cultural and sport activities will also have a significant on health in general, as well as on mental health. Measures taken related to addrressing disinformation, cyberbullying, support for disadvantaged groups area also expected to have a positive role on mental health.	The contribution of the future instruments to the achievement of the SDGs is hardly quantifiable. This applies to all SDGs listed in this table.
SDG no. 4 – quality education	The proposed option, primarily supporting objective 2, will contribute to raise quality, accessibility and inclusiveness of education and training systems.	Achievement of these goals should be possible through a combination of national policies and funding, EU funds (Erasmus+, European Solidarity Corps; but also cohesion funds, future competitiveness fund etc).
SDG no. 5 – Achieve gender equality and empower all women and girls	The proposed option will make specific contributions to gender equality, for instance by providing dedicated funding to support Member States in transposing the Pay Transparency Directive, by bolstering the capacity of organisations fighting gender-based violence, by enabling grassroots civil society organisations to engage at the local level and promote an active civil society, empower active and informed citizens to counter gender-based discrimination and promote gender equality. |It will also contribute to the protection and fulfilment of the fundamental rights of women and girls.	/
SDG no. 8 – Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all	The proposed option will support projects contributing to equal access to work, equal participation in the labour market, diversity in public- and private-sector organisations and the elimination of barriers to career progression in all sectors. Through support to high quality and inclusive education and training and development of skills for all, the proposed option supports employability of individuals including those with fewer opportunities. Support to audiovisual and media industries have multiplier effects on competitiveness, and thus economic growth. This support will be strengthened and costs will be minimised, to ensure an efficient and effective EU intervention.	/
SDG no. 10 – Reduce inequalities within and	Through transnational projects sharing good practices, training courses and awareness-raising	/

among countries SDG no. 10 – Reduce inequalities within and among countries	activities, the proposed option will contribute to reducing inequalities and eliminating discrimination among EU citizens and among Member States.	
SDG no. 16 - Promote peaceful and inclusive societies for sustainable development, provide access to justice for all and build effective, accountable and inclusive institutions at all levels –institutions at all levels	The proposed option will promote an inclusive society, the rule of law, democratic participation, and the end all forms of violence (against women, children, LGBTIQ people, and other groups at risk). EU funds will support entities that contribute to helping the EU's common values, fundamental rights, freedoms and equality, and its rich cultural diversity. The proposed option will strengthen potential actions around media freedom and pluralism. Access to information will also be enhanced by a coordinated support to news media production and distribution.	/
SDG no. 17 – Strengthen the means of implementation and revitalise the Global Partnership for Sustainable Development	The proposed option will contribute to the goal by building the capacity of civil-society organisations and promoting strong partnerships among stakeholders.	/
Other SDGs	Other connections can be established with SDG 11 (Make cities and human settlements inclusive, safe, resilient and sustainable) via the synergies between some projects and the New European Bauhaus; and SDG 12 (Ensure sustainable consumption and production patterns) through the cross-cutting focuses on greening.	

ANNEX 4: ANALYTICAL METHODS

1. MULTI-CRITERIA DECISION ANALYSIS

This Annex describes the analysis of the impacts with the Social Multi-criteria Evaluation (SOCRATES) model developed by the Joint Research Centre (BR Tool#62, pp. 550-553).

1.1. Description of Social Multi-Criteria Evaluation (SMCE) methodological framework and software tool

SOCRATES (**SO**cial multi **CR**iteria **A**ssessmenT of **E**uropean policie**S**) is a multiple criteria assessment software tool, explicitly designed for *ex-ante* Impact Assessment (IA) problems [176]. Quantitative evidence plays an important role in many IAs, but also qualitative data such as stakeholder input, conclusions of evaluations, as well as scientific and expert advice are frequently used. This generates a multitude of criteria, which should be consistently integrated and evaluated when comparing policy options. The most widespread multidimensional approach to ex-ante IAs is multi-criteria decision analysis, which forms the basis for social multi-criteria evaluation (SMCE[177]), which has been explicitly designed for public policy.

Overall, the objective of SOCRATES and the underlying SMCE methodology is not to substitute policy-makers through a mathematical model, but to improve their understanding of the main features of the problem at hand, such as key assumptions, degree of uncertainty, robustness of results and overall technical and social defensibility of options chosen. While SMCE has about three decades of applications in a multitude of policy problems around the World, its recent technical implementation SOCRATES has been applied in various EC Impact Assessments.

SMCE proceeds on the basis of the following main concepts: dimensions, objectives, criteria, weights, criterion scores, impact matrix and compromise solution.

- **Dimension** is the highest hierarchical level of analysis and indicates the scope of objectives, criteria and criterion scores.
- **Objectives** indicate the direction of change desired, e.g. growth has to be maximized, social exclusion has to be minimized, and carbon dioxide emissions have to be reduced.
- A **criterion** is a function that associates alternative actions with a variable indicating its desirability.
- **Weights** are often used to represent the relative importance attached to dimensions, objectives and criteria. The idea behind this practice is very intuitive and easy, that is, to place the greatest number in the position corresponding to the most important factor.
- A **criterion score** is an assessment of the impact consistent with a given criterion with reference to a policy option. Criterion scores can be both qualitative and quantitative.
- The **impact matrix** presents in a structured way the information on the various criterion scores, i.e. each element of the matrix represents the performance of each option according to each criterion.

In general, in a multi-criterion problem, there is no solution (ideal or utopia solution) optimizing all the criteria at the same time, and therefore **"compromise solutions"** have to be found.

In summary a SMCE approach can supply a methodological framework where the hierarchical structure of the option comparison step of a typical ex-ante IA (including dimensions, objectives and evaluation criteria) is clarified as much as possible by means of well-established concepts in the decision theory literature. This might help in increasing the degree of homogeneity across IA studies. The SOCRATES software helps structuring such a methodological framework.

A typical SOCRATES input requires the definition of policy options (called alternatives) dimensions, objectives and criteria. This information leads to the construction of an impact matrix, which may include crisp, stochastic or fuzzy measurements of the performance of an alternative with respect to an evaluation criterion. Qualitative information can be introduced too (in the form of linguistic or ordinal criterion scores). Weights as importance coefficients, may also be introduced. They can be attached to dimensions or criteria. Indifference and preference thresholds can also be introduced when needed. A social conflict matrix can also be constructed, where the impacts of each policy option on each social group are presented in a transparent way.

2.1 Assessment structure, criterion scores and impact matrix

This analysis compares the three options along four dimensions, namely **effectiveness, efficiency, coherence and proportionality**. For each of these dimensions, a set of objectives were agreed upon, reflecting the priorities outlined under General Objectives 1, 2 and 3 (see Figure below). For each objective, a set of indicators was selected (39 indicators overall).

For each indicator, a score was given, evaluating the impact of the three policy options. This was based on an expert assessment from the relevant Commission services, relying on current sets of data presented in *Annex I* (Evidence, Sources and quality), and on results of current evaluations, Spending Reviews, political guidelines and policy reports, studies, OPC, and independent sectoral reports and surveys. The criterion scores were measured in the following range: --- (the most negative), --, -, =, +, ++, +++ (the most positive). The neutral score (=) was understood as the option not having impact on the assessed indicator, or where the positive and negatives were seen as to balance out. A ranking was obtained, under the assumption that all indicators have the same weight, by applying the SOCRATES model.[178]

The assessment structure developed here has the following dimensions, objectives and criteria:

1. **EFFECTIVENESS**
   - **1.1. Continue to promote fundamental rights, EU values, democracy, media and culture**
     - 1.1.1. Upholding the rule of law and fundamental rights, degree of reduction of discrimination

1.1.2. Contribute to fighting against gender-based violence, violence against children and other groups at risk
1.1.3. Enhance democratic resilience and participation
1.1.4. Support to news media, media independence and capability of tackling disinformation
1.1.5. Production, circulation, and consumption of EU audiovisual/media content
1.1.6. Increase in cross-border cultural cooperation and increased cultural participation and accessibility, and circulation of diverse cultural works
1.1.7. Cross-cutting innovation and promote sustainability of media, cultural and societal entities

1.2. Support cross-border education and training, youth, sport and solidarity, contributing to skills for life and jobs

1.2.1. Support transnational Cooperation in the area of education and skills
1.2.2. Support to transnational learning mobility and learning opportunities
1.2.3. Promote lifelong learning, improving skills and new competences
1.2.4. Support policy experimentation and development accelerating modernisation
1.2.5. Foster solidarity, civic education and engagement

1.3. Addressing linked EU challenges

1.3.1. Enhance contribution to democracy
1.3.2. Enhance contribution to competitiveness

1.4. Improve cooperation

1.4.1. Cooperation between EC services and agencies
1.4.2. Cooperation between institutions/organizations in EU member states
1.4.3. Cooperation between EU and Third Countries (international cooperation)
1.4.4. Transnational Cooperation (within EU)
1.4.5. Potentiality to integrate inter-related projects

1.5. Foster coordination of main policy areas

1.5.1. Planning impacts continuity
1.5.2. Prevention of dilution of policy goals
1.5.3. Flexibility between programs to address policy issues

2. EFFICIENCY

2.1. Improve efficiency for applicants and beneficiaries

2.1.1. Ease of access for applicants
2.1.2. Time required for application
2.1.3. Reduction of administrative burdens for beneficiaries

2.2. Improve efficiency at EU level

2.2.1. Number of FTEs managing the program
2.2.2. Potential to streamline types of management (direct and indirect) to simplify EU governance
2.2.3. Potential to use the same implementing bodies/agencies/institutions/approaches for several programmes/policy areas
2.2.4. Impact on comitology/ interaction with national authorities

3. COHERENCE

3.1. Promote synergies and complementarities

3.1.1. Synergies/complementarities between clusters
3.1.2. Synergies/complementarities within the cluster
3.1.3. Synergies/complementarities with national & regional policies
3.1.4. Possibility of a rechannelling of funds between areas within a program
3.1.5. Reduce overlaps between funding actions addressing a policy objective

4. PROPORTIONALITY

4.1. Improve reactiveness to new challenges

4.1.1. Ability to address each of the specific problem drivers

4.1.2. Ability to address each of the specific programme objectives

4.1.3. Ability to sufficiently prioritise each of the main policy areas

4.2. Minimize risk

4.2.1.1. Risk of loss of customised approaches to (policy) specific needs and target groups

4.2.1.2. Risk of loss of branding fostered by visibility of current programmes vis-à-vis existing target groups

Table 1: Impact Matrix

Dimension	**Objective**	**Indicator**	**Scoring**			**Alignment with the intervention logic**
			Status Quo (1)	Objective-based merger (2)	Full integration (3)	
1. Effectiveness	1.1 Continue to promote fundamental rights, EU values, democracy, media and culture	1.1.1. Upholding the rule of law and fundamental rights, degree of reduction of discrimination	+	++	+	GENERAL OBJECTIVE 1
		1.1.2. Contribute to fighting against gender-based violence, violence against children and other groups at risk	++	+	-	
		1.1.3. Enhance democratic resilience and participation	-	++	++	
		1.1.4 Support to news media, media independence and capability of tackling disinformation	-	++	+	
		1.1.5. Production, circulation, and consumption of EU audiovisual/media content	+	++	+	
		1.1.6 Increase in cross-border cultural cooperation and increased cultural participation and accessibility, and circulation of diverse cultural works	+	=	-	
		1.1.7. Cross-cutting innovation and promote sustainability of media, cultural and societal entities	-	++	-	
	1.2. Support cross-border education and training, youth, sport and solidarity, contributing to skills for life and jobs	1.2.1. Support transnational cooperation in the area of education and skills	=	++	=	GENERAL OBJECTIVE 2
		1.2.2. Support to transnational learning mobility and learning opportunities	=	+	++	
		1.2.3 Promote lifelong learning, improving skills and new competences	=	+	+	
		1.2.4. Support policy experimentation and development accelerating modernisation	-	+	=	
		1.2.5. Foster solidarity, civic education and engagement	=	++	+	

	1.3. Addressing linked EU challenges	1.3.1 Enhance contribution to democracy	+	++	++	GENERAL OBJECTIVE 3, SO 1
		1.3.2 Enhance contribution to competitiveness	+	++	+	
	1.4. Improve cooperation	1.4.1. Cooperation between EC services and agencies	=	+	+	
		1.4.2. Cooperation between institutions/organisations in EU member states	=	+	+	
		1.4.3 Cooperation between EU and third countries (international cooperation)	=	+	=	
		1.4.4. Transnational cooperation (within the EU)	=	+	+	
		1.4.5 Potentiality to integrate inter-related projects	=	++	++	
	1.5. Foster coordination of main policy areas	1.5.1 Planning impacts continuity	+	-	--	
		1.5.2 Prevention of dilution of policy goals	=	+	-	
		1.5.3 Flexibility between programmes to address policy issues	-	+	++	
2. Efficiency	2.1 Improve efficiency for applicants and beneficiaries	2.1.1 Ease of access for applicants	-	++	+	GENERAL OBJECTIVE 3, SO 2
		2.1.2 Time required for application	=	+	+	
		2.1.3 Reduction of administrative burdens for beneficiaries	=	+	=	
	2.2 Improve efficiency at EU level	2.2.1 Number of FTEs managing the programme	=	+	++	
		2.2.2 Potential to streamline types of management (direct and indirect) to simplify EU governance	=	++	-	
		2.2.3 Potential to use the same implementing bodies/agencies/ institutions/approaches for several programmes/policy areas	=	++	+	
		2.2.4 Impact on comitology/interaction with national authorities	=	+	-	
3. Coherence	3.1. Promote synergies and complementarities	3.1.1 Synergies/complementarities between clusters	=	+	+	GENERAL OBJECTIVE 3, SO 3
		3.1.2 Synergies/complementarities within the cluster	--	++	+	
		3.1.3 Synergies/complementarities with national and regional policies	=	+	+	
		3.1.4 Possibility of rechannelling of funds between areas within a programme	-	+	++	

		3.1.5 Reduce overlaps between funding actions addressing a policy objective	-	++	+	
4. Proportionality	4.1 Improve reactiveness to new challenges	4.1.1 Ability to address each of the specific problem drivers	-	++	+	GENERAL OBJECTIVE 3, SO 4
		4.1.2 Ability to address each of the specific programme objectives	-	++	=	
		4.1.3 Ability to sufficiently prioritise each of the main policy areas	-	++	=	
	4.2 Minimise risk	4.2.1 Risk of loss of customised approaches to (policy) specific needs and target groups	+	++	-	
		4.2.2 Risk of loss of branding fostered by visibility of current programmes vis-a-vis existing target groups	+	-	--	

Table 2: Explanation of criterion scores

Criteria	**Explanation of Assigned Impact Matrix Values**	**Ranking Value by Alternative**		
		Status Quo (1)	**Objective-Based Merger (2)**	**Full integration of all programmes (3)**
Upholding the rule of law and fundamental rights, degree of reduction of discrimination	Option (1) provides the possibility to continue addressing the sources of discrimination as a dedicated objective supporting policy goals (even without a merger). Option (2) would allow to address objectives related to the fight against discrimination with a comprehensive approach (e.g., covering aspects related to biases in algorithms and IA tools). Option (3) might offer a similar benefit as Option (2) but risks reducing the dedicated focus on anti-discrimination because of the combination with several other policy areas (and hence, the effectiveness in supporting the implementation of the relevant EU policies).	+	++	+

Degree of fighting against gender-based violence, violence against children and other groups at risk	Option (1) preserves a long-standing history and identity of the funding. Option (2) comes with similar benefits as Option (1) but also with a risk of loss of focus. Under Option (3), dedicated support could be lost. The support of study/training is seen as an important policy priority for 90% of the respondents in OPC[179].	++	+	-
Enhance democratic resilience and participation	Under the status quo, we score (-), as certain areas particularly important for civic engagement and participation such as countering disinformation and media literacy are underfunded. The new mergers under Option (2) and Option (3) would in any case lead to a better focus on these aspects.	-	++	++
Support to news media, media independence and capability of tackling disinformation	Option (1) provides insufficient/inexistent funding and scope to certain policy areas and in others the support is fragmented and unstructured. For example, news media sectors and disinformation are today insufficiently supported through EU programmes, and rely on pilot projects and preparatory actions decided on an annual basis, or through prerogative lines (e.g., Multimedia Actions). In short, fragmented and insufficient support fails to address the growing threats to independent journalism and diverse media landscapes, especially in vulnerable Member States. Option (2) would reduce the aforementioned problems of the status quo and allow for additional cross-fertilisation between protection of media and democracy. An Objective-based consolidation allows for targeted calls and streamlined procedures that can prioritise media independence, notably by creating a strong pole of intervention linking media and democracy, potentially addressing the emerging policy priority, as stated in the policy guidelines. Option (3): Compared to Option (1), this option would still offer an opportunity to adapt the new MFF and insert media and disinformation related aspects into the next generation of EU programmes. However, this positive aspect is mitigated by the fact that media issues risk being diluted because of the lack of clear thematic boundaries, risk of confusion and complexity among many competing priorities and policy areas. Option (3) would allow to address disinformation also through education by, e.g., allowing better coordination between Erasmus+ and CERV. However, this would happen at a risk of dilution and not responding to specific needs of beneficiaries.	-	++	+

	The support of study/training is seen as an important policy priority for 90% of the respondents in OPC[180].			
Production, circulation, and consumption of audiovisual/media content	Option (1) is addressing this aspect. The mid-term evaluation of the Creative Europe 2021-2027 and final evaluation of the Creative Europe Programme 2014-2020. already confirms the success of MEDIA.[181] Yet, untapped opportunities remain and the challenges faced by the industry exceed the EU intervention. For example, on the demand side, EU audiovisual works are facing tough competition[182], the EU industry experiences a gap in equity financing of €399 million per year, the opportunities of cross-media IP exploitation remain underexplored. Option (2) would enhance the current success (e.g., foster competitiveness of the AV industry, increase citizens' access to audiovisual content, explore cross-media IP exploitation), but also would offer more flexibility of the legal bases, would allow for horizontal intervention in cross-cutting challenges such as innovation, investment (by increasing access to finance) and skills, and would contribute to administrative benefits in terms of efficiency and effectiveness. Option (3) would provide similar benefits as Option (2) but also comes with dilution of policy objectives, and complexity of governance.	+	++	+
Increase in cross-border cultural cooperation and increased cultural participation and accessibility, and circulation of diverse cultural works	Option (1) is the strongest option and scores (+) because with a stand-alone programme fully dedicated to the cultural and creative sectors, the risk of using cultural cooperation and cultural participation to reach other policy goals is decreased as all the objectives of the programme would be centered around culture and not on culture and values. The reason is that the current Creative Europe programme operated under Option (1) already finances many types of cultural works, coming from all the countries participating in the programme and from very different types of stakeholders, many of them fighting various forms of discrimination, as cultural diversity is precisely the key objective of the current programme. The risk of Options (2) and even more of Option (3) is that they both would move the centre of gravity of the existing Creative Europe programme away from culture (encompassing the cultural and creative sectors and audiovisual) towards a more values-based approach. The importance of culture would then be reduced to	+	=	-

	reach other policy goals. Option (2) would come with the risk of diluting culture with media because of, e.g., the focus on disinformation which again would be even intensified under Option (3), making the score of a full integration lower than of an objective-based merger. However, under Option (2), CERV's anti-discrimination could lead to increased types of work. This is why, Option (2) would score (=) and Option 3 would score negatively (-). OPC: 72% state that cross border support to cultural and creative sectors as an EU action would bring a positive impact in the future. OPC: 72% state that EU distribution, promotion and circulation EU content would bring a positive impact in the future[183].			
Cross-cutting innovation and promote sustainability of media, cultural and societal entities	Option (1) is the baseline, where there were no transversal actions addressing commonalities among all three societal, cultural and media entities. Financing responses to aspects such as innovation, access to finance, and sectoral skills have been fragmented, whereas there are challenges common to all sectors (such as digital transformation, rise of AI, financial weaknesses). The existing intervention shows examples of success (blending through MediaInvest, Creative Europe cross-sectoral strand). Option (2) creates a transversal response exploring the synergies across all objectives in General Objective 1, to address these aspects, and updating and uplifting the intervention of these areas and vertical policies. Option (3) makes the new model unworkable, as all policies would be merged together with other sectors, such as solidarity, youth and sport. It is not clear that the work of sectoral skills would benefit from being on a common pot with a general intervention on skills, whereas the other aspects (innovation and access to finance for media, cultural, societal entities) risk dilution within the wider priorities of a full merger.	-	++	-
Transnational cooperation in the area of education and skills	Option (1) is the baseline, where cooperation exists but there is a clear possibility for improvement. Option (2) would bring Erasmus+ and ESC together and offer additional cooperation potential, Option (3) provides no added value to Option (2) under this criterion, while also leading to loss of coherence and dilution.	=	++	=
Support to transnational learning mobility and learning opportunities	As opposed to Option (1), Option (2) showcases additional synergy between Erasmus+ and ESC. Option (3) could stimulate mobility in other areas than	=	+	++

	education, e.g., there could be bridges between Erasmus+ and mobility for artists currently under CREA. OPC: Cooperation and mobility in education, training, and solidarity is considered as part of the most impactful factors for young respondents under 30. The support of study/training is seen as an important policy priority for 90% of the private citizens under 30 responding to the OPC[184].			
Promote lifelong learning, improving skills and new competences	Option (1) is the baseline. Option (2) and Option (3) would both strengthen and orchestrate funding in a way that better covers all the skills acquisition spectrum in a lifelong and lifewide learning perspective, including upskilling and reskilling. This would increase reach and allow to achieve critical mass, thereby enabling more systemic impact.	=	+	+
Policy experimentation and development accelerating modernisation	Option (1) is characterized by restrictive legal bases that limit the scope. Option (2) could lead to (limited) new areas of experimentation like, e.g., new policy activities with Erasmus+ and ESC. Option (3) would provide similar benefits to Option (2) but would also put policy coherence at risk. The relative difference in size of the relevant programmes could lead to dilution of comparatively smaller ones.	-	+	=
Foster solidarity, civic education and engagement	Compared to Option (1), Option (2) well aligns with the wording "via education and solidarity" of the criterion name. Option (3) allows for a better integration of the aspects of social engagement and thus scores better than Option (1), but there is less potentiality than Option (2).	=	++	+
Enhance contribution to democracy	The current Option (1) already works quite well under this criterion. Option (2) provides much stronger policy coherence with respect to Option (1), by bringing together skills, education and solidarity on one side, and fundamental rights/values, countering disinformation/media support and democratic resilience on the other side. On the one hand, it would bring together programmes primarily aimed at protecting democracy and upholding EU values, media freedom and culture. It would combine CERV, Creative Europe and related budgetary prerogative lines (cf. General Objective 1). On the other hand, it would merge Erasmus+ and the European Solidarity Corps, two instruments predominantly supporting the acquisition of skills and key competences for life and jobs (General	+	++	++

	Objective 2), contributing to competitiveness and fostering solidarity and cohesion. This option would provide a closer alignment with two priorities outlined in the political guidelines for the new mandate: (i) Protecting democracy, upholding values and increased societal resilience and (ii) the Union of Skills. Option (3) would allow for an enhanced contribution to democracy through different angles (fundamental rights, EU values, media, culture, education and solidarity) than the baseline but comes with a risk of dilution given the high number of EU policies that would be addressed under one single instrument. This might result in a disequilibrium between longstanding priorities of protecting rights and combating violence, the growing focus on democratic resilience, and the skills and education component, including due to differing budget share within the cluster. Overall, this type of harmonisation may result in less tailored approaches to specific needs and target groups. Moreover, it may overly simplify complex policies that reflect different areas and degrees of EU competence and Treaty provisions and might result in lesser focus being put on enhancing democracy and respect of rights and EU values, especially in those areas where it is most needed. OPC: democracy, equality, rule of law, fundamental rights) and civil society are considered as part of the most impactful factors for young respondents under 30. The protection of democracy is seen as an important policy priority for 90% of the private citizens under 30 responding to the OPC[185].			
Enhance contribution to competitiveness	Option (1) shows good performance as the status quo already delivers an approach towards competitiveness, but it can be improved upon by Option (2). Option (2) could allow for larger economies of scale of EU expenditure. Option (3) comes with similar benefits to (2) but after a full merger, it could dilute the objective of programmes that specifically target competitiveness, like, e.g., Erasmus+. [186]	+	++	+
Cooperation between EC services and agencies	Currently, the status quo presents room for improvement from the cooperation side. Option (2) would showcase better coordination, because services would cooperate more on the preparation of programme documents.	=	+	+

	Option (3) is similar to (2), there would be even more cooperation which would come, however, with an increase in coordination costs due to further complexity. Moreover, not all the DGs involved have a standing cooperation with those that would be implied by this merger.			
Cooperation between institutions/organisations in EU Member States	Currently, the status quo presents room for improvement from the cooperation side. Although some policy areas are not politically and/or financially supported by certain MSs, Option (2) is scored as + because it would foster cooperation between applicants and participants. Option (3) is analogous to Option (2).	=	+	+
Cooperation between EU and Third Countries (International Cooperation)	Option (1) comes with difficulties that stem from legal obligations and framework under the current programmes. Indeed, it is not easy to manage the large number of agreements and the decentralised management of the call for funds. However, it facilitates cooperation because Third Countries are able to choose to which specific programme(s) they want to participate in. There are insufficiencies as there are many programmes with different conditions to assess Third Countries. Option (2) would create two more coherent clusters, and it would be easier to manage the reduced number of agreements. However, it would be harder for Third Countries to single out specific policy areas where they wish to collaborate with the EU (on this matter, there are already concerns from EFTA). The success of this option depends on the condition for associations of Third Countries, e.g., requests for setting up an agency. Option (3) shares some characteristics with Option (2), but the mandates of specific programmes offer excessively diverse coverage of Third Countries, which leads to certain inefficiencies, and consequently to a total score of (=).	=	+	=
Transnational cooperation (within EU)	Under Options (2) and (3), there could be additional benefits for transnational cooperation within the EU between organisations that receive EU funding, e.g., cultural, media, civil society, and additionally for Option (3), educational organisations etc. Although these benefits would reach a larger pool of organisations under Option (3), the resulting heterogeneity of organisations could also limit cooperation. Thus, we assign a (+) to both Option (2) and Option (3), as	=	+	+

	in both cases there is an improvement with respect to the status quo. Indeed, under Option (1), there is generally no possibility for the abovementioned cross-fertilisation, e.g., on civic education.			
Potentiality to integrate inter-related projects	As opposed to Option (1), where it is desirable to improve coordination, Option (2) allows for easier collaboration. Option (3) would produce a similar result to Option (2), although it might come with the potential for some additional integrated projects, e.g., between education and democratic participation.	=	++	++
Planning impacts continuity	By not altering the status quo, Option (1) preserves continuity. Option (2) comes with comparatively little risk. Option (3) might allow for significant shifts of funding between programmes, reducing the predictability of the budget of the individual components.	+	-	--
Prevention of dilution of policy goals	Unlike Option (1), Option (2) would see a planning that better matches the policy areas. Although Option (3) would allow for covering the new policy areas, it could also lead to dilution, e.g., for culture and rights and values, and unwanted redistribution of budget.	=	+	-
Flexibility between programmes to address policy issues	Under Option (1), it is currently difficult to move funds between programmes. Option (2) would create clusters of common policy issues. There would also offer more flexibility to allocate funding to newly emerging policy needs. Option (3) would provide the highest degree of flexibility to reallocate budget within a single programme. OPC: more flexibility should be introduced, to react to crises and emerging needs. 67% of the respondents still say that the lack of flexibility to adapt to new and unforeseen developments is an obstacle to the effective use of the EU budget[187].	-	+	++
Ease of access for applicants	Currently, there are already problems in the accessibility of the programmes, justifying a (–) as the score for the status quo. Option (2) would lead to some simplification as the new level of heterogeneity in the clusters would not be overly complex. Also, Option (3) would go in this direction, but there are overly	-	++	+

	heterogenous requirements for certain calls which could result, e.g., in pushing for same the rules for all applicants, thus complicating their procedures.			
Time required for application	In contrast to the status quo which is ranked as (=), Option (2) and Option (3) will lead to a lower time required for applicants due to fewer calls needed to be compiled.	=	+	+
Reduction of administrative burdens for beneficiaries	Thus, we see a score of (=) as the baseline status quo. In contrast, Option (2) would indeed increase complexity, which is offset by simplification in administration leading to an overall positive effect. In case of a full integration, the strong increase of complexity is too much to compensate with simplification alone, leading to a (=) score. OPC: The top obstacle cited by EU citizens (80%) and organizations (86%) was the administrative burden for beneficiaries[188].	=	+	=
Number of FTEs (Full Time Equivalents) managing the programme	Although the status quo might allow for improvements that could occur in the long term, it remains difficult to measure how much an employee works on specific programme-related tasks, justifying the score (=). Under Option (2), there would be increased coordination costs but fewer programme committees, fewer evaluations etc., and thus, this option simplifies the management as not every DG has the same type of managerial workload as before. Under Option (3), there might be the highest implementation costs in the short run, but in the long run even less programme committees, fewer evaluations, fewer FTEs etc. would need to be handled such that a full integration is the highest ranked option.	=	+	++
Potential to streamline types of management (direct and indirect) to simplify EU governance	Under the "Status quo", the management of the programmes would continue to follow the existing management boundaries, while "Objective-Based Merger" would lead to some degree of alignment and streamlining, for example as regards programme committees. Compared to the status quo, an objective-based merger will not change the implementation mode of the programmes: clusters will follow the same implementation logic, meaning the continuation of indirect and direct management structures, e.g., for Erasmus+ and ESC, and only direct management for CREA and CERV. Conversely, "Full Integration of all Programmes" would mix different types of management mode and lead to overly blurred lines between	=	++	-

	different implementation modes across policies, thus worsening the status quo. Moreover, compared to status quo, Option (2) would lead to a constant number and a consistent type of national authorities to interact with. Thus, an objective-based merge would lead to a slight streamlining of programme committees. Conversely, in Option (3), there would be too much heterogeneity for committee members.			
Potential to use the same implementing bodies/agencies/institutions/approaches for several programmees/policy areas	Compared to the status quo, an objective-based merger would lead to the same agencies working on the same programmes, and clusters following the same implementation logic. This would lead to streamline work for indirect and direct management structures, e.g., for Erasmus+ and ESC, and only direct management for CREA and CERV. In case of a full integration, there would be direct and indirect managements in one programme with separation per 'strand' as it is currently the case in Erasmus+. Consequently, there is a risk of politicization for support for the area of democracy and rights. The extra layer of complexity would require interaction with more heterogeneous entities. Thus, the positive effect in Option (3) is lower than in Option (2).	=	++	+
Impact on comitology/interaction with national authorities	Compared to Option (1), Option (2) would lead to a constant number and a consistent type of national authorities to interact with. Thus, an objective-based merge would lead to a slight improvement due to fewer programme committees. Conversely, in Option (3), there would be too much heterogeneity for committee members.	=	+	-
Synergies/complementarities between clusters	Currently under the status quo, there are untapped synergies, and complementarity has not worked in some cases, e.g., with CREA and HORIZON. An objective-based merger or a full integration would make it easier to receive and combine funding from multiple programmes.	=	+	+
Synergies/Complementarities within the cluster	Today, we have limited synergies between the programmes and have no complementarities at all. This also did not work in the past, and due to the lack of legal bases, synergies could not be exploited. Under Option (2), there is a better identification of potential gaps and overlaps per each objective. This speaks in favour of increased synergies between Erasmus+ and ESC as well as CREA and	--	++	+

	CERV. These organic synergies would solve the synergy problem at least for this cluster. The effect in case of a full integration is still positive, but there is a risk of policy dilution, due to the somewhat artificial set up of the cluster, such that the structure could force unproductive alliances coming in hand with the risk of lower complementarities.			
Synergies/Complementarities with national & regional policies	Under Option (1), there is no reasonable argument for the possibility of synergies with national and regional policies. By merging programmes, irrespective of using Option (2) or (3), there is a slight chance for an improvement.	=	+	+
Possibility of a rechanneling of funds between areas within a programme	In the status quo, it is difficult to move funds between programmes. Under Option (2), there would be more flexibility to allocate funding to newly emerging policy needs. Logically, Option (3) would provide the highest possibility of rechannelling funds and the highest degree of flexibility to reallocate budget. OPC: Currently, 81% of the respondents see the different and often complex fund specific rules for access to funding as an obstacle preventing EU budget from fully delivering its objectives in these policy areas[189].	-	+	++
Reduce overlaps between funding actions addressing a policy objective	In practice, it is still impossible to reduce overlaps between the funding actions in the status quo, as also indicated in the OPC: 53% of respondents think that there are many programmes with overlapping policy goals harming EU's objectives delivery[190]. An objective-based merger would provide an increased coordination to prevent overlaps. This would also hold for a full integration of all programmes but with some risk of dilution.	-	++	+
Ability to address each of the specific problem drivers	Under the status quo, the challenge is that some problem drivers are not addressed now, as problems keep evolving and reshaping the ecosystem, while the legal bases are fragmented or not sufficiently flexible. Moreover, some important problem drivers that would be covered under other options are not yet covered under the status quo, such as the disruptions to the media market. Therefore, fundamental problem drivers, which were also identified in the political guidelines, remain under-addressed under option (1). Using Option (2), new areas can be covered, and economies of scale would arise due to the merge by the specific policy objectives. For example, the problem drivers 1.3. and 1.4. could be	-	++	+

	addressed under an objective-based merger, avoiding overlaps, and problem driver 1.6 can be specifically addressed by the new instrument. A full merge in Option (3) would not solve all issues of the status quo and would be a step towards Option (2). However, some problem drivers might not be addressed in a targeted manner, due to loss of focus of a fully merged programme. This is in particular the case of problem driver 1.6, which would be diluted as it is cross-cutting for just societal, cultural and media entities, and directly related to the objective-based merger. Therefore, the high risk of dilution only speaks for the score (+) for Option (3).			
Ability to address each of the specific programme objectives	Under the status quo, the problem is that some policy objectives are not funded right now as they are a direct response to new problems (while the applicable rules are overly strict) or because these are recent priorities of the Commission. Moreover, some important policy objectives that would be covered under other options are not yet covered under the status quo, such as contributing to a viable and diverse trustworthy information ecosystem. Under Option (2), the broader scope allows for adaptability and expansion, facilitating the achievement of both existing and emerging objectives. Synergies from thematic alignment improve strategic coherence in addressing programme objectives. This is the case in particular of specific objective 1.7, which seeks to spur innovation and promote sustainable financing models in media, cultural sectors and societal ecosystems to enhance their innovation. A full merge in Option (3) would not solve all issues of the status quo and would be a step back compared to Option (2). A high risk of dilution applies for the score = for Option (3). This is specially the case for the cross-cutting dimension of the objective based merger under problem 1, which creates strong synergies for societal, cultural and media players in adapting to digital transformation and increasing access to finance, as it is unclear how this cross-cutting part would not be dilute under a full merger. Altogether, the merging of disparate policy areas introduces complexity. Risk of trade-offs between conflicting objectives weakens the ability to pursue each one effectively.	-	++	=

Ability to sufficiently prioritise each of the main policy areas	Under the status quo, the problem is that some policy areas are not funded right now as a result of the emerging policy priorities as the applicable rules are overly strict. Option (2): Prioritisation is preserved due to thematic coherence and alignment with two new main priorities of the European Commission, as expressed by the political guidelines: the Democracy Shield (merger 1) and the Union of Skills (merger 2). A higher flexibility (compared to status quo) enables proactive reallocation of resources based on the evolving nature policy areas. Clearer lines of accountability and strategy due to the grouping by objectives and management modes will increase the performance and impact of these policy priorities. A full merge in (3) would not solve all issues of the status quo and would be a step back compared to Option (2). It is nevertheless valuable because it covers sufficient grounds of adaptation. The high risk of fragmentation and dilution is the reason for the score (=) for Option (3). In fact, in Option (3), the wide range of objectives increases the risk of fragmentation. Dilution of focus likely undermines the ability to treat an area as a clear priority. Although policy areas in the cluster are people's driven, there is a second risk of confusion of policy areas and priorities on areas that in principle have little relation (e.g. audiovisual competitiveness with students' mobility). It is to note that the public survey included 37 different policy priorities, which illustrate the extent to which a full merger risks mixing too many areas of interest under a common pot. As such, Option (3) presents a risk of complexity.	-	++	=
Risk of loss of customised approaches to (policy) specific needs and target groups	The status quo already works sufficiently well, whereas Option (2) would be a step forward as it would then become easier to clearly define the policy boundaries and to determine a clear nexus between the EU strategy and funding. Furthermore, it would provide more clarity on the target groups of the different policy clusters. However, a full integration of the programmes would lead to an overly extensive heterogeneity between the target groups, as it would be too	+	++	-

	difficult to compare different beneficiaries such as e.g., compare an Erasmus+ student to a competitor of Google. OPC: 67% of the respondents say that the limited reach to relevant/diverse/more diverse target groups is an obstacle preventing the EU budget from fully delivering its objectives[191].			
Risk of loss of branding fostered by visibility of current programmes vis-à-vis existing target groups	The status quo works, although some segments are not covered and existing target groups are accustomed to current branding of programme which would ease continuity in the next MFF. Yet, the OPC shows that there is an overwhelmingly positive attitude towards the EU programmes, most notably Erasmus+. An objective-based merger could lead to risks of slightly reduced visibility for CREA. Under Option (3), there is a risk of reduced visibility of individual programmes that are highly popular such as Erasmus+ and to some extent Creative Europe.	+	-	- -

2.2 Ranking of policy options

The importance of mathematical approaches in SMCE is their ability to allow a consistent aggregation of the diverse information. Otherwise, even if everybody would agree on the multidimensional nature of an IA study, the implementation in a real-world assessment exercise would be impossible. The standard objection might be that the aggregation of apples and oranges is impossible. Multi-criteria mathematics does answer to this objection in a definitive way. When using mathematical rules, consistency between the problem structuring and the ranking of policy options is guaranteed, this makes the overall IA study much more defensible.

SOCRATES makes all required computations. From a mathematical point of view, the information contained in the impact matrix useful for solving the so-called multi-criterion problem is:

- Intensity of preference (when quantitative criterion scores are present).
- Number of criteria in favour of a given alternative.
- Weight attached to each single criterion.
- Relationship of each single alternative with all the other alternatives.

Combinations of this information generate different aggregation conventions, i.e. manipulation rules of the available information to arrive at a preference structure. The aggregation of several criteria implies taking a position on the fundamental issue of compensability. For example, in evaluating a policy option that presents a very bad environmental impact and a very good economic impact, it is clear that allowing or not for compensability and to which degree is the key assumption.

An aggregation rule that is simple, non-compensatory and minimises the rank reversal phenomena is the Kemeny rule. Its basic idea is that the maximum likelihood ranking of policy options is the ranking supported by the maximum number of criteria (or criterion weights) for each pair-wise comparison, summed over all pairs of options considered. There is agreement in the literature that the Kemeny method is "the correct method" for ranking options, and that the only drawback of this aggregation method is the difficulty in computing it when the number of options grows. A numerical algorithm solving this computational drawback in an efficient way has been developed recently at JRC and it has been implemented in SOCRATES [137].

Overall, the objective of SOCRATES is NOT substitution of policy-makers through a mathematical model, on the contrary, the objective is to improve their understanding of the main features of the problem at hand, such as key assumptions, degree of uncertainty, robustness of results and overall technical and social defensibility of options chosen. The philosopher Socrates said: "*I cannot teach anybody anything. I can only make them think.*" This is the main inspiring principle of the SOCRATES software too.

Three main components constitute the core of SOCRATES: multi-criteria, equity and sensitivity analyses. Multi-criteria analysis requires the definition of relevant dimensions, objectives and criteria. It uses weights as importance coefficients and clarifies their role in the hierarchical structure. The impact matrix may include quantitative (including also stochastic and/or fuzzy uncertainty) and qualitative (ordinal and/or linguistic) measurements of the performance of an alternative with respect to an evaluation criterion.

It supplies a ranking of the alternatives according to the set of evaluation criteria (i.e. the technical compromise solution/s).

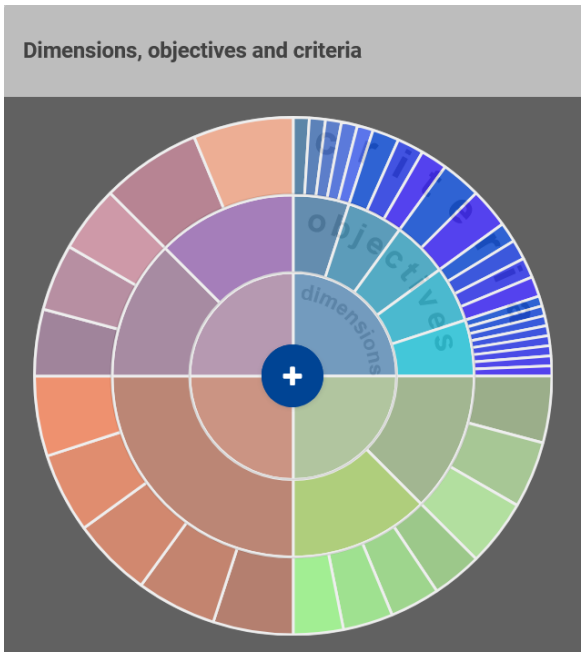
By applying SOCRATES to the information contained in the impact matrix (see Table 2), the following ranking, described in Figure 1 is obtained (under the assumption that all dimensions have the same weight, see Figure 2).

Figure 1. Ranking of all options

1°	2°	3°
🏆 Objective-Based Merger	Full Integration of all programmes	Status Quo

The ranking shows that "Objective-Based Merger" is the best choice followed by "Full Integration of all programmes", while "Status Quo" is definitely the worst option.

Figure 2. Equal dimension weighting assumption



2.3 Sensitivity analysis

The result robustness will be further checked by means of local and global sensitivity analyses. A degree of uncertainty always affects all model outcomes; consequently, effective and transparent practice in policy support requires identifying and quantifying the different sources of uncertainty as much as possible. In decision sciences, the main objective of sensitivity analysis is reinforcing the arguments supporting a decision recommendation.

In the framework of SOCRATES, the objective of sensitivity analysis is to check the ranking robustness and determine which of the input parameters influence more the results. Consistently with this objective, local sensitivity analysis looks at the sensitivity of rankings obtained with respect to a) the exclusion/inclusion of different criteria and dimensions; and b) dimensions and criterion weights changes; all parameters are changed one per time. A very important point is that both dimension/criterion weights are increased up to a maximum of 50% of the total importance, consequently any "dictator" effect is

avoided. Global sensitivity analysis explores the whole weight space, thus accounting for all possible combinations and interactions of criterion weights; all parameters are changed simultaneously. The whole information produced by local and global sensitivity analyses is synthesised into simple graphics.

Let us then first look at the influence of the exclusion of the various criteria and dimensions, one per time, and at the effect of using the subset of criteria belonging to one dimension only (i.e. first one criterion per time is eliminated and the corresponding ranking is obtained later a whole dimension with all its criteria is eliminated and the effect on the final ranking is checked). The objective of local sensitivity analysis is to better understand the overall assessment structure.

When considering dimensions, "tilde" means without that specific dimension, while without "tilde" means considering only that specific dimension. Figure 3 presents the results of this exercise. As one can see ranking of options is very robust. "Objective-Based Merger" is always the winner, followed by "Full Integration of all programmes" and "Status Quo". Only when considering the assessment structure without "Proportionality", there is an uncertainty in the comparison between "Full Integration of all programmes" and "Status Quo", since both of them might be second or third, however, also in this case, there is no doubt that "Objective-Based Merger" is the most desirable one.

Figure 4 describes the influence on the overall ranking of each single criterion deletion (the "tilde" means without that specific criterion). No criterion alone can modify the ranking, thus from this point of view results are very robust, "Objective-Based Merger" is the clear winner, "Full Integration of all programmes" is second and "Status Quo" is third.

Figure 5 synthesises all results as a frequency matrix, where it is indicated how many times each option is present in any rank position, and the percentage each rank position is occupied by each single option. In this way, it becomes clear that option "Objective-Based Merger" is the most desirable one, in fact it occupies the first position in the ***100 per cent*** of all the rankings obtained, while "Full Integration of all programmes" is second in the 97.2 per cent of all rankings and "Status Quo" is in the bottom position with no doubt.

Figure 3. Rankings obtained by eliminating one dimension per time or by using only one dimension

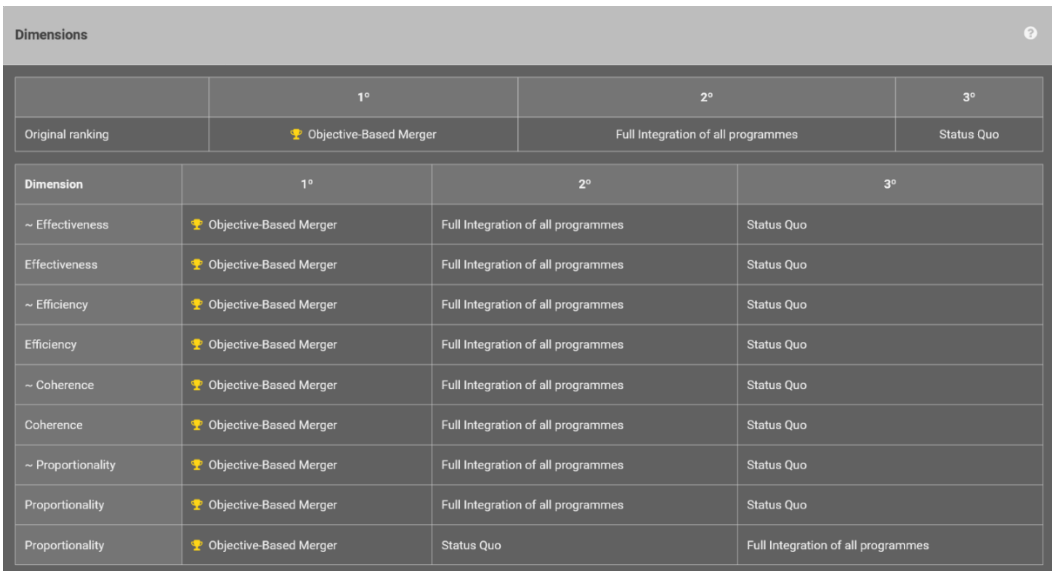
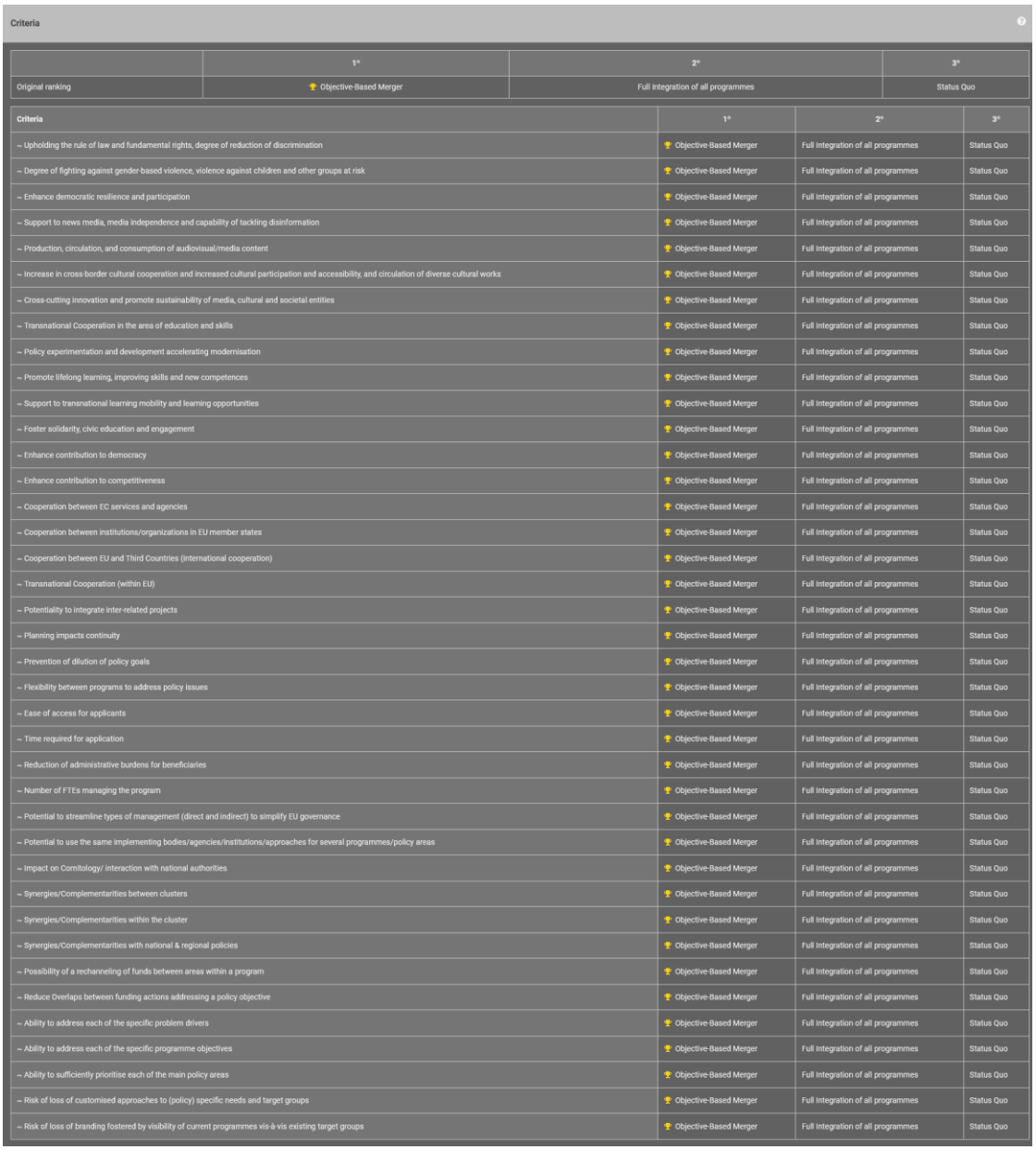


Figure 4. Rankings obtained by eliminating one criterion per time

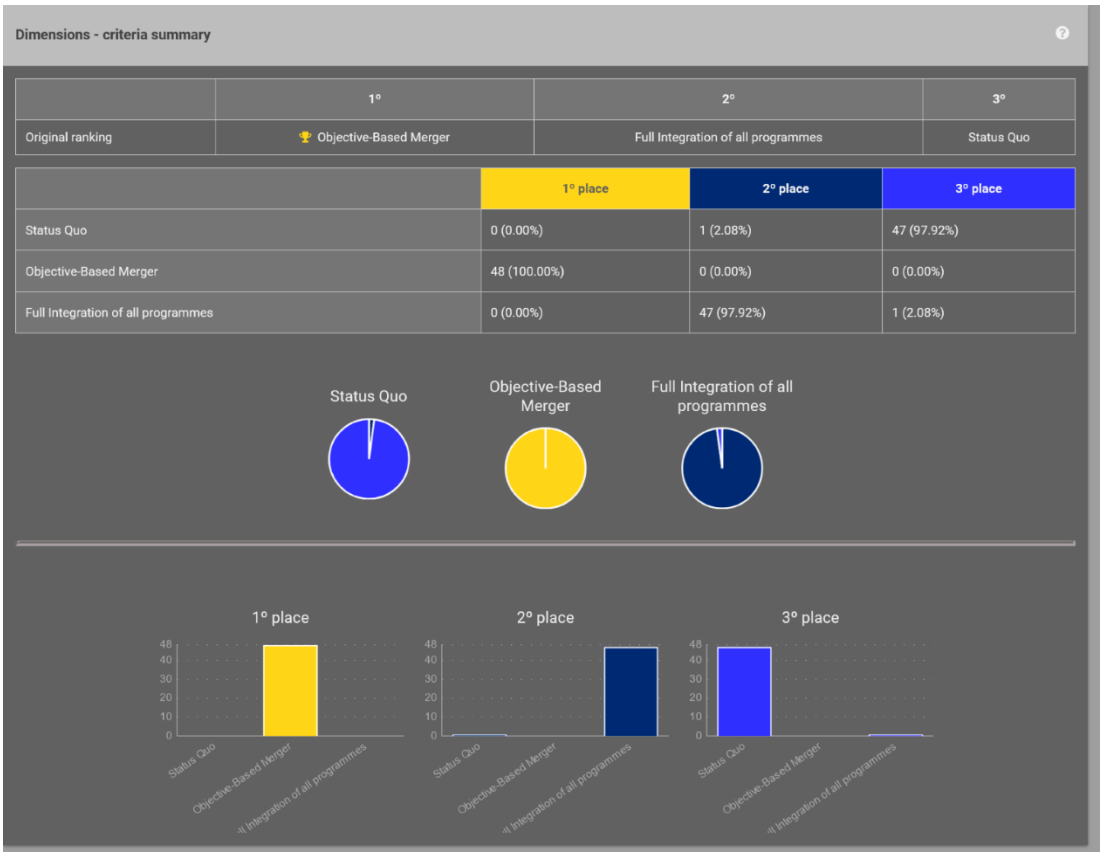


Criteria

	1°	2°	3°
Original ranking	Objective-Based Merger	Full Integration of all programmes	Status Quo

Criteria	1°	2°	3°
~ Upholding the rule of law and fundamental rights, degree of reduction of discrimination	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Degree of fighting against gender-based violence, violence against children and other groups at risk	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Enhance democratic resilience and participation	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Support to news media, media independence and capability of tackling disinformation	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Production, circulation, and consumption of audiovisual/media content	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Increase in cross-border cultural cooperation and increased cultural participation and accessibility, and circulation of diverse cultural works	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Cross-cutting innovation and promote sustainability of media, cultural and societal entities	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Transnational Cooperation in the area of education and skills	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Policy experimentation and development accelerating modernisation	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Promote lifelong learning, improving skills and new competences	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Support to transnational learning mobility and learning opportunities	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Foster solidarity, civic education and engagement	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Enhance contribution to democracy	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Enhance contribution to competitiveness	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Cooperation between EC services and agencies	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Cooperation between institutions/organizations in EU member states	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Cooperation between EU and Third Countries (international cooperation)	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Transnational Cooperation (within EU)	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Potentiality to integrate inter-related projects	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Planning impacts continuity	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Prevention of dilution of policy goals	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Flexibility between programs to address policy issues	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Ease of access for applicants	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Time required for application	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Reduction of administrative burdens for beneficiaries	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Number of FTEs managing the program	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Potential to streamline types of management (direct and indirect) to simplify EU governance	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Potential to use the same implementing bodies/agencies/institutions/approaches for several programmes/policy areas	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Impact on Comitology/ interaction with national authorities	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Synergies/Complementarities between clusters	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Synergies/Complementarities within the cluster	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Synergies/Complementarities with national & regional policies	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Possibility of a rechanneling of funds between areas within a program	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Reduce Overlaps between funding actions addressing a policy objective	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Ability to address each of the specific problem drivers	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Ability to address each of the specific programme objectives	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Ability to sufficiently prioritise each of the main policy areas	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Risk of loss of customised approaches to (policy) specific needs and target groups	Objective-Based Merger	Full Integration of all programmes	Status Quo
~ Risk of loss of branding fostered by visibility of current programmes vis-à-vis existing target groups	Objective-Based Merger	Full Integration of all programmes	Status Quo

Figure 5. Summary of results on criteria and dimensions



Finally, the issue of robustness of results with respect to weights is particularly relevant. The ranking robustness can be further checked by means of local and global sensitivity analyses. In local sensitivity analysis, the weight corresponding to one dimension/criterion per time is increased till a maximum of 50 per cent of the total importance, while all other weights are reduced proportionally and they are all identical. In global sensitivity analysis, all possible combinations of criterion weights are considered (all weights are changed at the same time and extreme cases are considered, too).

As one can see in Figure 6, describing local sensitivity analysis of dimension weights, the ranking is corroborated in the 100 per cent of simulations; the same result applies when performing local sensitivity analysis of criterion weights, as shown in Figure 7. This ranking stability is confirmed by global sensitivity analysis in which, as shown in Figure 8, all simulations confirm the original ranking. In summary, we can conclude that the weights attached to dimensions and criteria have no role in determining the final ranking which is very stable.

Figure 6. Local sensitivity analysis of dimension weights

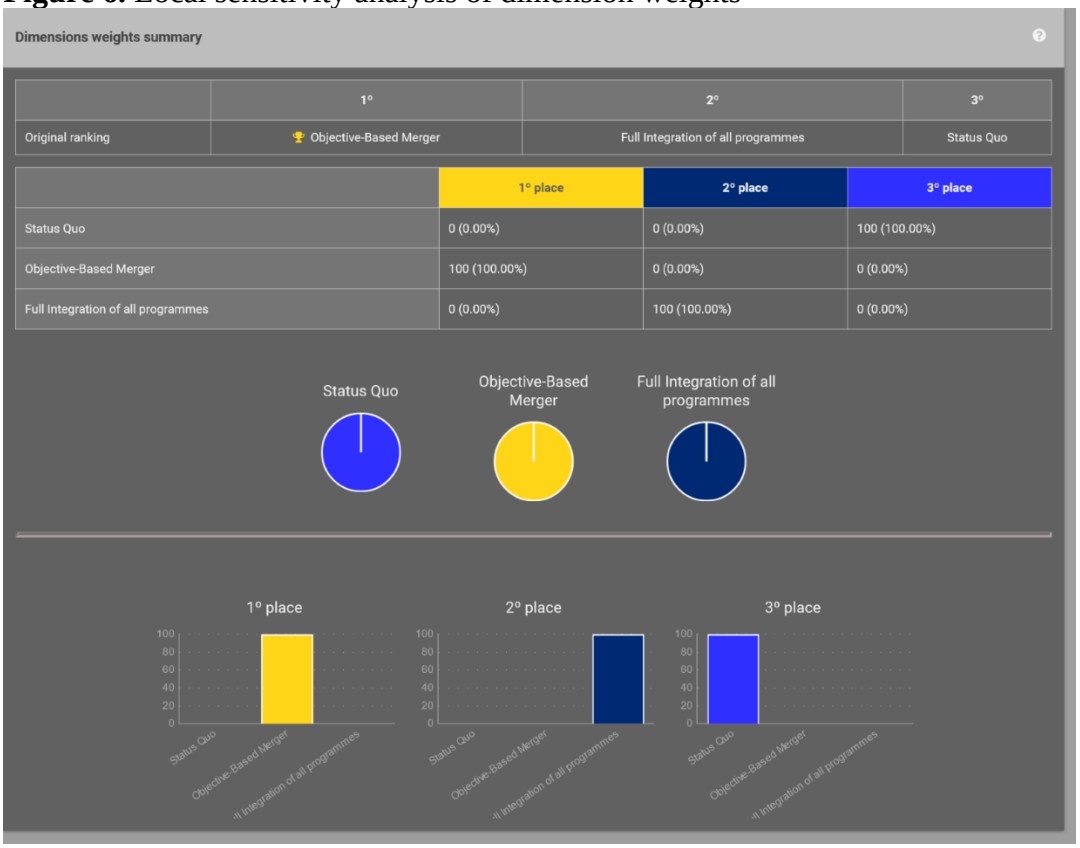
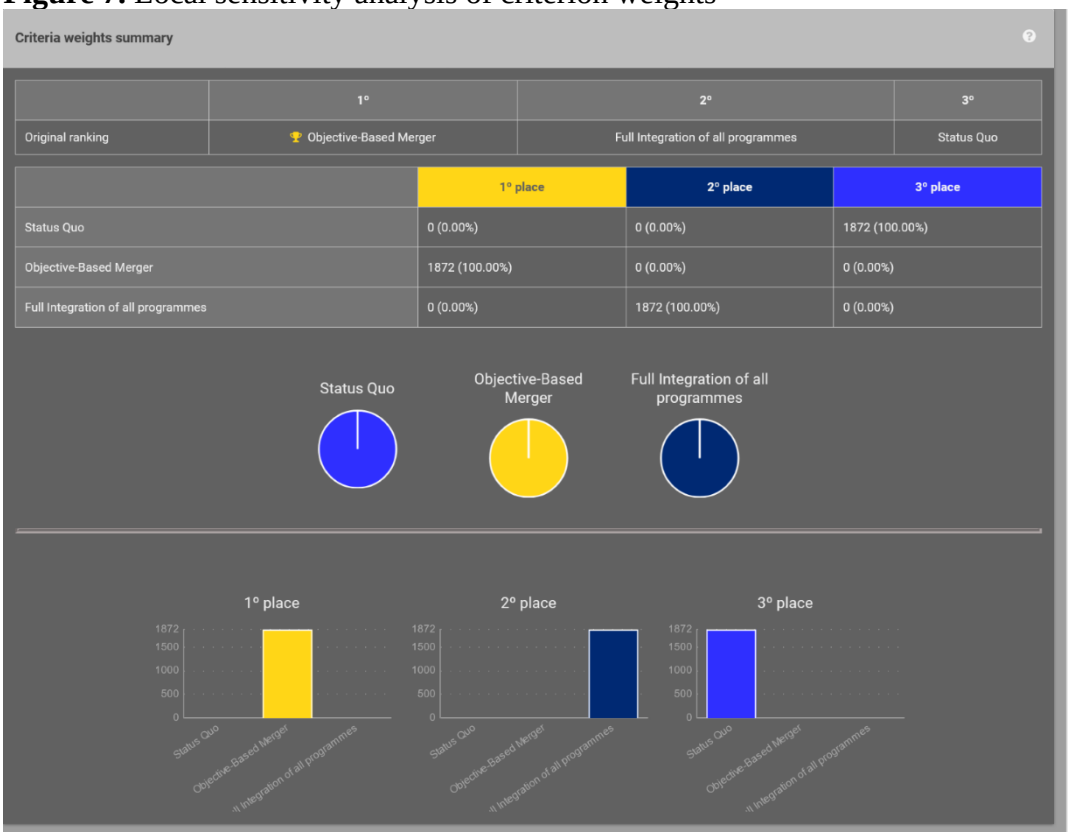


Figure 7. Local sensitivity analysis of criterion weights



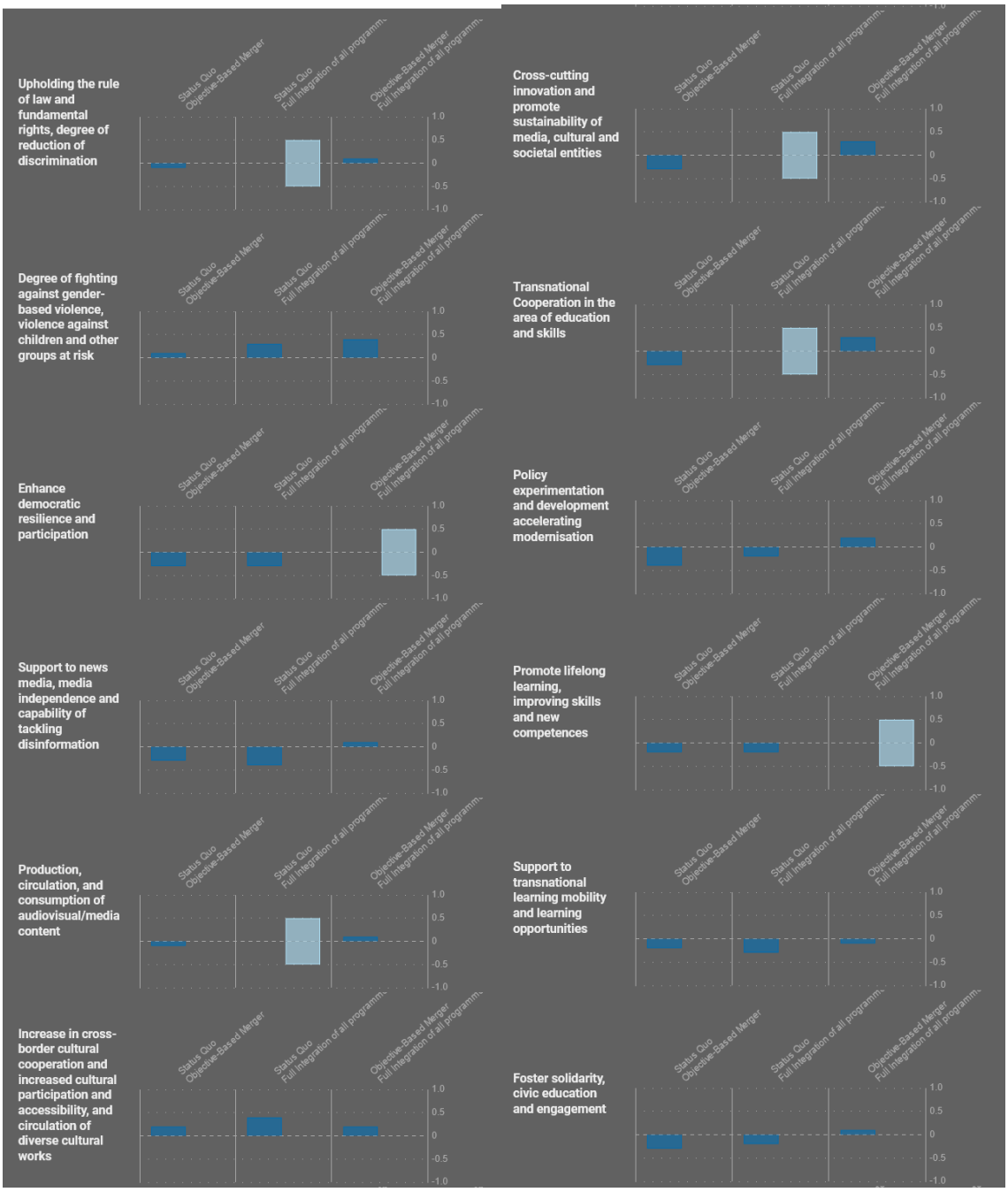
2.4 Pairwise comparison

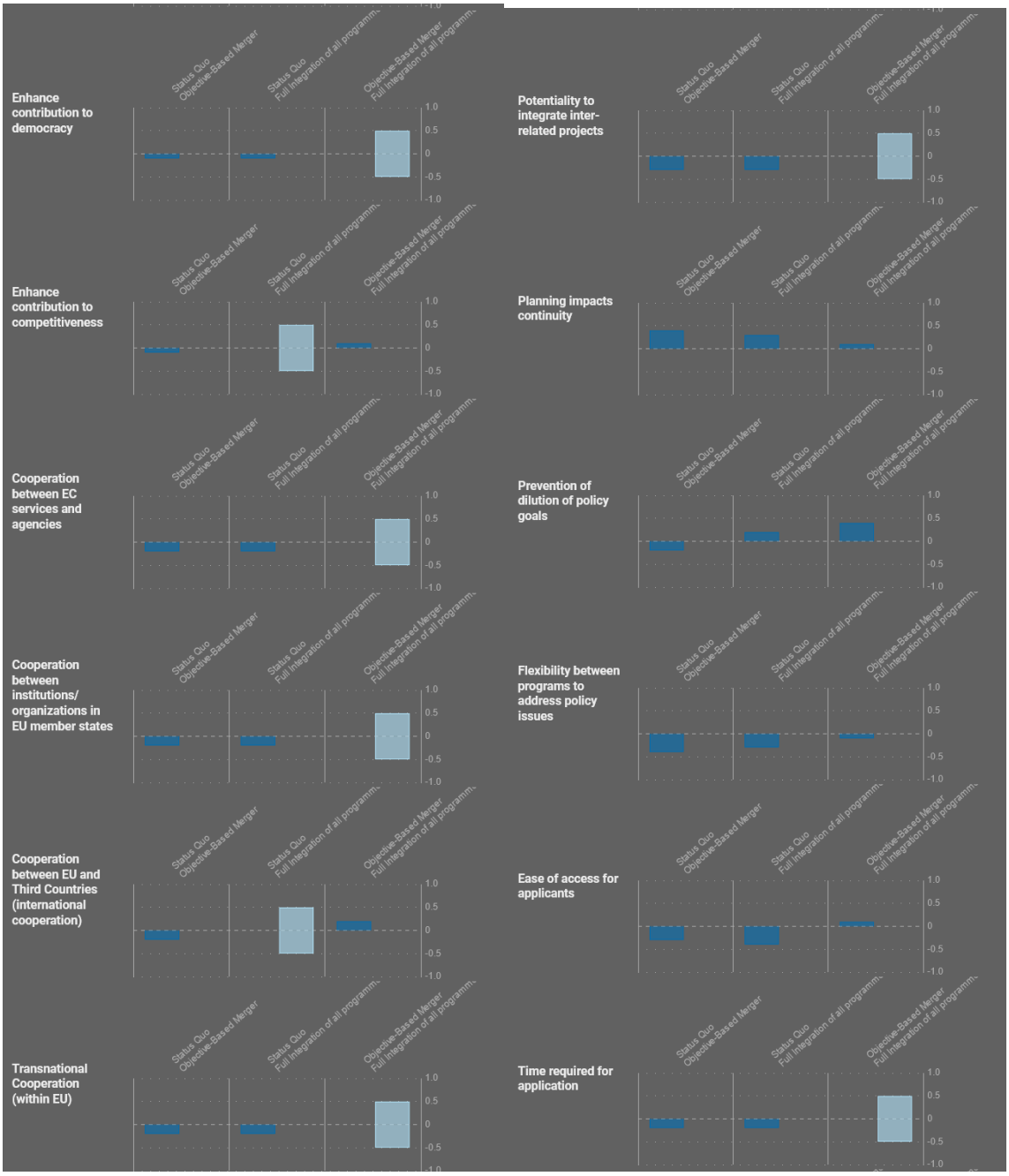
Finally, more information can be obtained by checking the pairwise comparisons, which allow one to be fully aware of the mutual weaknesses and strengths on each single assessment criterion. This information is summarised graphically in Figure 9, where the degrees of credibility that any option is preferred or indifferent with respect to another one on each single criterion are illustrated.

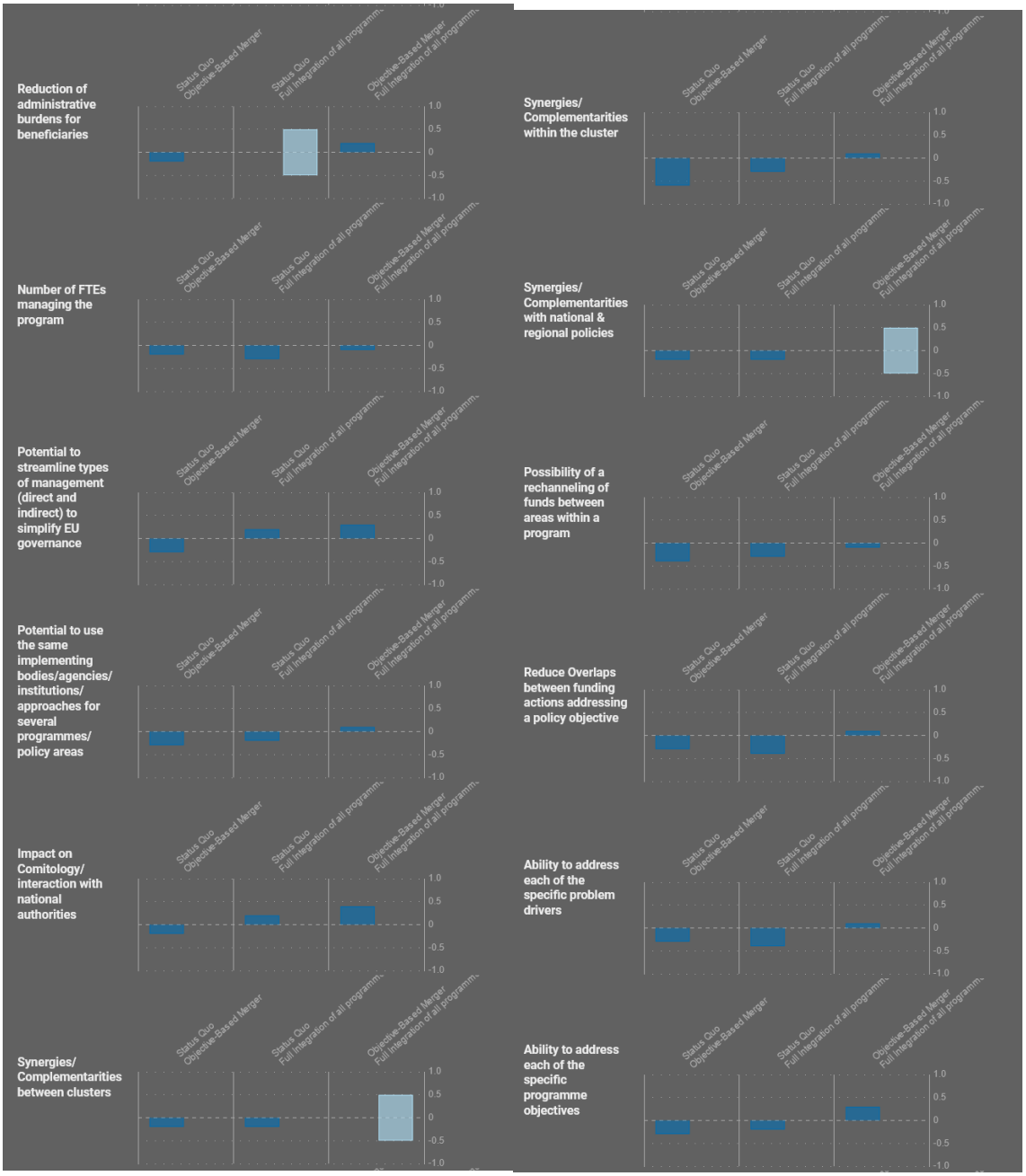
From Figure 9 it is possible to deduce that option “Objective-Based Merger” is better than “Status Quo” in most of criteria considered, with the exception of “Degree of fighting against gender-based violence, violence against children and other groups at risk”, “Increase in cross-border cultural cooperation and increased cultural participation and accessibility, and circulation of diverse cultural works”, “Planning impacts continuity” and “Risk of loss of branding fostered by visibility of current programmes vis-à-vis existing target groups”.

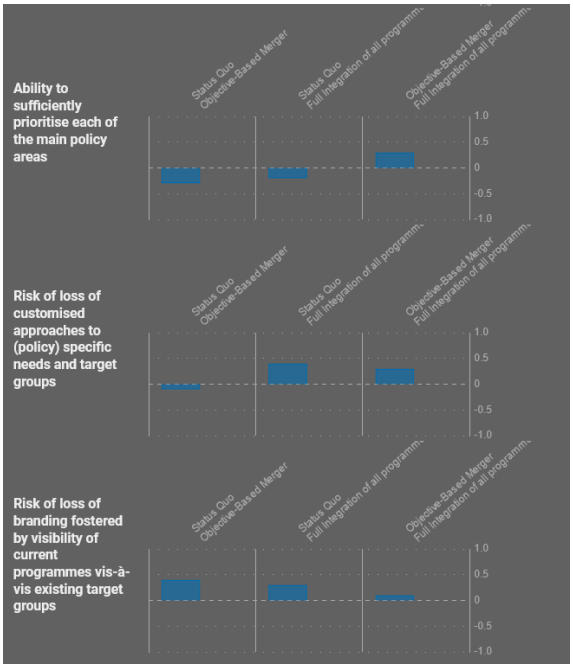
When comparing “Objective-Based Merger” with “Full Integration of all programmes”, there are various criteria where the two options show a similar performance (ten criteria), but most of the remaining ones are in favour of “Objective-Based Merger” (25 criteria). Only four criteria evaluate “Full Integration of all programmes” better than “Objective-Based Merger”.

Figure 9: Pairwise comparison




Enhance contribution to democracy
Potentiality to integrate inter-related projects
Enhance contribution to competitiveness
Planning impacts continuity
Cooperation between EC services and agencies
Prevention of dilution of policy goals
Cooperation between institutions/ organizations in EU member states
Flexibility between programs to address policy issues
Cooperation between EU and Third Countries (international cooperation)
Ease of access for applicants
Transnational Cooperation (within EU)
Time required for application
Status Quo
Objective-Based Merger
Full integration of all programm...
1.0
0.5
0
-0.5
-1.0


Reduction of administrative burdens for beneficiaries
Number of FTEs managing the program
Potential to streamline types of management (direct and indirect) to simplify EU governance
Potential to use the same implementing bodies/agencies/ institutions/ approaches for several programmes/ policy areas
Impact on Comitology/ interaction with national authorities
Synergies/ Complementarities between clusters
Synergies/ Complementarities within the cluster
Synergies/ Complementarities with national & regional policies
Possibility of a rechanneling of funds between areas within a program
Reduce Overlaps between funding actions addressing a policy objective
Ability to address each of the specific problem drivers
Ability to address each of the specific programme objectives
Status Quo
Objective-Based Merger
Full integration of all programm...
1.0
0.5
0
-0.5
-1.0


Ability to sufficiently prioritise each of the main policy areas
Status Quo
Objective-Based Merger
Status Quo
Full integration of all programm.
Objective-Based Merger
Full integration of all programm.
1.0
0.5
0
-0.5
-1.0
Risk of loss of customised approaches to (policy) specific needs and target groups
Status Quo
Objective-Based Merger
Status Quo
Full integration of all programm.
Objective-Based Merger
Full integration of all programm.
1.0
0.5
0
-0.5
-1.0
Risk of loss of branding fostered by visibility of current programmes vis-à-vis existing target groups
Status Quo
Objective-Based Merger
Status Quo
Full integration of all programm.
Objective-Based Merger
Full integration of all programm.
1.0
0.5
0
-0.5
-1.0

ANNEX 5: COMPETITIVENESS CHECK

Contribution of media industries to competitiveness

Overview of impacts on competitiveness

Dimensions of Competitiveness	Impact of the initiative (++ / + / 0 / - / -- / n.a.)	References to sub-sections of the main report or annexes
Cost and price competitiveness	+	Assessment below under 'Cost and Price Competitiveness'
International competitiveness	++	Assessment below under 'International Competitiveness'
Capacity to innovate	+	Assessment under 'Capacity to Innovate'
SME competitiveness	++	Assessment under 'Cost and Price Competitiveness' and 'International Competitiveness'

Synthetic assessment[192]

Challenges and Contextualisation

Beyond their societal and cultural importance, copyright intensive sectors with a very broad user base such as audiovisual, news and publishing, video games and music, are strategic for the EU economy and are similarly disrupted due to digitalisation. Valued at EUR 206bn in 2023, these sectors together are expected to reach EUR 240bn by 2030. In the EU, online distribution already makes up around 30% of the revenues of these sectors, in the US this is close to 50%[193]. The audiovisual market (cinema, TV, streaming) is the biggest segment, accounting for almost half of revenues. Video games are the second largest segment, followed by news/publishing and audio (music/radio/podcasts).

Global companies outweigh EU companies in the dynamic online segment of the audiovisual market. Global video sharing platforms such as YouTube and TikTok have grown enormously over the last few years, reaching 23% of the audiovisual sector and forecast to double by 2029. Global, mainly US, streamers control 80% of European subscriptions. Streaming as a whole has grown to 17% of audiovisual revenues and is projected to grow by 31% by 2029. EU companies have the strongest position in the traditional segment of broadcasting (53% of revenues) but this is under severe competitive pressures in terms of advertising revenues and audiences. Cinema represents under 5% of audiovisual revenues. Meanwhile the share of US companies in the revenues of the top 100 audiovisual companies in Europe went up to 40% in 2023.[194]

The EU audiovisual sector is fragmented, and dependent on public funding (mostly national). 99% of the almost 100,000 EU audiovisual companies, especially producers and distributors (the main beneficiaries of MEDIA), are SMEs. EU audiovisual players, including larger players like broadcasters, typically have a national focus in contrast to global competitors (Hollywood majors, large tech companies and Netflix). National public funding to public sector broadcasters accounts for around half of EU broadcasting revenues and public funding is also the main source of financing for EU films. Furthermore, there

are substantial differences between funding across Member States leading to uneven audiovisual capacities across the EU[195].

The EU video games industry captures a limited share of global revenues (13%), with only two companies among the 25 biggest game industry firms. It is mostly characterised by the high fragmentation of its industrial ecosystem, with a vast array of developers and a limited number of leading publishers. Europe's lag is aggravated by the dependence on non-European technologies (e.g., game engines and cloud) and distribution platforms. The number of available games is increasing in almost all segments (nearly tripled for PC between 2020 and 2024), making European games less discoverable since consumers are spending much of their time on older and non-EU titles (in 2024, games over 6 years old accounted for 57% of playtime on PC and consoles).[196]

The news media sector is experiencing a decline of total revenues, with a decrease of 8% between 2019 and 2023. Traditional sources of revenues accounted for 89% of the total revenues generated by the sector in 2024, despite a general gradual decline. Digital advertising rose from EUR 4.4 billion in 2019 to EUR 5.4 billion in 2023 and is expected to reach EUR 7.1 billion by 2028 but does not compensate for the drop in traditional revenues, leading to a revenue gap. In addition, the total number of news media companies in the EU-27 is decreasing, and small enterprises dominate the market across the EU. In 2023, there were 85.087 news media companies operating across the EU-27. The total number of employees shrank by 7.5%, between 2021-2023. Material and staff costs for news media companies have increased over the last 10 years by 13% and by 14%, respectively. All in all, media viability is at risk in nearly all EU countries. In 2023, nearly all countries (except the Netherlands and Luxembourg) experience a medium to high risk on media viability (i.e. lack of sufficient resources to finance the media).

Cost and price competitiveness

The preferred option is expected to increase competitiveness, by further encouraging international co-productions with a potential to achieve popularity with transnational audiences online. International co-productions allow for more cost efficiency in audiovisual productions (through more diverse sources of financing, economies of scale and sharing know-how) and access to additional national markets, thereby increasing addressable demand. 55% of MEDIA supported projects over the past 10 years were co-productions vs. unsupported projects, and the difference has increased under the current MEDIA programme (82% of all supported projects are co-productions).[197] Moreover 30% of developed works were produced and released, thus reducing the commercial risks in investing in production by thorough pre-production preparations which increase the potential for quality works.

Regarding video games, more support would be granted to European developers and their quality IPs who have been behind many recent commercial and critical successes. The EU has a strong mobile gaming ecosystem that could be, if supported appropriately, an asset for the EU economy as the mobile gaming sector is forecast to grow[198]. The video games industry also needs support to be able to cooperate with other European creative industries in digital and non-digital value chains to strengthen local and national game developer communities[199].

Moreover, the preferred option is expected to increase competitiveness, by extending current blended equity instruments to other copyright-intensive sectors which face funding gaps. Further funding of the loan guarantee facility launched in 2016 and of the

equity investment instrument launched in 2022 (MediaInvest, targeting €400 millions in private investment) is also crucial. This will continue attracting capital in the video games and other creative sectors, where EU market operators have not yet demonstrated mature investment dynamic.[200] MediaInvest provides risk capital, encouraging the creation of dedicated equity funds and enlarging the available sources of financing for audiovisual and gaming companies. In 2023, the value of private equity deals in the audiovisual sector (including movies, video games and entertainment) was close to its lowest annual level since at least 2019[201], leaving the gap in equity financing of €399 to €649 million per year identified in the Media and Audiovisual Action Plan partially unaddressed.

Finally, the preferred option will scale up support to news media, promoting new business models and economies of scale, thereby improving the viability of news media outlets. In the field of news media, the limited EU-level funding (under existing Creative Europe MEDIA and Multimedia Actions line) has enhanced cost efficiency and supporting sustainable business models, especially through cross-border collaborations and multilingual content production[202]. This indicates a direct contribution to production efficiency, partly due to innovative business models (e.g., podcasting) and centralised coordination.

International competitiveness

The preferred option will further improve international competitiveness, through better IP exploitation and an increased focus on discoverability of works, including online. There will be a strengthened emphasis on supporting business models leading to a broader exploitation of IP, also across different content formats. The preferred option would also continue supporting the non-national demand for European films, building on the success of MEDIA so far.

a) Cross media IP exploitation

Exploiting the same IP across different content formats (films, series, books, games, music) can have a positive impact on competitiveness. It can reduce costs (development, distribution and marketing) and increase access to consumers e.g. gamers may watch a film adaptation of a game and vice versa. Young people especially seem to be loyal to IP[203]. Transmedia exploitation helps with discoverability and increases commercial success for both the original and adapted version. For example, the box office revenues of a film adapting pre-existing content (books) is around 50% higher than films with an original screenplay, while TV dramas adapted from books attract 58% more viewers.[204] Music tracks, similarly, can generate substantial revenues from their inclusion in video games, films or TV series.

However European industry needs support in this regard. More than two-thirds of the top 100 films and series in 2024 were based on pre-existing ideas and IP[205]. However, none of the top 20 franchise commissions were from the EU. Also, none of the titles reaching more than 10 million admissions in the EU were from the EU. Therefore, there is a considerable gap in performance, with potential opportunities for growth. Producers and distributors are mainly micro and small national enterprises which often do not have the resources, expertise or contacts to forge links with other creative sectors and explore collaborative projects across Europe. Similarly, writers, editors, game developers and publishers and music labels lack structured opportunities to collaborate at European level. Therefore, the European IP industries need support to structure their collaboration.

This option would have added value in promoting the exploitation of IP across different formats on a pan-European basis. MEDIA already has a relevant track record. The broadcasting of *Babylon Berlin*, a TV series based on a book and co-financed by MEDIA for EUR 1 mio, was followed by the book series selling hundreds of thousands of copies in 22 languages.[206] The release of the MEDIA-supported videogame *The Witcher 3: Wild Hunt* was followed by the book series selling over 15 million copies worldwide[207]. Under this option MEDIA would build on this experience to support cross media IP through the value chain through a dedicated "IP hub". This would enhance support to development and production of IP with cross-media potential. It would also create professional fora which would bring together professionals from across the IP industries to stimulate collaboration. Distribution through relevant channels, notably online, would be funded.

b) **Boost circulation and consumption of European content**

The European audiovisual industry needs to reach wider audiences to increase its market share, generate revenues, strengthen its independence and grow. As currently only an average of 25% of admissions for EU films come from abroad, there is great potential to increase growth across the EU single market. Whilst there has been a high level of production by Member States this has not been translated into higher European audiences and therefore more efforts are needed in particular to boost circulation and discoverability.

Therefore, MEDIA funding will be particularly relevant since it is focused on the cross-border dimension. MEDIA support between 2014-2020 is correlated with increased circulation of films and series with over 9 more EU countries across TV, 6 more countries on TV and 3 more countries on online streamers. MEDIA is also correlated with an over 240 million more non-national admissions in EU27 cinemas. Also, 80% of works supported are co-productions, which several studies have confirmed are more successful internationally.

Under this option there will be more focus on content creation, promotion and marketing for works online as this sub-segment is driving growth and attracting younger audiences. Activities to support distribution of works online will be increased including through European VOD services. Innovative hybrid business models between cinema theatres and streamers will be pursued, drawing on findings which show that theatrical releases increase chances of success online[208]. Innovative online marketing tools[209] will be further encouraged, as well as the use of Artificial Intelligence for data analytics on audiences to assist in content creation and distribution[210] and boost the performance of promotion campaigns.

Beyond the EU, films represented only 1% of screenings in cinemas[211]. However, the highest share of EU content was reached in Mexico and Argentina, largely driven by the popularity and success of Spanish films in these markets: the share of Spanish titles within EU showings there has been more than 30%[212]. Online, only a few EU works are in the top 10 worldwide in a market dominated by three giant US streamers.

Thus, MEDIA will also be relevant in increasing the focus on supporting circulation and consumption of European works in key international markets beyond the EU, both theatrically and online.

AlsoAlso, the preferred option will provide enhanced opportunities to increase the international appeal and exposure of the European gaming sector. MEDIA funding for game development significantly increased the chances of videogames being

finalised and released (on average, 89% of development projects supported became prototypes). The central role of non-European global digital platforms for the distribution of European games creates the need for enhanced EU funding support to improve the exploitation of these games[213]. These include marketing, promotion and post-release operations.

Capacity to Innovate

The audiovisual and other content media sectors are among the most disrupted when it comes to digital technology and AI. For example, Generative Artificial Intelligence in audiovisual (including music) outputs are projected to grow significantly, with a recent study forecasting a market size of EUR 48 bn by 2028 for AI-driven virtual production, with a compound annual growth rate of 85% between 2023 and 2028[37]. Media markets in the EU are increasingly influenced by global tech companies who have made major forays into all copyright intensive, mass-market content sectors (audiovisual, games, news, music, books). Other major global players include online players e.g. Netflix and Hollywood studios who cooperate on technology through a structure called 'MovieLabs'. Netflix allocated approximately 7% of its annual revenue (EUR 2.4 bn) to R&I, while Walt Disney has more than 6,000 patents, outpacing EU players overall.

European media companies need support to take up tech innovation as they lag behind other sectors. The 2024 EU R&D Investment Scoreboard shows that among the top 2,000 companies analysed, only 23 are media companies, including Denmark's TV2 and France's Vivendi. Venture capital investment into media technology is much lower than in the US. In 2023, US tech companies in the audiovisual sector attracted EUR 3.6 bn while EU counterparts only EUR 520 million in venture capital investment[38]. Based on a recent survey of companies in the creative and cultural sectors, only 30% have adopted a digital transformation strategy and companies have indicated that investment in AI represents less than 1% of their total investments.[39] Therefore European media companies, which are mainly small enterprises, are widely dependent on non-EU tech tools, for example as regards AI. They need funding to develop and/or use innovative tools and business models which are operational and adapted to their activities on content production and distribution. Also the mid-term evaluation of the current Creative Europe programme confirmed these needs are more pronounced for a number of specific copyright-intensive, mass-market content industries[40].

The preferred option will increase the capacity to innovate by focusing on larger-scale collaborations in innovation with a stronger focus on cross-sectoral deployability for the creation, discoverability, marketing and monetisation of EU-produced content across all media segments. Collaborative projects at European level can be effective in sharing knowledge and gaining economies of scale. Funding will thus aim to bridge current gaps by supporting larger-scale collaborations and more directly aligning funded projects with industry needs for scalable content creation, discoverability, and monetisation solutions. MEDIA support will build on its record of supporting innovation, notably through the Innovative Tools and Business Models action launched in 2021 which is starting to deliver results, notably in analytics and AI tools to support production, marketing and subscription models[41]. This option would also exploit synergies with other programmes such as the European Innovation Council funding of start-ups and scale ups, which could scale up project seed funding of MEDIA. Also it would complement the fundamental research and innovation projects of Horizon and Digital Europe, for example

the media data spaces project which has the potential to provide a pool of data relevant for media applications.

SME competitiveness

Over 99% of companies in the creative and cultural sectors are SMEs. EU funding for the IP-intensive industries is overwhelmingly targeted at SMEs, notably in the independent production, distribution and theatrical exhibition as well as the independent gaming development sector. Therefore, the above findings on competitiveness apply to SME competitiveness as well. For a detailed analysis of the impact on SMEs, consult Annex 6.

Conclusion

All in all, the preferred option (Option 2) is deemed to have a positive impact on the competitiveness of the audiovisual and media industries. The proposed architecture will enhance effectiveness, efficiency, coherence and proportionality of the EU intervention,[214] which in turn, would strengthen the existing contribution to competitiveness. The current interventions, which were proven to be successful, will be enhanced, this concerns promotion of cross-border circulation of films and series, international co-productions, with a stronger focus on other types of media content, but also optimising IP exploitation across different formats and strengthening and expanding the existing blended equity instrument. The intervention will be enhanced through improved cooperation and coordination of main policy areas; improved efficiency for applicants and beneficiaries, by streamlining EU management, governance and implementation; synergies and complementarities, and reduced overlaps; improved reactiveness to new challenges.

Contribution of the other cultural and creative sectors to competitiveness

Dimensions of Competitiveness	**Impact of the initiative** **(++ / + / 0 / - / -- / n.a.)**	**References to sub-sections of the main report or annexes**
Cost and price competitiveness	n.a.[215]	
International competitiveness	+	Annex on evaluation
Capacity to innovate	+	Annex on evaluation
SME competitiveness	n.a.[216]	

Challenges and contextualisation

The cultural and creative sectors other than the media and audio-visual sectors encompass a wide range of sectors from heritage to music, from books & publishing to visual arts, performing arts and architecture. Some of these sectors are partly industry-based while others are much more dependent on public support. These sectors are mostly made off a myriad of small and medium-sized entities of all types (organisations, associations, institutions, SMEs, self-employed workers etc.). The development and competitiveness of these sectors is impacted by different global trends. **Digitalisation** has already changed the

value chains in some CCS subsectors (for example in the music industry). Digital technologies are more than a 'contextual factor'; they are often an '**enabling factor'**, or even a radical step in the context of the new industrial revolution, changing the way culture and CCS products and services are produced and accessed, and how knowledge is transferred. Other trends that have an impact on, or offer new possibilities to, entrepreneurship and innovation in the CCS include the sharing economy, **new technologies** (virtual reality, real-time data, smart home technology, AI etc.), changes in working life, and climate change. [217] Finally, Europe's market fragmentation by language and country has sometimes impeded the emergence of globally dominant players in these fields. Additionally, digital giants from the US control much of the distribution (e.g. streaming platforms, app stores), posing challenges for European content creators to capture value.

The preferred option would impact on the CCS international competitiveness and capacity to innovate through providing CCS organisations and professionals with capacity-building and networking opportunities on how to market works and reach new audiences including at international level, to develop greener cultural activities or to to developing funding applications, testing new business models in a rapidly evolving digital context and developing managerial capacity.

Contribution of education, training, youth, sport and skills to competitiveness

The preferred Option – objectives-based merger – is expected to have a positive overall impact on EU competitiveness across all pillars (cost and price competitiveness, innovation capacity, international competitiveness and SME competitiveness).

Table below summarises the key competitiveness impacts and indicators, with comparative benchmarks where relevant.

Overview of impacts on competitiveness

Dimensions of Competitiveness	**Impact of the initiative** **(++ / + / 0 / - / -- / n.a.)**	**References to sub-sections of the main report or annexes**
Cost and price competitiveness	+	Assessment below under 'Cost and Price Competitiveness'
International competitiveness	+	Assessment below under 'International Competitiveness'
Capacity to innovate	++	Assessment below under 'capacity to innovate'
SME competitiveness	++	Assessment below under 'SME competitiveness'

Synthetic assessment

Investment in education and skills are very important. A JRC paper analysed the impact of EU investment in skills (ESF, YEI, and React-EU) and found one of the highest multipliers by 2030: investing 1 euro would yield 1.603 euro[218]
Simulations[219] assuming a gradual improvement over 15 years show that increasing basic skills by 25 PISA points could lead to a 0.5 pp higher average annual growth rate in EU GDP in the long term. At national and European level, it has been estimated that if Europe achieved its current literacy benchmark, this could lead to an aggregate GDP gain of 21 EUR trillion over the lifetime of the generation born in 2010[220].
Evidence also shows that low-income countries with higher shares of graduates with tertiary education experienced stronger catching-up towards the average GDP per capita between 2008 and 2021.

VET graduates generally have good employment prospects. In 2023, 81.0% of young medium-level graduates who had completed their VET programme were in employment, putting the 2025 EU-level target of at least 82% within reach[221].

An analysis of the OECD (2013) shows that countries with high rates of participation in adult learning are more competitive. PIAAC data illustrate the central role that basic skills play in shaping economic outcomes. In the EU17, an increase of skills by around 40 points (slightly less than one skills level) is linked with an increase in wages ranging from approximately 5% in Denmark, Finland and Italy to more than 10% in the UK. In the upskilling scenario (7.4%) of the low-skilled, total net benefits over ten years could equal 2 013 billion EUR278 and 3,528 billion EUR in a zero low-skilled (0%) scenario with increases in annual GDP (2025-50) at 200 billion EUR and 410 billion EUR respectively die to the reduction or elimination of low skilled adults[222].

Education and skills reforms are important. Efficient spending ensures that resources are channelled to areas where they have sufficient impact and are spent effectively, enhancing value for money. Research suggests that reducing inefficiencies in spending on education could lead to substantial gains in the EU, with the potential to increase annual growth of GDP per capita by 0.8 pp in the long term[223].

Cost and price competitiveness

The preferred option contributes to cost and price competitiveness largely through efficiency gains and improved productivity in the education, training and CCSIs.
Cost competitiveness: Since education is largely publicly provided in Europe, cost competitiveness is less about firm operating costs and more about system efficiency. Europe's systems tend to be cost-effective relative to outcomes (e.g. EU countries spend roughly 30% less per tertiary student than the US, yet produce comparable skill levels in many fields). One advantage the EU has internationally is **affordability of education** – low or no tuition in many countries – which can be seen as a competitive strength in attracting foreign students (where cost is a factor, in contrast to high tuition in the US). The preferred option's continued support for student mobility (often with scholarships) and potential new talent attraction schemes (like expanding Erasmus Mundus) will reinforce this cost advantage by reducing financial barriers for incoming talent. On the flip side, the sector's cost competitiveness can be hindered by demographic changes (declining student populations in some countries could raise per-student costs) and by administrative overhead. The merger helps by streamlining funding – meaning universities and schools face less administrative cost when tapping EU funds for innovation or exchange projects, improving their operational efficiency.

Streamlined administration and economies of scale: the double merger is projected to reduce overhead and compliance costs for both participating organisations and managing authorities. By sharing resources, IT systems and support structures, the more integrated implementation will contribute to eliminate, over the long run, certain duplicative processes for beneficiaries and achieving economies of scale. For example, better coordination, common application portals and harmonised reporting and support will lower the cost of accessing funds for schools, universities, cultural SMEs, entreprises active under the EU education, training, youth and sport programmes, small-scale organisations active in training, and civil society and will also reduce access costs for applicants and project holders. In addition, the Commission and National Agencies can expect potentially lower management and transaction costs (e.g. fewer committees, unified monitoring and evaluation), translating into savings that can be reallocated to core activities, cutting administrative costs in the long run, improving the cost-efficiency of EU funding delivery.
Lower costs for participants and SMEs: A unified programme simplifies the funding landscape for small organisations, including SMEs[224]. Currently, an estimated one-third of Erasmus+ and European Solidarity Corps beneficiaries are the same entities. Under the preferred option, they would face a single process and interface rather than navigating multiple programmes. This will reduce application overhead, especially benefitting SMEs and micro-organisations that often have limited administrative capacity. Also, exploiting strong synergies between the two sets of merged instruments, will avoid duplicated effort (for instance, one joint call can cover both educational, citizenship and cultural objectives), the initiative lowers compliance costs and improves small organisations' cost competitiveness.

Sector-specific cost considerations: In education and training, better recognition of learning (including non-formal learning) and skills portability facilitated under the preferred option across the spectrum of learning activities can reduce the cost of re-training or remedial education. Workers will carry portable, certified EU skills (including those gained via volunteering or informal learning) which employers trust, reducing duplication of training efforts.

Enhanced labour productivity through skills: in the medium to long term, the preferred option will indirectly reduce unit labour costs by improving the skill level and productivity of the European workforce. **Continuous upskilling and reskilling**, emphasised by the Draghi report as key to competitiveness, will be supported through a more flexible, lifelong learning-oriented Erasmus+ that works in tandem with the Competitiveness (skills) agenda. A better-skilled workforce means higher employability and output, helping firms produce more value with the same or lower cost. For example, digital and STEM skill investments can support the mitigation of skill shortages that currently force firms to pay a premium for digital talent. As of 2023 only 56% of EU adults have at least basic digital skills and companies lacking skilled ICT specialists incur higher costs and lost opportunities. The preferred option's integrated funding for digital education and training addresses this gap, eventually lowering hiring and training costs for employers in all sectors. In sum, by **raising productivity and reducing skill mismatches**, the initiative strengthens cost competitiveness across the economy.

More generally, by **making the use of EU funds more efficient** (yielding more output per euro spent) and by enabling small organisations and institutions in the targeted sectors to operate more cost-effectively, saving would be generated. These savings may not dramatically alter unit labour costs economy-wide in the short term, but they provide important support for SMEs and educational or training institutions, strengthening their

financial sustainability. The magnitude of cost competitiveness gains is **moderate but meaningful**: for example, administrative cost reductions in the high double-digit millions of euros annually are plausible, and participating organisations could see cost overheads drop in certain funding actions. These gains, which would need to be monitored consistently, are likely to be permanent, accruing each year, as the streamlined structures are expected to remain in place through the MFF programming period and likely beyond.

International competitiveness

International competitiveness refers to the ability of EU sectors to compete globally – attracting talent and investment, and achieving success in international markets. The preferred option has a strong international dimension, which is vital for Europe's education to thrive on the world stage.

Europe's education sector competes globally primarily in higher education and research. By metrics like international student enrolments and universities in top-100 rankings, Europe is competitive but behind the very top. For example, the UK (previously part of EU) and some EU countries like Germany and France attract many international students, but the US still hosted the largest number (1.1 million) until recently and countries like Australia and Canada have rapidly increased their share by aggressive recruitment policies. The EU's collective 1.66 million foreign students in 2022 shows strong performance, and with the preferred option we anticipate this could grow (due to more integrated promotion and possibly new joint offerings). Retaining talent is a noted weakness – many international graduates from EU universities currently depart (either home or to third countries) after studies. The preferred option will put emphasis on talent retention (for instance, through follow-up opportunities in the Solidarity Corps or easier transitions to work) can improve Europe's "yield" from its education attractiveness. When European education retains global talent, it directly boosts the skilled workforce available to EU industries and research. *Inter-sectorally*, the education sector's internationalisation is behind sectors like tourism or tech in pure economic terms, but it has **strong value in soft power and long-term influence**. Every international alumnus of an EU programme can become an ambassador for Europe or even an entrepreneur in Europe.

Europe as a talent magnet: a core goal of the merged programmes is to **increase the international attractiveness of Europe's education and training systems**. By uniting Erasmus+ (known worldwide for mobility) with solidarity corps and enhancing synergies with other instruments, and by potentially branding the initiative around global competitiveness, the preferred option can elevate Europe's profile as a destination for all learners, also attracting present and future researchers. The EU already hosts about one-third of globally mobile tertiary students (with Germany and France in the top host countries), roughly on par with the US share. In 2022, 403,500 international students studied in Germany and 265,000 in France. This performance is strong, but competition is intensifying from Anglophone and Asian education hubs. Through expanded Erasmus Mundus joint degrees, scholarship schemes, and more flexible mobility pathways, the new programme will allow the EU to **grow its share of global talent**. An integrated approach means students can more easily move between European universities (including through the alliances), making a pan-European education more seamless. Similarly, the new programme will also seek to boost the internationalisation of VET to increase its attractiveness at global level, including capacity building in VET and expansion of mobility of vocational learners worldwide.

Additionally, the inclusion of cultural and solidarity components can make European education unique – offering not just academic excellence but also rich cultural experience and civic engagement, which can be a selling point for globally minded students. The international competitiveness of EU higher education is expected to improve, contributing to the goal of retaining Europe's status as a leading academic destination. This also feeds the talent needs of European industry and research. However, a noted risk is varying national immigration rules for graduates; the programme can encourage Member States to align on policies that allow talented graduates to stay, complementing the attractiveness of the study experience itself.

Global skills and mobility networks: The preferred option will deepen international partnerships, not only within the EU but also with third countries. Erasmus+ already has a global outreach component, and Creative Europe engages with international cultural partners. Although the programmes will not merge, enhanced synergies could create **coherent international cooperation frameworks**, for example, linking an EU university alliance with universities in Africa or Asia under a common project, or supporting cultural exchanges that also have an educational dimension, leading to increase skills for the labour market. These efforts, including cultural diplomacy, strengthen the EU's international ties and influence. They also prepare Europeans to succeed globally: participants gain language skills, intercultural competencies, and international experience, all of which improve the competitiveness of European firms and institutions abroad. Survey data (impact study) shows employers value international experience – e.g. in some countries, half of employers are willing to pay higher salaries to hires with study-abroad experience. By producing more globally savvy graduates and professionals, the programme enhances the international competitiveness of Europe's workforce. Intra-EU mobility also indirectly boosts competitiveness by optimising the allocation of skills across Member States (helping fill labour shortages and spreading knowledge).

Benchmarking and competitive position: From a **sectoral competitive position** standpoint, European education sectors are not in a state of crisis but face intense competitive pressures. European higher education boasts many top universities, but in global rankings it is somewhat eclipsed by the US (and increasingly Chinese universities) in terms of research output and funding. The *Draghi report* noted that formal lifelong learning and skills development need to scale up for Europe to maintain a competitive economy. The preferred option addresses these issues by fostering **integration and critical mass**: scaling up talent pipelines, aligning efforts across countries, and focusing resources on strategic areas (e.g. digital skills, green skills in culture) will improve each sector's competitiveness relative to global peers. Quantitatively, Europe's share of world R&D and innovation in education is expected to rise (academic R&D spending in the EU-27 already reached €100 billion, topping the US in absolute terms), and the gap in cultural export performance between the EU and Asia/US should narrow as European creative firms innovate and collaborate more effectively.

In summary, the preferred option strengthens international competitiveness by enhancing Europe's ability to attract talent, by improving the global market performance of its education, and by leveraging synergies to present a compelling international profile. The effects are expected to be significant: higher inflows of international students and researchers (potentially boosting EU international student numbers by a few hundred thousand over the next decade), and greater global engagement by European youth and professionals.

Capacity to Innovate

Option 2 is strongly oriented towards boosting the EU's capacity to innovate through investments in human capital, cross-border cooperation in research and education, and support for the creative and cultural ecosystems that drive innovation.

Education, skills and innovation performance: a well-educated, mobile and skilled population is the foundation of innovation. The preferred option's emphasis on lifelong, lifewide and long-term skills development and a "Union of Skills" is expected to strengthen Europe's innovation potential. By merging the Erasmus+ and solidarity corps programmes and exploiting internal and external synergies, the new framework encourages **cross-sectoral knowledge exchange** – for instance, universities, vocational institutes and companies can collaborate in projects that link Erasmus+ mobility with innovation-oriented objectives (such as joint curricula in emerging technologies or entrepreneurial training in the creative arts). European University Alliances (fostered under Erasmus+) will benefit from a more coherent funding stream, enabling deeper integration of universities across borders in teaching *and* research. These alliances aim to create "European campuses" pooling expertise and resources, which can become *globally competitive hubs of innovation*. Over the long term, such integrated networks should increase the quality and quantity of R&D outputs in the education sector. Already, the EU-27's academic R&D intensity (roughly 0.5% of GDP) has been on the rise, surpassing the US in relative terms (0.36% of GDP) and narrowing the gap with innovation leaders like South Korea. Strengthening higher education collaboration through Option 2, which encompasses strong synergies between sources of funding, can further raise R&D intensity and innovation outcomes in the education and training sphere.

Research and development in targeted sectors: the merger of Erasmus and Solidarity Corps, operating under a more effective MFF enabling stronger and more flexible synergies, will allow leveraging complementarities between educational mobility programmes and future research funding to spur innovation. For example, joint funding could support more industry-academia partnerships in doctoral training or post-doctoral research applied to societal challenges. Moreover, Erasmus+ projects focusing on digital and STEM skills will feed more qualified graduates into R&D roles. Innovation in educational methods themselves will also accelerate, as the future instruments can fund digital education pilots, EdTech development, and innovative pedagogies at scale across the EU. This addresses the historically low innovation investment in the education and training sector; by treating educational outcomes as part of competitiveness, the initiative may encourage education systems to adopt new technologies and evidence-based practices more rapidly (helping modernise curricula, use AI tutors, etc.). The **innovation capacity of Europe's education and training sector** will thus be improved, with spillover benefits as students bring advanced skills into the labour market.

Talent development and retention for innovation: Europe's capacity to innovate depends on attracting and retaining top talent. Option 2 explicitly targets *talent circulation and retention* through enhanced mobility and exchange schemes. By expanding opportunities for students, researchers, and young professionals to gain international experience (within Europe and globally), the future programme not only broadens their skills but also encourages knowledge transfer across borders – a known catalyst for innovation. Importantly, the programme can help **retain talent in Europe** by creating more attractive conditions: for instance, European University Alliances and excellence-

driven projects can entice high-potential students from around the world to study and stay in the EU. While the EU already hosts a large number of international students (1.66 million in 2022 - tbc), many historically chose the US or other countries for post-graduation opportunities. By improving integration of foreign students (through language support, work placements, and post-study mobility via the Solidarity Corps or other streams), the preferred option can convert a higher share of these students into skilled workers in Europe's innovation ecosystems. Some Member States are adopting more welcoming post-study visa policies, but a coordinated EU approach under this programme could further boost retention. In addition, Erasmus+ alumni themselves are a proven source of innovation and entrepreneurship: they have higher rates of developing start-up ideas and managerial roles. The mobility experience fosters an entrepreneurial mindset – in Eastern Europe, 38% of Erasmus alumni plan to start a company, significantly higher than non-mobile peers. By **nurturing entrepreneurship and leadership skills**, the merged programme will increase the pool of innovators and business founders in Europe. Over time, this replenishes and expands Europe's innovation capacity in both established and emerging industries.

Non-formal learning and social innovation: Option 2 will also support non-formal learning and civic engagement, which can drive social innovation. Volunteer projects, youth exchanges, and community initiatives often produce innovative solutions to local problems (e.g. new approaches to social inclusion, digital literacy training for seniors, creative community spaces). These kinds of innovations, while not always commercial, enhance societal resilience and indirectly benefit economic competitiveness by fostering a more adaptive and cohesive society. Social innovations can be scaled up across the EU via the networks built in the programme, creating a **culture of innovation at all levels** – from classrooms to community centers.

Overall, the preferred option **significantly strengthens the EU's capacity to innovate by investing in the human and creative capital that underpins innovation.** The effects will materialise progressively: improved educational outcomes and research cooperation yield dividends over years and decades in the form of higher innovation rates, productivity growth, and new ventures. The risk that innovation benefits do not fully materialise (e.g. due to absorption capacity limits or coordination challenges) is mitigated by the clusters programmes' design, which focuses resources on known drivers of innovation (skills, collaboration, creativity), including through synergies. By reinforcing both the *supply side* of innovation (skilled and innovative people) and the *demand side* (creative industries, digital transformation needs), Option 2's competitiveness impact on innovation is expected to be **high and enduring**.

Competitive position of key sectors and ecosystems: the education and training ecosystem (covering schools, vocational education and training (VET), higher education, and adult learning) is crucial for the EU's competitiveness, as it produces the human capital for all other sectors. It stands for a significant economic sector itself – primarily public-funded – employing millions of staff (teachers, trainers, researchers) and consuming about 5% of EU GDP in public expenditure. While not a tradable sector in the traditional sense, its outputs (skilled graduates, research, innovation) directly affect productivity and competitiveness across the economy. For instance, with 81%, the employment rate of recent medium-level VET graduates is very high, which underlines the relevance of VET for the labour market and companies' competitiveness. In terms of **global standing**, European education systems rank among the world's best on many indicators: several Member States consistently score above OECD averages in school achievement, and the

EU-27 produces a large share of the world's STEM graduates (e.g. over 2.0 million tertiary graduates per year, ~25% in STEM fields).

The EU's **tertiary educational attainment** for young people has risen to 41% (2022), catching up to levels in the US and exceeding those in most emerging economies. However, acute challenges remain: skill mismatches and shortages (particularly in digital, engineering, and ICT fields), brain drain from certain regions (talented graduates moving to richer Member States or outside EU), and varying quality of education and training across the Union. Evidence shows that low-income countries with higher shares of graduates with tertiary education experienced stronger catching-up towards the average GDP per capita between 2008 and 2021.

Productivity and innovation: The education sector's productivity is hard to measure in economic terms, but one indicator is the student performance per expenditure. Many EU countries manage to achieve high learning outcomes at moderate cost (e.g. Poland and Finland have strong PISA results with average spending), indicating good efficiency. Nonetheless, there is room to innovate and adopt new methods to improve learning gains without proportional cost increases – a process which has been slower in education than in other sectors. **R&D and innovation *within* the education and training sector** (such as developing new pedagogical technologies or evidence-based teaching methods) have historically been limited. Academic R&D spending in the EU is mostly directed to scientific fields rather than education science itself, and the sector has lacked a strong culture of R&D in schooling. EU funding and in particular a adequately funded EU intervention like the preferred option can help change this by funding pilots and scaling up successful innovations in education and training. In higher education, European universities are a backbone of R&D (contributing ~21% of total EU R&D expenditure) and perform well on research output, but they face increasing competition for talent and research leadership from the US and China. The **competitiveness gap** in higher education often comes down to funding and integration: the US spends more per student and attracts more top researchers, while Europe's efforts are split across countries. The European University alliances and greater mobility for researchers (supported by this initiative) aim to give the EU a more unified higher education R&D area, boosting critical mass and efficiency. **An inter-sectoral comparison** is relevant in this: the education sector's cost structure is dominated by labour (teachers, professors). Wage levels in Europe are moderate and generally aligned with productivity, but global competition for star professors and researchers means European universities sometimes struggle to offer competitive salaries compared to top US institutions. By enabling transactional collaborative networks between institutions and resource pooling, the preferred option can alleviate some cost pressure (for example, synergies across EU funding for shared digital infrastructure for e-learning across universities reduces the need for each to invest separately).

Innovation capacity: The education and skills ecosystem is both a recipient of innovation (using new tech in classrooms) and a generator of innovation (through research and the creation of innovators). Currently, the EU's capacity for educational innovation is improving – accelerated by the COVID-19 pandemic which forced adoption of digital learning. Under the preferred option, with dedicated funding for digital education and STEM, broader uptake of innovative teaching tools may be expected (such as online platforms, virtual labs, AI-driven personalised learning). European initiatives like the Digital Education Action Plan align with this and will find support through the merged programme's objectives. A more innovative education sector means **students graduate**

with better skills (critical thinking, adaptability) **that feed into the economy's overall innovative capacity**. Additionally, **synergies between education and industry** will be strengthened – e.g. VET programs cooperating with SMEs to update curricula for new technologies, or students working on real-world innovation projects (hackathons, etc.). **Such linkages ensure the skills developed are at the cutting edge of industry needs**, thereby improving the innovative output when these students join the workforce[225].

A key strength of Europe's education ecosystem is its diversity and quality – multiple centers of excellence and a strong foundation of public education. The preferred option builds on this by fostering cooperation rather than competition among European institutions, turning diversity into complementarity. Another strength is the ingrained culture of mobility and multilingualism in Europe, which the programme leverages – intra-European mobility is far higher than mobility within other world regions. This gives EU students a comparative advantage in adaptability. A risk, however, is that reforms and innovation in education can be slow due to governance and consensus needs; if the programme's incentives and support are not sufficient to overcome inertia in curricula or qualifications recognition, some competitiveness benefits might take time to emerge. There is also the risk of unequal uptake: top universities might benefit more from EU networks than smaller or less experienced institutions, potentially widening gaps. To mitigate this, the preferred option includes an inclusive approach (widening participation, supporting capacity building for less experienced organisations), ensuring broad-based improvement. The magnitude of competitiveness effects in education is **substantial in the long run** – improved skills can raise GDP growth, with studies showing that even a small increase in average skills has large economic returns over decades. These effects are also **permanent** – once a population is more skilled, it tends to remain so, and institutions built up (like strong university networks) continue to generate benefits.

SME competitiveness

The preferred option links skills development directly more closely with market needs (including SMEs' needs). SMEs can more easily partner with educational actors to define curricula or offer apprenticeships (Erasmus+ and other funding will be more flexible to support such collaborations). This SME competitiveness aspect is crucial: SMEs form the vast majority of businesses and often lack in-house training capacity. By tapping into EU-supported talent pipelines and innovation projects, SMEs, including those in traditional sectors, can become more innovative and competitive. For example, a small manufacturing firm could host an Erasmus+ VET apprentice who brings the latest digital techniques from their training, boosting the firm's productivity. The SME check (Annex 6) further ensures that impacts on SMEs will be scrutinised and optimised in the detailed design of the Option 2.

Cross-sectoral synergies and other competitiveness dimensions

One of the distinctive benefits of the preferred option is the promotion of *cross-sectoral synergies* withing the future two instruments that themselves can enhance competitiveness. By merging programmes following an objectives-based merger, the initiative creates interfaces between EU values, fundamental rights, media and culture on one side and education, skills, and civic engagement on the other that did not exist formally before.

Social inclusion and competitiveness: While social policy and competitiveness were once seen as separate, it's increasingly recognised that inclusive growth supports

competitiveness by mobilising all of society's talent and maintaining social stability. Option 2's strong inclusion dimension (e.g. specific measures to involve people from diverse backgrounds, vulnerable groups, and a "leave no one behind" ethos) means that the competitiveness gains are broadly shared. This helps regions with weaker starting positions (such as rural areas or poorer Member States) to catch up through capacity building in education and culture – reducing internal EU disparities. A more balanced development across the EU can in this context prevent brain drain within the EU (talent leaving less developed regions), thereby optimising the use of talent domestically.
In a way, the preferred option contributes to *cohesion competitiveness*: every region building on its strengths (be it a cultural heritage sector or a technical university) to compete in its niche, adding to the EU's mosaic of competitiveness. Moreover, enhanced social cohesion has economic benefits – as noted in the analysis, it leads to more stable environments and can increase productivity and innovation.

Equality, non-discrimination, regulatory and values environment: Investing in promoting rights, equality, non-discrimination, and EU values strengthens the foundation of a just and prosperous society, also ensuring that the benefits of growth and development are shared by all[226]. The EU's efforts to hone its competitive edge need to be guided by EU values, which contribute to our region's prosperity. Integrating equality, diversity and inclusion considerations also helps foster a more innovative and competitive economy, promotes social cohesion, and strengthens democracy. Competitiveness is also affected by the regulatory and values environment. The preferred option will boost support to rule of law, good governance, and active citizenship. Over time, this reinforces a business-friendly environment (fair courts, engaged civil society, low corruption) which is a **comparative advantage of the EU** in attracting investment. Companies, especially innovative ones, thrive in open societies with freedom of expression and robust legal protections (for IP, for example). By investing in these "intangibles", the future programmes indirectly safeguard Europe's competitiveness model – one built on high standards, creativity, and trust.

Finally, it is worth noting **long-term performance** implications from this cluster, as the preferred option is future-oriented. The skills and networks fostered beyond 2030 could set the trajectory for Europe's competitiveness in 2050. For example, today's support for digital and STEM education might be the seed for Europe's leadership in quantum computing or green tech in two decades. Likewise, today's cultural collaborations may ensure that European values and content maintain global influence in an era of significant geopolitical competition.

Conclusion

The objectives-based merger (preferred Option 2) is expected to deliver a net positive competitiveness outcome by continuing the financing in these areas and by streamlining the way of delivering the funding. By examining education and training, it may be shown that strengths are reinforced and weaknesses addressed under this option: skills gaps are narrowed, talent flows are improved, innovation ecosystems are nurtured and energised in the policy fields, and cross-border collaborations are significantly intensified. These effects contribute to a more competitive European economy that can sustainably grow and generate high-value jobs, while also preserving the rich cultural fabric that distinguishes Europe globally. The risk versus reward balance is also favourable – potential risks (administrative complexity, transition costs, need for coordination) are manageable, unlike Option 3, and transient, whereas the competitiveness benefits are multi-dimensional and

enduring. The reinforced competitiveness proofing thus supports Option 2 as a strong contributor to the EU's long-term competitive sustainability.

Annex 6: SME check

OVERVIEW OF IMPACTS ON SMES

Relevance for SMEs
Audiovisual and Media: Based on SME filter and the ISG discussion, this initiative is deemed relevant for SMEs[227]. SMEs are not a monolithic group but are deeply entangled across the policy domains under scope. Their effective participation depends on whether EU instruments are modular, transparent, and accessible, and whether they offer incentives and entry points adapted to SME realities. The EU's cultural and creative industries (CCIs) ecosystem encompasses around 1.2 million enterprises (99.9%), and around 8 million employees.[228] According to 2023 European Media Industry Outlook, the picture is the same in sub-sectors such as audiovisual, news media and video games, within SMEs account for 99.8% of all companies active in these sub-sectors. In the current MEDIA Sub-programme, 99% of the direct beneficiaries were SMEs (reflecting the 99% of SMEs amongst European AV enterprises), of which 25% were small and nearly 70% micro. Micro and Small organisations account for 50% and 40% of total value of grants respectively under Creative Europe 1.[229] **Education and skills:** In education and skills, SMEs benefit indirectly through the improved employability of learners trained via Erasmus+ mobility and vocational education. They also directly participate as trainers (for the majority of VET learners)[230], as project partners in staff exchanges, adult learning, and upskilling schemes—particularly in digital, green, or sector-specific training. These SMEs value EU actions that help address skills shortages, and the OPC shows strong SME support for actions like a European VET diploma and adult education mobility. Although less prominent in youth, solidarity, and civil society, SMEs intersect with these areas via social enterprises, hosting arrangements for trainees or volunteers, and civic education services. Some SMEs (especially in Vocational Education and Training or adult learning sectors, or on specific topics such as digital education) participate as project partners or providers in transnational consortia. Among more than 380,000 participating organisations in Erasmus+ between 2021 and 2024, 8600 were SMEs.

(1) IDENTIFICATION OF AFFECTED BUSINESSES AND ASSESSMENT OF RELEVANCE
Are SMEs directly affected? *(Yes/No)* **In which sectors?**
Audiovisual and Media: SMEs in (news) media and IP-intensive mass-market reach content sectors, especially independent production, distribution SMEs, can benefit. The EU's current funding programmes and support initiatives mainly revolve around MEDIA and cross-sectorial strands of the Creative Europe programme and Multimedia line. The main areas of focus of these funding programmes include: • **Audiovisual industry:** film production, distribution and exhibition; television (public and private broadcasting, digital TV); animation and immersive content (e.g., VR, AR);

- **Media sector:** print and digital journalism news media (including cross-border journalism); media pluralism and freedom of expression;
- **Video Games and interactive content:** video games development; interactive storytelling and transmedia;
- **Other copyright-intensive sectors**, such as music and publishing, working with audiovisual companies,

In the Eurostat NACE classification, the sectors that are directly affected by the intervention are:[231]

- Audiovisual and multimedia (i.e., motion picture, video and television programme production, sound recording and music publishing activities; radio and TV broadcasting; publishing of computer/video games)
- Programming, broadcasting, news agency and other content distribution activities (i.e., news agency activities, pre-press and pre-media services)
- Publishing Activities (i.e., book publishing, printing, translation and interpretation activities)
- Visual and performing Arts (i.e., artistic creation; specialised design activities, operation of arts facilities; performing arts and its support activities)
- Libraries, archives, museums and other cultural activities

The Eurostat NACE classification has been updated with new rev 2.1 version that will capture more accurately all the relevant sectors, in view of recent market and technological developments, especially the rise of digital media, including segments such as streaming (audiovisual and music), e-books, online business models in gaming etc.

Education and skills:
SMEs engaged indirectly, through the supply of better-skilled workers, notably via mobility and vocational education and training (VET). SMEs from all sectors benefit from EU programmes such as Erasmus+ that support apprenticeships, staff mobility, and institutional cooperation, as these improve labour market preparedness and foster local innovation.
Directly engaged SMEs participating as project partners or providers in transnational consortia. Some SMEs are involved in hosting trainees, apprentices or volunteers from EU mobility schemes. In particular, SMEs have shown support for actions such as a European VET diploma or adult education mobility, reflecting their interest in upskilling current employees and attracting future talent.

While youth and volunteering activities are primarily not-for-profit, there are indirect effects on SMEs. SMEs benefit from the soft skills and civic engagement capacities of young participants in Erasmus+ or ESC.

Estimated number of directly affected SMEs

Audiovisual and Media:
30,000 – 50,000 enterprises[232]
Education and Skills:
Estimated 15,000 SMEs involved in Erasmus+ 2021-2027

Estimated number of employees in directly affected SMEs

Audiovisual and media:
84,000-140,000 employees

Education and Skills:
40,000 estimate

Are SMEs indirectly affected? *(Yes/No)* **In which sectors? What is the estimated number of indirectly affected SMEs and employees?**

Audiovisual and Media:
SMEs supplying goods and services to core CCI activities may be impacted. E.g. in the audiovisual sector, this includes companies providing catering, construction, costumes, technical services, logistics etc for productions, ICT services and analytics for online distribution, etc. The indirectly affected sectors can include, but is not limited to manufacturing of goods, wholesale and retail of products, event production and technical services, specialised ICT services linked to creative content. One important sector that benefits from the cultural sectors is tourism, which is also characterised by a high number of SMEs.

Education and skills:
Potentially all SMEs in Europe are positively impacted by improved education and training systems and a better skilled workforce.

CONSULTATION OF SME STAKEHOLDERS

How has the input from the SME community been taken into consideration?

Through a public consultation for the Impact Assessment

Are SMEs' views different from those of large businesses? *(Yes/No)*

The results of the Open Public Consultation indicate different views between SMEs and large enterprises. When it comes to **importance of policy priorities**, SMEs included these as the most important ones: 1) Protect democracy and promote democratic standards (importance score of 3.67 vs. 3.42 of large enterprises); 2) Promote media independence and media pluralism, fight disinformation (3.65 vs. 3.36); 3) Promote entrepreneurship, access to market and scaling-up for small businesses in the creative sector (3.61 vs. 2.20).

In terms of **cooperation and mobility in the area of education, training and solidarity**, both the SMEs and large enterprises valued more positively cooperation partnerships in education and training and mobility for VET learners and staff. However, SMEs also ranked mobility for higher education students and staff in top 3 actions, whereas large enterprises mobility for schools and learners.

In the areas of **culture, creative sectors and media**, the top 3 actions ranked by SMEs are: European cooperation projects involving cultural and creative organisations from different countries, cross-border collaboration in media content creation, development and production, and cross-border cooperation and business support to cultural and creative sectors,

In terms of actions for **values (democracy, equality, rule of law, fundamental rights) and civil society**, there were no significant differences in ranking between the SMEs and large entreprises.

Both SMEs and large enterprises see administrative burden for beneficiaries as the main obstacle that prevent the EU budget from fully delivering on its objectives, followed by different and often complex fund-specific rules for access to funding and compliance,

and lack of flexibility to adapt to new and unforeseen developments. For both SMEs and large companies, simplifying access to funding for beneficiaries and introducing more flexibility into resource allocation were ranked in top 3, while SMEs also ranked higher the better preventing and combating fraud, corruption and other illegal activities targeting EU funds, while large companies valued more applying common rules, timelines and eligibility criteria to all relevant EU funds.

(2) ASSESSMENT OF IMPACTS ON SMEs[233]

What are the estimated direct costs for SMEs of the preferred policy option? (Fill in only if step 1 *flags direct impacts)*

Qualitative assessment

Audiovisual and Media:
The preferred initiative does not introduce mandatory compliance costs, since the cluster's initiatives focus on facilitating access to funding rather than introducing regulatory obligations. Those SMEs wishing to apply for funding will incur some administrative costs due to application and reporting requirements linked to EU funding calls and participation in capacity-building programmes.

Key cost drivers:

- Preparing funding applications
- Reporting obligations during/after project implementation
- Costs related to co-financing requirements (for grants requiring matching funds or audit certificates)

However, these costs are expected to be reasonable because of the following:

1) Costs are borne at the discretion of the SMEs (unlike regulation) so when an SME makes an application, they are well placed to make the assessment whether potential benefits are worth incurring these costs. Execution and success rates for the current programme (with success rates being below 30% for several actions) suggest that the costs are reasonable.
2) No new regulatory compliance costs are introduced under the preferred option. The costs associated with administration are expected to have already declined under the current programme (thanks to the introduction of eGrants and lump sums for example.). Further simplification measures will be introduced to reduce the administrative burden (e. g., simplified application process).

Education and skills:
There are no specific costs for SMEs under the preferred policy option compared with other potential applicants or beneficiaries.

Quantitative assessment

Precise data is not available

What are the estimated direct benefits/cost savings for SMEs of the preferred policy option[234]?

Qualitative assessment

Audiovisual and Media:

The main direct benefits for SMEs stem from:

- More export possibilities / increased access to export markets
- More possibilities to scale-up, pursue international activities and take advantage of the Single Market (e.g., international co-productions)
- Adoption of innovative business (revenue and financing) models and diversification of risks (e.g., cross-format IP)
- Reduction of risks of developing new IP and content and increased chances of successful development
- Strengthen skills and innovation with high relevance to their sector and activities
- Better access to finance, including equity finance, in sectors traditionally viewed by financial institutions/investors as high risk.

These measures **directly improve financial liquidity, investment capacity, and resilience** of SMEs in a sector marked by high rates of micro-enterprises and project-based revenues.

Education and skills:

SMEs are likely to benefit from the complete contribution to lifelong learning and skills development that the preferred option aims at achieving, and from the easier access for all applicants that this would provide.

Quantitative assessment

Audiovisual and media:

Quantitative assessment is possible for the audiovisual sector, which accounts for almost two thirds of funding under current programming. Based on the evaluation of previous MFF programming (Creative Europe MEDIA), the current quantification is available (beneficiaries are overwhelmingly SMEs).

- Increased export access: MEDIA support is associated with 85% of all non-domestic territories in which supported works were shown in cinemas 86% and 87% of the total non-domestic audience of supported works. On average, a film or series supported from the MEDIA programme can be accessed in 9.5, 6.6 and 3.2 additional EU countries across TV, cinema and VoD respectively, compared to an unsupported film or series.
- Scaling up/more competitive business models/taking advantage of the Single Market/optimising financing and better access to international markets: 55% (under current programme, 86%) of supported projects over the past 10 years were international co-productions vs 12% of unsupported projects.
- Reducing development risks: 29% of works supported for development got made and released eventually, on average within 3 years, which compares well to wider industry practice.
- MediaInvest offers co-investment from private investors, by supporting investments totalling €400 million between 2022-2027.

In addition, competitiveness and innovation spillovers[235] may arise but are difficult to quantify at this stage.

Education and skills:

Precise data not available

What are the indirect impacts of this initiative on SMEs? *(Fill in only if step 1 flags indirect impacts)*

Audiovisual and media:

Indirect impacts include:

- Due to the diverse types of activities on which the support is likely to have indirect impacts it is difficult to quantify exactly these impacts. However, impacts are expected to be positive.
- As regards a critical indirect impact on tourism and hospitality: in a recent survey two thirds of travellers said their choice of destination was influenced by films and TV shows.[236] Furthermore, the increasing use of tax incentives and the high level of competition among countries to attract international productions is further proof of the positive effects of audiovisual production on the local economy, especially in areas where SMEs and self-employment are prominent (technical crews, catering, hospitality, etc).

Education and skills**:**

- SMEs are likely to benefit also indirectly from the contribution to lifelong learning and skills development that the preferred option also aims at achieving.

(3) MINIMISING NEGATIVE IMPACTS ON SMES

Are SMEs disproportionately affected compared to large companies? (*Yes/<u>No</u>)*

No, the initiative is mainly targeted at SMEs as regards Audiovisual and media, and does not negatively impact on SMEs for the other components.

If yes, are there any specific subgroups of SMEs more exposed than others?

Audiovisual and media:

Although the initiative is SME-targeted, it can be assumed **smaller SMEs and micro-enterprises face greater challenges in navigating EU funding application processes** compared to larger players with dedicated administrative capacity. These costs are voluntary and minimal, however, the following subgroups of SMEs can be more exposed than others:

- Micro-enterprises (0–9 employees) face higher relative administrative burden
- SMEs in less networked, rural, or peripheral regions with lower access to EU information points and fewer support structures
- SMEs operating in niche or experimental creative fields with weaker access to traditional finance channels

Have mitigating measures been included in the preferred option/proposal? (Yes/No)
Measures have already been introduced to facilitate access for SMEs for Audiovisual and Media with less programme 'know-how': cascading grants, lump sums for example. Furthermore, the preferred option would continue supporting a network of national desks whose main purpose is to help potential applicants navigate the process.

CONTRIBUTION TO THE 35% BURDEN REDUCTION TARGET FOR SMES
Are there any administrative cost savings relevant for the 35% burden reduction target for SMEs?
Not Applicable

ANNEX 7: POLICY, LEGAL CONTEXT AND FUNDING PROGRAMMES COVERED BY THE IMPACT ASSESSMENT

1. Policy areas covered by the Impact Assessment

1.1 Fundamental rights, EU values, democracy, justice, culture, civic and media spaces

The Union is founded on the **values of respect for human dignity, freedom, democracy, equality, the rule of law and respect for human rights**, including the rights of persons belonging to minorities. These values are common to the Member States in a society in which pluralism, non-discrimination, tolerance, justice, solidarity and equality between women and men prevail.

An EU area of Justice based on the rule of law, is a prerequisite for protecting and promoting rights and EU values. Effective justice systems ensure that the rights of each person are defended. Fostering public integrity and fighting corruption is essential also for economic growth and public trust as well as ensuring that public funds are not diverted to private interests.

Media (including audiovisual, news media, etc.) remains a critical, strategic industry for the EU, in cultural, societal and economic terms. Media policy also benefits European citizens, through increased access to diverse quality content, protection from illegal and harmful content, and a more diverse and pluralistic media offer. The digital shift is quickly transforming European media. Audiovisual and media services are increasingly available online and across borders. In the information space, disinformation is rapidly spreading, posing threat to our societies. Journalists and media outlets face numerous obstacles in various countries.

Culture is central to Europe's values, identity, and democracy. The originality and success of the European Union lies in its ability to respect the varied and intertwined history, languages and cultures of its Member States. Culture fosters a sense of belonging and a collective European identity while giving voice to a diversity of expressions and preserving European cultural heritage. It also contributes to strengthening social cohesion and enhancing the attractiveness of our regions and cities. In doing so, it leads to a stronger democracy and more actively engaged citizens. Europe's cultural richness and diversity also strengthen its role and influence in the world, projecting the image of a Union firmly committed to peace, the rule of law, freedom of expression, and mutual understanding

1.2. Skills and key competences for quality life and jobs

Education and training, youth and sport are primary means of societal engagement and collective participation. Europe's strength lies in its people – their skills, talent and potential. Human capital is the foundation of competitiveness, social cohesion, and equal opportunities. Yet, Europe faces critical challenges, as highlighted in the Draghi, Letta, and Niinistö reports: global competition, technological disruption, and demographic shifts. To respond, Europe must urgently equip its population with basic, digital, and advanced skills. This requires a radical: greater investment, reformed education and training systems, and better coordination of education and skills policies at all levels. Only through bold action can Europe bridge the skills gap, drive sustainable growth and innovation, and ensure global leadership.

2. Policy and Legal context

Justice: The EU promotes a European area of justice and protects the rule of law, by strengthening judicial cooperation in civil and criminal matters, enhancing the effectiveness and integrity of judicial systems, and supporting judicial training and access to justice.

Significant legislative and policy initiatives include the European Judicial Training Strategy[237], the EU Strategy on Victims' Rights[238], and the forthcoming Commission Strategy on Digitalisation of Justice, that will aim at promoting the digital transformation within judicial systems, fostering more efficient and accessible justice services across Europe. Moreover, to further uphold the rule of law, the European Commission established the Rule of Law Mechanism[239], including the annual Rule of Law Report, which evaluates developments in judicial independence, anti-corruption frameworks, and access to justice in Member States. The Commission's Anti-Corruption Package[240], adopted in 2023, introduced comprehensive measures to combat corruption, enhance transparency, and safeguard judicial integrity throughout the Union. The EU has also adopted an Internal Security Strategy[241] and a Counter-Terrorism Agenda[242].

Fundamental rights, EU values and democracy: The EU upholds the rights enshrined in the Charter of Fundamental Rights of the European Union and promotes and protects EU values. It fights for equal treatment, the universal application of rights and combats all forms of discrimination.

The Charter of Fundamental Rights of the European Union[243] enshrines certain civil and political, social, and economic rights for European Union citizens and residents into EU law, including freedom of the arts and science (art. 13)

The Commission has adopted a series of initiatives – on gender equality, Roma equality, inclusion and participation, LGBTIQ equality, disability rights, anti-racism to help build a Union of Equality[244], as well as strategies on combating antisemitism, rights of the child[245], and the initiatives to combat hate speech and hate crime[246], to promote EU values and strengthen European democracies[247]. In 2023, the EU adhered to the Council of Europe Convention on preventing and combating violence against women and domestic violence, which has then been followed recently by the first-ever EU law combating violence against women[248]. The EU also adopted rules on pay transparency, for men and women to be paid equally for the same work or work of equal value.[249]

The EU also strengthens democratic institutions and processes by supporting and safeguarding free civic space, free and fair elections and encouraging the participation of citizens of all ages in democratic processes.

The first EU comprehensive framework on democracy has been developed through the 2020 European Democracy Action Plan[250], the 2021 package of measures to reinforce democracy and protect the integrity of elections[251] and the 2023 Defence of Democracy Package[252]. The most recent legislation in this context includes the Regulation on transparency of political advertising[253], European Media Freedom Act and the EU law protecting persons who engage in public participation from manifestly unfounded claims or abusive court proceedings ('strategic lawsuits against public participation')[254]. In recent years, many Commission initiatives have also achieved meaningful advances for EU citizenship rights, including the regular EU Citizenship reports and the 2023 EU Citizenship Package[255]. The upcoming European Democracy Shield will seek to further protect and strengthen our democracy[256].

Media: The EU has adopted single market legislation for the copyright-intensive industries including for the audiovisual and media sectors. It promotes an independent, diverse and trustworthy media landscape, ensures a safe online environment and combats disinformation. It supports the production, circulation and promotion of audiovisual and media content across borders. The audiovisual and media sectors have specific characteristics and needs, which have shaped the EU's media policy as reflected in the EU acquis and policy developments, namely the AVMS Directive, Copyright Directive, Media Action Plan and EMFA. The Commission has further recognised the crucial role of these sectors through the adoption of the European Democracy Action Plan and the Media and Audiovisual Action Plan in 2020, followed by the European Media Industry Outlook in 2023.

Culture: The EU supports cultural and creative sectors, by promoting cultural and linguistic diversity and cross-border exchanges, cooperation, circulation and mobility, and preserving Europe's rich cultural heritage. The role of culture and cultural heritage in upholding EU values and fundamental principles is at the core of the framework for EU cooperation in the field of culture and of European initiatives such as the New European Bauhaus, the European Capitals of Culture and the European Heritage Label. Key policy initiatives include the European Agenda for Culture, the EU Strategy for International Cultural Relations, the European Framework for Action on Cultural Heritage, the Council Work Plans for Culture, and the upcoming Culture Compass for Europe[257]. The Commission is working on a proposal for a Culture Compass for Europe, as a strategic framework to guide the multiple dimensions of culture. This is a major policy initiative giving more centrality to culture in the overall EU policy making for years to come. Finally, the Union and its Member States are parties to the 2005 UNESCO Convention on the Protection and Promotion of the Diversity of Cultural Expressions, which entered into force on 18 March 2007.

Education and training: The EU supports Member States in their efforts to improve the quality and efficiency of education and training at all levels of education from early childhood and care to adult education, implements a vocational training policy in line with labour market needs, promotes lifelong learning and mobility, equity, active citizenship and enhances creativity, innovation and entrepreneurship in all sectors and levels of education and training.

The Union of Skills sets the framework for EU cooperation in education and skills policies and supports the development of EU's human capital to strengthen EU competitiveness. It aims to deliver higher levels of basic skills, providing individuals with strong foundations for further development and offer lifelong learning opportunities for upskilling and reskilling. It also seeks to attract and retain the skills and talents needed in the European economy, ensuring that the region remains competitive on a global scale and facilitate recruitment by businesses. The European Education Area (EEA) lays the foundation to skills formation throughout life and supports cooperation and peer learning between countries. It promotes high quality education and training for all, mutually and automatically recognising learning outcomes across borders, and supporting the mobility of learners of all ages. It provides a framework with **six fundamental strategic dimensions** which will be fully addressed through cross-synergies by design between the future instruments of the cluster. The Digital Education Action Plan, part of the EEA, supports the development of digital education across EU Member States and the equipment of people with digital skills and competences for the digital transformation. The Union of Skills is "an overarching strategy, focusing on investment, adult and lifelong learning,

vocational education and training, skill retention and recognition and enhancing skills intelligence."

Youth and solidarity: The EU supports the participation of young people in civic and democratic life, connects young people across the European Union, and beyond, to foster solidarity, voluntary engagement and intercultural understanding and supports youth empowerment through quality, innovation and the recognition of youth work. The EU also fosters cooperation between organisations in this area. The EU Youth Strategy[258] is the policy framework in the field of youth for 2019–2027, structured around the pillars of Engage, Connect, and Empower aiming to foster youth participation in democratic life, social and civic engagement and ensuring that all young people have the necessary resources to take part in society.

Sport: The EU fosters cooperation to strengthen safety, sustainability, integrity and values of sport and enhance participation in sport and health-enhancing physical activities. In the realm of sport, the EU Work Plan for Sport[259](2024-2027) outlines a strategic approach that recognizes the role of sports in social cohesion, promoting well-being, building inclusive communities, strengthening cultural ties, and enhancing solidarity among people. The work plan prioritises integrity, sustainability, and social inclusion within sporting contexts, encouraging cross-border cooperation and the sharing of best practices.

The EU's policies in youth and sport focus on promoting inclusivity, participation, and development through strategic initiatives that aim to empower young people and enhance the role of sports in social cohesion. In the realm of sport, the EU Work Plan for Sport[260](2024-2027) outlines a strategic approach that recognizes the role of sports in social cohesion, promoting well-being, building inclusive communities, strengthening cultural ties, and enhancing solidarity among people. The work plan prioritises integrity, sustainability, and social inclusion within sporting contexts, encouraging cross-border cooperation and the sharing of best practices.

3. EU funding programmes and schemes 2021-2027 and their legal bases

Under the current MFF, the key legislative and policy initiatives mentioned above are supported mainly by the following EU funding programmes which are covered by this IA.

1. Fundamental rights, EU values, democracy, justice, culture, civic and media spaces

Funding instrument	**Legal basis**	**Content**
Citizens, Equality, Rights and Values programme (CERV)	*Articles 16(2), 19(2),21(2), 24, 167, 168 TFEU*	CERV seeks to promote and protect rights and values within the EU as enshrined in the Treaties, the Charter and the applicable international human rights conventions to sustain open, rights-based, democratic, equal and inclusive societies based on the rule of law.
Justice Programme	*Article 81(1) and (2) and Article 82(1) TFEU*	The Justice programme endeavours to create an area of freedom, security and justice, supporting judicial cooperation, the rule of law and fundamental rights and a well-functioning independent judicial system.
Creative Europe programme	*Art. 167(5), 173(3) TFUE*	The Creative Europe programme supports the cultural, creative and audiovisual sectors. It aims to safeguard European cultural and linguistic diversity and heritage and

		to increase the competitiveness and the economic potential of the CCS, particularly of the audiovisual and media sectors.
Multimedia Actions	*Art. 58 F*inancial Regulation	The Multimedia Actions is a prerogative line of the Commission aiming to strengthen news reporting on EU affairs from European perspectives

The **Citizens, Equality, Rights and Values (CERV) programme** is the dedicated thematic EU instrument which specifically seeks to promote and protect rights and values within the EU as enshrined in the Treaties, the Charter and the applicable international human rights conventions to sustain open, rights-based, democratic, equal and inclusive societies based on the rule of law. The programme supports civil society organisations working at European, national, regional and local levels because civil society plays a key role in upholding the common values on which the EU is founded. Established[261] for the period 2021-2027 as a merge of the previous Rights, Equality and Citizenship (REC)[262] and Europe for Citizens (EfC)[263] programmes, the CERV programme has a budget of over 1.5 billion EUR over 7 years. The programme has four strands: (i) Union values; (ii) Equality, rights and gender equality; (iii) Citizens' engagement and democratic participation; (iv) Daphne – to fight against gender-based violence and violence against children and other vulnerable groups, including LGBTIQ people. It is implemented in direct management under the overall responsibility of the Directorate-General for Justice and Consumers (DG JUST) of the European Commission.

The **Justice programme**[264] supports the further development of an area of justice based on EU's values and the rule of law. Under the current MFF, the programme has a budget of around 0.3 billion EUR and covers three specific objectives: 1. facilitate and support judicial cooperation in civil and criminal matters, and promote the rule of law, the independence and impartiality of the judiciary – including by supporting the efforts to improve the effectiveness of national justice systems – and the effective enforcement of decisions; 2. support and promote judicial training, with a view to fostering a common legal, judicial and rule-of-law culture, and the consistent and effective implementation of relevant EU legal instruments; 3. facilitate effective and non-discriminatory access to justice and effective redress, including by electronic means (e-justice), by promoting efficient civil and criminal procedures and by promoting and supporting the rights of all victims of crime, along with the procedural rights of suspects and accused persons in criminal proceedings. The justice programme mainly supports activities for the judiciary and judicial staff by their representative bodies, public authorities and training bodies. It is also open to academic/research institutes and civil-society organisations that contribute to the development of an EU area of justice. The programme is implemented in direct management under the responsibility of the Directorate-General for Justice and Consumers (DG JUST) of the European Commission.

Creative Europe is the EU programme dedicated to supporting the culture and media sectors, with the objective of enhancing competitiveness, notably the audiovisual industry, and strengthening cultural and linguistic diversity. Cultural and media sectors represent a significant industrial ecosystem and face common challenges stemming from the digital transformation and intense global competition. At the same time, Creative Europe operates within the Treaty on the Functioning of the European Union, where culture is a supporting competence whilst the EU has a single market focus on audiovisual and media. With an envelope of over EUR 2.6 billion, the Programme is divided into three strands: the Culture strand (33% of budget), which covers all CCS apart from audiovisual and media, in

particular architecture, archives, libraries and museums, artistic crafts, tangible and intangible cultural heritage, design (including fashion design), festivals, music, literature, performing arts (including theatre and dance), books and publishing, radio, and visual arts; the MEDIA strand, which covers the audiovisual and gaming sectors (58% of budget); and the Cross-Sectoral strand (9%), which covers actions across all CCS (with a focus on media freedom and news media). DG EAC and CNECT co-manage the programme.

The **Multimedia Actions** line is a prerogative line of the Commission aiming to strengthen news reporting on EU affairs from European perspectives. It is managed directly by CNECT, with a budgetary allocation of an indicative amount of EUR 145 Mio over the MFF 2021-2027.

2. Skills and key competences for quality life and jobs

Funding instrument	**Legal basis**	**Content**
Erasmus+	*Articles 165(4) and 166(4) TFEU*	Erasmus+ provides learning mobility opportunities abroad for people of all ages in formal, informal and non-formal education settings and invests in cooperation and policy development in the fields of education and training, youth and sport
European Solidarity Corps	*Articles 165(4), 166(4) and 214(5) TFEU*	The European Solidarity Corps gives young people the opportunity to take part in projects that benefit communities facing unmet societal challenges, either abroad or in their own country, through volunteering or by setting up their own solidarity projects.

Erasmus+[265] is the European Union programme for education and training[266], youth and sport. It provides learning mobility opportunities abroad for people of all ages and invests in cooperation and policy development in the fields of education and training, youth and sport. The general objective of Erasmus+ is to support, through lifelong learning, the educational, professional and personal development of people in education, training, youth and sport, in Europe and beyond. The total financial envelope allocated to Erasmus+ 2021-2027 was set indicatively at more than EUR 26.5 billion, with an additional indicative envelope of EUR 2.2 billion allocated from External Cooperation Instruments (IPA III and NDICI-Global Europe). The programme is implemented under direct and indirect management (around 80% of the budget is implemented under indirect management through Erasmus+ National Agencies).

The **European Solidarity Corps**[267] is an EU programme that gives young people the opportunity to take part in projects that benefit communities facing unmet societal challenges, either abroad or in their own country. By supporting vulnerable communities and individuals, young people can learn and contribute to building a more inclusive society through their volunteering activities. It has an envelope of over EUR 1 billion.

Other EU funding programmes partially linked to the policy areas object of this IA:

Digital Europe Programme	*Articles 172, 173(3) TFEU*	Digital Europe programme supports projects in key capacity areas and ensures a wide use of digital technologies across the economy and society – including on aspects such as digital heritage, media and data, and justice. Specific Objective 4 (SO4) on advanced digital skills focuses on

		developing a talent pool in the EU in advanced digital technologies, addressing skills shortages.
Horizon Europe	*Articles 173(3), 182(1), 183, paragraph 2 of 188 TFEU*	Cluster 2 of Horizon Europe on Cluster 2: Culture, Creativity and Inclusive society' aims to strengthen European democratic values, including rule of law and fundamental rights, safeguarding cultural heritage, and promoting socio-economic transformations that contribute to inclusion and growth
European Social Fund (ESF)+ *European Regional Development Fund (ERDF)*	Articles 149, 153(2)(a), 162, 175 TFEU Articles 176, 177 and 178 TFEU	The European Social Fund Plus (ESF+) supports education and skills with EUR 42 billion in 2021-27. This encompasses upskilling and reskilling, including digital skills and green initiatives. The European Regional Development Fund (ERDF) (including under its European Territorial Cooperation strand – Interreg) supports education, skills development, and training with EUR 8.8 billion in 2021-27. This includes infrastructure, equipment and cooperation across borders to facilitate equal access to quality and inclusive education. The ESF+ and the ERDF provides a significant contribution to the EU's social policies, including structural reforms in these areas, particularly in relation to supporting the strategy on the Rights of the Child, gender-balanced labour market participation, socio-economic integration of marginalised communities (such as Roma people), as well as equal access to quality services and modernising social protection systems.
Resilience and Recovery Facility (RRF)	*Article 175 TFEU*	The Recovery and Resilience Facility (RRF) is transforming European economies after the pandemic with a very important focus on the social dimension, contributing to the implementation of the European Pillar of Social Rights. In total, Member States' national recovery and resilience plans allocate around 25% of their budget towards social objectives (around EUR 163 billion of total funding). The RRF supports both education and skills with around EUR 72 billion.[268] Member States' national recovery and resilience plans include reforms and investments ranging from early education through general, vocational and higher education to adult learning. In total, the education or training of over 29 million people have been supported by the RRF since its inception.[269] The measures directly supporting media, and culture and creative industries in Member States' national recovery and resilience plans amount to EUR 11.7 billion, representing approximately 2% of the total Recovery and Resilience Facility budget. In particular, the RRF has supported the industrial and digital transformation of the audiovisual industry. For example, it has contributed to boost national production and attract overseas productions.

		The RRF further supports reforms and investments in the field of EU values, which correspond to challenges identified by country-specific recommendations under the European Semester. For instance, targeted measures are set to benefit close to 300 000 persons with disabilities. The recovery and resilience plans also include a broad range of measures to promote the inclusion of disadvantaged groups, such as Roma communities. Additionally, Member States have put forth 136 measures that directly promote gender equality[270]. The RRF has also devoted considerable funding for the digital transition of national justice systems.
Technical Support Instrument (TSI)	*Article 175 and Article 197(2) TFEU*	The Technical Support Instrument (TSI) is the European Commission's key tool for supporting EU Member States in designing and implementing growth-enhancing and inclusive reforms. From 2021 to 2025 TSI has funded 36 projects to support 20 Member States to implement 43 justice reforms aiming to improve the quality and effectiveness of justice, from leveraging technology to better manage case workflows, to taking a data-driven approach to allocate caseload and resources. In the same period, TSI has funded 77 projects to support 27 Member States to implement 90 skills and education reforms aiming to the development of basic skills, and attractiveness and labour market relevance of education and VET systems. The TSI has also assisted Member States in rolling out 56 reforms aimed at enhancing equality, including gender equality. Moreover, the TSI complements the RRF by supporting EU Member States in the implementation of their recovery and resilience plans related to digitalisation of justice, reduction of backlogs and judicial map reform, as well reforms in early childhood education and care and the digital readiness of higher education among others.
InvestEU programme	*Articles 173, paragraph 3 of 175 TFEU*	The InvestEU programme, mobilising private and public funds, provides guarantees and financing for culture and creative SMEs in addition it blends funds with Creative Europe MEDIA and the EIF through a dedicated investment vehicle (i.e., MediaInvest) to support investments in the audiovisual and gaming sectors. Under Social Infrastructure and Skills Window, investment in skills, education, training, and social infrastructure, including educational infrastructure and student housing are supported, leveraging more than EUR 1 billion

ANNEX 8: RESULTS OF MID-TERM EVALUATIONS

1. Mid-term evaluations on citizenship, equality, rights, values, justice, media and culture programmes

Citizenship, equality, rights, values, and justice: interim evaluations of the CERV and Justice programmes

The interim evaluations[271] of the CERV and 2021-2027 Justice programmes assess the performance of the two programmes over the first three years of implementation. The results of the evaluations also rely on the assessment of the respective preceding programmes[272].

Overall, the **interim evaluation of the CERV programme** shows that it **is making good progress towards its objectives**[273]. **The new features**[274] **of the CERV programme have produced efficiency gains for the Commission and beneficiaries**, by improving predictability, strengthening monitoring, and reducing administrative and reporting burden.

The **main benefits of the CERV programme are directly project related** (i.e. the opportunity to implement a desired approach) but there are **also broader and societal benefits**[275], including **a strong contribution to promoting gender equality**[276]. The **CERV programme occupies a space in the CSO funding landscape that would otherwise be vacant**[277]. Its comprehensive scope, pan-EU coverage, focus on EU values, grants of a significant size, operating grants and re-granting mechanisms, all make the CERV programme an essential source of funding for organisations promoting EU values and fundamental rights. The programme's ability to directly provide independent sources of financing allows organisations to maintain autonomy and pursue their goals without undue influence. The programme architecture fosters coherence and synergies between different policy priorities and contributes to a more holistic approach to addressing societal challenges and promoting EU values.

The interim evaluation of the CERV programme highlights that there is a clear need for the programme to continue because the challenges it was set up to address persist and, in some cases, have got worse, e.g. the increasing polarisation of society, the rise in populism and extremism, and the threat to EU values. Also, **the effects of having no CERV programme would likely impact the already shrinking civic space in the EU.** Respect for the rule of law, fundamental rights and democratic dialogue, gender equality and disability rights would also be affected. Violence against children, LGBTIQ people, extremism and radicalism would be likely to rise. The sense of being a European citizen would weaken. Nevertheless, **a funding gap on the strands for equality, rights and gender equality, and for combating violence against women, children and other groups at risk, is present and may limit the ability to fulfil the objectives of these CERV strands**. The CERV programme has been coherent with wider EU policies and priorities and complementary in their objectives with other EU funding programmes. **There is a clear need for the CERV programme to continue because the challenges this programme was set up to address persist and, in some cases, have got worse** e.g. the increasing polarisation of society, the rise in populism and extremism, and the threat to EU values.

The **interim evaluation of the 2021-2027 justice programme** highlights that the actions funded are coherent with policies and priorities at EU and national levels, aligned with other EU funding instruments and consistent with international commitments and objectives, such as the Sustainable Development Goals (SDGs)[278]. The streamlined architecture of the current programme allows for greater impact and a more focused approach in key areas compared to the previous programme. Specifically, the justice programme has **successfully contributed to supporting the mutual recognition of judicial decisions across Member States and enhancing cross-border**

cooperation, creating a long-term impact by further developing a cohesive European area of justice built on mutual trust and cooperation.

Direct funding to beneficiaries has led to immediate and tangible benefits for the target groups involved. Notably, funding for EU networks such as the European Judicial Training Network (EJTN) facilitates sustained collaboration, capacity building, and continuous high-quality engagement among legal professionals across the EU. Furthermore, the programme's continued emphasis on judicial training **significantly contributes to unifying and developing the legal landscape across the EU**. The programme plays a **crucial role in fostering a shared legal culture** by training thousands of judges, lawyers, and court staff and supporting the implementation of the 2021-2024 strategy on European judicial training[279]. By facilitating exchanges of best practices, the programme strengthens Member States' collaboration, **ensuring a uniform, coherent, and consistent application of EU law** by judicial practitioners, thereby enhancing the integrity of EU legislation and legal coherence across borders.

The current programme also builds upon progresses achieved in the previous programming period, by further reducing barriers to justice and improving frameworks and protections for marginalised individuals[2803]. At the same time, the evaluation points to **two main areas of improvement in terms of design:** first of all, evidence gathered through stakeholder consultations highlight the need to **expand the reach of the programme**: in fact, higher education and public authorities reported higher awareness of the programme compared to CSOs. This suggests that while the programme's communication activities are effective, they may not be reaching all sectors equally[281].

Moreover, some stakeholders suggested to better include correctional services and prison staff in the target groups of the programme. Secondly, in terms of **addressing new challenges**, **digitalisation** of justice has become a significant cross-cutting objective of the current justice programme, particularly following the COVID-19 pandemic, which accelerated the use of digital technologies. This focus facilitates easier access to legal information, modernises cross-border judicial cooperation mechanisms, and supports broader EU digital transformation goals, making justice systems more efficient and accessible. Investment in digitalisation enhances also fundamental rights within the justice field, such as the presumption of innocence[282]. Moreover, the increased use of digital tools expands the programme's reach efficiently. However, **growing demands in digitalisation is highlighting significant investment gaps at both EU and national levels**. The justice programme supports the development and maintenance of EU-level IT systems and platforms, but because of its limited budget, the programme cannot meet all current and future needs.

Media sectors: Mid-term evaluations of MEDIA and Cross strands of Creative Europe and multimedia actions

1. **Audiovisual and video games sectors**

The final evaluation of Creative Europe 2014-2020 and the mid-term evaluation of Creative Europe 2021-2027 has confirmed the relevance of continued support to the audiovisual sector and emerging support to news media. The strands' objectives are well aligned with the media policy agendas and regulatory frameworks, notably the Audiovisual Media Services Directive and the European Media Freedom Act

MEDIA has been effective in supporting: 1) the transnational circulation of European AV works (relevant for both cultural diversity and competitiveness); 2) competitiveness of the industry

(including, crucially, cross-border cooperation between AV players); and 3) cultural and geographical diversity (including audience development) fostering a level-playing field between participating countries with different audiovisual capacities. These three objectives are naturally interlinked (e.g. cross-border cooperations increase and diversify demand in different languages and markets).

As regards **the transnational circulation of European non-national works**, the evaluation revealed that on average MEDIA supported EU films and series could be viewed by audiences in 9.5, 6.6 and 3.2 more EU countries across TV, cinema and VoD respectively, than an unsupported EU film or series. MEDIA support was also associated with 125,410 more non-national cinema admissions relative to unsupported films.[283] Without MEDIA support, non-national admissions in the EU would drop to 30% of the current level.

As regards **competitiveness**, the KPI on co-productions confirms the positive impact of MEDIA funding on the competitiveness of production companies. The share of European co-productions in all supported works has increased from 36% under the previous to 86% under the current programme, and is estimated to be significantly higher than co-productions among unsupported works. Co-productions increase competitiveness in various ways, in particular by increasing the addressable audience abroad, bringing in new sources of financing (public and private), combining know-how and capabilities. There is also evidence of distributors growing because of MEDIA support.[284] Last but not least, MediaInvest has demonstrably created leverage effect for additional funds. MediaInvest is a dedicated blended equity investment platform dedicated to European audiovisual and gaming, which aims to strengthen the financial strength of European players[285]. It will for example help European production companies retain and exploit their intellectual property, compete internationally, and harness their creative autonomy[286]. It is on track to achieve its objective of leveraging up to €400 million between 2022-2027.

As regards **cultural and linguistic** MEDIA has supported many high-quality films and videogames with international standing.[287] Accounting for only 10% of all screens in the EU, by 2023 the network of cinemas supported by MEDIA sold almost 40% of all tickets sold to non-national European films. A strong positive development can also be observed in co-productions involving high and low audiovisual capacity countries.[288]

MEDIA has been **efficient in absorbing an increased budget** of +66%, which has been fully executed so far. Yet, the funding levels are low compared to the challenges at stake, limiting its effectiveness. The administrative costs have been reduced by providing bigger grants, reducing the number of contracts and payment to be administered[289].

The evaluation has identified **a need to sharpen the EU intervention and address new challenges**, such as the platformisation brought about by giant global competitors and the shift of audiences online. For example, in the critical streaming segment (which is driving all growth in the industry), Europeans spend only 7% of their time on watching content from other EU countries, while they spend 60% of their time on US works and 20% on works from other non-EU territories (e.g. UK and Asia). Another key challenge is to ensure a fair access of European citizens, to quality European content. [290]

The evaluation confirmed that the need to improve synergies among Creative Europe funding strands in support of copyright intensive industries. These industries share common challenges, from the competition of global platforms, to attracting wider audiences in the digital age and responding to consumer preferences, with special focus on digital native young people[291]. The success of and

experience with MEDIA in reaching wider cross-border audiences through co-productions and pan-European distribution is very relevant in this regard and could inspire other IP intensive sectors[292].

The EU AV sector is also lagging behind the US and other regions **in innovation**. Non-EU tech players have a strong influence on what kind of EU content Europeans consume: e.g. recommendations of streaming services have an above-average impact on consumers' overall choices regarding films and series, especially among younger generations.[293] In this connection, the evaluation confirmed that synergies with research and innovation programmes, could be further exploited.

2. News media sectors

Support to news media was introduced in 2021. Given budgetary limitations, it has focused on targeted cross-border collaborations among media organizations, actions promoting media freedom and pluralism, and since 2022, media literacy activities. The evaluation confirms that the results are very promising. Firstly, the programme has helped monitor and map media pluralism and ownership across the Union[294]. Secondly, media collaborations have contributed to addressing some of the industrial challenges. Funding also strengthens democracy and societal resilience by supporting local and regional journalism, investigative reporting, and public interest news, in particular in "*media deserts*". Finally, media literacy actions have helped citizens to navigate digital media in the context of growing disinformation. In this initial stage, with a small annual budget of about EUR 15 mio, as the news media actions are new, key performance indicators focus on quantitative results.[295]

Regulation (EU) 2021/818 (the Creative Europe Regulation)[296], which includes a closed list of actions in its annex, has restricted the programme's capacity to respond to emerging challenges such as threats to media freedom and pluralism as well as disinformation.

While the actions are closely aligned with other EU policies and initiatives, barriers to exploiting synergies with other programmes such as CERV persist. Overlaps are most prominent for media literacy, between Erasmus+ and Creative Europe[297]. The **Multimedia Actions** line focus on the provision and access to content on EU affairs, with an annual average budget of EUR 20 million. The evaluation of the Multimedia Actions line, covering the years between 2021 and 2023, confirms that the actions were effective in strengthening news coverage on EU affairs from a European perspective. The actions supported the production of a high volume of original content, with over 7,100 news items annually, excluding translations and secondary output. They achieved a notable audience reach, with an estimated 8.9 million weekly on-air viewers, and an average of over 31 million page views in 2023 for digital content. Nevertheless, the evaluation showcased that the current funding levels cannot address the wide range of issues and challenges evolving around the fast-changing landscape of news media and evolving consumption patterns across the Union[298]. It recommended a greater focus **on promotion,** reflecting changes on how citizens access news.

3. Creative Europe Culture Strand

The Culture strand of Creative Europe covers all the cultural and creative sectors with the exception of the audiovisual. They include inter alia, architecture, archives, libraries and museums, artistic crafts, tangible and intangible cultural heritage, design (including fashion design), festivals, music, literature, performing arts (including theatre and dance), books and publishing, radio, and visual arts

The evaluation confirms that the Culture strand **is working and performing well**, effectively engaging with a high number of cultural and creative organisations. It offers them rich opportunities to work transnationally, is strongly aligned with the evolving needs of the CCS, strengthen their capacities, and successfully help all CCS reach new and wider cross-border audiences through co-creations, co-productions and pan-European circulation, contributing in this way to foster a shared area of cultural diversity for the peoples of Europe. The evaluation highlights that, in line with the regulation establishing the programme, the Culture strand Creative Europe 2021-2027 has wider ambitions than its predecessor in promoting societal resilience and enhancing social inclusion and intercultural dialogue through culture, as well in contributing to the Union's global strategy for international relations through the many partnerships involving cultural and creative entities from non-EU Member States. Finally, the evaluation concludes that growth in the supported CCS organisations came from the additional skills developed through the implementation of projects and the larger markets accessed at the transnational level, both of which indirectly helped organisations to become more competitive. Despite such significant achievements, financial constraints and oversubscription issues remain a challenge.

The Culture strand has been instrumental in helping the CCS address to a good extent key issues identified in the regulation, such as the fragmentation of the market along national and linguistic lines or the challenges connected with the dual transition. However, the overall sectors' position relative to international competition is still relatively weak some needs have become more acute in recent years while others have appeared, namely the need to preserve artistic freedom, to recognise the intrinsic value of culture and its contribution for the society, the surge of AI, take into account the new international geopolitical landscape, and to improve working conditions in CCS. The evaluation has identified a **fourfold proportion of high-quality projects exceeding the available budget for some key actions, such as cooperation projects, mobility and literary translations.** The proven strand's **lack of capacity to absorb demand** represents a threat to its **attractiveness** to stakeholders and therefore impact, due to the fierce competition for available funds. The Culture strand should keep addressing **accessibility** challenges and continuing to expand its reach to cultural and creative organisations with no prior experience at working at EU level. The evaluation values the **international opening** of the Culture strand going beyond the EU, as an essential element for promoting EU values, intercultural dialogue, raising awareness of EU democratic values but also facilitating peer learning on key issues for culture and heritage. Finaly, despite the fact that the regulation specifies clear actions to be developed, it also leaves enough leeway to adapt to new policy priorities and the Culture strand has proved **its flexibility and agility** in responding to new challenges or events, in particular the migration crisis, the upsurge of COVID-19, the Russian war of aggression against Ukraine, etc.

2. Mid-term evaluations of Erasmus+ and European Solidarity Corps

Erasmus+

The final evaluation of the 2014-2020 Programme and the interim evaluation of the 2021-2027 Programme[299] found that Erasmus+ performs strongly across key evaluation criteria and fulfils its objectives effectively. Both Programme generations have proven successful in delivering a strong European added value, playing a key role in the fields of education, training, youth and sport.

Despite the negative impact of the COVID-19 pandemic, Erasmus+ supported learning mobility abroad of over 6.2 million participants in the 2014-2020 period and around 1.6 million in 2021-2023 helping to increase their skills and competences. Erasmus+ also funded over 136 000 distinct

organisations in the 2014-2020 Programme and more than 77 000 from 2021 to 2023, supporting their cooperation and improving their practices.

Erasmus+ significantly surpasses what could be achieved by individual countries at national or international levels. Its benefits stem from the opportunities it provides to personal, educational and professional development of learners and staff, to cross-border cooperation of organisations and to policy development in the fields of education and training, youth and sport, providing significant benefits to those to take part in the programme compared to those who do not. Without Erasmus+, the benefits deriving from the Programme for individuals and organisations would be drastically reduced. Internationalisation of education, training, youth and sport sectors would be reduced to close to zero in several countries, especially in the youth and sport sectors. Erasmus+ funds over half of credit mobilities in the Member States, and in half of the EU countries over 90% of short mobility[300].

The programme is also responding to emerging needs related to new challenges posed by technological developments, in particular the emergence of generative artificial intelligence and the provision of skills to support EU competitiveness. Erasmus+ is investing in supporting the development of skills needed to provide the EU single market and industrial sectors with the future-proof skills needed to tackle the challenges of competitiveness, as highlighted in Draghi and Letta reports. The funding of learning mobility - which is at the heart of the programme - appears key to ensure that the younger generations are equipped with the right skills to face the challenges posed in a rapidly evolving context. The Programme has also become more inclusive and has increased the share of people with fewer opportunities amongst its participants, going from around 10% in the 2014-2020 period to around 16% in 2023[301].

Furthermore, the programme is also responding to emerging needs related to new challenges posed by technological developments, in particular the emergence of generative artificial intelligence and the provision of skills to support EU competitiveness. Erasmus+ is investing in supporting the development of skills needed to provide the EU single market and industrial sectors with the future-proof skills needed to tackle the challenges of competitiveness, as highlighted in Draghi and Letta reports. The funding of learning mobility - which is at the heart of the programme - appears key to ensure that the younger generations are equipped with the right skills to face the challenges posed in a rapidly evolving context. The Programme has also become more inclusive and has increased the share of people with fewer opportunities amongst its participants, going from around 10% in the 2014-2020 period to around 16% in 2023[302].

Despite the clear progress, the evaluation has identified some still existing barriers to the participation of people with fewer opportunities. Erasmus+ should thus keep addressing accessibility challenges, continuing to expand its reach to participants with fewer opportunities. Further clarifying definitions of people with fewer opportunities and providing clearer guidance on the measures available to support their participation would also enhance inclusivity.

Reviewing funding rules, simpler reporting procedures and streamlining across the various actions and fields should be assessed to simplify access for small and newcomer organisations. The evaluation also identified needs for simplifying alternative funding, facilitating transfer of funds between instruments and breaking down barriers between different operational modes and funding rules to build more synergies between Erasmus+ and other instruments and foster projects' upscaling. That should also be done via better dissemination of projects outcomes.

The evaluation shows the international added value of the programme, essential for promoting EU values, intercultural learning, raising awareness of civic and active participation but also for facilitating peer learning and bringing European expertise in the fields of education, training, youth and sport to other regions. Erasmus+ could consider widening its cooperation with non-EU countries not associated to the programme.

The Erasmus+ evaluation identified opportunities to improve coherence with the European Solidarity Corps and to identify ways to address potential overlaps, improving overall efficiency and increasing clarity for stakeholders.

European Solidarity Corps

The final evaluation of the 2018-2020 Programme and interim evaluation of the 2021-2027 Programme[303] have found that the European Solidarity Corps performs well across the five evaluation criteria (relevance, efficiency, effectiveness, coherence, EU added value). The European Solidarity Corps addresses European society's crucial needs, especially in fostering civic participation and promoting inclusion and diversity. The programme fosters a sense of community, revitalising local initiatives and promoting a broader global perspective. Participation contributes to improved personal, professional and study skills and social and civic awareness. The programme has also consistently met its targets on participants with fewer opportunities (30% in 2022 and 2023[304]). The evaluation's outcomes confirm that the European Solidarity Corps plays an essential role and, in some countries, is the only alternative for youth volunteering and solidarity. A number of areas for improvement have been identified. Key recommendations suggest improving the identification of people with fewer opportunities to facilitate their further inclusion in the programme, aligning programme objectives and funding, addressing differences in the geographical distribution of results and impacts, improving visa arrangements for non-EU nationals and improving IT and monitoring tools, and clarifying the purpose of the humanitarian aid strand. Funding has generally proven very limited given the programme's ambitions and objectives. The programme complements EU programmes like Erasmus+, but actual synergies are somewhat limited, suggesting a need for more structured efforts.

A **potential area of duplication** highlighted by the evaluation concerns Erasmus+ Youth Participation activities and Solidarity projects funded under the European Solidarity Corps, both supporting youth-led initiatives run by informal groups of young people, fostering active citizenship and sense of initiative. Solidarity projects have a stronger solidarity component, supporting mostly bottom-up local solidarity activities with a view to addressing key challenges within the communities the young people carrying the project live in. Nevertheless, the many common areas of action suggest the need to reflect on potential overlaps and improve communication on the differences to potential applicants. The support activities aiming at increasing the quality implementation of the two programmes also emerge as examples for possible overlaps. **Both activities are run by the same National Agencies, active in the youth field, and fund very similar activities, reaching out to target groups that are often the same**. These activities represent opportunities for synergies between the programmes, they could also be looked at to seek for some economy of scale and improve efficiency.

Erasmus+ and European Solidarity Corps – Coherence with other EU policies and instruments

Erasmus+ and the European Solidarity Corps (ESC) exhibit a high degree of external coherence with key EU priorities, including education, skills development, inclusion, youth engagement, and democratic participation. Evaluations of both the 2014–2020 and 2021–2027 programmes confirm their complementarity with major EU instruments of the 2021-2027 programming period such as

ESF+, Horizon Europe, Interreg, and the RRF. This supports the programmes' roles in building a lifelong learning society, enhancing employability, and promoting civic values in line with EU strategic frameworks like the European Education Area and the European Pillar of Social Rights.

Erasmus+ alignment with broader EU objectives – such as the European Education Area, the European Skills Agenda, the Digital Education Action Plan, and the European Green Deal – makes it well-positioned to drive systemic change. The expansion of its scope in 2021–2027 to include adult education, sport staff mobility, and initiatives like DiscoverEU further enhanced its external coherence. These new dimensions support skills formation, intercultural understanding, and social inclusion, while expanding access to previously underserved groups. They also align with the broader objectives of building a Union of Skills, fostering lifelong learning, and promoting fairness and Flagship initiatives such as European Universities alliances, Centres of Vocational Excellence, and Erasmus+ Teacher Academies which are already deeply embedded in the EU's strategic education and skills policy frameworks[1]. These structures also contribute directly to building a resilient and interconnected European Education Area and advancing international partnerships via the Global Gateway. Their contribution is not only educational but also socio-political, fostering networks that link education, innovation, and regional development. In practice, they have also generated valuable spill-over effects in terms of curriculum modernisation, institutional reform, and cross-sectoral cooperation, which are increasingly relevant for Member States' national reform efforts supported under the European Semester.

The European Solidarity Corps complements Erasmus+ by offering volunteering and solidarity experiences to young people outside of formal education and training frameworks.

Erasmus+ and the European Solidarity Corps (even at a lesser extent) already benefit from deepening synergies with other EU funding streams:

- Horizon Europe: Especially under Pillars I and III, links with Marie-Sklodowska-Curie Actions and the European Institute of Innovation and Technology boost research mobility and innovation ecosystems. Horizon Europe Missions are directly supported by the European Solidarity Corps.

- ESF+: Supports inclusion and scale-up of Erasmus+ pilots. Germany's transfer of EUR 57 million from ESF+ to fund inclusive mobility is a notable example.

- ERDF & Interreg: Complement skills and education infrastructure, particularly in smart specialisation regions.

- RRF: Supports national education reforms; e.g. Italy dedicated EUR 150 million for school mobility in disadvantaged areas.

These synergies allow for scaling successful pilot actions and integrating Erasmus+ and the Corps results into wider employment and inclusion strategies at national level. Survey data confirm this complementarity: 45% of organisations participating in multiple EU programmes saw a link to Erasmus+, often as a continuation or upscaling of earlier efforts.

The **coherence with EU funding, the European Semester and policy priorities** – such as Cohesion Policy, the RRF, the European Semester, and the European Pillar of Social Rights, connected to the RRF and the European Semester, jointly shape education and inclusion initiatives, confirming strong

alignment with Erasmus+ and the European Solidarity Corps objectives. In this, the Pillar's principles 1, 3, 4, 11, 17, 20 correspond to the combination of Erasmus+ and European Solidarity Corps' objectives on lifelong learning, equity, and civic engagement. Furthermore, the European Semester's country-cpecific recommendations (CSRs) reinforce national reforms in areas like upskilling, inclusion, and digital education.

ANNEX 9: PROBLEMS, PROBLEM DRIVERS AND THEIR EVOLUTION

Table 1: Evolution of problems based on megatrends[305]

Megatrend	Connections
1.Accelerating technological change and hyperconnectivity	Education systems struggle to keep pace with fast-moving technological innovation and students' digital realities. Many lack the capacity to integrate AI, digital tools and media literacy into teaching and learning at scale. Hyperconnectivity among youth increases exposure to online manipulation, while educators are often under-equipped**.** For the CCS, media and audiovisual, technology is transforming access, production and distribution. In education and training, digital learning platforms expand, while young people are hyperconnected among themselves and to global trends. Technological changes are also reshaping justice systems and posing new challenges to fundamental rights, EU values and democratic processes. Social media, more than driving civic activism, are also means of exposure to disinformation and echo chambers.
2.Changing nature of work	As technology and demographic changes rapidly influence labour markets, there is a continuous need for reskilling and upskilling. Education and training systems often do not have the tools to rapidly adapt to the current changes, including the growth of AI. Skills gaps in digital literacy, adaptability, civic engagement require a multi-faceted approach, combining mobility, solidarity, but also training and professional development opportunities for all.
3.Changing security paradigm	Hybrid threats, such as disinformation and foreign information manipulation and interference, entail new security challenges and require enhanced cross-border cooperation. Schools and universities are increasingly exposed to these: disinformation, radicalisation, and political interference. Yet education's role in building democratic resilience, societal cohesion, and cultural awareness is not comprehensively supported. Also, Media, culture and civil society are at frontline to strengthen societal resilience through media pluralism, media literacy, democratic and civic participation, appreciation of our cultural diversity and common cultural features, upholding of European values and mobilising communities. They also contribute to the EU's external soft power.
4. Diversification of education, training and learning	Learning is no longer confined to formal settings. Digital, informal, and non-formal learning pathways are expanding but often remain disconnected and under-recognised. National systems alone struggle to ensure quality, equity and portability. The education, training and learning are changing with the rise of digital platforms, new demands, and informal and non-formal learning. While flexible and diverse learning models can increase access and inclusion, they can also lead to fragmented education experiences and unequal recognition of learning outcomes.
5.Widening inequalities	Inequalities in access to quality education, digital tools, and cultural opportunities are widening — especially among young people, marginalised groups including Roma, and across territories. Without effective public intervention, including in support for civil society, inequalities are likely to continue growing, being exacerbated by ongoing trends such as technological disruption, climate change, and migration. Inequality is holding economic growth back and can threaten democracy and social cohesion. Young people are particularly affected by inequalities but also mental health issues that affect social cohesion.
6.Growing consumption	The rise of algorithm-driven content and low attention spans challenges traditional educational formats and trust in knowledge. Media consumption habits fragment learning experiences, and the authority of teachers is often undermined. Education systems need support to adapt pedagogies, foster digital discernment, and promote media literacy – best achieved through joint EU initiatives and teacher cooperation. Also, growing consumption has transformed the media into a fast-paced, attention-driven environment, undermining trust in journalism. In the audiovisual sector, it

	exacerbates the power of major non-EU platforms, threatening the availability of and access to a diversity of audiovisual and media content.
7.Increasing influence of new governing systems	As global and non-state actors shape narratives and policy spaces, the role of education in developing civic awareness and critical agency becomes more urgent. Yet national education reforms alone are insufficient to prepare young people for a complex and interdependent world. New governing systems are often driven by non-state actors, digital platforms, and the internationalisation of decision-making. Given this, the role of civil society and other non-state actors is even more important in protecting fundamental rights, shaping public decisions, and holding public institutions accountable. Media, as a 'watchdog' of democracy, is fundamental in informing, entertaining, and socialising. Education is essential through the promotion of solidarity and critical thinking for the youth.

Table 2: Classification of policy-related problem drivers

Problem 1: Threats to democracy, fundamental rights and EU values, culture and cultural diversity, and shrinking civic and media spaces

Problem drivers	**Outlook (new vs recurrent)**	**Type of problem (societal, market vs. regulatory)**	**Examples of gaps (as shown by evaluations and other data sources).**
Threats to EU values	Recurrent / Emerging during the course of this MFF term with new/enhanced threats to equality, respect for fundamental rights	Societal	• 2024 OSCE ODIHR reports found an increase in online hate speech, violence and death threats in specific Member States (e.g. Belgium, Germany and the Netherlands), with many online harassment cases targeted at women. • As revealed by a 2023 Special Eurobarometer 493, discrimination in Europe remains widespread, for instance with 54% of respondents agreeing with this statement on the grounds of sexual orientation. • Gender-based violence remains a persistent and widespread fundamental rights abuse in the EU. Evidence that Eurostat, FRA and the EIGE published in 2024 shows that a third of women in the EU have

			experienced violence at home, at work or in public (cf. Eurostat, FRA and EIGE 2024[306]).
Challenges to the rule of law and judicial systems	Recurrent / Emerging during the course of this MFF term with new, persistent and systemic threats to the rule of law across EU as well as specific challenges for judicial systems.	Societal Market	• The European Commission's 2024 rule of law report, as well as recent developments, highlight a broad range of threats to EU values across Member States. • Insights from the EU Justice Scoreboard 2024 and Flash Eurobarometer 540 highlight progress to deliver effective national justice systems in Member States, but also the need for continued improvement, for instance in the uptake of digitalisation and cross border judicial cooperation.
Obstacles to democratic participation and societal resilience	Recurrent Emerging during the course of this MFF term with new challenges linked, for instance, to foreign information manipulation and interference (FIMI)	Societal • Decreasing electoral turnout, disengagement in traditional political frameworks • Foreign information manipulation and interference	• According to the 3rd EEAS Report on Foreign Information Manipulation and Interference Threats (2025), democratic institutions and processes, especially elections, have been major FIMI targets in 2024. Among the electoral events with most incidents recorded are the 2024 European Elections, the Moldovan Presidential elections and EU accession referendum, and the French legislative elections. • Based on data gathered though Special Eurobarometers 514 and 552, citizens' participation in political and social activities remains limited. Between 2021 and 2024,

			there was a notable drop in those who declared that they voted in local, national or European elections.
Pressures on European media and the information landscape	Recurrent/ Emerging during the course of this MFF term as the integrity of the information landscape is challenged, and due to an increased presence of non-EU platforms and competitors in the media and audiovisual fields. Shortcoming of public intervention.	Societal • Shifting and evolving audience habits • Unequal access to high-quality and diverse European media content • The growth of disinformation • Media pluralism at threat • Insufficient levels of digital and media literacy Market • Competition with non-EU online platforms; • Limited circulation of media content within the EU. Regulatory • Existing regulations needed to streamline and address problems in the audiovisual and media markets (AVMSD, EMFA), whose implementation requires financial support.	• According to Media Pluralism Monitor Report, 23 out of 27 Member States are in high or medium risk to media pluralism. • Europeans continue to watch more content from the US than from other EU countries, as US films capture 70% of the box office, whilst US streamers capture 80% of all subscriptions. • Only 25% of tickets for European films are being sold outside the film's country of origin, and online the consumption of content from EU Member States is decreasing (European Media Industry Outlook). • All EU news media companies together (newspapers, magazines, TV, radio, podcasts) and in all platforms (both online and offline) capture less advertising revenues than online platforms (EUR 35 bn vs 41 bn in 2023) (European Media Industry Outlook). • Misinformation and disinformation are ranked as the first threat in the coming years (World Economic Forum's Global risk perception survey, 2024). 68% of Europeans believe they are exposed to disinformation on a weekly

			basis (European Media Industry Outlook).
Obstacles to cultural cooperation, and preservation of cultural heritage	Recurrent, but made more acute in particular with surge of AI, increased threats to artistic freedom and impact of climate change and geopolitical context on heritage	Societal and Market • Limited resources for cross-border cooperation at national/regional levels • Fragmentation of the CCS along national and linguistic lines	• Lack of awareness and appreciation of cultural diversity • Limited access to diverse cultural content on digital platforms • Limited mobility of CCS professionals and circulation of CCS content
Obstacles to innovation and technological dependencies affecting democratic, societal, cultural and media players	Recurrent	Market • Limited access to reskilling and upskilling of professionals • Changing business models and revenue streams • Low private investment • Dependencies on non-EU companies	• In the EU, of the 800 top R&D investors, only 7 are media firms (European Media Industry Outlook). • Only 10% of audiovisual professionals participate in training programmes regularly (European Media Industry Outlook). • In the news media sector, the traditional revenue streams are gradually declining, and the increase in digital revenues does not offset this decrease (-9 bn vs +1.9 bn between 2019-23) (European Media Industry Outlook). • In the video games sector, EU companies account for just 13% of global revenues, far behind their US or East-Asian counterparts (European Media Industry Outlook).

Problem 2: Shortfall of skills and key competences for life and jobs

Problem drivers	Outlook (new vs recurrent)	Type of problem (societal, market, regulatory, etc.)	Examples of gaps (as shown by evaluations and data sources).
Low and unequal capacity to deliver high quality, innovation, inclusiveness and insufficient cooperation and knowledge sharing	Recurrent	Societal and economic	• 2022 results of the OECD's PISA show that in all three subjects tested, the mean score for EU27 has steadily decreased over the past decade. A substantial drop of 18 points was recorded in mathematics (from 491.7 to 473.7) between 2018 and 2022, while the decrease was smaller in reading (-12) (from 486 to 474.1) and science (-3.4) (from 487 to 483.7). • According to Eurostat, in 2023 more than half of EU enterprises that recruited or tried to recruit ICT specialists had difficulties in filling ICT vacancies.[307] • Even though the rate of **early school leaving** has improved at the EU level, decreasing by 1.8 percentage points in the period 2013-2024 and is on track to reach the 2030 EU level target of less than 9%, the share of early school leaving was 9.3% in 2024 on average across EU countries, and still considerable differences exist across and within countries, with persisting inequalities among specific groups and territories.[308] • Nearly two thirds (65.3%) of recent medium-level VET graduates in the EU has experienced work-based learning as part of their curriculum, comfortably exceeding the 2025 EU-level target of at least 60%. However, work-based learning shows a high dispersion across EU countries. Nearly all graduates take part in work-based learning in the Netherlands, Germany and Spain. Yet very few experienced work-based learning as part of their VET curriculum in Romania and Czechia. There are EU countries covering the full spectrum in between these two extremes • Compared to the EU average, some regions have a significantly lower share of tertiary-level educated people. Over 80% of regions in Italy, Romania, Czech Republic, Portugal,

			and Bulgaria had tertiary education attainment rates below 30% in 2022.[309] • Support study to the final evaluation of Erasmus+ 2014-2020 and the interim evaluation of Erasmus+ 2021-2027 highlight that 84% of public consultation respondents agreed or strongly agreed that they would not have been able to fund the cooperation activities undertaken without Erasmus+. Most beneficiary organisations interviewed for case studies confirmed the inability to undertake similar activities without Erasmus+ support. • According to PISA 2022, the share of students who report being frequently bullied ranges from 13% to 29% .
Obstacles to cross-border learning mobility, including insufficient opportunities for all	Recurrent	Societal and economic	• In 2022, the outbound mobility rate[310] stood at 10.9% at EU level,[311] 12 percentage points lower than the target set for 2030. At the same time, the latest estimates suggest that 5.1% of medium-level VET learners had a mobility experience abroad, 8 percentage point below the 2030 target. • Erasmus+ evaluation findings show that the scale of Erasmus+ is much bigger than that of other comparable schemes reviewed in the fields of education, training, youth, and sport with an involvement of 25 times more participants per year compared to the cumulative average of other similar international funding programmes. • In higher education, Eurostat statistics show that 55% of those tertiary graduates having spent abroad at least three months in 2022 benefited from Erasmus+.[312] • Around 20% of Eurodesk 2022 survey respondents indicated that they cannot afford to go abroad unless through a fully funded mobility activity. The ratio is even higher (34%) for young people who are not engaged in education, employment, or training (NEETs).
Barriers to transparency and recognition of	Recurrent	Societal and	• Insufficient transparency and comparability of qualifications in the EU arise from diverse educational and training systems in Europe, combined with an **uneven** implementation of

qualifications across borders		economic, regulatory	EU transparency tools (EQF, ESCO and Europass) and a lack of digitalisation. This results in overqualification, in particular of third country migrants (34.9%). • In the field of regulated professions, individuals seeking to have their qualifications recognized often face **complex administrative procedures,** leading to delays in recognition (28% reported excessive documentation requirements, and 16% faced significant delays).
Unexploited potential of lifelong learning, including non-formal and informal	Recurrent	Societal and economic	• The Education and Training Monitor 2024 highlights that the share of adults that have taken part in training in the past 12 months stands at 39.5 %, whereas the 2030 target is 60%. • The digital skills gap in Europe is significant: while 70% of young people (16-24) have at least basic digital skills, this share decreases to 37% among the older age group (55-74)[313]. A gap of 15[314] percentage points exist between rural and urban areas regarding basic digital skills. • The European Commission study "Youth work in the EU" published in 2021 shows that two thirds of youth workers declare the need to have more available funding for non-formal activities. All focus group participants voiced need for structural and long-term funding, the absence of which hinders long-term planning and investment in non -formal learning.
Obstacles to societal engagement, civic education and solidarity	Recurrent	Societal	• The European Parliament study on young people's participation in European democratic processes (March 2023) highlights that young people are turning away from traditional politics and democratic structures while using social media as their main access to public debate. They participate less in institutional politics than other age groups and less than the cohorts of young people decades ago. According to the EP Youth Survey 2024, a significant majority (76%) of young people believed they had been exposed to disinformation and fake news in the seven days prior to the survey.

			• According to the European Commission report "Learning about the EU: European topics and school curricula across EU Member States" from 2021, citizenship education on the EU and its values remains uneven. • Young people's belief in equal opportunities has sharply declined, with a 16-percentage point drop in the last decade, according to the 2022 Eurobarometer. Many feel marginalised due to their socio-economic status, ethnic origin, gender, sexual orientation, disability, or political views, particularly those with fewer opportunities or those living in rural or remote areas, with close to 18 million young people at risk of social exclusion in the EU.[315]

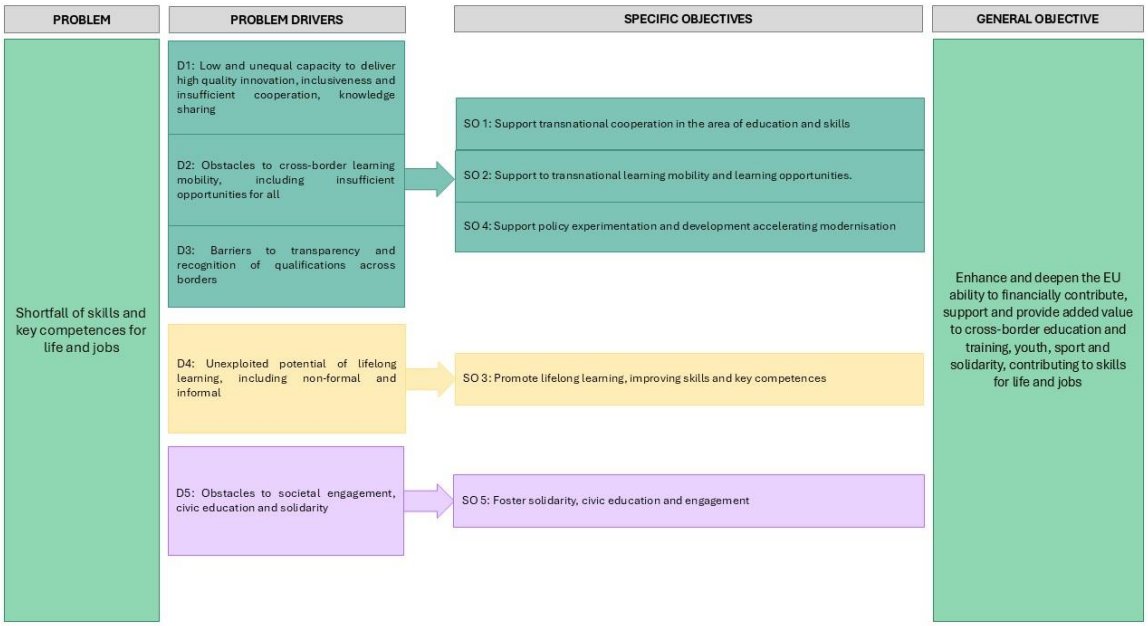
ANNEX 10: INTERVENTION LOGIC

1. Logical links between problem drivers and strategic objectives

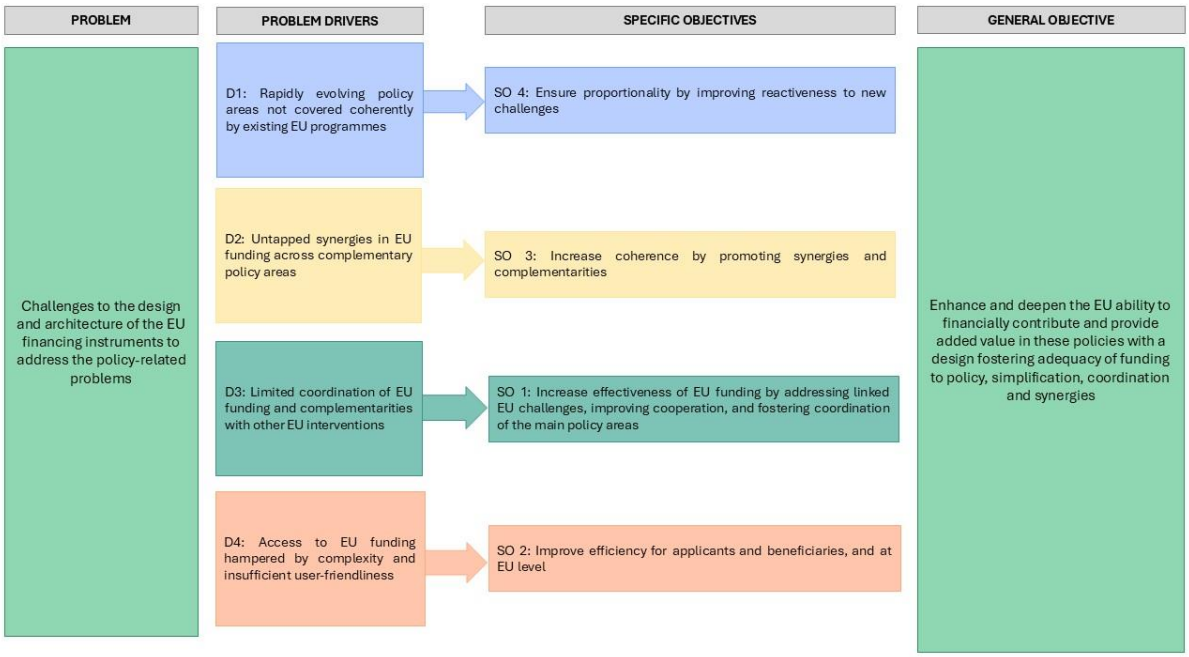
10.1 Logical links between Problem 1 and General Objective 1



10.2 Logical links between Problem 2 and General Objective 2



10.3 Logical links between Problem 3 and General Objective 3



2. Logical links between specific objectives and areas of intervention and examples of how success can be measured

The following tables provide illustrative examples, per policy area, on how success would look like and possible ways to measure it.

General objective 1: Enhance and deepen the EU ability to financially contribute, provide added value and promote fundamental rights and EU values, democracy, media and culture

Policy	**Areas of Intervention**	**Illustrating success: examples of possible output and/or result indicators**
Rights and values	***SO 1.1. Contribute to upholding the rule of law, fundamental rights and equality, reduce discrimination and empower civil society***	
	Support to fundamental rights, anti-discrimination measures and digital rights protection	Substantial increase of awareness of rights and values, measured by e.g.: (a) Increase of citizens' awareness of the EU Charter of Fundamental Rights; or, (b) Increase of citizens' awareness of the General Data Protection Regulation
	Support to civil society organisations, human rights defenders and whistleblowers	Enabling conditions for a vibrant civic space in Europe are supported, as measured e.g. by: (a) Number of CSOs reached by support and capacity building activities

Rights and values	***SO 1.2. Contribute to fighting against gender-based violence, violence against children and other groups at risk***	
	Ending violence against women and girls and other groups at risk	Substantial decrease of violence against women and girls in Europe, as measured e.g. by: (a) Degree of implementation of the gender equality strategy
	Support to victims and survivors of gender-based violence	Victims of gender based violence are supported to address the impacts of such violence, as measured e.g. by: (a) Number of people reached by activities (by gender)
Rights and values	***SO 1.3. Contribute to enhancing democratic resilience and participation***	
	Promote citizens engagement and participation	A substantially increased number of EU citizens believe that they can meaningfully participate in democratic processes, as measured e.g. by: (a) Citizens perception on democratic participation (cf. "my voice counts" question in standard Eurobarometers) (by gender)
	Freedom of expression, countering disinformation and promoting access to public information	Substantially increased capacity of civic actors to identify and counteract disinformation and other threats, measured e.g. by: (a) Number of CSOs reached by support and capacity building activities.
Media	***SO 1.4. Contribute to supporting news media, media independence and tackling disinformation***	
	Protect news media outlets and journalists & address risks to media freedom and pluralism	Improved media pluralism in Europe and protection of news media outlets and journalists, measured e.g. by: (a) Results of the Media Pluralism Monitor Report; (b) Number of cases of media and journalists under threat detected and assessed
	Enhance the production, distribution and consumption of professional journalistic content	Increased production, distribution and consumption of professional journalistic content; more citizens that declare themselves well-informed on EU affairs, measured e.g. by: (a) Number of professional journalistic content pieces produced under support; (b) Number of supported news media entities; (c) Number of projects across borders; (d) Audience reach and engagement
	Support the digital transformation of news organisations and innovative practices	Increased digitalisation of news organisations and higher use of innovative practices, measured e.g. by: (a) Number of digital tools adopted; (b) Share of total production from digital products (c) Number of innovative editorial projects
	Promote measures aimed at monitoring and safeguarding the	The EU capacity to detect, analyse and store sufficient evidence about the most visible and important disinformation campaigns on social media increases,

	online information space	measured e.g. by: (a) Number of disinformation cases formally reported and assessed; (b) Number of fact-checking initiatives supported/coordinated via EU mechanisms
	Promote digital and media literacy activities to empower EU citizens to make well-informed choices as regards media consumption	More citizens declaring themselves able to interact with media, measured e.g. by: (a) Number of supported actions on digital and media literacy; (b) Number of people targeted by supported actions
Media	***SO 1.5. Support production, circulation, and access of EU audiovisual and media content***	
	Support to the creation of audiovisual content	Improvements in the creation of audiovisual content, measured e.g. by: (a) Number and share of coproductions among supported works, including (i) the number of coproductions involving a low-capacity country, and (ii) led by a low-capacity country; (b) Number and share of works supported for development that are released within 4 years after being given support
	Support to circulation of audiovisual content	Increased circulation of audiovisual content, measured e.g. by: (a) Number of non-national EU countries where a supported EU work is available on average, also separately for (i) cinemas, (ii) on TV and (iii) streaming
	Support to access to audiovisual content	Increase access to audiovisual content, measured e.g. by: (a) Number of total admission attributable to funded projects; (b) Non-national views of supported EU works in the EU, also separately for (i) cinemas, and (ii) streaming
	Level playing field, geographic and language diversity	Protection of the geographic and linguistic diversity of the audiovisual content, measured e.g. by: (a) The number of audiovisual works in lesser-used languages developed, produced and distributed with the support of the Programme and share of funding for these projects; (b) Number and share of participants from lower capacity countries in supported markets.
	Support to video games	Improvements in the creation, circulation and access to video games content, measured e.g. by: (a) Number and share of video games supported for development that are released; (b) Critical reception of supported video games (e.g., awards and aggregated reviews);
	Support to cross-media IP exploitation	Improvement in the cross-media IP exploitation, measured e.g. by: (a) Number of supported adaptations of the IP into different media formats (e.g., books to movies, games to TV shows).

Culture	***SO 1.6. Increase in cross-border cultural cooperation, cultural participation and accessibility, and circulation of diverse cultural works, while strengthening cultural and creative sectors.***	
	Support to the cross-border cooperation and creation of a diversity of CCS content	Increase in the number of CCS international connections/ cooperations and artists international careers, measured e.g. by: (a) Number of transnational cooperations/partnerships supported; (b) Number of artists and cultural professionals supported; (c) Results of the mobility on the career of artists (co-productions, exhibitions, collaborations,…)
	Support to the cross-border circulation of CCS content	Higher visibility of European works; Increased knowledge about non-national European works, measured e.g. by: (a) Geographical reach of cultural and creative content
	Support to participation and access of all to a diversity of CCS content and cultural heritage	Cultural content and heritage are more accessible to a diversity of target groups, including those who are normally excluded or face barriers, measured e.g. by: (a) Number of (and diversity of) visitors/number of people reached onsite and online in culture and heritage projects; (b) Number of partnerships created among heritage sites thanks to EU support
	Support to the capacity-building and skills development of CCS professionals	Increased capacity of CCS organisations; Artists/CCS professionals have higher skills in priority areas (i.e. green/digital), measured e.g. by: (a) Number of capacity building and skills development activities supported (by sector/field); (b) Number of artists and cultural professionals who have received a training/participated in the capacity building activities
	Strengthening the international position of CCS	Increased sense of belonging to a common cultural sphere in third countries organisations, measured e.g. by: (a) Number of third countries organisations involved in supported projects; (b) Sustained cooperation with 3rd countries organisations/artists
Rights and values, media and culture	***SO 1.7. Spur cross-cutting innovation and promote sustainability of media, cultural and societal entities***	
	Support innovation in technology	Improvements in the use of cross-cutting innovative tools and technology, measured e.g. by: (a) Number of active media company users of supported innovative tool at 3 and 5 years after project completion; (b) Share of supported media innovation projects that scale beyond pilot phase; (c) Number of patents obtained or, number of users/beta testers

	Upskilling and reskilling of professionals	Improvements in the upskilling and reskilling of professionals, measured e.g. by: (a) Number and share of participants who receive a training diploma/pass test; (b) Number and share of participants who apply what they learned on the job; (c) Low-Capacity Countries and gender balance of participants
	Foster access to finance	Increase access to finance, measured e.g. by: (a) Change in the number of financial institutions actively offering tailored financing products for media and other creative sector companies, over time

General objective 2: Enhance and deepen the EU ability to financially contribute, support and provide added value to cross-border education and training, youth, sport and solidarity, contributing to skills for life and jobs

Policy	**Areas of Intervention**	**Examples of possible output and/or result indicators (to give an illustration of how success may look like)**
Education and training, youth and sport	***SO 2.1. Support transnational cooperation in the area of education and skills***	
	Education, youth and sport	Increased quality, inclusion, sustainability, innovation, excellence and internationalisation of education and training, youth and sport participating organisations, measured e.g. by: (a) Number of projects addressing priorities on inclusion, digital and green; (b) Number of projects producing/developing innovative measures to increase the quality of education and training, youth and sport activities; (c) Share of organisations benefitting from their participation in transnational cooperation activities
Education and training, youth and sport	***SO 2.2. Support to transnational learning mobility and learning opportunities***	
	Education, youth and sport	Improved skills and competences for jobs and for life, of participants and increased number of participants with fewer opportunities, measured e.g. by: (a) Number of participants in learning mobility and volunteering; (b) Number of participants in STEM related activities; (c) Number of participants with fewer opportunities; (d) Share of participants that consider they have benefited from their participation in learning mobility or volunteering activities; (e) Share of participants declaring that they have increased their key competences'
	SO 2.3. Promote lifelong learning, improving skills and new competences.	

Education and training, youth and sport	Education, youth and sport	Improved skills and competences for jobs and for life, of participants; Increased opportunities to engage in non formal and informal learning and sport; Increased capacity of youth work and youth organisations, measured e.g. by: (a) Share of participants that consider they have benefited from their participation in learning mobility or volunteering activities; (b) Number of participants in youth and sport activities; (c) Number of adult learners; (d) Number of youth workers and youth organisations declaring having benefitted from their participation
Education and training, youth and sport	***SO 2.4. Support policy experimentation and development accelerating modernisation***	
	Education, youth and sport	Acceleration of reforms and modernisation at system's level, measured e.g. by: (a) Number of public authorities at national, regional of local level involved in funded projects; (b) Share of funded projects that have impacted/inspired practices transferred into policies and triggered modernisation of systems at national level
Education and training, youth and sport	***SO 2.5. Foster solidarity, civic education and engagement***	
	Education, youth and sport	Increased active participation, solidarity and European sense of belonging among participants; Increase number of activities addressing participation, measured e.g. by: (a) Share of participants in activities directly fostering solidarity and civic engagement; (b) Number of KA2 projects addressing the participation priority (c) Share of participants that consider they have an increased European sense of belonging after participating in learning mobility or volunteering activities

ANNEX 11: OBJECTIVES-BASED MERGER. MODELLING OF INSTRUMENTS, SYNERGIES AND COMPLEMENTARITIES.

This Annex offers a brief description of the two instruments, and provides examples on how the alignment between the proposed financial architecture and the policy priorities would generate the desired synergies, complementarities and results within each of the two.

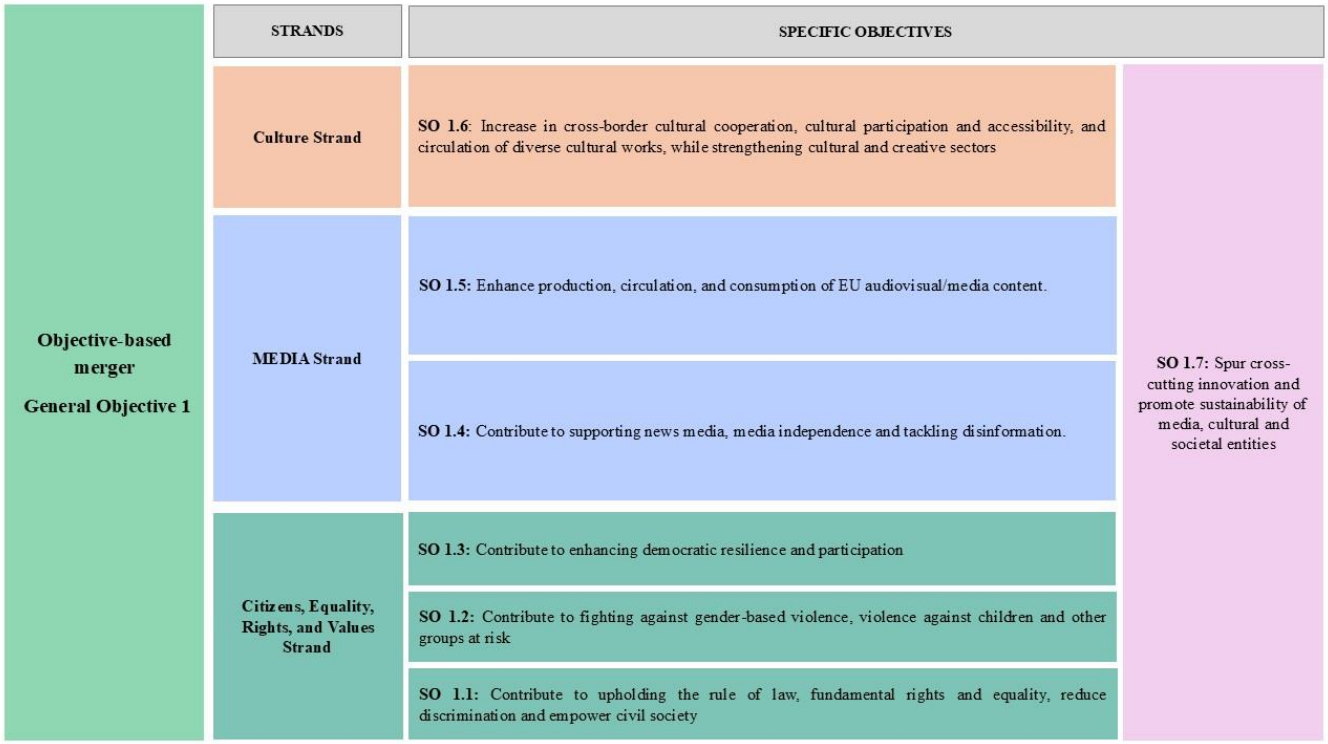
11.1. A dedicated instrument for fundamental rights, EU values and democracy, media and culture.

Scope of financing. The new instrument will support the implementation of fundamental rights policy, the rule of law, equality and EU values as well as a thriving civic space; will support a viable, competitive and pluralistic media and audiovisual space; and safeguard and protect cultural and linguistic diversity and heritage (i.e. General Objective 1). It will provide, ideally, for a single-entry point to all stakeholders active in these policy fields, allowing for efficiency gains on aspects such as administrative burden and economies of scale. The new instrument will continue to support current successful actions (as shown by the evaluations) but also emerging policy areas requiring robust EU responses (e.g. democratic resilience, support to news media, fight against disinformation, Culture Compass for Europe). It will empower societal, cultural and media stakeholders across the board, boosting digital transformation and innovation (e.g. AI), developing sectoral skills, and enhancing access to finance via blending instruments.

Implementation. The new instrument will allow for a more flexible allocation of budgetary resources, addressing shortcomings of the current intervention logic[316], and articulate stronger synergies. It will align implementation modes where relevant, work programmes, calls for proposals, monitoring and evaluation frameworks[317]. The new financial architecture will allow for a closer alignment with policy priorities, for instance by streamlining and focusing the EU direct support to the culture, media and union values sectors, in ways that increase added value as shown in Chapter 3. Direct EU funding to non-state actors, such as civil society organisations and human rights defenders who work on the promotion of EU values and who cannot rely on funding from their Member States, supports the implementation of EU policies on the ground. Direct funding is equally necessary for the audiovisual stakeholders, which face transnational competition, as well as for news media organisations and journalists, amidst a context of deteriorating media pluralism. As shown by evaluations, such direct support to culture, media and civic stakeholders is essential for maintaining efficiency and alignment with EU goals, thus constituting an efficient and effective way to deliver EU policy objectives in this fields.

A successful implementation of the preferred option will require flexible design, upstream and downstream coordination, and harmonized tools that foster synergies within and beyond the clusters and enhance accessibility to funding for beneficiaries through simplified processes. It will also enhance coordination, visibility, communication, and outreach across policy areas. For instance, the new framework would foster connections between existing and new strategies on democracy, media and culture. For example, this could include projects supporting civil society organisations' journalistic activities, especially at local level; involving CSOs in audiovisual screenings in isolated communities; the support of film festivals focusing on fundamental rights. At the same time, it will retain a focus on each of these policies and their visibility.

Table 11.1: Links between specific objectives and overall objective-based merger architecture



11.2 A dedicated instrument for Education and Training, Youth, Sport and Solidarity

Scope of financing. This funding instrument will work towards high quality lifelong learning, enhance skills and key competences for all, in line with a swiftly changing society and labour market needs, while promoting societal engagement and civic education, solidarity and social inclusion. (i.e. related to General Objective 2). The new instrument will reinforce the Union's contribution to labour market resilience and competitiveness. It will scale up the impact of key skillsets by offering a more comprehensive approach and a coherent landscape of formal, non-formal and informal opportunities for young people, aiming to boost skills development, engagement, preparedness and social cohesion. Europe needs to ensure that young people are equipped with a minimum proficiency level of basic and digital skills and foster the advanced competencies and soft skills needed, across all stages of life. This investment is pivotal to ensure a prosperous and competitive Europe but cannot be satisfied through formal education only. Volunteering and other forms of non-formal and informal learning bring complementary value to formal education. The instrument will contribute to systemic improvements in educational quality across the EU, strongly supporting the key policy initiatives such as the Union of Skills, the European Education Area, the Digital education action. It will link funding with innovative educational models, connect better with young people, in line with the EU Youth Strategy 2019-2027[318].

The integrated nature of the future instrument Programme covering learning mobility, volunteering and study opportunities, in different learning contexts, whether formal, non-formal or informal, and at all stages of life will further reinforce its potential to boost skills and competences for life and jobs, support competitiveness and enhance values, including solidarity, active citizenship and sense of belonging. In terms of architecture, the European Solidarity Corps volunteering opportunities will be introduced under the first key action of the Programme supporting learning opportunities for all, while keeping a strong volunteering pillar.

Implementation. By unifying the intervention logic for these areas (mainly covered by Erasmus+ and the European Solidarity Corps), the EU funding could not only better respond to policy priorities and maximise delivery, but it could also be significantly streamlined and simplified, leading to greater efficiency, economies of scale and reduced administrative burden. Currently, the two programmes operate with similar processes duplicating each other in several areas such as the annual work programmes, comitology, calls for proposals, monitoring and evaluation. By consolidating these into one programme, the process could be significantly streamlined and simplified, leading to greater efficiency and reduced administrative burden. In addition, by merging duplicative activities (such as communication, training of National Agencies staff), a leaner landscape of funding opportunities could be offered to stakeholders. A single programme would provide a more accessible funding mechanism for both young people and organisations creating a single-entry point for them, to participate in EU initiatives in the field of youth and engage in funding opportunities relevant for them. By promoting the European Solidarity Corps opportunities under the Erasmus+ umbrella, their visibility and outreach could be significantly enhanced, leveraging Erasmus+'s strong brand and larger communication networks and funding. While Erasmus+ for students is known by 49% of the young people surveyed in the recent Eurobarometer 545 on youth and democracy, only 8% were aware of the European Solidarity Corps.

11.3 Synergies and complementarities

The following section provides two indicative examples of how the new configuration can foster and cross-fertilise actions to support the new policy priorities covered in this impact assessment, through synergies and complementarities[319]. This needs to be seen in addition to current priorities that are covered in the current MFF and mentioned in the objectives of the IA.

11.3.1 2024-2029 Political Guidelines: "Protecting our democracies and upholding our values".

The following is an example of how Strategic objectives under merger 1 would contribute to the 2024-2029 Political guidelines on "protecting our democracies and upholding our values".

Political Guidelines	Protecting our democracies and upholding our values	GO 1	GO 2	Synergies with other clusters	Synergies with MSs
Promoting freedom of expression and equality	Enhancing the resilience of CSOs working on hate speech and hate crime, including against cyber-attacks	SO 1.1 in synergy with SO 1.3			
	Promoting the rights of the child to meaningful participation online and offline				
Countering disinformation and foreign information manipulation interference	Addressing foreign information and manipulation	SO 1.3.			
	Evidence-based independent monitoring, analytical capacity and awareness to fight against disinformation	SO 1.4			
Ensuring the fairness and integrity of electoral processes	Promote democratic standards, and check and balances	SO 1.3			
	Promote free, fair, resilient and inclusive electoral processes and democratic				
Strengthening societal resilience and preparedness	Building the capacity and supporting CSOs at all levels and human rights defenders	SO 1.1			
	Media literacy targeting CSOs	SO 1.3	SO 2.5. Media literacy in the classrooms		
	Media literacy outside classroom	SO 1.4			
	Support for independent media and journalists.	SO 1.4			
	Promote viable media and resilient civic societal, media and cultural entities promoting investment, upskilling and innovation uptake	SO 1.7			
Fostering citizens' participation and engagement	Raise awareness of rights, facilitate exchanges and engagement in democratic processes, and build citizens' knowledge	SO 1.3	SO 2.5. Provide a continuum of opportunities for participation throughout childhood, youth and adult life		
	Promote democratic values through film festivals and film education	SO 1.5			
	Promote democratic values through cultural expressions	SO 1.6			
	Promote citizens engagement and empowerment through enhanced use of digital tools	SO 1.7			

11.3.2 2024-2029 Political guidelines "Union of Skills"

The following is an example of how Strategic objectives under merger 2 would contribute to the 2024-2029 Political guidelines on "the Union of Skills".

Political Guidelines	Union of Skills	GO 2	GO 1	Synergies with other clusters	Synergies with MSs
Build skills for quality jobs and lifes through a strong educational foundation, with an inclusive livelong learning approach	Improve quality of teaching, training and youth work at all levels	SO 2.1 SO 2.2 SO 2.3 SO 2.4			
	Support inclusive and learner-centred education systems				
	Promote foundational and transversal competences (e.g. literacy, numeracy, civic and personal development) from early education to adulthood		SO 1.3 & 1.4. Media literacy		
Upskill and reskill and agile workforce mastering the digital and lean transition, notably those with lower and middle skills	Support digital and green skills development across education, VET and youth sectors	SO 2.2 SO 2.3 SO 2.5			
	Enable flexible learning pathways for upskilling and reskilling				
	Enhance access for individuals with fewer opportunities				
Circulate skills with the free movement of people across the EU, unlocking the Single's market full potential	Expand cross-border learning and training opportunities (formal and non-formal	SO 2.2 SO 2.5			
	Support mutual recognition of learning outcomes and validation of competences				
	Enable inclusive mobility schemes for all age groups and backgrounds				
Attract, develop and retain talent	Strengthen talent pipelines in education and training, including through EU-level cooperation (e.g. European Universities, Centres of Vocational Excellence)	SO 2.1 SO 2.4 SO 2.5			
	Support outreach to underrepresented learners and youth				
	Invest in learning ecosystems that foster innovation, inclusion and excellence				

Endnotes

[1] Europe's choice, Political guidelines for the next European Commission, 2024-2029, Ursula von der Leyen
[2] Communication on The road to the next multiannual financial framework (COM/2025/46 final).
[3] An overview of policies supported by EU funding in this cluster can be found in Annex 7.
[4] Art. 2, TEU: "The Union is founded on the values of respect for human dignity, freedom, democracy, equality, the rule of law and respect for human rights, including the rights of persons belonging to minorities. These values are common to the Member States in a society in which pluralism, non-discrimination, tolerance, justice, solidarity and equality between women and men prevail."
[5] See for instance the indicators on gender based violence, with data available in the Eurostat's database on equality and non-discrimination.
[6] As also highlighted in the Report on "The future of European competitiveness" by Mario Draghi, Europe's economic growth, innovation capacity and prosperity rely on the future-proof skills of present and future generations.
[7] See Annex 7 for the legal context as well as a more detailed description of current programmes and funding schemes
[8] See interim evaluation of the CERV programme (SWD/2025/133 final).
[9] Interim evaluation of the Erasmus+ Programme 2021-2027 and final evaluation of Erasmus+ Programme 2014-2020 - forthcoming.
[10] For instance, the Draghi report, the Letta report, the Niinistö report, but also the 2023 Strategic Foresight Report and the Megatrends relevant for the future of Europe.
[11] 90.61% of respondents to the public consultation signalled that "protecting democracy and promote democratic standards" is an important or even very important policy priority.
[12] For instance, see the annual Reports on the Application of the EU Charter of Fundamental Rights. The interim evaluation of the CERV programme (SWD/2025/133 final) confirms that many CSOs rely heavily on EU support due to limited national funding and increasing legal or political pressure in several Member States. CERV is very often the only source of funding available to civil society organisations in the area it covers.
[13] See Evaluation of the 2011-2020 European judicial training strategy (SWD(2019) 380) and annual reports on European judicial training. In 2022, 24,208 justice professionals took part in training supported by the justice programme (see justice programme performance statement) demonstrating the relevance of the programme in this field.
[14]Estimates suggest that annual GDP losses from discrimination alone range from EUR 30 million (sexual orientation) to EUR 370 billion (gender employment gap), with total estimated losses from all grounds of discrimination exceeding EUR 500 billion per year. See for instance Šimovičová, S., & Urbančíková, N. (2022). The Impact of Social, Economic and Gender Inequality on Prosperity in the European Union Countries. Quality Innovation Prosperity, 26(3), 66–87. https://doi.org/10.12776/qip.v26i3.1769.
[15] 2023 European Industry Media Outlook
[16] Socio-economic background remains a strong predictor of education outcomes, with disadvantaged learners at 6.1 times higher risk of severe underachievement in basic skills when compared to their more advantaged peers, a reported in the Education and training Monitor.
[17] European Commission: Directorate-General for Education, Youth, Sport and Culture, *The twin challenge of equity and excellence in basic skills in the EU – An EU comparative analysis of the PISA 2022 results*, Publications Office of the European Union, 2024**,** https://data.europa.eu/doi/10.2766/881521
[18] Top and trending skills interactive tool: https://ec.europa.eu/eurostat/cache/visualisations/skills/
[19] Eurobarometer survey, November 2023, data.europa.eu; see also Eurostat experimental statistics on online job advertisement rate.
[20] European Commission, Report from the European Commission to the Council on the implementation of the Council Recommendation on promoting automatic mutual recognition of higher education and upper secondary education and training qualifications and the outcomes of learning periods abroad (2023).
[21] Young people, aged 15-29 years old ([ilc_peps01n] Persons at risk of poverty or social exclusion by age and sex)

[22] In 2024, 24,2% of all children less than 18 years old (19,5 million children) in the EU were at risk of poverty and social exclusion. Source: Eurostat online data base (code: ilc_peps01n) [ilc_peps01n] Persons at risk of poverty or social exclusion by age and sex.
[23] 2023 Flash Eurobarometer on mental health
[24] As shown by the evaluation on Creative Europe (cfr. Annex 8, Section 2)
[25] In the period 2021-2023, success rates under the CERV equality, rights and gender equality strand and the Daphne strand were at 13% and 20%, respectively (see SWD/2025/133 final). For Media, the success rate remained below 30% for a number of actions, mainly under content creation support for development. In some actions, the success rate is noticeable low (10% for news media, 6% for creative innovation labs in 2023). For the European Solidarity Corps, only 1 out of 10 volunteering activities are being supported. For Erasmus+, as an example, the success rate for Cooperation Partnerships actions, is below 20% and reaches 14% for cooperation partnerships in the field of schools in 2023.
For the Creative Europe Culture Strand, as an example, the success rate for European Cooperation Projects reached a low of 17% in 2023.
[26] For instance, over the period 2021-2027, CERV and Creative Europe MEDIA could not launch joint calls, in spite of their synergies, owing to differences regarding third countries participation on the basic legal acts.
[27] Results of the stakeholders consultation indicate that ‘a recurring issue is the complexity and bureaucratic nature of the application and reporting processes for EU funding programmes, particularly Erasmus+. Stakeholders frequently describe these processes as "daunting" and "overly complex," which can discourage participation, especially among smaller institutions and organizations with limited resources.’
[28] For instance, structural inequalities and gender gaps in employment (10.0 p.p. in 2024), gender pay gap (12.0% in 2023) and the gender pension gap (24.7% in 2024) - sources: Eurostat online data base, Gender employment gap - Online data code: tesem060, Gender pay gap in unadjusted form – Online data code earn_gr_gpgr2, Gender pension gap – ilc_pnp13
[29] Communication from the Commission to the European Parliament, the Council, the European Economic and social Committee and the Committee of the Regions, “A Union of Equality: Gender Equality Strategy 2020-2025'.
[30] Persistent stigmatisation and institutionalisation of children and adults with disabilities or LGBTIQ people put these groups at increased risk of violence and exclusion (see Towards Integrated Child Protection Systems - Challenges, promising practices and ways forward, European Union Agency for Fundamental Rights, 2025).
[31] See a series of Commission communications including COM/2021/819 final.
[32] See for example, Judit Bayer and Petra Bárd, ‘Hate speech and hate crime in the EU and the evaluation of online content regulation approaches’, European Parliament, 2020. Data produced by the EU funded project ‘European Observatory on Online Hate’, https://eooh.eu/
[33] CSOs across the EU face increasing administrative burdens, restrictive laws, governmental interference, smear campaigns, and exclusion from funding or public dialogue, especially at local level. See, for instance: 2024 Rule of Law report; FRA, Civic Space; CIVICUS monitor.
[34] See special Eurobarometer 487b and special Eurobarometer 552. The activities supported by the CERV programme were expected to reach over 10 million people through awareness-raising campaigns between 2021–2023 and supported more than 3,000 civil society organisations, including at grassroot level (see interim evaluation of the CERV programme, SWD/2025/133 final).
[23] 88.55% of respondents to the public consultation signalled that “upholding and promoting the respect of fundamental/human rights” is a very important or important policy priority, immediately followed by “combatting gender-based violence, violence against children and other groups at risk” (85.46%). “Protect democracy and promote democratic standards; promoting media independence and media pluralism; fight disinformation, equality and non-discrimination; empowering citizens, strengthening democratic engagement and participation; as well as combating racism and other forms of intolerance” are also in the top ten priorities for the respondents of the public consultation.
[36] See Stakeholder_contribution_on_rule_of_law_-_oecd.pdf (europa.eu)

[37] The Commission's annual report on judicial training in 2023 found that digital training is far underrepresented: only 5,2% of all training activities focused on digitalisation and AI and 6,2% on IT-skills. Digitalisation of justice also contributes to fundamental rights, helping to cement principles such as the presumption of innocence (see Interim evaluation of the 2021-2027 justice, SWD/2025/134 final).
[38] Reports from election observers confirm that divergences in electoral standards have a negative impact on the equality of rights and opportunities of EU citizens in the electoral process. See https://www.wahlbeobachtung.org/wp-content/uploads/2024/09/election-watch.eu-eam-ep-elections-2024-final-report-300924.pdf.
[39] https://data.europa.eu/data/datasets/s3232_fl550_eng?locale=en
[40] 81% of people in the EU believe that foreign interference is a serious problem (Flash Eurobarometer 528, 2023). In 2023, the EEAS detected and encoded 750 cases of Foreign Information and Interference incidents. A report by the European Digital Media Observatory's Task Force analysing thirteen elections held in 2023, found widespread disinformation during the election campaigns in all of them.
[41] All EU news media companies together (newspapers, magazines, TV, radio, podcasts) and in all platforms (both online and offline) capture less advertising revenues than online platforms (EUR 35 bn vs 41 bn in 2023) (European Media Industry Outlook).
[42] Only 25% of tickets for European films are being sold outside the film's country of origin, and online the consumption of content from EU Member States is decreasing (European Media Industry Outlook).
[43] In 2023, 70% of the box office went to films based on novels, play or video games and only 30% original screenplays (European Media Industry Outlook).
[44] The Media Pluralism Monitor consistently highlights serious risks and threats to media pluralism, journalists and media independence.
[45] Media and journalists should be further protected against pressure and threats, building on the work already done, for example to protect them against strategic lawsuits against public participation.
[46] Misinformation and disinformation are ranked as the first threat in the coming years (World Economic Forum's Global risk perception survey, 2024). 68% of Europeans believe they are exposed to disinformation on a weekly basis (European Media Industry Outlook).
[47] European Parliament resolution of 21 November 2023 with recommendations to the Commission on an EU framework for the social and professional situation of artists and workers in the cultural and creative sectors (2023/2051(INL)).
[48] In the video games sector, EU companies account for just 13% of global revenues, far behind their US or East-Asian counterparts (European Media Industry Outlook).
[49] In the EU, of the 800 top R&D investors, only 7 are media firms (European Media Industry Outlook).
[50] Only 10% of audiovisual professionals participate in training programmes regularly (European Media Industry Outlook).
[51] In the news media sector, the traditional revenue streams are gradually declining, and the increase in digital revenues does not offset this decrease (-9 bn vs +1.9 bn between 2019-23) (European Media Industry Outlook).
[52] By 2030, at least 23% of graduates in higher education should have a learning mobility experience and at least 12% of learners in vocational education and training (VET) should benefit from learning mobility abroad, as per the 2024 Council Recommendation "Europe on the Move - Learning opportunities for everyone" (C/2024/3364).
[53] Support study to the final evaluation of Erasmus+ 2014-2020 and the interim evaluation of Erasmus+ 2021-2027. In particular, 84% of public consultation respondents agreed or strongly agreed that they would not have been able to fund the activities undertaken without Erasmus+. The vast majority of beneficiary organisations interviewed for case studies confirmed the inability to undertake similar activities without Erasmus+ support.
[54] The percentage refers to respondents who selected either "To a large extent" or "Somewhat".
[55] Question: to what extent do you consider that these actions for cooperation and mobility would bring about a positive impact in the future?
[56] As an example, the findings of the Erasmus+ evaluation show that, over the 2014-2020 and the 2021-2027 programming periods, Erasmus+ is unmatched in terms of scale and scope when compared to 19 national or international schemes with similar objectives in the fields of education, training, youth, and sport, with an

involvement of a much higher number of participants per year compared to other similar international funding programmes. In higher education, Erasmus+ is the primary funding tool for short-term (at least three months) learning mobility across the programme countries. Based on Eurostat data, EU programmes like Erasmus+ supported around 2 out of 3 (65.6%) of the credit -mobile graduates from bachelor's or equivalent at EU level, including Serbia and Norway, in 2022. EU programmes are the only possibility to go abroad for a short period during studies in countries like Cyprus and Ireland, where 100% of short mobility is financed by Erasmus+. This share is higher than 90% in 11 countries according to data from Eurostat.

[57] Erasmus Student Network (ESN), preliminary results of the XV ESN Survey, 2023.

[58] Ibid.

[59] Currently, the share of adults that have taken part in training in the past 12 months stands at 39.5 %, whereas the 2030 target is 60%. - cf. Education and Training Monitor 2024: Education and Training Monitor 2024

[60] Study on Youth Work in the EU, European Commmission, 2021

[61] European Parliament Study, 'Young people's participation in European democratic processes - How to improve and facilitate youth involvement', 2023

[62] European Commission: Directorate-General for Education, Youth, Sport and Culture, *Learning about the EU – European topics and school curricula across EU Member States*, Publications Office of the European Union, 2021, https://data.europa.eu/doi/10.2766/74975.

[63] Safer Together – Strengthening Europe's Civilian and Military Preparedness and Readiness, Sauli Niinistö, 2024.

[64] To date, the option of transferring funds from ERDF/ESF+ to programmes under direct or indirect management, introduced in the 2021-2027 programming period, has only seen one case registered under the Erasmus+ programme (transfer of EUR 57 million from ESF+) and very few additional cases under Horizon Europe.

[65] Instruments like ESF+, ERDF, RRF, Marie-Sklodowska-Curie Actions (MSCA), Horizon Europe's Cluster II on Culture, Creativity and Inclusive Society, Digital Europe, IPA III, NDICI, InvestEU, which total higher overall share of the EU budget on the policies of this cluster, and are thereby critically important to this cluster' effectiveness.

[66] Spread mainly between Erasmus+ and the European Solidarity Corps.

[67] The percentages refer to respondents who selected either "To a large extent" or "Somewhat".

[68] Mandatory Annual Work Programmes for Creative Europe and multiannual Work Programmes for the CERV programme.

[69] Lack of alignment in funding rules and criteria as well as the absence of a common operational framework is also a barrier to mainstreaming horizontal provisions for equality and inclusion.

[70] An evaluation of the Agency conducted in April 2019 showed that the EACEA was effective in the implementation of its operational priorities and performed well in the execution of delegated functions with very good results in meeting the main indicators describing the timeliness of its evaluation, contracting and payments process. Also, the majority of funding in this cluster is implemented through 54 National Agencies, and integrated reporting between Nas and EACEA has been developed and is working seamlessly.

[71] 'Reflection is on-going on concrete measures to support a more systematic approach to Programme data collection and analysis, to better address gaps identified in monitoring, and on how to better measure long-term impact' SWD on the mid-term review of Creative Europe.

[72] Media invest pool resources from Creative Europe MEDIA, Invest EU and the EIF.

[73] Such as multiannual work programmes, accreditations, a more extensive use of lump sums, larger grants, higher cofinancing rates, a wider use of cascading grants supporting small organisations that would not have otherwise been able to benefit from EU funding.

[74] Among the five most important obstacles making the EU budget effective, the Open Public Consultation highlighted, in decreasing order of importance, administrative burden for beneficiaries (82%), complex funding and compliance rules (80%), lack of flexibility in funding (66%), limited reach to diverse target groups (66%), lack of consistency and effectiveness to deliver on EU priorities (510%).

[75] Erasmus+ interim evaluation underlines that although Erasmus+ is a well-known EU programme, further efforts are needed to increase the visibility of the opportunities it offers. Outreach could be further improved by sharing

and better targeting information about the programme to reach out to new participants and organisations across all sectors.

[76] 82% of respondents highlighting that "Administrative burden for beneficiaries" is an obstacle preventing the EU budget from fully delivering on its objectives. Conversely, "simplifying access to funding" and "introduce more flexibility" were the most frequently cited options to help the EU budget be more effective and efficient.

[77] 14 megatrends have been identified by the Commission's Megatrends Hub.

[78] Further evidence apply to policy areas under this cluster, such as the European Media Industry Outlook.

[79] Almost 66% of respondents to the public consultation considered *" Protecting democracy and promoting democratic standards*" is an area where to a large extent, EU funding provides added value compared to funding at national, local or regional level. An area where EU action is considered more impactful by younger Europeans is the support to civil society organisations that promote EU values.

[80] Including declining basic skills, underdeveloped digital skills, and other advanced and transversal skills necessary for the twin transitions.

[81] The underachievement rate has largely increased in mathematics and reading, and more moderately in science, in most EU countries compared to the previous PISA 2018.

[82] European Court of Auditors (2023): Special report 11/2023: EU support for the digitalization of schools.

[83] See Second Report on the application of the General Data Protection Regulation,.

[84] According to 60.32% of respondents to the public consultation, "Upholding and promoting the respect of fundamental/human rights" is an area where EU funding provides added value compared to funding at national, local or regional level to a large extent.

[85] According to the findings of the interim evaluation (SWD/2025/134 final), the 2021-2027 justice programme has a key role in helping Member States to develop-national tools to create the interfaces required between EU-wide systems and national systems and it is therefore successfully contributing to a more level playing field in the areas of interoperability of IT systems and digitalisation of justice.

[86] According to the interim evaluation of the CERV programme (SWD/2025/133 final), there is a clear need for the programme to continue because the challenges it was set up to address persist and, in some cases, have got worse e.g. the increasing polarisation of society, the rise in populism and extremism, and the threat to EU values.

[87] As created, inter alia, through EU legislation establishing social services under a European harmonised number (2007/116/EC).

[88] See interim evaluation of the 2021-2027 Justice programme (SWD/2025/134 final).

[89] Leveraging the networks' outreach has improved the engagement with key target groups and allowed the organisation of large-scale events at lower costs (see Interim evaluation of the 2021-2027 Justice programme (SWD/2025/134 final).

[90] Action Plan on basic skills, COM(2025)88. While overall underachievement in basic skills is on the rise across all EU countries, the spread between the best and worst performing countries is wide. Similarly, even though the rate of early school leaving has improved at the EU level, decreasing by 2.3 percentage points in the period 2013-2023, many learners leave education prematurely without an upper secondary qualification.

[91] United Nations, Department of Economic and Social Affairs, Convention On The Rights Of Persons With Disabilities (CRPD).

[92] *Fulfilment of the conditions set out in the AVMS Directive is a requirement for candidate countries to participate in the MEDIA and CROSS strand of Creative Europe.*

[93] Solidarity and volunteering schemes differ across Member States: without dedicated EU action, some countries would have no volunteering opportunities– notably in support of humanitarian aid operations.

[94] According to 65% of respondents to the public consultation, "P*romoting a shared European identity*" is an area where EU funding provides added value compared to funding at national, local or regional level to a large extent.

[95] Audiovisual Medi Services Directive (AVMSD), European Media Freedom Act (EMFA).

[96] Audiovisual Media Services Directive and the European Media Freedom Act.

[97] Civil Society Organisations, National Human Rights Institutes, equality bodies, ombuds institutions, other human rights defenders, and Member State authorities from national, regional and local levels.

[98] Discrimination based on sex, racial or ethnic origin, religion or belief, disability, age or sexual orientation, as well as non-discrimination on the grounds provided for in Article 21 of the Charter.
[99] Racism, xenophobia, antisemitism, anti-Muslim hatred, LGBTIQ-phobia, hatred against persons with disabilities and older persons.
[100] 2024 Consumer survey informing the 2025 European Media Industry Outlook.
[101] According to the 2024 Media Pluralism Monitor, risks to market plurality are “medium” or “high” in all EU countries.
[102] Production encompasses all phases of creation of audiovisual works, including development, for example.
[103] SWD on the interim evaluation of Creative Europe states that ‘*the synergies between the Culture and MEDIA Strands could be better exploited, notably among copyright intensive industries which are the CCS most heavily affected by the competition from the US platforms, changed consumption patterns and the AI revolution’*, e.g. Music tracks generating substantial revenues from their inclusion in video games, films or TV series. Media Industry Outlook SWD, (to be published in July).
[104] Nearly two thirds of respondents to the OPC mentioned support to the audiovisual and media sectors as an “important” policy objective.
[105] The importance of such actions is corroborated by the results of the public consultation supporting this impact assessment where approximately 80% of respondents (summing up responses "very important" and "important") see an added value in EU funding going to “Promote cultural and linguistic diversity” and “Promote and preserve cultural heritage and European remembrance”. There is also wide support for “Ensure widespread access to culture and cultural heritage” and “Support to mobility of artists and culture professionals”,from respectively 76% and slightly under 57% of respondents (summing up responses "very important" and "important".
[106] Media Industry Outlook SWD, (to be published in July 2025).
[107] Ibid.
[108] The percentage refers to respondents who selected either "Very important" or "Important".
[109] The Council Recommendation “Europe on the Move - Learning opportunities for everyone” sets EU level targets for mobility. EU action will be instrumental to support the achievement of these targets and ensure the elimination of barriers to mobility fostering a seamless and inclusive transnational learning environment.
[110] The percentage refers to respondents who selected either "To a large extent" or "Somewhat".
[111] SWD on the mid-term review of Creative Europe.
[112] 81% of respondents to the public consultation considered that “introducing more flexibility into resource allocation to react to crisis and emerging needs” was mentioned by as something that could help the EU budget become more effective and efficient”.
[113] See Annex 8 for details on the results of the mid-term evaluations.
[114] Ibid.
[115] Aspects used for comparison included: the political context, IA problem drivers, legal basis, competence/subsidiarity, third countries participation, implementation modes, governance, internal architecture, target groups, branding, and funding.
[116] The current programmes do not comprehensively address all key emerging policy areas set out in the Political Guidelines as stated above.
[117] As stated above, this would not include the Justice programme for the reasons explained under section 5.2 Discarded options.
[118] For instance, during the negotiations by co-legislators, the voting rules for different legal basis would not be compatible with other the legal basis of other programmes in this cluster.
[119] Alternative combinations would offer differing degrees of synergies, depending on the nature of the mergers, but not at par with the proposed options.
[120] Citizens at large (through areas such as cross-border education and training, fundamental rights, access to media and culture, solidarity activities, sport); children and young people (on aspects such as protection against violence); professionals in sectors such as media, culture, education and training; sport, youth organisations, civil society organisations and human rights defenders; media companies and other organisations active in the media sectors; cultural and creative organisations; EU and national public authorities and candidate and third countries. Citizens

accounted by around half the responses, followed by academic/research institutions (16%), non-governmental organisations (14%), companies and business associations (5.9%) and public authorities (5.4%).

[121] Social impacts of the different options are mainly achieved by safeguarding and promoting EU values and fundamental rights on one side and increasing cohesion in society on the other, increasing the educational, personal and professional development of individuals as well as raising the level of skills, education and training and cultural diversity and media offer.

[122] European Commission (2019). "Erasmus+ higher education impact study"

[123] A total of 241 million admissions in EU-27 cinemas is attributable to MEDIA (2014-2020). Without MEDIA support, EU audiences of films from other EU countries would drop to 30% of what they are today (Interim evaluation of the Creative Europe Programme 2021-2027 and final evaluation of the Creative Europe Programme 2014-2020)

[124] Most participants to CERV-funded activities self-report higher level of awareness of rights as an EU citizen (84%) than the general public. 82% of participants in Erasmus+ learning mobility activities declare that they feel more European and 86% are more aware of European values.

[125] The European Commission study "Learning about the EU: European topics and school curricula across EU Member States" from 2021 points to the added value on participation of combining "learning styles" where formal teaching and learning is enhanced by information, non-formal and experiential learning.

[126] EU Agency for Fundamental Rights (FRA), 2025.

[127] As recommended in the report "Safer Together, strengthening Europe's civilian and military preparedness and readiness" by Sauli Niinistö

[128] Support to news media has been introduced into the second Creative Europe (2021-2027) part of the Cross-sectoral strand, in response to the growing political priority of strengthening democracy and the rule of law across the European Union

[129] Examples of calls include Journalism Partnerships calls under Creative Europe, Pan-European and Digital Reporting calls under Multimedia Actions, and capacity building to counter manifestly unfounded or abusive court proceedings against journalists and human rights defenders who engage in public participation under the CERV programme.

[130] According to Media Pluralism Monitor Report, 23 out of 27 Member States are in high or medium risk to media pluralism.

[131] Under status quo, news media is not covered, but it is addressed under Option 2 (See Table 11.1, Annex 11).

[132] Economic impacts are mainly achieved through increased employability of citizens, quality of education and training systems generating innovation and economic growth, the economic contribution of CCSs and media and audiovisual industries, including through strengthening their competitiveness and SMEs' capacity.

[133] See annex 5 on the competitiveness check.

[134] For example, MediaInvest remains underfunded, with an identified equity gap between EUR 399 to EUR 649 million per year.

[135] https://www.oecd.org/en/publications/pisa-2022-results-volume-i_53f23881-en.html

[136] The future of European competitiveness: Report by Mario Draghi, September 2024

[137] Over 50% of MEDIA supported EU films and series are international coproductions, rising to 86% under the current programme, vs 12% of comparable unsupported EU films and series in the same period (Mid-term evaluation of the Creative Europe 2021-2027 and final evaluation of the Creative Europe Programme 2014-2020).

[138] The box office revenues of a film adapting pre-existing content (books) is around 50% higher than films with an original screenplay, while TV dramas adapted from books attract 58% more viewers.

[139] This IA is relevant for SMEs concerning the IP intensive industries, including news media, at an est. 30.000-50.000 companies, and 84.000-140.000 employees (further analysis provided under Annex 6).

[140] In the MEDIA strand of Creative Europe (2021-2027), 99% of the beneficiaries of the Programme are SMEs. In the Culture strand, 80% of the beneficiaries are organisations of less than 49 employees (Interim evaluation of the Creative Europe Programme 2021-2027 and final evaluation of the Creative Europe Programme 2014-2020).

[141] 1 592 SMEs participated in 1 631 KA2 adult education projects, and 2 148 SMEs in 2 166 KA2 VET projects

[142] In the VET field, 61% of VET respondents of the public consultation agreed that Centres of Vocational Excellence highly contribute to support excellence, creativity, and innovation at the level of organisations and policies.

[143] Improved access to tailored financing helps mitigate key risks inherent to CCS (Further information on the InvestEU Culture and Creative Portfolio Guarantee Product, https://www.eif.org/InvestEU/guarantee_products/index-portfolio-ccs). For example, the current CCS GF was found effective in benefitting micro-businesses and small and medium-sized enterprises (SMEs) in the cultural and creative sectors, which often face difficulties in accessing affordable debt financing for their projects.

(Interim evaluation of the Creative Europe Programme 2021-2027 and final evaluation of the Creative Europe Programme 2014-2020).

[144] For example, see *Die Bedeutung studienbezogener Auslandsaufenthalte im Transformationsprozess der deutschen Wirtschaft*, DAAD-IW-Studie, 2025

[145] Iriondo, I. (2020). Evaluation of the impact of Erasmus study mobility on salaries and employment of recent graduates in Spain. Studies in higher education, DOI: 10.1080/03075079.2019.1582011

[146] George Psacharopoulos & Harry Anthony Patrinos (2018) Returns to investment in education: a decennial review of the global literature, Education Economics, 26:5, 445-458, DOI: 10.1080/09645292.2018.1484426

[147] European Commission: Directorate-General for Employment, Social Affairs and Inclusion, *Employment and social developments in Europe 2024*, Publications Office of the European Union, 2024, https://data.europa.eu/doi/10.2767/91555.

[148] European Commission, above-mentioned Study to support the Commission impact assessment on Individual Learning Accounts.

[149] Iriondo, I. (2020). Evaluation of the impact of Erasmus study mobility on salaries and employment of recent graduates in Spain. Studies in higher education, DOI: 10.1080/03075079.2019.1582011

[150] Commission staff working document accompanying the proposal for a Council Recommendation 'Europe on the move' – learning mobility opportunities for everyone, (SWD(2023) 719).

[151] A rationalisation of resources for the supervision of the National Agencies is also expected in the relevant ministries (the programmes have separate National Authorities).

[152] Programmes that include mobility imply use for transport, which in turn leads to the emission of greenhouse gases. However, strong incentives to use sustainable practices including transport are embedded in the design of the programmes and the flows are negligible compared to the mobility fluxes in Europe and overall emissions. Hence, an in-depth analysis of environmental impacts has not been considered relevant in this case.It is also worth noting that both Erasmus+ and the Corps currently have a positive indirect effect by prioritising the green transition in cooperation and volunteering activities, raising awareness about environmental sustainability especially among young people and supporting behavioural changes linked to individual preferences, consumption habits and lifestyles. In the case of Erasmus+, since 2021, more than 1billion € has been used to support cooperation projects with climate objectives.

[153] Based on a recent survey of companies in the creative and cultural sectors, only 30% have adopted a digital transformation strategy and companies have indicated that investment in AI represents less than 1% of their total investments.

[154] The current Creative Europe MEDIA has responded to the digital shift by consistently encouraging innovation. Innovative tools and business models have been funded, in particular harnessing artificial intelligence (Interim evaluation of the Creative Europe Programme 2021-2027 and final evaluation of the Creative Europe Programme 2014-2020). In the context of Option 2, transversal actions bringing together culture, media and civil society players will allow for enhanced contribution to the digital transformation through synergies.

[155] Core impact, as fundamental rights and equality are policy objectives covered within this cluster.

[156] As highlighted by its interim evaluation (SWD/2025/133 final), the CERV programme makes a strong contribution to promoting gender equality, with every fourth euro of financing from grants having contributed strongly and around half of the funded projects closely intertwined with the promotion of gender equality.

[157] See results of interim evaluations in Annex 8.

[158] Policies under this cluster contribute toward the following SDGs: 3. Healthy lives and well-being; 4. Quality education; 5. Gender equality; 8. Decent work and economic growth 10. Reducing inequalities; 16. Peace, justice, strong institutions; 17. Means of implementation.

[159] See Tool #62 of Better Regulation. To obtain a policy ranking consistent with the information contained in the impact matrix, the analysis applied a non-compensatory mathematical aggregation rule.

[160] This result sums up the score of the indicators under each of the objectives (e.g. joint scores of the five indicators under 'improved cooperation'). For the tenth objective, "minimisation of risks", Options 1 and 2 tied with the same score.

[161] For the remaining 9 criteria there was a tie between at least two options.

[162] Ownership details: The software has been developed in the context of the European Commission's Decision Analysis Lab (Non free license).
163 Institutions, associations, NGO, companies (mostly micro and small-sized), self-employed people etc.
[164] Under the Erasmus+ programme 2014-2020, 2 148 SMEs participated in VET cooperation projects, and 1 592 SMEs in adult education cooperation projects, only to mention these two sectors.
[165] Measured through the EU Survey on Justice, Rights and Values (data 2021-2023) and the special Eurobarometer SP552.
[166] European Commission, Acting against discrimination
[167] EIGE, Economic Benefits of Gender Equality in the European Union
[168] See interim evaluation of the CERV programme (SWD/2025/133 final).
[169] SWD on the final evaluation of Creative Europe 2014-2020 and the mid-term evaluation of Creative Europe 2021-2027, not yet published. Figures not available for the Culture strand in Creative Europe 2021-2027;
[170] Number of people watching, visiting, listening and viewing cultural activity funded by the Creative Europe's Culture strand as reported by projects. This figure does not include the audience of European Capitals of Culture, co-funded by the programme's Culture strand (estimated at 2 million per Capital), the audience reached by the recipients of the various Prizes funded by the strand or the readership of books translated by the strand, Ibid. Data not available for Creative Europe 2021-2027
[171] Ibid. Figures not available for the Culture strand in Creative Europe 2021-2027;
[172] Ibid.
[173] Ibid.
[174] Ibid.
[175] Knowledge base for the Sustainable Development Goals
[176] Ownership details: The software has been developed in the context of the European Commission's Decision Analysis Lab (Non free license).
[177] All methodological and mathematical details behind SMCE and the SOCRATES software can be found in: Munda G. (2004) "Social multi-criteria evaluation (SMCE)": methodological foundations and operational consequences, European Journal of Operational Research Vol. 158, Issue 3: 662- 677. Munda, G. (2008) Social Multi-Criteria Evaluation for a Sustainable Economy, Berlin, Heidelberg: Springer. Munda G. (2009) A conflict analysis approach for illuminating sustainability distributional issues, European Journal of Operational Research, Volume: 194, Issue: 1, Pages: 307-322.. Munda, G. (2012) Intensity of preference and related uncertainty in non-compensatory aggregation rules. Theory and Decision 73, 649–669. Munda, G. (2022) Qualitative reasoning or quantitative aggregation rules for impact assessment of policy options? A multiple criteria framework. Quality and Quantity 56, 3259–3277. Munda, G., Azzini, I., Cerreta, M. and Ostlaender, N., SOCRATES Manual, EUR 31327 EN, Publications Office of the European UnioUnioo, Luxembourg, 2022, ISBN 978-92-76-59331-7, doi:10.2760/015604, JRC131755. Azzini I. and Munda G. (2020) A New Approach for Identifying the Kemeny Median Ranking, European Journal of Operational Research, Vol. 281, pp. 388-401. Azzini I. and Munda G. (2025) Sensitivity and Robustness Analyses in Social Multi-Criteria Evaluation of Public Policies, Journal of Multi-Criteria Decision Analysis, Vol. 32, issue 1, pp. 1-19.
[178] See Tool #62 of Better Regulation. To obtain a policy ranking consistent with the information contained in the impact matrix, the analysis applied a non-compensatory mathematical aggregation rule.
[179] The percentage refers to respondents who selected either "Very important" or "Important".
[180] The percentage refers to respondents who selected either "Very important" or "Important".
[181] 7 out of 10 tickets sold for non-national films in the EU is directly attributable to MEDIA support. Without MEDIA support, non-national admissions in the EU would drop to 30% of the current level.
[182] In the streaming segment, EU consumers spend only 9% of their time on watching content from other EU countries, while they spend 61% of their time on US works and 20% on works from other non-EU territories (e.g. UK and Asia) (Forthcoming Second Edition of the Media Industry Outlook).
[183] The percentages refer to respondents who selected either "To a large extent" or "Somewhat".
[184] The percentage refers to respondents who selected either "Very important" or "Important".
[185] The percentage refers to respondents who selected either "Very important" or "Important".

[186] Annex 5 can be consulted for further analysis.
[187] The percentage refers to respondents who selected either "To a large extent" or "Somewhat".
[188] The percentages refer to respondents who selected either "To a large extent" or "Somewhat".
[189] The percentage refers to respondents who selected either "To a large extent" or "Somewhat".
[190] The percentage refers to respondents who selected either "To a large extent" or "Somewhat".
[191] The percentage refers to respondents who selected either "To a large extent" or "Somewhat".
[192] Given that the assessment is about funding to specific media sectors, the 'Synthetic assessment' section is by definition a sectoral assessment, hence no separate assessment is needed under *'Competitive position of the most affected sectors'.*
[193] CNECT calculations based on Statista
[194] Ibid
[195] For example, Romanian public service television receives around EUR 22 per household in public funding, while the same amount id EUR 158 for Danish public broadcasting. (CNECT calculations based on data from European Audiovisual Observatory and Eurostat)
[196] European Media Industry Outlook, forthcoming 2nd edition.
[197] Mid-term evaluation of the Creative Europe 2021-2027 and final evaluation of the Creative Europe Programme 2014-2020.
[198] European Media Industry Outlook, forthcoming 2nd edition.
[199] The State of the European Game Industry, and How to Unleash its Full Potential, 2024
[200] European Media Industry Outlook, forthcoming 2nd edition.
[201] European Media Industry Outlook, forthcoming 2nd edition.
[202] As an illustration, one beneficiary, the Euranet Plus radio network, achieved substantial cost reductions throughout the project implementation, with average costs per produced audio minute declining by 30% from 2021 to 2023, down to €48.87 per minute.
[203] In a recent EU27 consumer survey on media consumption habits commissioned by DG CNECT, the fact that a film or a series was part of a franchise or new season of an existing series was rated by young people to be among the top three factors that attract them to films and series.
[204] See the following study focusing on the UK market: 'The book was better!' – How literary adaptations contribute to the wider creative industries | Frontier Economics
[205] Ampere Analysis https://ampereanalysis.com/insight/feel-the-force-of-franchises-commissioners-bank-on-superheroes-and-crime
[206] Babylon Berlin author Volker Kutsche: "Nobody wants to be a Nazi"
[207] How did The Witcher games affect the popularity of The Witcher books? - Literature Stack Exchange
[208] EAO
[209] https://variety.com/2023/tv/global/newen-artificial-intelligence-ai-french-soaps-producers-crew-1235760713/
[210] See for example https://publikum.io/
[211] European Audiovisual Observatory (2024). Made in Europe, Theatrical distribution of European films across the globe 2014 - 2023
[212] based on the analysis of International Showtimes
[213] European Media Industry Outlook, forthcoming 2nd edition.
[214] Proven by the SMCE.
[215] Limited number of other CCS SME directly funded by the Creative Europe programme's Culture strand
[216] idem.

[218] Casas, Pablo and Christou, Tryfonas and García Rodríguez, Abián and Lazarou, Nicholas Joseph and Salotti, Simone (2025): The ex-post macroeconomic evaluation of the 2014-2020 European Social Fund, Youth Employment Initiative and REACT-EU labour market interventions
[219] Employment and Social Developments in Europe 2024 - European Commission
[220] Ibidem, p 276
[221] Education and Training Monitor 2024

[222] Ibidem
[223] Idem.
[224] Between 2021 and 2024, SMEs represented 3.4% of the organisations taking part in Erasmus+ projects. Source: Erasmus+ Dashboard
[225] Benchmarking: Compared to other sectors, education has traditionally lower measured innovation (few patents or R&D spending), but its impact on innovation in all sectors is paramount. Investments here likely yield high returns in innovation across the board, albeit with a time lag.
[226] Evidence shows the negative economic impacts of discrimination on competitiveness, resulting in estimated EU-wide annual GDP losses, due to discrimination on the grounds of religion or belief (EUR 234 million), sexual orientation (EUR 30-98 million), disability (EUR 0.84 – EUR 1.42 billion) and age (EUR 289-364 billion). See European Parliament: Directorate-General for Internal Policies of the Union and Ballegooij, W., Equality and the fight against racism and xenophobia – Cost of non-Europe report, European Parliament, 2018, https://data.europa.eu/doi/10.2861/1791; "The state and effects of discrimination in the European Union The state and effects of discrimination in the European Union | OECD", 2024.
[227] https://ec.europa.eu/docsroom/documents/63274
[228] Cultural and Creative Industries overview by DG for Internal Market, Industry, Entrepreneurship and SMEs (DG GROW)
[229] Interim evaluation of the Creative Europe Programme 2021-2027 and final evaluation of the Creative Europe Programme 2014-2020.
[230] 64.5% of recent medium-level VET graduates to have experienced work-based learning as part of their VET programme in 2023.
[231] Statistical classification of economic activities in the European Community (NACE 2.1, Level 2).
[232] Estimated number based on current beneficiaries of Creative Europe
[233] The preferred option includes the mitigating measures listed in section 4.
[234] The direct benefits for SMEs can also be cost savings.
[235] See Annex 5, Competitiveness Check
[236] Based on a survey of 25 thousand travellers: 'Unpack '25' by Expedia
[237] European judicial training strategy (2021–2024) | EUR-Lex.
[238] EU Strategy on victims' rights (2020-2025) - European Commission.
[239] Rule of law - European Commission.
[240] Anti-corruption: Stronger rules to fight corruption.
[241] Commission presents a European internal security strategy - European Commission.
[242] A Counter-Terrorism Agenda.
[243] https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX:12012P/TXT.
[244] Equality and inclusion - European Commission (europa.eu).
[245] Factsheet - Delivering on the EU strategy on the rights of the child
[246] Combating hate speech and hate crime - European Commission (europa.eu).
[247] Protecting democracy - European Commission (europa.eu).
[248] Directive - EU - 2024/1385 - EN - EUR-Lex (europa.eu).
[249] Directive - 2023/970 - EN - EUR-Lex (europa.eu).
[250] https://commission.europa.eu/strategy-and-policy/priorities-2019-2024/new-push-european-democracy/protecting-democracy_en#what-is-the-european-democracy-action-plan
[251] https://commission.europa.eu/publications/reinforcing-democracy-and-integrity-elections-all-documents_en.
[252] https://commission.europa.eu/publications/documents-defence-democracy_en .
[253] Directive - 2023/970 - EN - EUR-Lex (europa.eu).
[254] Directive - EU - 2024/1069 - EN - EUR-Lex (europa.eu).
[255] https://commission.europa.eu/publications/citizenship-package_en.
[256] Political guidelines 2024-2029, https://commission.europa.eu/priorities-2024-2029/democracy-and-our-values_en
[257] See A Culture Compass for Europe, a call for evidence.

[258] OJ C 456, 18.12.2018, p. 1–22.
[259] OJ C, C/2024/3527, 3.6.2024, ELI: http://data.europa.eu/eli/C/2024/3527/oj.

[261] Regulation (EU) 2021/692 of the European Parliament and the Council of 28 April 2021 establishing the Citizens, Equality, Rights and Values Programme and repealing Regulation (EU) No 1381/2013 of the European Parliament and of the Council and Council Regulation (EU) No 390/2014.
[262] Council Regulation (EU) No 390/2014 of 14 April 2014 establishing the 'Europe for Citizens' programme for the period 2014-2020.
[263] Regulation (EU) No 1381/2013 of the European Parliament and of the Council of 17 December 2013 establishing a Rights, Equality and Citizenship Programme for the period 2014 to 2020.
[264] Regulation (EU) 2021/693 of the European Parliament and the Council of 28 April 2021 establishing the Justice Programme and repealing regulation (EU) No 1382/2013.
[265] Regulation (EU) 2021/817 of the European Parliament and of the Council of 20 May 2021 establishing Erasmus+: the Union Programme for education and training, youth and sport and repealing Regulation (EU) No 1288/2013.
[266] Higher education, Vocational Education and Training (VET), School education and Adult Education.
[267] Regulation (EU) 2021/888 of the European Parliament and of the Council of 20 May 2021 establishing the European Solidarity Corps Programme and repealing Regulations (EU) 2018/1475 and (EU) No 375/2014.
[268] Figure as of 2 July 2025. Data are based on the pillar tagging methodology for the Recovery and Resilience Scoreboard and correspond to the measures allocated to the policy area 'adult learning'; 'green skills and jobs'; 'human capital in digitalisation', 'early childhood education and care', as well as 'general, vocational and higher education' as primary or secondary policy areas.
[269] Figure as of 2 July 2025. Source: Recovery and Resilience Scoreboard.
[270] Recovery and resilience plans: supporting people across the EU, September 2024, available at: https://commission.europa.eu/publications/recovery-and-resilience-plans-supporting-people-across-eu_en.
[271]Interim evaluation of the CERV programme (SWD/2025/133 final), Interim evaluation of the 2021-2027 Justice programme (XX - forthcoming).
[272] Ex post evaluation of the REC programme, second part (SWD/2025/133 final), Ex post evaluation of the EfC programme (SWD/2025/133 final), Ex post evaluation of the 2014-2020 Justice programme, second part (SWD/2025/134 final).
[273] The very high ratio of quality projects is to the benefit of the fulfilment of policy objectives.
[274] The CERV programme introduced lump-sum funding to further reduce the administrative burden. The introduction of unit costs at Commission corporate level, however, appears to have added complexity, exacerbated by the fact that these unit costs do not reflect the actual costs of activities and impose unrealistic limitations on travel costs. Re-granting mechanisms have led to the CERV programme being more inclusive than its predecessors by allowing the programme to reach smaller and grassroots organisations.
[275] These include, for instance, the opportunity to test innovative approaches to address societal challenges, expand project target groups and improve organisations' capacities.
[276] This is linked to financial contributions, with every fourth euro of financing from grants having contributed strongly to gender equality. Around half of the CERV grants funded projects closely intertwined with the promotion of gender equality. Nevertheless, the mid-term evaluation pointed to the need to pay more attention to intersectionality in addressing gender and social inclusion issues.
[277] The CERV programme provides clear added value. For many CSOs, it is their only possible source of funding in this area. Between 2021 and 2023, the CERV programme reached 3 033 CSOs with support and capacity building activities across all Member States.
[278] See interim evaluation of the 2021-2027 Justice programme (SWD/2025/134 final).
[279] For instance, in 2022, 24 208 justice professionals took part in training supported by the Justice programme (around 35.3% of all those who received EU (co-)funded training on EU law that year). See Justice programme performance statement.
[280] See interim evaluation of the 2021-2027 Justice programme (SWD/2025/134 final)–.

[281] See interim evaluation of the 2021-2027 Justice programme– (SWD/2025/134 final).
[282] See interim evaluation of the 2021-2027 Justice programme (SWD/2025/134 final).
[283] Admissions for non-national European films in Europe and in largest 10 non-European markets: The targets of 71 million tickets in Europe and 85 million outside were each exceeded (95 and 88 million); SWD Interim evaluation of the Creative Europe programme 2021-27.
[284] Out of the group of beneficiaries who applied before and after COVID, 60% had grew their position in the market of non-national EU films, and this includes 26% of beneficiaries who more than doubled their shares Source: Programme monitoring data.
[285] MEDIA supports MediaInvest through blending of funding with the Invest EU and EIF on a 1:1 basis.
[286] As of 25th March 2025, 4 deals were signed under MediaInvest for an amount of EUR 95 Mio.
[287] Films supported by MEDIA have received 95 nominations at the Academy Awards, as well as 333 nominations at the Cannes and 183 and 170 awards at the Berlinale and European Film Awards respectively.
[288] There has been a notable increase in the share of support for titles that involve collaboration between high and low-capacity countries, from less than 5% in the previous programme to around 30% under the current one.
[289] MEDIA the number of grants processed fell by 46% despite a budget envelope increase of over 65%.
[290] Screen density varies dramatically across the EU, from 24 screens per million inhabitants in Romania to 102 screens per million inhabitants in Ireland. There are also big gaps within Member States, with rural or less populated areas often lacking cinemas, thereby creating "cinema deserts".
[291] Media Industry Outlook (publication forthcoming).
[292] Staff working document on the interim evaluation of the Creative Europe programme 2021-27 and final evaluation of the Creative Europe programme 2014-2021, page 83.
[293] Consumer survey on media consumption habits commissioned by DG CNECT (publication forthcoming).
[294] A large majority projects on 'Cross-Border Local' and 'Media Innovation Europe'of their funds focused on countries where there are high risks to media plurality as identified by the Media Pluralism Monitor. 28% of their funds were spent on medium risk countries and 72% on high-risk countries. The average subsidy per inhabitant was 3 times higher in high-risk countries**.**
[295] The Media Freedom Rapid Response (MFRR) mechanism tracks violations of press and media freedom and includes safety training for journalists. In 2021, 1373 violations were verified and 346 requests for support received, 117 cases were treated.
[296] Regulation (EU) 2021/818 of the European Parliament and of the Council of 20 May 2021 establishing the Creative Europe Programme (2021 to 2027) and repealing Regulation (EU) No 1295/2013 (Text with EEA relevance), OJ L 189, 28.5.2021.
[297] Erasmus+ supports activities that develop critical thinking as well as media and digital literacy in schools or other educational settings.
[298] Evaluation of the Multimedia Actions line CNECT/18/2023/Lot1.December 2024 (to be published soon).
[299] To be published
[300] Source: Eurostat data, code educ_uoe_mobc01.
[301] European Commission: Directorate-General for Education, Youth, Sport and Culture, Erasmus+ annual report 2023, Publications Office of the European Union, 2024, **https://data.europa.eu/doi/10.2766/833629**
[302] Ibid.
[303] COM(2025) 144 final, SWD(2025) 75, 1.4.2025
[304] European Commission: Directorate-General for Education, Youth, Sport and Culture, European solidarity corps – Report 2021-2023, Publications Office of the European Union, 2024, **https://data.europa.eu/doi/10.2766/235753**
[305] Based on the 14 megatrends identified by the Commission's Megatrends Hub
[306] See joint press release One in three women in the EU have experienced violence by Eurostat, FRA and EIGE (2024).
[307] Eurostat dataset on ICT specialists and ICT skills trainings in entreprises (online data codes: isoc_ske_itspen2, isoc_ske_itrcrn2 and isoc_ske_ittn2)
[308] Eurostat dataset on 'Early leavers from education and training by sex and labour status' (online data code: edat_lfse_14)
[309] Eurostat dataset on 'Population by educational attainment level, sex and NUTS 2 region (%)' (online data code: edat_lfse_04).

[310] The outward graduate mobility of a country is the sum of all graduates originating from the country who obtained their degree abroad (degree-mobile graduates) and graduates who obtained their degree in the country but spent a short period abroad (credit-mobile graduates).
[311] Education and Training Monitor, 2024
[312] Eurostat dataset on «Credit mobility graduates» (online data code: educ_uoe_mobc01)
[313] European Commission (2024). Digital Decade 2024 report.
[314] Among all individuals (16-74), Eurostat online data: isoc_sk_dskl_i21
[315] Young people, aged 15-29 years old ([ilc_peps01n] Persons at risk of poverty or social exclusion by age and sex)
[316] During this MFF a joint call between Creative Europe and CERV could not be planned due to differences of country participation in the legal basis
[317] The design could also lead to cross-fertilisation of initiatives financed through financial support to third parties/cascading grants, in the fields of culture, media and of rights and values.
[318]The EU Youth Strategy 2019-2027 focuses on fostering the participation of young people in civic and democratic life; connecting young people across the European Union and beyond to foster voluntary engagement, learning mobility, solidarity and intercultural understanding; and supporting youth empowerment through quality, innovation and the recognition of youth work.
[319] Synergies are showcased to illustrate their potential. The usage of a synergy or complementarity under a certain category is not exclusive. For example, supporting media literacy under this instrument can contribute to the political objective of protecting democracies and upholding our values, but the policy would entail as well support from Member States. Finally, the list of examples only refers to how the financing instruments contribute to the policy priorities, and hence should be seen in context with other policy initiatives and the relevant legislative framework (e.g. for example, in terms of the interrelation between media policies, regulatory frameworks and EU financing, which is not in scope of this document).